Committed to a **SUSTAINABLE** Financial Future



कुमारी बैंक लिमिटेड
KUMARI BANK LIMITED
सबैका लागि, सर्वैका लागि

25th Annual Report
FY 2081/82



हाम्रो आँखा – सधैं देखोस् नयाँ बिहानी त्यो
नवीनता, उत्कृष्टता

हाम्रो भावना – आतिथ्यमा रमोस् सधैं जसो
साथमा, सधैं साथमा

हामी हाँस्न सकौं, अनि हँसाउन सकौं
हामी अघि बढौं, अघि बढाउन सकौं

सुख – समृद्धि हर घरको बनोस्
साथ सधैं – सधैं जीवन भरको रहोस्

हामी देखौं यस्तो व्यवहार
सुरु गरौं यस्तो संस्कार

जसले ल्याउँछ हामीलाई नजिक
शुभ कार्यको संस्कारमा – कुमारी बैंक

Kumari Culture embraces everyone with a smile to welcome, help, and appreciate them. In every path, every way, we strive to be better and never give up. Each day, we live and breathe this culture, and imbibe it in our minds and our hearts.
We take every step together – for happiness and for success. Moving forward everyday – we hold it as an anthem that drives us forward.

We move forward in unison to create a new world, a world of our culture, - where everyone is engulfed in a comfortable space of their own. **Welcome to Kumari Culture!**

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Kumari Bank at a Glance

Kumari Bank Limited commenced its operations as the fifteenth commercial bank of Nepal on Chaitra 21, 2057 B.S. (April 3, 2001), with the objective of delivering competitive and modern banking services in the Nepalese financial market. The Bank currently boasts a paid-up capital of NPR 26.23 billion.

Kumari Bank offers a comprehensive range of modern banking products and services through 400 service outlets spread across urban, semi-urban, and rural regions of the country. These include 302 branches, 50 extension counters, and 48 branchless banking units. The Bank has been a pioneer in introducing innovative banking technologies in Nepal, such as Omni Channel Banking and Mobile Banking. With the implementation of the Core Banking Software, FINACLE (Version 10.2.25), Kumari Bank has strengthened its capability to provide a robust, efficient, and customer-centric banking experience nationwide.

The Bank offers both domestic and international VISA Debit and Credit Cards, which are accepted across all VISA-linked ATMs in Nepal and India. It operates 317 ATMs and over 1,201 POS terminals throughout the country. In addition, Kumari Bank continues to enhance its digital footprint through advanced services such as Mobile Banking, Viber Banking, Omni Channel Banking, and QR Payments, enabling customers to enjoy convenient, secure, and seamless banking experiences.

Recognized as one of the most innovative and rapidly growing financial institutions in Nepal, Kumari Bank is committed to customer satisfaction through transparent business practices, professional management, sound corporate governance, and the pursuit of Total Quality Management.

In line with its strategic growth objectives and the directive of Nepal Rastra Bank to achieve the required capital base, Kumari Bank successfully acquired Kasthamandap Development Bank Ltd., Paschimanchal Finance Co. Ltd., Mahakali Bikash Bank Ltd., and Kankrebihar Bikash Bank Ltd. in June 2017. Further strengthening its presence, the Bank acquired Deva Bikas Bank Limited, commencing joint operations on July 12, 2020. Most recently, on January 1, 2023, Nepal Credit and Commerce Bank Limited merged with Kumari Bank Limited, and the unified institution continues to operate under the name Kumari Bank Limited.

Through its consistent focus on innovation, technological advancement, and customer-centric service, Kumari Bank Limited continues to set new benchmarks in the Nepalese banking industry.

Mission and Vision

MISSION

Our mission is to deliver innovative and customer-focused financial products and services that promote financial inclusion and empower communities. We strive to achieve this through a strong commitment to good corporate governance, proactive risk management, and a deep sense of corporate social responsibility.

VISION

Our vision is to be the financial partner of choice for our customers, a platform for professional growth and fulfillment for our employees, and a source of sustainable value for our shareholders while contributing meaningfully to the advancement of Nepal's financial sector and the nation's overall economic prosperity.



Chairman's Statement

Dear Esteemed Stakeholders,

As Chairman of Kumari Bank, I take this opportunity to reflect on the past year with a deep sense of responsibility and appreciation. It has been a year of careful navigation, prudent decision-making and steady progress made possible by the trust of our stakeholders and the collective commitment to the Bank's long-term vision.

Throughout a period marked by economic uncertainty and rapid change within the financial sector, the Board has remained closely engaged in overseeing the Bank's strategic direction, risk management and governance framework. Our focus has been clear: to safeguard institutional stability while enabling sustainable growth. Through disciplined oversight and considered policy guidance, we have sought to ensure that Kumari Bank remains resilient, well capitalized and well prepared for the future.

I am pleased to acknowledge the management team for executing the Bank's strategies with dedication and professionalism. The expansion of our network, the strengthening of operational capabilities and continued investment in technology reflect management's commitment to enhancing service quality and operational efficiency. The Board regards these efforts as fundamental to building long-term value for shareholders and improving access to reliable banking services across Nepal.

Innovation and digital transformation continue to reshape the banking landscape. From the Board's perspective, embracing technology is not solely about modernization, but also about governance, security and sustainability. Accordingly, we have supported initiatives that enhance digital platforms while maintaining robust controls, data protection and regulatory compliance, ensuring that innovation progresses responsibly and in alignment with the Bank's risk appetite. Beyond financial performance, the Board remains mindful of the Bank's wider responsibilities to society. Kumari Bank's engagement in community development, financial literacy, environmental responsibility and social support reflects the values we seek to uphold as an institution. These efforts reinforce our belief that long-term success is inseparable from the well-being of the communities we serve.

I would like to express my sincere appreciation to our shareholders for their continued confidence, to our customers for their trust, and to our employees for their professionalism and dedication. I also extend my gratitude to the regulatory authorities for their guidance and cooperation, which remain vital to maintaining a sound and transparent banking system. Looking ahead, the Board remains optimistic yet vigilant. Our role will continue to be one of guidance, oversight and support, ensuring that Kumari Bank grows with integrity, strategic clarity and resilience. With a capable management team and a strong governance framework in place, we are confident in the Bank's ability to navigate challenges and seize opportunities in the years ahead.

On behalf of the Board of Directors, I thank you for your continued association with Kumari Bank. Together, we remain committed to building an institution founded on trust, strength and long-term value for Nepal.

Sincerely,
Amir Pratap JB Rana
Chairman

To safeguard institutional stability while enabling sustainable growth.

Through disciplined oversight and considered policy guidance, we have sought to ensure that Kumari Bank remains resilient, well capitalized and well prepared for the future.



Board of Directors



Mr. Amir Pratap J.B. Rana
Chairman



Mr. Pashupati Murarka
Director



Mr. Mahesh Prasad Pokhrel
Director



Mr. Bijay Kumar Shrestha
Director



Mr. Rajaram Khadka
Director



Mr. Bijay Sthapit
Independent Director



Ms. Simran Agrawal
Director

CEO'S Message

Dear Valued Customers, Shareholders and Partners,

It is a privilege to address you as Chief Executive Officer of Kumari Bank and to reflect on a year defined by effective execution, adaptability and steady progress. The past year presented a complex operating environment for the banking sector; however, through disciplined management, customer-focused strategies and the collective efforts of our teams, we continued to strengthen our institution and deliver meaningful long-term value to our stakeholders.

Throughout the year, our primary focus remained on reinforcing core banking operations while expanding our reach and capabilities. Kumari Bank's extensive network of branches and service outlets across Nepal has enabled us to remain close to our customers and responsive to their evolving needs. In parallel, our subsidiaries and specialised business units have played an increasingly important role in broadening our service offerings and supporting diversified growth.

Operational efficiency and service quality remained central to our agenda. We invested in upgrading systems, enhancing digital platforms and streamlining internal processes to ensure faster, more secure and more reliable banking experiences. From mobile and digital banking solutions to improvements in customer service delivery at branch level, our efforts were guided by a clear objective: to make banking simpler, more accessible and dependable for every customer we serve.

Risk management, compliance and financial discipline continued to be key priorities. In close coordination with the Board of Directors, we maintained a prudent approach to credit, liquidity and capital management, safeguarding the Bank's stability while supporting productive sectors of the economy. This balanced approach has enabled us to navigate uncertainty while positioning the Bank for sustainable long-term growth.

Beyond financial performance, we continued to strengthen our role as a responsible corporate citizen. Through initiatives focused on financial inclusion, financial literacy, environmental responsibility and community support, Kumari Bank has sought to ensure that growth is inclusive and aligned with Nepal's broader economic and social development.

None of this would be possible without the dedication and professionalism of our employees. Their commitment, adaptability and customer-centric approach remain the driving force behind our progress. I would also like to thank our customers for their trust, our shareholders for their continued confidence, and our partners and regulators for their cooperation and guidance.

Looking ahead, we remain firmly focused on purposeful execution. Our priorities include deepening customer relationships, expanding both digital and physical access points, strengthening our subsidiaries and continuously enhancing operational excellence. With a clear strategy, strong governance and a capable team, we are confident in Kumari Bank's ability to seize emerging opportunities and deliver sustained value.

I extend my sincere gratitude to all our stakeholders for being part of this journey. Together, we will continue to build a stronger, more resilient Bank; one that serves today's needs while preparing confidently for tomorrow.

Warm regards,
Ram Chandra Khanal
Chief Executive Officer

When we face uncertain moments with clarity and determination, new doors open, doors that lead us to fresh opportunities, meaningful progress, and a future shaped by shared belief.



Executive Management Team



Ram Chandra Khanal
Chief Executive Officer



Sudhir Nath Pandey
Deputy Chief Executive Officer



Kshitij Khadka
Chief Business Officer



Anish Tamrakar
Chief Digital Banking Officer



Rohit Singh
Chief Risk Officer



Arpan Pokhrel
Chief Regional Credit Officer - A



Chandan Karki
Chief Investment & Marketing Officer



Rajesh Raj Dhungel
Chief Regional Credit Officer -C



Prabin Jha
Chief Regional Credit Officer - D



Bhusan Tandukar
Chief Regional Credit Officer - B

Women Leaders at the Management Level



Julie Shrestha
Head
Human Resources & Development



Sweety Malla Pradhan
COP-Bagmati Province
Inside Valley (D)



Rosita Shah
Branch Manager
Jhamsikhel Branch



Bibha Shrestha
Branch Manager
Chabahil Branch



Narayani Paudel
Head
Priority Sector Lending



Sangita Sharma
COP-Province No. 7
Sudurpaschim



Jamuna Dahal
Branch Manager
Shifal Branch



Samjhana Rana
Branch Manager
New Baneshwor Branch



Renu Koirala Wagle
Branch Manager
Naxal Branch



Priti Pandey Shah
Branch Manager
Thamel Branch



Sujita Bajracharya
Branch Manager
Kalimati Branch



Anjana Mishra
Head
Service Excellence and Priority Banking



Kripa Shrestha
Branch Manager
Koteshwor Branch



Krishna Laxmi Kisi
Branch Manager
Jogati Branch



Anita Sharma
Branch Manager
Narayantar Branch



Anupama Shrestha
Branch Manager
Boudha Branch

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Performance Review Financial Year 2081-82

Deposit

The fiscal year 2081-82 was a year of continued growth and strategic portfolio adjustment. Total deposits reached NPR 379,620 Million, reflecting a solid **8.23% increase (NPR 28,864 million)** over the previous fiscal year. This growth was driven by a significant surge in low-cost deposits, which helped offset a planned reduction in higher-cost term deposits.

Deposit				
	Actual		Variance	Variance %
Particulars	FY 2081-82	FY 2080-81		
Term	194,761	214,674	(19,913)	-9.28%
Saving	120,899	88,153	32,746	37.15%
Call	37,097	30,419	6,678	21.95%
Current	26,863	17,510	9,353	53.41%
Total	**379,620**	**350,756**	**28,864**	**8.23%**

- **Savings Deposits Surge:** Savings deposits grew remarkably by **37.15% (NPR 32,746 million)**, rising to NPR 120,899 million. This underscores the success of our retail customer strategies and the growing trust in oursavings products.
- **Call Deposits Expand:** Call deposits increased by **21.95% (NPR 6,678 million)**, reaching NPR 37,097 million, indicating sustained demand for short-term liquidity solutions.
- **Significant Growth in Current Deposits:** Current deposits has a significant growth of **53.41% (NPR 9,353 million)**, bouncing back to NPR 26,863 million, which points to successful efforts in retaining and acquiring business transactional accounts.
- **Strategic Shift in Term Deposits:** Term deposits, while still a substantial part of the portfolio, has declined by **9.28% decline (NPR 19,913 million)** to NPR 194,761 million. This reflects a strategic shift in the deposit mix towards more current and savings accounts to manage the cost of funds.

The institutional deposit portfolio demonstrated a strategic shift towards more liquid and low-cost deposits. The significant growth in Savings and Current accounts, alongside a managed reduction in Term deposits, is expected to positively impact the net interest margin in the coming periods. The overall 8.23% growth in total deposits reflects a balanced and strategic approach in a competitive market.

Loan and Advances

In FY 2081-82, the bank focused on portfolio optimization and risk management. There has been a marginal decrease of **0.38% (NPR 1,102 million)** in total loan portfolio, standing at NPR 292,313 million. This was a deliberate move to enhance asset quality and rebalance the portfolio towards higher-yielding and strategic segments.

Loans and Advances				
	Actual		Variance	Variance %
Particulars	FY 2081-82	FY 2080-81		
Corporate	139,509	148,718	(9,209)	-6.19%
SME	57,785	62,325	(4,540)	-7.28%
Retail	78,923	67,435	11,487	17.03%
Deprived	16,096	14,936	1,160	7.76%
Total Loan	**292,313**	**293,415**	**(1,102)**	**-0.38%**

Corporate loans decreased by 6.19% (NPR 9,209 million), to a total of NPR 139,509 million in FY 2081-82. This was part of a conscious effort to de-risk the portfolio and optimize exposure to large corporates in a dynamic economic environment.

The decline of loan under SME target by 7.28% (NPR 4,540 million), from NPR 62,325 million in FY 2080-81 to NPR 57,785 million in FY 2081-82 reflects the bank's deliberate strategy to prioritize credit quality over aggressive growth in the SME segment, especially given the macroeconomic headwinds during the period. The cautious approach likely helped mitigate risk exposure while maintaining portfolio stability.

Retail loans continued to be the primary growth driver, expanding by a strong 17.03% (NPR 11,487 million), bringing the total to NPR 78,923 million. This robust growth was driven by sustained demand in housing, auto, and personal loans, supported by our enhanced digital lending platforms.

Loans to the deprived sector increased by 7.76% (NPR 1,160 million), reaching NPR 16,096 million. This growth reaffirms our ongoing commitment to financial inclusion and supporting marginalized communities.

The bank successfully executed its strategy to shift the portfolio mix toward the retail segment. The focus on enhancing asset quality is evident from the reduced loan book and strategic reallocation of resources. Moving forward, the bank will continue to optimize the portfolio to improve spreads and minimize defaults.

Profit & Loss

The fiscal year 2081-82 marked a significant recovery and return to profitability after the challenges of the previous year. Strategic cost management and improved non-interest income were key to this turnaround.

Particulars	Actual		Variance	Variance %
	FY 2081-82	FY 2080-81		
Interest income	32,357	38,609	(6,252)	-16%
Interest expense	20,736	27,806	(7,070)	-25%
Net interest income	**11,622**	**10,803**	**818**	**8%**
Net Fee and Commission Income	2,662	2,098	564	27%
Other Operating and trading income	911	735	176	24%
Total Operating Income	**15,194**	**13,636**	**1,558**	**11%**
Human Resource Expense	4,311	3,857	454	12%
Operating Expense	1,844	1,964	(120)	-6%
Operating profit before LLP	**9,039**	**7,815**	**1,223**	**16%**
Loan Loss Provision (LLP)	3,451	6,841	(3,390)	-50%
Non operating income	(353)	25	(378)	-1508%
Profit before bonus	**5,235**	**999**	**4,236**	**424%**
Provision for tax	3,415	994	2,421	243%
Net profit	**1,820**	**4.61**	**1,815**	**39384%**

This fiscal year witnessed a 16% reduction in interest income to NPR 32,357 million, primarily due to a lower interest rate. However, interest expenses decreased at a faster rate of 25% to NPR 20,736 million, a result of the strategic shift towards low-cost deposits. Consequently, Net Interest Income (NII) increased by 8% to NPR 11,622 million, highlighting improved margin management.

The bank's diversification strategy yielded strong results. Net fee and commission income surged by 27% to NPR 2,662 million, and other operating income rose by 24% to NPR 911 million. This led to an 11% increase in Total Operating Income, reaching NPR 15,194 million.

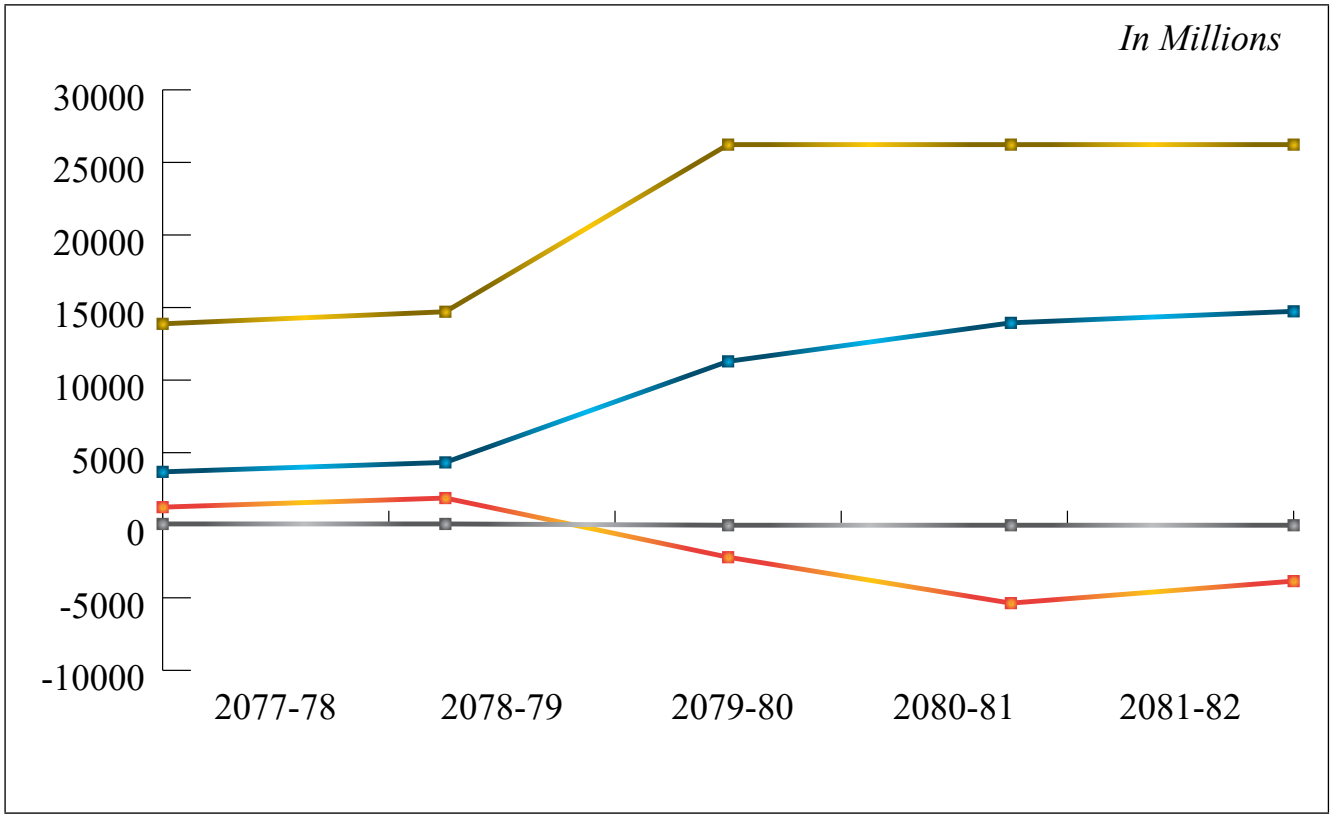
Expense management was a key focus area. While human resource expenses increased by 12% due to regular adjustments, other operating expenses were reduced by 6%, demonstrating effective cost control. This, combined with a substantial 50% reduction in Loan Loss Provisions (LLP) to NPR 3,451 million—reflecting improved asset quality and recovery efforts—resulted in a massive 424% surge in Profit before Bonus to NPR 5,235 million.

Despite a significant rise in tax provisions, the bank recorded a Net Profit of NPR 1,820 million, a recovery from the NPR 4.61 million in the previous year. This underscores a successful year of rebuilding profitability through strategic focus and operational efficiency.

Financial Position Indicators

Equity

Equity represents the residual claim of the owners on the Bank's assets after settling all liabilities. It reflects the value attributable to shareholders once obligations are deducted from total assets. Shareholders' equity is accumulated through initial capital contributions, subsequent capital injections, and retained earnings generated from the Bank's operations over time.

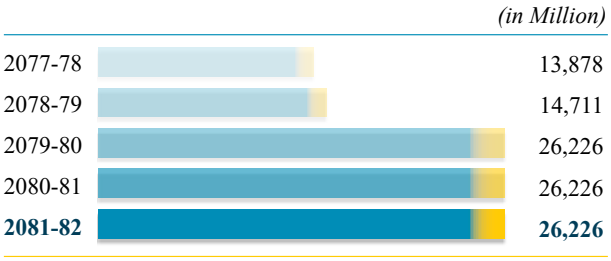


Particulars	077/78	078/79	079/80	080/81	081/82
Reserves	3,678	4,330	11,292	13,945	14,740
Retained earnings	1,247	1,873	(2,203)	(5,367)	(3,850)
Share premium	89	89	-	-	-
Share capital	13,878	14,711	26,226	26,226	26,226

The Bank's equity stood at NPR 37,116 million as of FY 2081-82, an increase from NPR 34,803 million in the previous year. This growth is attributed to the profit generated during the year, which was added to the reserves.

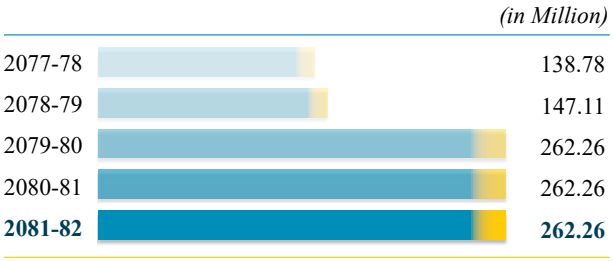
Paid-up Capital

The paid-up capital remained stable at NPR 26.23 billion.



Total Number of Shares

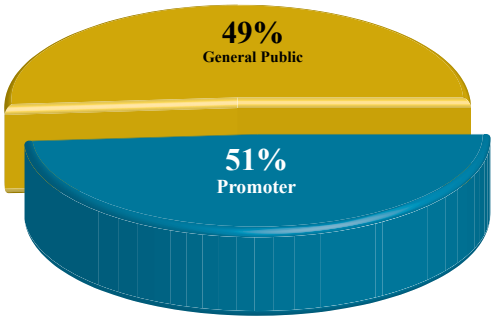
The total number of shares also remained unchanged at 262.26 million.



Public and Promoter Shares

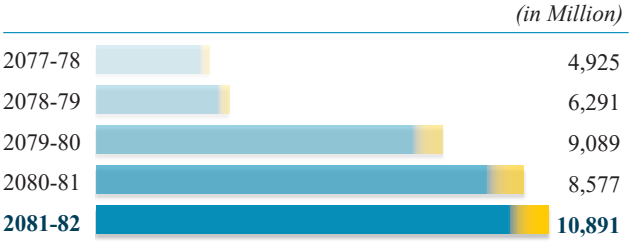
The ownership of the share capital continues to be held by Promoter shareholders (NPR 13.38 billion) and public shareholders (NPR 12.82 billion).

Particulars	No. of Shares	Amount *(Figure in '000)*
General Public	128,359,580	12,835,958
Promoters	133,899,034	13,389,903
Total	**262,258,614**	**26,225,861**



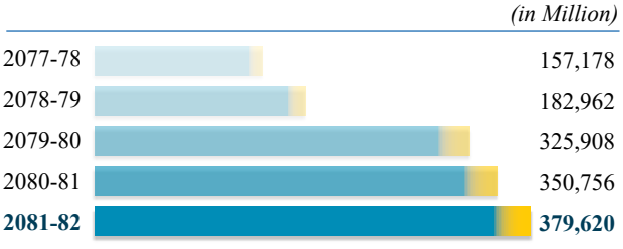
Reserve and Surplus (Including Retained Earning)

The Reserve and Surplus, which are appropriations of profit to strengthen the Bank's financial position, increased to NPR 10.89 billion as of FY 2081-82. These reserves, after complying with regulatory requirements, can be utilized for the distribution of dividends, supporting business expansion, and fortifying the Bank's capital base.



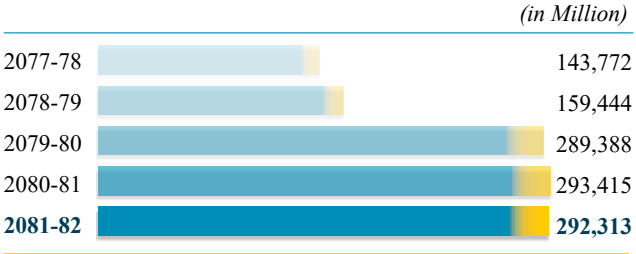
Deposit

The Bank has demonstrated consistent growth in deposit mobilization over the years. In FY 2081-82, total deposits reached NPR 379,620 million, up from NPR 350,756 million in the previous year. This represents a growth of 8.23%, showcasing the Bank's ability to maintain and grow its customer base through competitive products and trusted services.



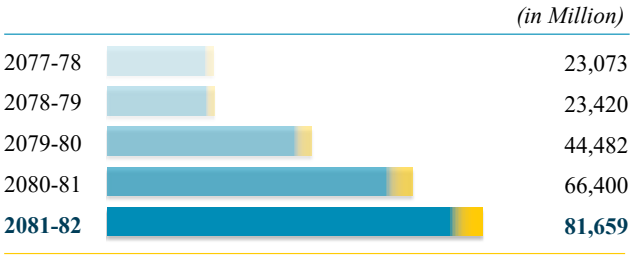
Loan and Advance

The Bank's loan portfolio was strategically optimized in FY 2081-82. Total loans and advances stood at NPR 292,313 million, a slight decrease of 0.38% from the previous year. This was a deliberate move to enhance asset quality and rebalance the portfolio, with a clear strategic focus on expanding the higher-margin retail loan segment, which grew by an impressive 17.03%.



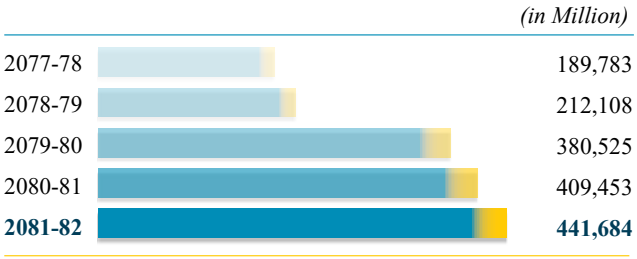
Investment

The Bank's investment portfolio continues to be a key component of its asset allocation strategy. In FY 2081-82, total investments grew to NPR 81,659 million, a significant increase from NPR 66,400 million in the previous year. This growth of 22.98% underscores the Bank's ongoing strategy to maintain a diversified asset base, ensure liquidity, and generate stable returns.



Total Assets

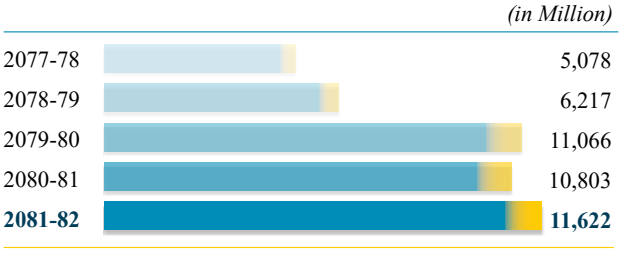
Total Assets include every current and non-current asset having an economic value, which provides economic benefits to the Bank. Total Assets increased from NPR 409.45 billion to NPR 441.68 billion in FY 2081-82, depicting a total increase in size of 7.88%.



Financial Performance Indicators

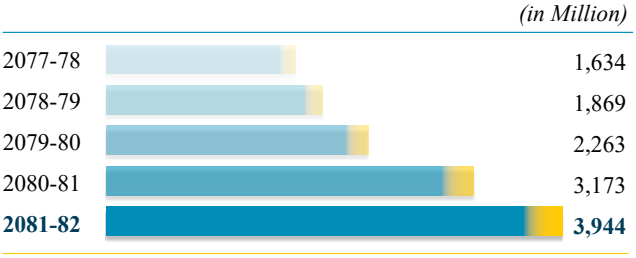
Net Interest Income (NII)

Net interest income is a financial performance measure that reflects the difference between the revenue generated from a bank's interest-bearing assets and expenses associated with paying off its interest-bearing liabilities. During FY 2081-82, NII amounted to NPR 11.62 billion, a positive growth of 7.57% from NPR 10.80 billion in the previous year, reflecting improved margin management.



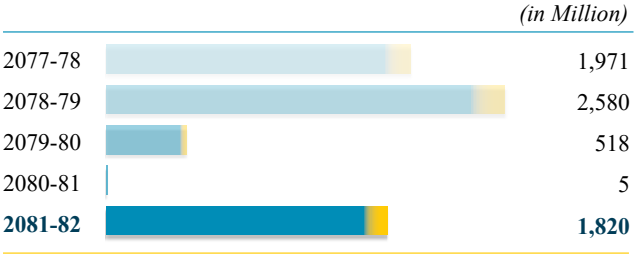
Other Operating Income

The Bank maintained its strong performance in Other Operating Income during FY 2081-82. Total Other Operating Income rose by 24.3%, from NPR 3,172.60 million in FY 2080-81 to NPR 3,944.13 million in FY 2081-82. This performance underscores the Bank's successful strategy of diversifying revenue streams beyond traditional lending.



Net Profit

The Bank's net profit saw a monumental recovery in FY 2081-82, reaching NPR 1,820 million compared to NPR 4.61 million in the previous year. This turnaround was driven by a significant reduction in loan loss provisions, growth in non-interest income, and effective cost management.



Operating expense

The Bank's operating expenses were well contained in FY 2081-82. Total operating expenses increased by 5.7%, from NPR 5,821.09 million in FY 2080-81 to NPR 6,155.41 million in FY 2081-82. This moderate escalation reflects the Bank's continued focus on operational efficiency even as it invests in technological upgrades and service delivery.

(in Million)

2077-78	3,164
2078-79	3,552
2079-80	3,980
2080-81	5,821
2081-82	**6,155**

Earning Per Share (EPS)

Earning Per Share is a key indicator of the Bank's profitability and financial performance for shareholders. It depicts per rupee earning that can be made from each of its stock. The Earning Per Share showed notable fluctuation. It increased from 14.20 in FY 2077-78 to 17.54 in FY 2078-79, then declined sharply to 1.97 in FY 2079-80 and 0.02 in FY 2080-81. In FY 2081-82, EPS improved to 6.94, indicating a partial recovery in profitability.

(in Million)

2077-78	14.20
2078-79	17.54
2079-80	1.97
2080-81	0.02
2081-82	**6.94**

Market Value Per Share (MPS)

Market Value Per Share denotes the price that a stock can be readily bought or sold for in the current marketplace. The Market Value Per Share experienced a notable upswing, increasing to NPR 219.77 as of FY 2081-82, a significant rise from NPR 153.7 in the previous year. This 43% increase highlights restored investor confidence following the bank's return to profitability and positive future outlook.

(in Million)

2077-78	371
2078-79	191
2079-80	165
2080-81	153.70
2081-82	**219.77**

Interest Income/ Loans and advances

The ratio depicts yield on loans and advances. The ratio for FY 2081-82 is calculated based on the average loan book, and the trend is being monitored in the context of the current interest rate environment and the strategic shift in the portfolio mix.

(in %)

2077-78	8.93%
2078-79	11.51%
2079-80	11.79%
2080-81	13.16%
2081-82	**11.07%**

Employee expense/ Total operating expense

The ratio indicates the employee cost contribution to the total operating expense. The ratio is 60.59% in FY 2081-82, decrease from 64.35% in the previous year. This is in line with the Bank's strategic investments in human capital and talent retention initiatives.

(in %)

2077-78	52.84%
2078-79	54.45%
2079-80	52.72%
2080-81	64.35%
2081-82	**60.59%**

Interest Expense/Total Deposit and Borrowings

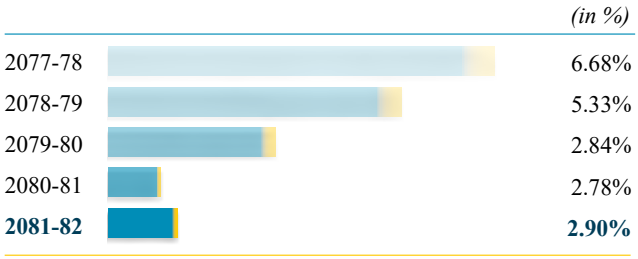
The ratio indicates the total interest expense incurred by the Bank for obtaining funds. The Interest Expense to Total Deposit and Borrowings was 5.50% during FY 2081-82, a decrease from 7.96% in FY 2080-81, reflecting the success of the strategy to grow low-cost deposits.

(in %)

2077-78	4.79%
2078-79	6.63%
2079-80	7.03%
2080-81	7.96%
2081-82	**5.50%**

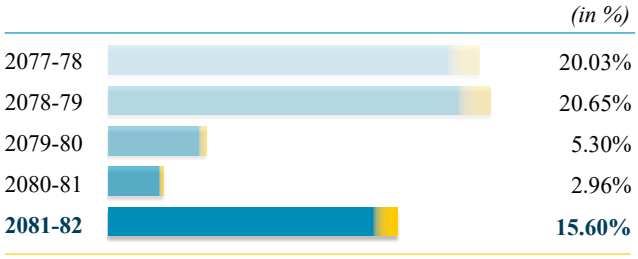
Exchange Fluctuation Gain/Total Operating Income

This ratio indicates the contribution of exchange income to the total operating income. The contribution and its trend are actively managed as part of the Bank's treasury operations.



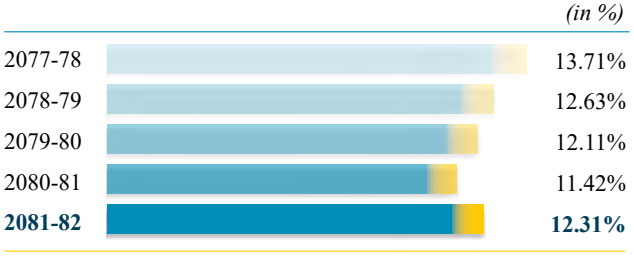
Staff Bonus/ Total Employee Expenses

The ratio explains the percentage of employee expense that is provided as bonus to employees. The percentage is 15.60% in FY 2081-82 which was 2.96 % in FY 2080-2081, the increase in the ratio is due to increase in profit of the bank.



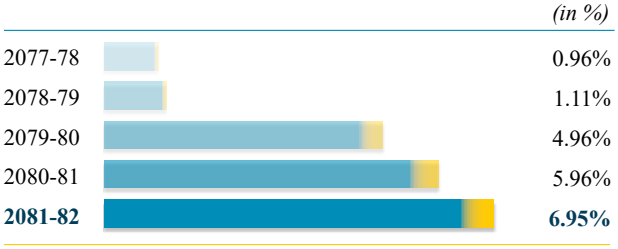
Capital Adequacy Ratio

Capital adequacy ratio (CAR) is a measurement of a Bank's available capital expressed as a percentage of a Bank's risk-weighted credit exposures. The Bank has maintained a CAR of 12.31% as of FY 2081-82, comfortably above the regulatory requirement, demonstrating a strong capital base.



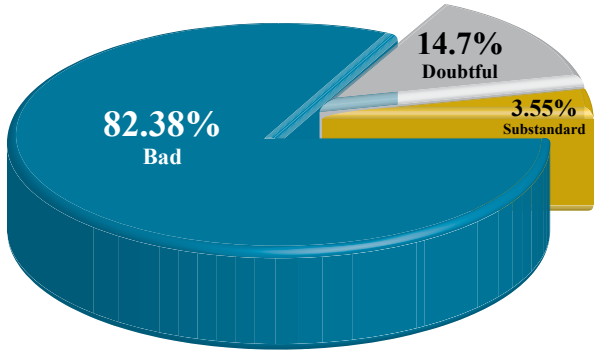
Non-Performing Loans/Total Loans

Total Non-Performing loans increased from 5.96% to 6.95% during FY 2081-82. With a proper recovery plan, we shall further reduce the NPL level of the Bank. The net NPL of the bank stands at 0.74% showing high level of provision created by the bank covering large extent of risk exposure.



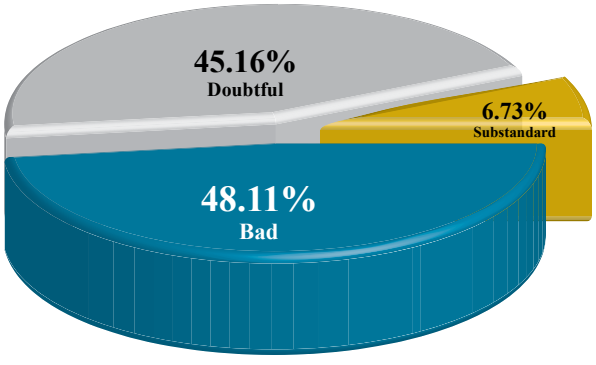
FY 2081-82

Particulars	Amount Outstanding (Million)	Percent
Substandard	721.32	3.55%
Doubtful	2,858.55	14.07%
Bad	16,738.26	82.38%
Grand Total	**20,318.13**	
NPL Percentage	**6.95%**	
Total Loan	**292,312.62**	



FY 2080-81

Particulars	Amount Outstanding (Million)	Percent
Substandard	2,699.40	15.44%
Doubtful	2,882.58	16.49%
Bad	**11,897.67**	68.07%
Grand Total	**17,479.65**	
NPL Percentage	**5.96%**	
Total Loan	**293,414.58**	



Base Rate

The base rate constitutes all costs of funds, cost of liquidity (CRR and SLR), and operating costs. The base rate for the bank was 6.44% as of FY 2081-82, reflecting the lower interest rate environment and the reduced cost of funds.

(in %)

2077-78	7.90%
2078-79	10.08%
2079-80	10.90%
2080-81	8.89%
2081-82	**6.44%**

Credit to Deposit Ratio

This ratio indicates how much a bank lends out of the deposits it has mobilized. The ratio was 75.73% as on Ashad 2082, indicating a comfortable liquidity position and room for strategic lending growth.

(in %)

2077-78	90.99%
2078-79	86.58%
2079-80	86.03%
2080-81	81.48%
2081-82	**75.73%**

Spread Rate

The interest spread rate spread is the difference between the yield on loans and the cost of deposits. The spread rate for FY 2081-82 was 3.59%, influenced by the competitive market and the Bank's strategic pricing.

(in %)

2077-78	3.13%
2078-79	4.07%
2079-80	4.98%
2080-81	3.95%
2081-82	**3.59%**

Number of branches

The bank maintained its branch network at 302 as on FY 2081-82, focusing on optimizing its existing network and digital channels.

(Number Of Branches)

2077-78	194
2078-79	197
2079-80	350
2080-81	302
2081-82	**302**

Total employees

The total number of employees was 3,107 as of FY 2081-82, reflecting the Bank's commitment to operational efficiency and right-sizing its workforce.

(Number Of Employees)

2077-78	1,881
2078-79	1,845
2079-80	3,296
2080-81	3,280
2081-82	**3,107**

Operating Profit to Paid up Capital Ratio:

Operating profit to Paid-up Capital ratio, commonly known as, Return on Capital Employed, signifies how good the company is in generating returns on the investment it received from its shareholders as capital. On an average 21.30% of return is being generated through deployment of capital fund.

(in %)

2077-78	21.66%
2078-79	24.32%
2079-80	3.67%
2080-81	3.71%
2081-82	**21.3%**

Analysis of Statement of Financial Position

This analysis provides a review of the company's financial position as of the end of Ashad 2082 compared to Ashad 2081, using Horizontal and Vertical Analysis techniques. Horizontal Analysis examines the year-on-year change in each line item, highlighting growth or contraction. Vertical Analysis expresses each item as a percentage of the total assets (for assets) or total liabilities and equity (for liabilities & equity), revealing the composition and structural shifts within the balance sheet.

Particulars	Ashad end 2082	Ashad end 2081	Horizontal Analysis Variance	Vertical Analysis Variance
Assets				
Cash and cash equivalent	35,350,484,074	19,581,636,193	81%	8.00%
Due from Nepal Rastra Bank	21,339,804,952	28,158,091,418	-24%	4.83%
Placement with Bank and Financial Institutions	13,387,665,129	1,422,914,007	841%	3.03%
Derivative financial instruments	1,176,104,630	346,539,668	-	-
Other trading assets	-	-	-	-
Loan and advances to B/FIs	14,153,339,391	10,745,446,714	32%	3.20%
Loans and advances to customers	260,322,398,319	268,431,270,470	-3%	58.94%
Investment securities	80,098,703,721	64,635,154,603	24%	18.13%
Current tax assets	536,113,916	2,577,355,650	-79%	0.12%
Investment in subsidiaries	600,000,000	600,000,000	0%	0.14%
Investment in associates	960,017,596	1,165,017,596	-18%	0.22%
Investment property	2,538,824,508	1,913,183,766	33%	0.57%
Property and equipment	2,657,414,617	2,294,213,275	16%	0.60%
Goodwill and Intangible assets	184,391,875	219,588,225	-16%	0.04%
Deferred tax assets	1,092,503,225	108,629,781	-	-
Other assets	7,285,874,319	7,253,840,425	0%	1.65%
Total Assets	**441,683,640,272**	**409,452,881,793**		**100.00%**
Liabilities				
Due to Bank and Financial Institutions	11,085,042,708	14,717,409,163	-25%	2.51%
Due to Nepal Rastra Bank	3,895,761,000	3,729,500,000	4%	0.88%
Derivative financial instruments	1,168,560,453	350,040,393	234%	0.26%
Deposits from customers	364,639,161,514	333,111,322,485	9%	82.56%
Borrowing	1,380,591,727	1,340,593,579.45		0.31%
Current Tax Liabilities	-	-		0.00%
Provisions	3,100,000	3,000,000	3%	0.00%
Deferred tax liabilities	-	-	0%	0.00%
Other liabilities	8,412,759,020	7,417,356,293	13%	1.90%
Debt securities issued	13,981,837,110	13980460457	0%	3.17%
Subordinated Liabilities	-	-		0.00%
Total Liabilities	**404,566,813,532**	**374,649,682,371**		**91.60%**
Equity				
Share capital	26,225,861,340	26,225,861,340	0%	5.94%
Share premium	-	-		0.00%
Retained earnings	(3,849,526,718)	(5,367,424,480)	28%	0.87%
Reserves	14,740,492,118	13,944,762,562	6%	3.34%
Non-controlling interest	-	-	-	-
Total equity	**37,116,826,740**	**34,803,199,422**	**-**	**8.40%**
Total liabilities and equity	**441,683,640,272**	**409,452,881,793**	**-**	**100%**

1. Horizontal Analysis: Year-on-Year Performance

The Horizontal Analysis reveals significant dynamism and strategic shifts in the company's asset allocation and liability structure over the fiscal year.

- **Substantial Growth in Liquid Assets:**
  The most striking change is 841% increase (or NPR 11.96 billion) in placements with Bank and Financial Institutions. This, coupled with 81% surge (NPR 15.77 billion) in Cash and Cash Equivalents, indicates a strategic build-up of highly liquid assets, potentially for future investments, meeting regulatory requirements, or as a buffer against market volatility.
- **Strategic Shifts in the Loan Portfolio:**
  While total assets increased, Loans and advances to customers decreased by 3% (NPR 8.11 billion). This contraction suggests a potential strategic deleveraging, a more cautious credit policy, or changes in market demand. Conversely, Loans and advances to B/FIs grew by 32%, indicating a reallocation of credit towards institutional counterparts.
- **Significant Investment Activities:**
  The company expanded its investment portfolio, with increment of Investment securities by 24% (NPR 15.46 billion). This points towards a proactive strategy to enhance income from non-lending activities.
- **Significant Changes in Liabilities:**
  On the liabilities side, customer deposits, the primary funding source, recorded a robust growth of 9%. However, funds in Due to Bank and Financial Institutions declined by 25%, indicating a reduced reliance on interbank borrowing. Furthermore, a significant increment of 234% in Derivative financial instruments liabilities suggests heightened activity in hedging or trading operations.
- **Improved Profitability Retention:**
  A key positive indicator in equity is the 28% improvement in Retained Earnings, reducing the accumulated deficit from NPR -5.37 billion to NPR -3.85 billion. This signifies that the company was profitable during the year and is strengthening its internal capital generation.

2. Vertical Analysis: Structural Composition

The Vertical Analysis provides a snapshot of the company's financial structure, showing the relative weight of each component.

- **Asset Composition:**
  The balance sheet remains heavily dominated by the loan book, with Loans and advances to customers constituting 58.94% of total assets (down from approximately 65.56% in the previous year, based on the data). Investment securities are the second-largest component at 18.13%, reinforcing their growing importance. The collective liquid assets (Cash, Placements, Due from NRB) now make up a combined 15.86% of the asset base, highlighting strong liquidity.
- **Liability and Funding Structure:**
  The Bank’s funding structure is predominantly supported by customer deposits, which constitute 82.56% of total liabilities and equity. This reflects a stable and traditional banking model. Debt securities issued represent 3.17%, while other liabilities are relatively minor. The overall financial structure is conservative, with liabilities comprising 91.60% of the total funding and an equity ratio of 8.40%.
- **Equity Structure:**
  Share capital remains stable at 5.94% of the total balance sheet. The Reserves have increased slightly to 3.34%, while the negative Retained Earnings, though still at 0.87%, reflect an improvement compared to the previous year.

Analysis of Statement of Profit and Loss

Particulars	FY 2081-82	FY 2080-81	Horizontal Analysis Variance	Vertical Analysis Variance
Interest income	32,357,200,352	38,609,365,782	-16%	100.00%
Interest expense	20,735,654,382	27,806,025,079	-25%	64.08%
Net interest income	**11,621,545,970**	**10,803,340,703**	**8%**	**35.92%**
Fee and commission income	3,033,276,978	2,437,605,068	24%	9.37%
Fee and commission expense	371,656,093	339,520,201	9%	1.15%
Net fee and commission income	**2,661,620,885**	**2,098,084,867**	**27%**	**8.23%**
Net interest, fee and commission income	**14,283,166,855**	**12,901,425,570**	**11%**	**44.14%**
Net trading income	453,177,356	366,413,542	24%	1.40%
Other operating income	457,678,565	368,585,470	24%	1.41%
Total operating income	**15,194,022,777**	**13,636,424,583**	**11%**	**46.96%**
Impairment charge/(reversal) for loans and other losses	3,451,421,338	6,841,410,631	-50%	10.67%
Net operating income	**11,742,601,439**	**6,795,013,952**	**73%**	**36.29%**
Operating expense				
Personnel expenses	4,311,039,370	3,857,072,668	12%	13.32%
Other operating expenses	1,051,554,716	1,112,699,626	-5%	3.25%
Depreciation & Amortisation	792,811,818	851,318,123	-7%	2.45%
Operating Profit	**5,587,195,535**	**973,923,536**	**474%**	**17.27%**
Non operating income	73,368,067	46,751,365	57%	0.23%
Non operating expense	425,943,542	21,709,731	1862%	1.32%
Profit before income tax	**5,234,620,060**	**998,965,170**	**424%**	**16.18%**
Income tax expense	3,414,921,412	994,356,466	243%	10.55%
Current Tax	4,567,340,305	1,069,300,535	327%	14.12%
Deferred Tax	(1,152,418,893)	(74,944,069)	1438%	-3.56%
Profit for the year	**1,819,698,647**	**4,608,704**	**39384%**	**5.62%**

The financial year 2081-82 was marked by a year of robust operational performance with significant increase in reported profit, primarily due to a decrease in impairment charges by 50% despite huge increase in tax expense. The profit for the year increased to NPR 1.82 billion from NPR 4.61 million in the prior year. Operationally, the Bank demonstrated strong fundamentals: a 73% surge in Net Operating Income to NPR 11.74 billion was driven by an 11% growth in Total Operating Income. Furthermore, Operating Profit expanded by 474% to NPR 5.59 billion, reflecting improved efficiency from controlled operating expenses and significant growth in Net Fee and Commission Income by 27%.

Conclusion

The combined analysis indicates that the institution is undergoing a strategic transition. The Horizontal Analysis reveals a deliberate shift away from direct customer lending towards enhancing high liquidity and expanding the investment securities portfolio. The significant growth in liquid assets and the reduction in interbank borrowing, underscores a strengthened liquidity position.

From a vertical analysis perspective, the institution retains a classic structure heavily reliant on customer deposits to fund its operations. The improvement in retained earnings signals progress towards long-term financial stability. Overall, the Statement of Financial Position reflects a prudent and strategic management approach, balancing growth, liquidity, and risk management in the evolving economic landscape.

Market Capitalization

Kumari Bank Limited has demonstrated a year of remarkable financial performance and growing investor confidence, as vividly reflected in the significant appreciation of its market capitalization. The market capitalization, a key barometer of the market's perception of a company's worth, surged to NPR 57.64 billion as of the end of the fiscal year 2081/82, a substantial increase from NPR 40.31 billion in the previous year.

Year	No. Of Listed Share	Closing Price	Market Capitalization
2081/82	262,258,613	219.77	57,636,575,467
2080/81	262,258,613	153.7	40,309,148,880
2079/80	262,258,613	165	43,272,671,211
2078/79	147,111,833	191	28,098,360,153
2077/78	138,784,748	371	51,489,141,642



This represents a year-on-year growth of NPR 17.33 billion, or 42.99%, underscoring a robust vote of confidence from the investment community in the bank's strategic direction, operational resilience, and future growth prospects.
The journey of KBL's market capitalization over the past five years tells a story of strategic growth and evolving market sentiment:

Fiscal Year 2081/82: The market capitalization reached an impressive NPR 57.64 billion, propelled by a closing share price of NPR 219.77. This year's performance highlights peak investor confidence and a strong valuation.

Fiscal Year 2080/81: Despite a moderate share price, the market cap stood at a solid NPR 40.31 billion, setting the stage for the subsequent year's sharp ascent.

Fiscal Year 2079/80: The bank maintained a stable market cap of NPR 43.27 billion, demonstrating resilience in a dynamic market environment.

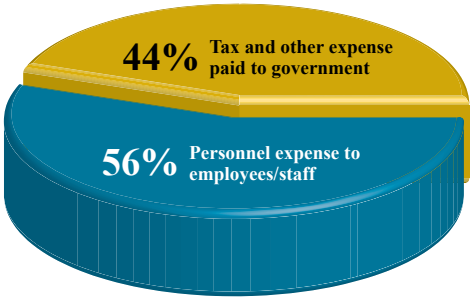
Capital Expansion & Consolidation (2078/79 & 2077/78): It is important to note the significant capital expansion during this period, with the number of listed shares increasing from 138.78 million to 262.26 million. The high market cap in 2077/78 (NPR 51.49 billion) was influenced by a notably high share price of NPR 371, a period which reflected different market dynamics and a smaller capital base. The subsequent years show the market's adjustment and re-rating of the bank's value post significant capital growth.

Value Added Statement

Value Added Statement is a financial statement that depicts wealth created by an organization and how the wealth is distributed among various stakeholders. Various stakeholders comprise of the employee, shareholders, government, creditors and the wealth retained in the business. It is the profit then generated by the collective efforts of management, employees, capital and the utilization of its capacity that is distributed amongst its various stakeholders. Organization can survive without earning profits, but cannot survive without adding value. Therefore, the optimized profit is less important than the optimized added value of an organization. This value added is the reward for employees and as well as the creditors (providers of capital) of an organization.

Figures in million

Particulars	Amount	Last Year
Net Interest income	11,622	10,803
Non-interest income	4,018	3,219
Cost of services (excluding personel and depreciation & amortisation expenses)	1,849	1,474
Total value Added	**13,790**	**12,549**
Less: Provision and Allowance	3,451	6,841
Net Value Added	**10,338**	**5,707**
Personnel expense to employees/staff	4,311	3,857
Tax and other expense paid to government	3,415	994
Dividend to shareholders	-	-
Retained earning by Bank	**2,613**	**856**
Number of shares	262	262
Value Added Per share	**39.42**	**21.76**
Number of Employees (in actual figures)	3,107	3,280
Value added per Employee (in actual figures)	3.33	1.74
Number of branches (in actual figure)	302	302
Value added per branch	**34.23**	**18.90**



Figures in million

Market Value Added		
Particulars	**Amount**	**Last Year**
Total number of shares	262	262
Market Price per share (Ashad end closing price)	219.77	153.7
Total Market Value	**57,637**	**40,309**
Total Book Value	34,803	34,803
Market Value Added	**22,833**	**5,506**

Economic Value Added		
Particulars	**Amount**	**Last Year**
Net Profit	**1,819.70**	**4.61**
Total Shareholder Fund	26,225.86	26,225.86
Cost of Equity	**10%**	**10%**
Cost of Capital	**2,622.59**	**2,622.59**
Economic Value Added	**-803**	**-2,618**

Net Value addition creation during the year amounted to NPR 10,338 million. 42% of the value was applied towards the employees. Furthermore, 33% of value creation has been paid as tax and other charges and 25 % has been retained by Bank for reinvestment.

Contribution towards Nepalese Economy

Kumari Bank Limited remains steadfast in its commitment to being a cornerstone of Nepal's economic development. Our operations are deeply interwoven with the national economy, contributing significantly through profit generation, tax revenue, widespread financial access, and employment generation.

Contribution to National GDP

The banking sector is a pivotal contributor to Nepal's Gross Domestic Product (GDP). In the fiscal year 2081/82, the total profit earned by commercial banks reached NPR 71.51 Arba (as per unaudited interim reports published by commercial banks), representing 1.17% of the nation's entire GDP.

Kumari Bank Limited's role within this framework has grown substantially. The Bank's profit contribution to the total profit of commercial banks surged to 2.54% in FY 2081/82, a significant rise from 0.01% in the previous year. This performance translates to a 0.03% direct contribution to the country's GDP, underscoring our enhanced profitability and growing stature within the national banking landscape.

Figures in million

Particulars	This Year	Previous Year
Country GDP	6,107,220	5,704,800
Net profit of Commerial Banks	71,511	64,153
Commercial Bank Contribution	1.17%	1.12%
Kumari Bank Profit	1,819.70	4.61
Kumari Bank Contribution on Total Bank Profit	2.54%	0.01%
Kumari Bank Contribution on Country GDP	0.03%	0.00%

Contribution towards Government Revenue

Taxation remains a major source of government revenue, and banks are key contributors through direct and indirect taxes. The Bank fulfills its fiscal responsibility by diligently adhering to the provisions of the Income Tax Act, including the payment of advance tax on an installment basis.

During the fiscal year 2081/82, Kumari Bank Limited contributed a total of NPR 4,389 million to the government treasury. This comprises NPR 2,321 million as direct income tax and a further NPR 2,068 million deposited through Tax Deduction at Source (TDS), reverse VAT, and other taxes. This consistent and significant contribution aids in funding vital public services and infrastructure projects.

Figures in million

Fiscal Year	Income Tax	Tax Deduction At Sources and Reverse VAT
2081/82	2,321	2,068
2080/81	1,934	2,487
2079/80	480	2,139
2078/79	1,029	1,124
2077/78	929	874

Contribution through Financial Access

Since its inception in 2001, Kumari Bank has continuously strived to enhance financial inclusion across Nepal. With a sustained network of 302 branches spread across the country, including remote locations, the Bank ensures that modern financial services are within reach for a growing number of Nepalese citizens.

The following table illustrates the Bank's substantial market coverage and its contribution to broadening the financial ecosystem of Nepal.

(based on NRB monthly statistical data of Mid July 2025)

Particulars	Commercial Banks	Total BFIs	Kumari Bank Limited	Coverage Commercial Banks	Coverage (Total BFIs)
No. of Branches	5,099	6,522	302	5.92%	4.63%
No. of Deposit Accounts	51,380,289	59,881,353	2,988,968	5.82%	4.99%
No.of Loan Accounts	1,567,508	1,893,270	86,185	5.50%	4.55%
No. of Branchless Banking Centers	816	822	54	6.62%	6.57%
No. of Mobile Banking Customers	23,787,529	27,741,284	1,782,079	7.49%	6.42%
No. of Internet Banking Customers	1,601,513	2,219,341	53,606	3.35%	2.42%
No. of ATMs	4,878	5,263	318	6.52%	6.04%
No. of Debit Cards	12,373,593	13,665,792	558,526	4.51%	4.09%
No. of Credit Cards	315,138	318,428	29,056	9.22%	9.12%

Contribution through Employment-Generation

Kumari Bank Limited is a significant source of employment for qualified and dedicated Nepalese citizens. During the fiscal year, the Bank directly employs 3,107 individuals across its vast network. Beyond direct employment, the Bank fosters indirect job creation through its procurement of goods and services, prioritizing domestic vendors wherever possible. This approach amplifies our positive impact on the local economy and society.

Contribution via Banking and financial services

As a pioneer of digital financial solutions in Nepal, Kumari Bank Limited continues to lead the sector's transformation towards greater innovation and accessibility. We provide cutting-edge services through our extensive nationwide network, complemented by advanced digital platforms.

Our commitment to Corporate Social Responsibility (CSR) remains a core tenet of our identity. The Bank actively engages in targeted initiatives, volunteer programs, and community-driven projects designed to uplift marginalized and underserved populations. These efforts are strategically aligned to enhance economic resilience, promote social equity, and support environmental sustainability, ensuring that our business success translates into meaningful progress for the communities we serve.

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Annual Report of the Board of Directors

25th Annual General Meeting

Distinguished Shareholders,
I would like to extend a warm welcome and greetings, on behalf of the Board of Directors and on my own behalf, to all the esteemed shareholders present at this 25th Annual General Meeting of Kumari Bank Limited. I also express my sincere welcome to the invited dignitaries who have honored us with their presence, the auditors of the Bank, media representatives, the Bank's management team and all supporting staff who have joined this assembly accepting our invitation.

As we celebrate the significant milestone of 25 years of Kumari Bank, we find ourselves navigating through profound challenges brought about by the recent Gen-Z movements affecting Nepal's economic and banking sectors, along with the complexities emerging from the country's political transition and economic slowdown.

The current situation of excess liquidity in the national economy, the decline in credit demand and the growing volume of non-banking assets and non-performing loans across the banking sector have placed considerable pressure on the country's overall financial system the impact of which is also visible in our own financial indicators.

In this challenging environment, we have continued to move forward with prudence, focusing on effective risk management, accelerating the recovery of bad loans and adopting strategic policies for channeling capital into productive sectors. Our unwavering commitment to delivering stable and long-term returns to our shareholders remains intact.

Our objective has always been to provide excellent service to our customers through advanced technology and skilled human resources, to consolidate dispersed capital for productive investment, to uphold the highest standards of corporate governance and ethical conduct and to deliver the best possible returns to our investors by complying fully with the nation's laws, rules and regulations.

To all individuals and institutions who have directly or indirectly supported us in achieving these goals, we express our heartfelt gratitude.

During the past fiscal year, the pressure on loanable funds, high interest rates and the decline in government revenue and expenditure contributed to a contraction in economic activity across the country, resulting in significant strain on the banking system. Despite the challenges following the merger of two large banks and the rising non-performing loans stemming from pressure on the Bank's loan portfolio, we firmly believe that you our valued shareholders will continue to extend your support to the Bank in the days ahead as we strive for further progress with proper management and improvement of our loan assets.

1. Review of the International and National Economy

a) Global Economy

The global economy is navigating a period of significant transition, marked by policy shifts, rising protectionism, and persistent geopolitical uncertainty. After showing early signs of flexibility in 2025, the macroeconomic environment is settling into a phase of moderated growth. According to the International Monetary Fund (IMF), global growth is projected to decelerate from 3.3% in 2024 to 3.0% in 2025, and a modest recovery to 3.1% in 2026. This tempered outlook is primarily attributed to evolving trade policies, ongoing supply chain realignments, labor market constraints in developed nations, and the protracted tariff disputes between the U.S. and China.

The trend of deglobalization is advancing at an uneven pace. While integration may be declining globally, the associated risks remain acutely elevated in several major economies, particularly the United States. Looking ahead, the downside risks to the global outlook are considerable. These include the potential for heightened trade restrictions, fiscal revenue pressures, volatility in financial markets, and growing challenges to institutional independence.

Navigating the current environment demands a policy framework rooted in reliability, predictability, and sustainability. Achieving this requires a two-pronged strategy centered on structural reform. First, establishing a clear and credible business roadmap to mitigate uncertainty. Second, rebuilding fiscal buffers, safeguarding central bank independence, and enhancing economic flexibility to strengthen our medium-term growth potential.

For financial institutions, this evolving landscape reinforces the critical importance of robust risk management and strategic planning as essential tools for navigating a period of necessary macroeconomic rebalancing.

b) National Economy

In the fiscal year 2081/82, the Nepalese economy experienced moderate growth, with real GDP at basic prices estimated to have expanded by 3.99%. This growth has been supported by a resurgence in agriculture, industry, and the service sector. The annual average consumer inflation stood at 4.06% in FY 2081/82, which is lower than in previous years, indicating easing price pressure. The exchange rate remained comparatively stable, with a moderate devaluation of the Nepalese Rupee against the US Dollar.

Macroeconomic and Financial Situation of Nepal:

- **Monetary and Financial Condition:**
  In FY 2081/82, Nepal Rastra Bank pursued a cautiously accommodative monetary policy aimed at preserving price and financial stability. This framework supported a 12.5% increase in broad money supply, driven by robust deposit collection. Domestic credit rose by 6.2%, with priority allocations to agriculture, energy, and SMEs. Despite a favorable downward trend in interest rates—which typically encourages borrowing—credit expansion to the private sector grew by a measured 8.4%, below initial projections. Short-term interest rates softened compared to the prior year, and the weighted average interbank rate settled at 2.96% for the fiscal year.

- **External Sector Performance:**
  The trade deficit remained high in FY 2081/82 but showed some improvement compared to the previous year. Imports increased by 13.3%, while exports grew by 81.80%. Remittances, a significant source of foreign exchange, increased by 31.2%, strengthening the current account. Foreign exchange reserves remained at a comfortable level, sufficient to cover approximately 18.2 months of merchandise imports and 15.4 months of merchandise and services imports.

- **Development of the Revenue Sector:**
  Driven by economic recovery and improvements in tax administration, government revenue has grown by 10.5%. Public expenditure has remained aligned with budgetary priorities, with particular emphasis placed on capital spending for infrastructure projects. In the previous year, government revenue mobilization had increased by 7.1%, reaching 1,082.72 billion. During the review year, the ratio of revenue to GDP stood at 19.6%. As investments were made through both internal and external borrowing, the fiscal deficit remained within the stipulated limits.

- **Stability of the Banking and Financial Sector:**
  In recent years, Nepal's banking market has experienced considerable pressure. The Gen-Z movement has posed serious challenges to the overall national economy, while disruptions in bank-financed projects and the slowdown in economic activities have contributed to a rise in non-performing assets, creating added challenges in their management. Despite these circumstances, banks have continued to grow their business prudently, maintaining a cautious approach to risk assessment and exposure. Despite unexpected fluctuations in the financial market, political environment, and industrial landscape, the banking sector has demonstrated resilience and maintained overall stability. By the end of Asar 2082, the number of banks and financial institutions stood at 107, with a network of 11,526 branches nationwide. The total assets and liabilities of commercial banks increased by 12%, those of development banks by 5.1%, finance companies by 3.4%, and microfinance institutions by 9.7%. While some sectors; such as tourism and real estate continue to face pressure, the overall asset quality of the financial system has remained within a manageable range.

  To further strengthen the system, various directives, guidelines and notices have been issued covering capital adequacy, statutory liquidity requirements, credit expansion, loan classification and provisioning, loan restructuring and rescheduling, interest rate practices, blacklisting, risk weights and measures to prevent money laundering and the financing of terrorism. In line with the provisions of the Nepal Rastra Bank Act, several standards and guidelines have also been introduced to ensure that savings and credit cooperatives operate in an orderly, transparent, and effective manner. Emphasis has been placed on enhancing financial stability through strengthened supervision, improved measures against illicit financial activities, and continued reforms in institutional governance.

- **Capital Market:**
  The NEPSE index increased by 24.7% on an annual point-to-point basis and reached 2,794.79 at the end of Asar 2082 while market capitalization stood at 4,656.99 billion. In comparison, the index had risen by 6.8% to 2,240.4 at the end of Asar 2081. During fiscal year 2081/82, securities market turnover increased by 189.0% compared to the previous fiscal year and reached 2,124.95 billion. The paid-up value of listed shares in the Nepal Stock Exchange grew by 6.0% and reached 869.85 billion. In the review year, additional securities worth 83.19 billion were listed. These included ordinary shares worth 40.21 billion, bonus shares worth 24.42 billion, rights share worth 13.23 billion and FPOs worth 112 million.

  The number of companies listed on the Nepal Stock Exchange reached 272 by the end of Asar 2082 compared to 270 in Asar 2081. Among the listed entities, 132 are banks and financial institutions including insurance companies, 91 are hydropower companies, 23 are manufacturing and processing industries, 7 are hotels, 7 are investment companies, 4 are trading institutions and 8 fall under other categories.

- **Economic Outlook and Challenges:**
  Supported by improvements in the economy, public investment, the revival of the tourism sector and the steady inflow of remittances, gradual economic recovery is expected to continue. However, risks persist due to global economic uncertainty, inflationary pressures, climate-related vulnerabilities and structural bottlenecks within the financial sector.

2. Review of Financial Indicators for Past Years

Kumari Bank's Financial Snapshot for the Last 5 Years

(Amount in Million)

Heading / FY	077/78	078/79	079/80	080/81	081/82
Paid-up Capital	13,878.47	14,711.18	26,225.86	26,225.86	26,225.86
Deposits	157,177.86	182,962.19	325,280.63	350,756.33	379,619.97
Loans & Advances	143,772.00	159,444.13	289,387.60	293,414.58	292,312.63
Investments	23,072.96	23,420.09	44,481.61	66,400.17	81,658.72
Total Assets	189,792.40	212,108.43	380,524.79	409,452.88	441,683.64
Net Interest Income	5,077.51	6,217.16	11,066.18	10,803.34	11,621.55
Operating Profit/(Loss) before Loan Loss Provision	3,481.07	4,369.57	9,117.45	7,815.33	9,038.62
Net Profit	1,970.73	2,579.80	517.92	4.61	1,819.70
Non-Performing Loan Ratio (%)	0.96	1.11	4.96	5.96	6.95

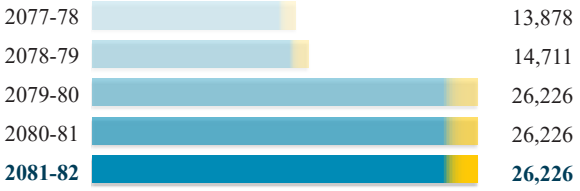
The bank's financial indicators over the past years have remained positive, well-structured and growth oriented. Our financial position continues to improve and we see strong potential for sustainable growth in the years ahead. In recent years, however, Nepal's banking market has come under pressure. The Gen-Z movement has created serious challenges for the national economy and losses in some bank-financed projects along with a contraction in economic activities have contributed to an increase in non-performing assets, adding complexity to their management. The bank has continued to expand its business at a measured pace with careful assessment of risks. Given the unexpected fluctuations in Nepal's financial market, political environment and industrial landscape, we have consistently adopted the principle of maintaining balanced and sustainable growth in our business operations.

In the current fiscal year 2081/82, the bank has made timely progress in its financial operations. During this period, the bank's total assets reached 441 billion. Compared to fiscal year 2080/81, deposits and investments in 2081/82 increased by 8.23% and 22.98% respectively, reaching 379.61 billion and 81.65 billion. Loans contracted by 0.38% and stood at 292.31 billion. Similarly, net interest income increased by 7.57% and reached 11.62 billion while operating expenses amounted to 6.15 billion. Other income increased by 24.32% in fiscal year 2081/82 and reached 3.94 billion. Operating profit before loan loss provision grew by 15.65% and reached 9.03 billion. Net profit, which was 4.6 million in fiscal year 2080/81, increased by 39,372% and reached 181.96 billion in fiscal year 2081/82.

The line graph below provides an overview of some of the major financial indicators recorded over the past five fiscal years.

The following chart presents an overview of the Bank's key financial indicators for the five-year period.

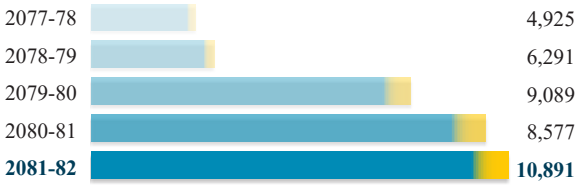
Paid Up Capital *(in Million)*



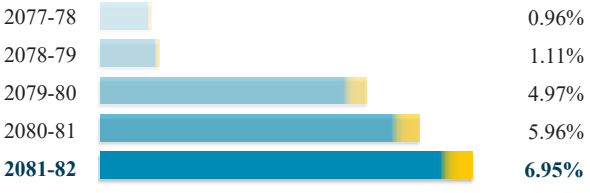
Capital Adequacy Ratio *(in %)*



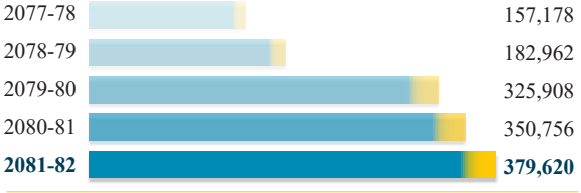
Reserves & Surplus (Including Retained Earning) *(in Million)*



Non Performing Loan *(in %)*



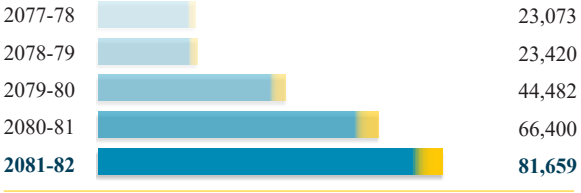
Deposit Yearly *(in Million)*



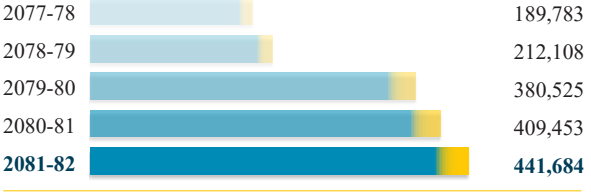
Loan and Advance *(in Million)*



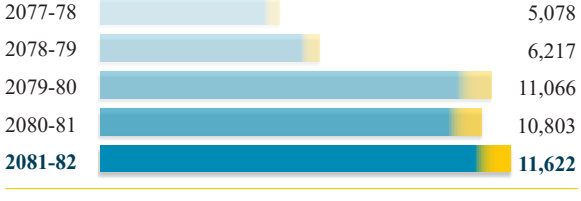
Investment Yearly *(in Million)*



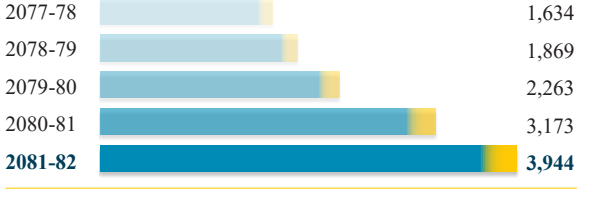
Total Assets *(in Million)*



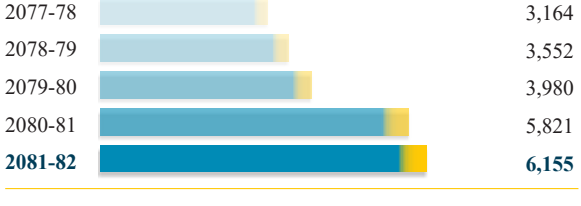
Net Interest Income *(in Million)*



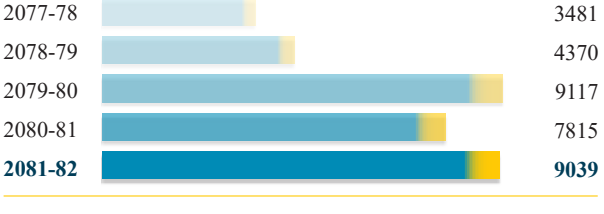
Other Operating Income *(in Million)*

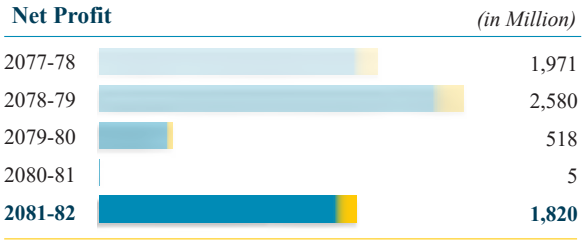


Operating Expense *(in Million)*



Operating Profit/(Loss) before Loan Loss Provision *(in Million)*





3. Review of the Bank's Performance in Fiscal Year 2081/82 and Outlook for the Future

An analysis of the financial statements for the review period shows that the bank has continued to achieve steady and balanced growth in its operations. In fiscal year 2081/82, the bank recorded balanced progress in capital, deposits, investments and other key areas. Although there was some increase in loan loss provisioning and the non-performing loan ratio, the bank was still able to achieve satisfactory growth in net profit during the review year.

A summary of key performance indicators achieved by the bank over the past two fiscal years is presented below.

Comparative Status of Some of the Bank's Indicators

(Amount in Million)

Heading / FY	Unit	2080-81	2081-82	Change (Amount)	Change (%)
Paid-up Capital	NPR.	26,225.86	26,225.86	-	0.00%
Deposits	NPR.	350,756.33	379,619.97	28,864	8.23%
Loans & Advances	NPR.	293,414.58	292,312.63	(1,101.95)	(0.38%)
Investments	NPR.	66,400.17	81,658.72	15,258.55	22.98%
Net Profit	NPR.	4.61	1,819.70	1,815.09	39372.86%
Non-Performing Loan Ratio	%	5.96	6.95	0.99	16.62%
Total Branch Network (including extension counter)	No.	352	352	-	0.00%
Branchless Banking	No.	65	48	(17)	(26.15%)
ATM	No.	315	318	3	0.95%
Debit Card	No.	528,071	558,526	30,455	5.77%
Credit Card	No.	26,765	29,056	2,291	8.56%
Mobile Banking Service	No.	1,591,566	1,782,079	190,513	11.97%
POS machine	No.	1,197	1,164	(15)	(1.25%)
QR	No.	67,157	115,866	48,709	72.53%
Saving Account	No.	2,506,729	2,743,960	237,231	9.46%
Capital Adequacy Ratio	%	11.42	12.31	0.89	7.79%

A) Capital Management

The Bank's current paid-up capital is 26.22 billion. The shareholding structure consists of 51% promoter shares and 49% public shares. As of Ashad end of the review period, there are 4,507 promoter shareholders and 289,268 public shareholders.

Share Range (Units)	Number of Shareholders	Share Ownership (Units)	Percentage of Total Capital
1-500	255,430	17,011,000	6.49%
501-1000	16,470	11,954,972	4.56%
1001-1500	6,477	7,879,809	3.00%
1501-2000	3,661	6,486,109	2.47%
2001-5000	6,668	20,636,117	7.87%
5001-10000	2,606	18,110,234	6.91%
10001-50000	1,926	39,427,306	15.03%
50001 and above	537	140,753,066	53.67%
Total	**293,775**	**262,258,614**	**100%**

Description	Number of Shareholders	Share Ownership (Units)	Share Ownership (%)
Promoter			
Promoter Shareholders – Individual	4,398	101,792,298	38.81%
Promoter Shareholders – Institutional	109	32,106,737	12.24%
Total Promoter Shareholders	**4,507**	**133,899,034**	**51.06%**
General			
General Shareholders – Individual	288,141	114,359,469	43.61%
General Shareholders – Institutional	1,127	14,000,110	5.34%
Total General Shareholders	289,268	128,359,580	48.94%
Grand Total	**293,775**	**262,258,614**	**100%**

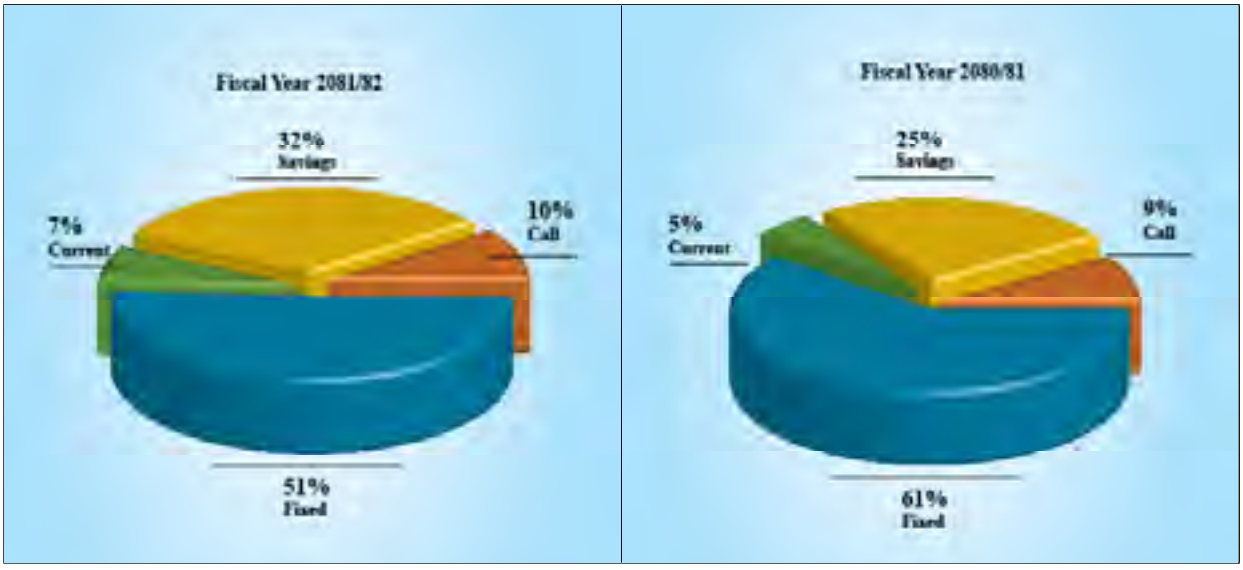
B) Deposits

Deposits increased by 8.23% compared to the previous FY, reaching 379.62 billion by Ashad end 2082.

Comparative Status of the Bank's Deposits

(Amount in Million)

Deposit Type	FY 081/82	% of Total Deposits	FY 080/81	% of Total Deposits	Change (Amount)	Change (%)
Current	26,863	7.08%	17,510	4.99%	9,353	53.42%
Savings	120,899	31.85%	88,153	25.13%	32,746	37.15%
Call	37,097	9.77%	30,419	8.67%	6,678	21.95%
Fixed	194,761	51.30%	214,674	61.20%	(19,913)	-9.28%
Total	**379,620**	**100%**	**350,756**	**100%**	**28,864**	**8.23%**



C) Loans and Advances

At the end of fiscal year 2080/81, the bank's total loans stood at 293.41 billion. By the end of the review year, this amount had contracted by 0.38% and reached 292.31 billion. The bank has continued to diversify its loan and credit portfolio by extending facilities in personal loans, education loans, small and medium enterprise loans, agricultural and productive sector loans, deprived sector lending, institutional loans and financing for development projects. During the review period, the ratio of non-performing loans to total loans increased to 6.95%. The bank has remained actively engaged in the regularization and effective management of these non-performing assets to ensure improved portfolio quality.

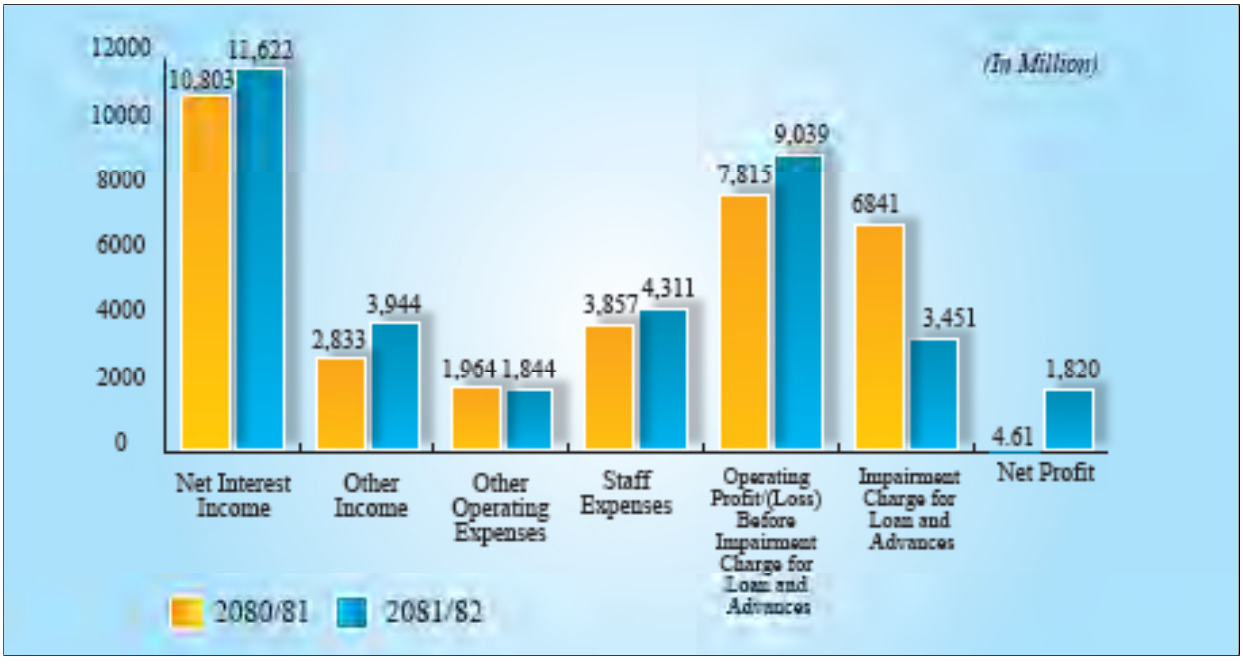
D) Investment

With the objective of maintaining balanced liquidity and generating returns from overall resources, the bank has continued its policy of investing in risk-free instruments issued by the Government of Nepal and Nepal Rastra Bank such as treasury bills and development bonds. The bank has also been investing with utmost prudence in the domestic and international money markets as well as in shares and bonds issued by various institutions. As of the end of Asar in fiscal year 2081/82, the bank's total investments amounted to 81.65 billion which included 6.11 billion in treasury bills and 68.14 billion in development bonds.

E) Profit

During the review year, overall business growth contributed to an increase in the bank's income streams. While operating expenses had increased by 46.25% in fiscal year 2080/81, the rise was contained to 5.74% in fiscal year 2081/82. Due to the decline in interest rates across the banking sector this year, both interest income and interest expenses decreased. Compared to fiscal year 2080/81, interest income from loans and investments decreased by 19.32% and reached 32.35 billion, while interest expenses decreased by 25.42% and stood at 20.73 billion. As a result, the bank's net interest income increased by approximately 7.57% in fiscal year 2081/82 and reached 11.62 billion. During fiscal year 2081/82, fee and commission income earned from loans, deposits and other services increased by approximately 24.44% and reached 3.03 billion. Foreign exchange income increased by 15.77% and reached 437.5 million. In the previous year, loan loss provision were 6.84 billion and total loan loss provision stood at 23.18 billion.

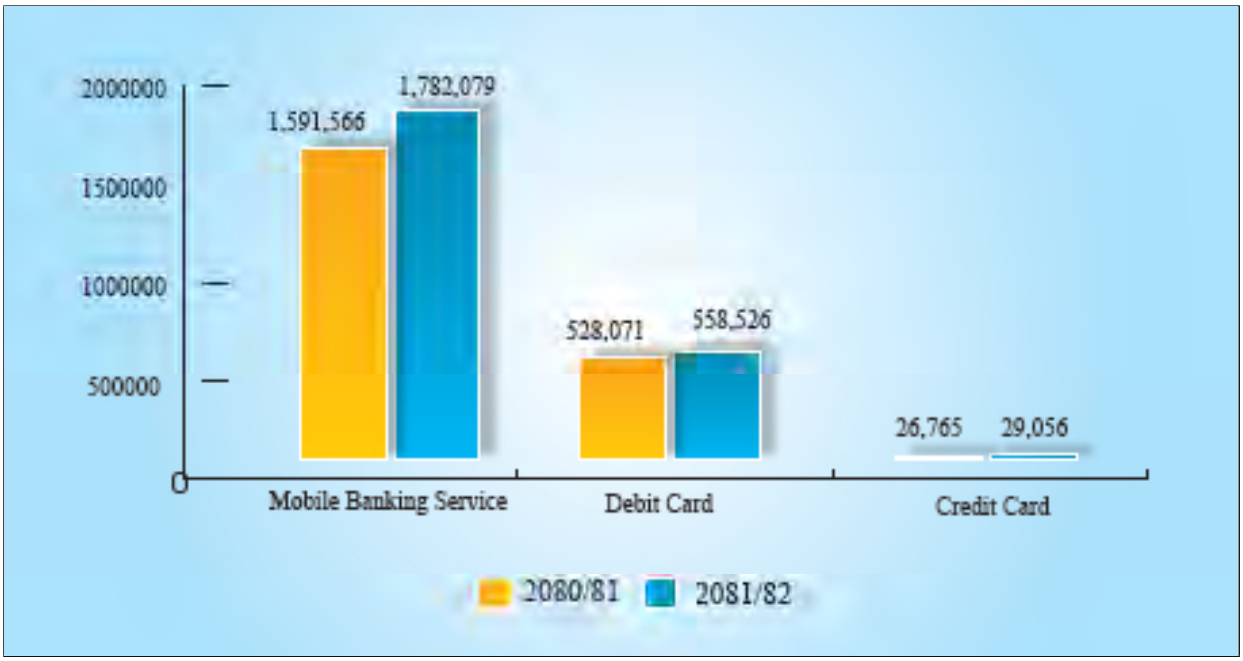
In the current year, the provision increased by 3.45 billion resulting in total loan loss provision of 26.63 billion. Accordingly, the bank's total operating income in fiscal year 2081/82 stood at 5.58 billion which represents an increase of approximately 473% compared to the previous year. On the expenditure side, total employee expenses amounted to 4.31 billion compared to 3.85 billion in fiscal year 2080/81. However, staff expenses before staff bonus were reduced from 3.74 billion in fiscal year 2080/81 to 3.72 billion in fiscal year 2081/82. Other operating expenses decreased from 1.96 billion to 1.84 billion. As a result, the bank's operating profit before loan loss provision increased by 15.66% compared to the previous fiscal year and reached 9.03 billion. Due to the increase in loan loss provision which is not fully admissible for tax purposes, Income tax expenses also recorded significant growth. Current tax expenses, which were 1.06 billion in fiscal year 2080/81, increased to 4.56 billion in fiscal year 2081/82. Despite this, net profit increased by 39,372% compared to the previous year and reached 1.82 billion.



F) Card and Technology-Based Services

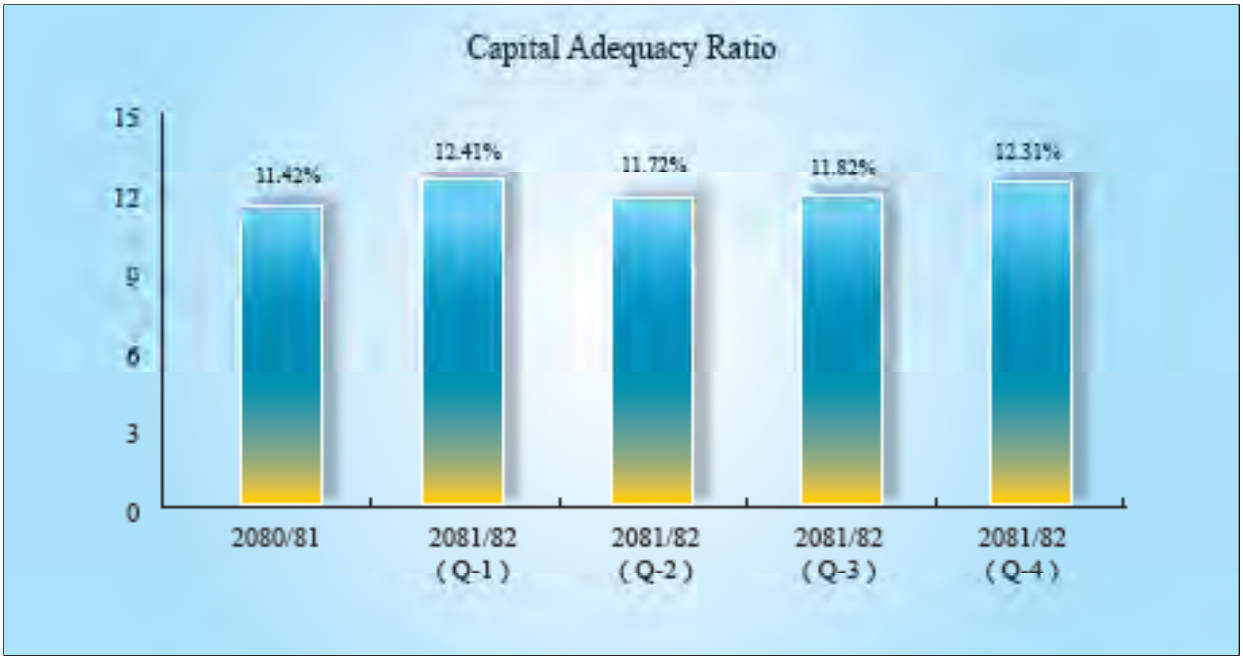
The bank has been providing a wide range of services to customers through cards and other electronic alternative delivery channels. Transactions conducted through electronic payment services have recorded significant growth compared to traditional channels.

During the review period, the total number of ATMs reached 318. The bank installed 1,201 POS machines at various merchant locations. Credit and debit cards issued by any bank or financial institution can be used for payments through these POS machines. To facilitate convenient payments for small and medium enterprises as well as low income micro entrepreneurs, the bank expanded merchant coverage through collaboration with Fonepay. In the review period, the bank issued a total of 30,455 debit cards and 2,291 credit cards. The total number of debit and credit cards reached 558,526 and 29,056 respectively. Similarly, as of the end of Asar 2082, the bank had 1,782,079 mobile banking users.



G) Capital Adequacy

As of Ashad end, the Capital Adequacy Ratio stood at 12.31%.



H) Contribution to Government Revenue (Revenue)

In FY 2081/82, the Bank paid 4.40 billion to the Government of Nepal in taxes (including TDS and reverse VAT).

I) Products and Services

Keeping in view the evolving needs of customers and the rapid changes in technology, the bank has been refining its existing products and services and introducing new ones in a timely manner. The services currently offered by the bank, such as Kumari Gajjabko Bachat Khata, Kumari Pariwar Suraksha Bachat Khata, Nagarik Bachat Khata, Kumari Swastha Jeevan Bachat Khata, Hereko Heryai Bachat Khata, Kumari Dhanbriddhi Bachat Khata, share demat account, connectIPS system, internet and mobile banking, prepaid cards and various other value-added savings products, have gained significant popularity. The bank has been providing remittance services in collaboration with

55 remittance companies. Among them, 26 are international companies and 29 are domestic companies. The bank has more than 25,000 remittance payout locations.

The bank has remained consistently committed to ensuring that its products and services are easily accessible to customers. In the current competitive environment, the bank has been providing services that are beneficial and responsive to customer needs. Since its establishment, the bank has been known for offering a wide range of innovative and modern products and services. Through the use of advanced technology in the delivery of its services, the bank has been able to establish a distinct position in the financial market. Our VISA and Dollar debit cards are accessible in Nepal, India and across the world through the global VISA network.

J) Branch Expansion

As of the end of Ashad 2082, the Bank operates a total of 302 branches, comprising 74 branches within the Kathmandu Valley and 228 branches outside the valley. Additionally, the Bank operates 50 Extension Counters and a total of 318 Automated Teller Machines (ATMs) across Nepal.

K) Corporate Governance

We have always accorded the highest priority to corporate governance and ethical conduct. For a financial institution operating on the deposits of a vast number of shareholders and depositors, qualities such as discipline and ethical behavior are indispensable. The Board of Directors acts as a guardian of corporate governance regarding the Bank's administrative operations. The Board remains continuously active in advancing its activities in alignment with these principles and is committed to developing robust and transparent corporate governance across all Bank activities, ensuring it is felt throughout the organization.

L) Risk Management

A dedicated Risk Management Committee has been constituted to identify risks inherent in the Bank and its various operations, and to manage potential future risks in a timely manner.

Policies and guidelines have been formulated and implemented to manage the myriad risks that have arisen or may arise during banking transactions. The Bank has adopted a policy to further strengthen and make effective its internal control system while appropriately managing credit, operational, market, and other risks inherent in the business. Arrangements have been made to formulate and implement necessary policies, rules and circulars regarding Credit Management, Know Your Customer (KYC), Stress Testing and various subjects related to daily operations.

a. Credit Risk Management

To identify credit-related risks in a timely manner, the Bank has established a separate Credit Risk Management Department. Before lending, this department conducts a comprehensive assessment of all risks associated with the credit, compliance with the standards set by regulatory bodies, adherence to the Bank’s internal policies and procedures, as well as an in-depth analysis of sectoral and borrower-concentration risks.

The department also studies prevailing market conditions, assesses potential future risks and recommends amendments to the Bank’s internal policies and procedures based on those assessments. In addition, it undertakes activities such as restructuring the credit portfolio and classifying loans, sectors, and borrowers based on their level of risk.

b. Operational Risk Management

Operational risk is always present in banking transactions. With the advancement of technology, new types of risks continue to emerge and such risks cannot be completely eliminated. To manage these risks effectively, the Bank’s policies, procedures and internal control systems must be strong, efficient and well-structured. For operational risk management, the Bank has a separate Operational Risk Management Department. This department identifies potential risks related to the Bank’s internal systems, processes and human resources in a timely manner and provides necessary recommendations, suggestions and guidance for their mitigation.

All operational activities of the Bank are carried out in accordance with defined rules, clearly established procedures and systematic workflows. As a result, we are confident that operational risks are being managed appropriately.

c. Liquidity Risk Management

Drawing lessons from the unexpected fluctuations in liquidity experienced in the past and the impact those fluctuations had on the Bank's net interest income, the Bank now conducts a detailed assessment of current and potential future liquidity conditions. Based on these assessments, the Bank formulates strategies for deposit mobilization, interest rate determination and short-term and long-term investments.

The ALCO/Pricing Committee reviews this type of risk on a regular basis.

d. Market Risk Management

The Bank remains consistently vigilant regarding market risks and regularly analyzes the relevant risk factors to formulate appropriate strategies. To mitigate risks arising from fluctuations in foreign exchange rates, the Bank has established policies and procedures for continuous monitoring of foreign currency positions. Similarly, the Bank regularly reviews market interest rates and makes the necessary policy and procedural adjustments accordingly.

The ALCO/Pricing Committee currently in place at the Bank reviews this type of risk on a regular basis.

M) Corporate Social Responsibility (CSR)

Along with its business objectives, the Bank remains highly conscious of its social responsibilities. The Bank has been making significant contributions in six major areas.

(a) Education:

- The Bank has established the Kumari Education Fund to support the higher education and bright future of the Kumari of Kumari Ghar, Basantapur, and provides an annual grant of 0.1 million to this fund.
- To support the advancement of Nepali language education, the Bank provided financial assistance to Katha Nepal for supplying audio-visual learning materials to two schools in Sudurpaschim Province.
- The Bank extended financial support to Sukuna Multiple Campus and Sarbamangal Multiple Campus to provide scholarships to financially disadvantaged students coming from various parts of the country for their studies.
- With the aim of contributing to education, health, and community development in different provinces, the Bank provided financial assistance to student-led social projects conducted under various programs. In Koshi Province, one program has been strengthening students' learning experiences and overall development in Phikkal, Ilam, while another has been supporting underprivileged students in Aiselukharka through English and Mathematics teaching, health and hygiene awareness, financial and digital literacy, menstrual health awareness, sports training and anti-drug awareness. These programs have also created positive community impact through literacy and awareness initiatives, health camps and the distribution of educational, sports, sanitation materials and medicines. In Bagmati Province, another program has been strengthening key community institutions schools, health posts, and cooperatives in Manthali Municipality, Ramechhap, with a focus on motivating children, especially those from underprivileged backgrounds, to attend school. Similarly, in Lumbini Province, another program has been supporting marginalized communities and students in Nawalparasi through literacy and awareness programs, health camps, distribution of sports and educational materials, installation of fans and furniture, library improvements and other activities.
- For underprivileged students of Shree Janata Secondary School in Belka, Udayapur, the Bank distributed warm clothing to help them focus on their studies even in harsh weather. we provided 25 track suits to students of Shree Saraswati Secondary School in Shikharjhala, Kailali; a new printer to Bhawani Multiple Campus in Palungtar Municipality, Gorkha, for library use; financial support to Shree Tribhuvan Janata Secondary School in Salyan for safe drinking water facilities (five water jars and drinking vessels); and additional financial support to Birendra Vidyamandir Secondary School to enhance its operational capacity and improve its overall learning environment.
- The Bank provided financial support to Biratnagar Central Round Table 15 for the infrastructure development and improvement of essential facilities at Shree Maheshpur Basic School. This initiative is expected to ensure a clean and safe environment for students to access quality education, while also supporting basic health services in underserved communities.

- To enhance the educational participation, discipline and overall academic development of poor and marginalized students studying at Shree Minnath Adarsha Shiksha Sadan Basic School, the Bank supported the printing and distribution of student diaries. This initiative has contributed to improving access to quality education for marginalized children in Lalitpur.
- The Bank contributed to a project operated by the Shree Gahraosur Religious and Tourism Center, which provides scholarships to underprivileged students of Syangja district, supports senior citizen care and empowers youth thereby contributing positively to overall community welfare.
- To promote innovation, education and sustainable development and to create valuable networking opportunities among students, industry professionals and entrepreneurial youth, the Bank provided financial support to Don Bosco College for participation in the Hult Prize. Through this initiative, Techspire College was also supported for organizing Career Conclave 2024, which helps students make informed decisions regarding career selection, skill development and exploring future opportunities.

(b) Health

- The Bank provided financial support to a program involved in the construction of a children's hospital in Budhanilkantha.
- Financial assistance was provided to the Nepal Red Cross Society-Youth Red Cross Circle, Shanker Dev Campus for the supply of sanitary pads and a vending machine. This initiative has ensured that female students have easy and reliable access to essential hygiene products.
- The Bank extended support to an initiative under Valbadi Nepal for the construction project, aimed at helping children with disabilities become self-reliant, improve their quality of life and enhance their self-confidence.
- Financial support was provided for a spiritual and mental wellness yoga camp in Gosainkunda, Rasuwa. This camp promotes mental and spiritual well-being within the community by encouraging healthy lifestyles, work–life balance and the importance of holistic living.
- The Bank supported Shaheed Smarak College in organizing a blood donation program on the occasion of Martyrs' Day 2081.
- The Bank also provided financial assistance to the Brahma Kumari Rajyoga Service Center to organize spiritual, moral, character-building and yoga training programs aimed at fostering positive values and contributing to the overall well-being of the community.

(c) Environment

- Social awareness campaigns were conducted by placing social messages in 17 different locations. These campaigns aimed to raise public awareness on various social issues, including environmental protection, sustainable development, traffic rules and financial literacy, thereby encouraging positive behavioral change within communities.
- The Bank provided support to the Namche Youth Group for the development and management of Namche village. The group has been conducting various programs focused on youth empowerment, cultural preservation and environmental conservation for Sherpa youth, members of other ethnic communities and visiting tourists.
- 30 units of dustbin were provided to the Shree Janki Model Tole Development Committee in Mangalpur, Bharatpur, to support waste management, dust control and greenery enhancement activities.
- The Bank offered financial support to an organization involved in a tree-planting program aimed at producing oxygen and reducing air pollution. This initiative has contributed to environmental improvement and the promotion of greenery.
- Financial assistance was provided to Nepal Rastriya Secondary School to support waste management and promote environmental cleanliness within the school premises. This initiative has contributed to creating a clean and healthy environment and encouraging responsible waste-management habits among students.
- Support was extended to Kamalna Tole Development Institution for conducting a cleanliness campaign, helping ensure a clean, tidy and pollution-free environment. This initiative has played an important role in promoting sanitation and fostering a healthier living environment within the community.
- Assistance was provided to an organization for hosting an event towards Manang, known as the "Motor Rally." The rally adopted a "Leave No Trace" policy, raising awareness on responsible waste management, tree plantation for carbon balancing, use of environmentally friendly materials, road safety and responsible driving practices.
- Financial support was provided to the Shree Manedanda, Simpani, and Gairaswara Green Tole Improvement Committee to conduct a public awareness campaign in key areas of Bhimeshwar Municipality on the theme of protecting and preserving the environment.

(d) Financial Literacy:

- The Bank provided financial assistance to the non-governmental organization Congress Library, which aims to develop financial planning skills among disadvantaged groups in the country.
- On the occasion of Global Money Week, various programs and activities were conducted across all provinces under the theme "Think before you follow, wise money tomorrow" The initiatives focused on encouraging informed financial decision-making rather than blindly following trends or influencers on social media and in the digital finance era.
- In collaboration with another organization, financial literacy awareness programs were conducted across all provinces for small, medium and cottage industries, promoting entrepreneurship and business knowledge.
- With the objective of educating the general public on various financial topics, the Bank published a financial literacy book.
- The Bank provided financial support to Shubham Media to conduct a digital literacy program titled "Understanding Banking is Essential." This program covered important topics related to digital banking, banking laws and financial literacy, aiming to make complex financial subjects simple and accessible to the general public.
- To enhance financial literacy and financial inclusion among vulnerable groups such as middle-aged women, senior citizens and individuals with limited access to technology, the Bank supported three organizations through a financial literacy and empowerment program. The program provided training on savings, loans, investments, digital banking and mobile payment systems.
- To promote the sustainable development of credit guarantee mechanisms for small businesses, the Bank provided financial assistance to an organization to successfully conduct the 36th conference involving information exchange, discussions and interactions among employees of small-business credit guarantee institutions.

(e) Sustainable Development Goals (SDGs)

- The Bank has been supporting the preservation of culture by extending financial and material assistance through its various branches to local cultural dances, festivals, rituals and temples such as Kartik Naach, Mahakali Naach, and Halchowk Bhairav Naach.
- Financial support was provided for the installation of a Shivalinga and the maintenance of the temple located in Dandabazar, one of the most religious sites in Nawalparasi.
- The Bank extended financial assistance to an organization working to support survivors of human trafficking, abuse, domestic violence and other related crimes, including dependent single women and their children.
- Support was provided to an organization for organizing the Second Teej Entrepreneurship Expo and Trade Fair, conducted by the Women Entrepreneurship Forum. This initiative aims to empower women in the industrial sector, encourage entrepreneurship and promote locally produced goods.
- The Bank provided financial support to the Confederation of Nepalese Industries (CNI) to organize the "Women Leadership Summit 2025."
- With the objective of increasing school attendance by providing students with a comfortable learning environment, the Bank supported the purchase of fans for Shree Janata Basic School, Tuteshwor.
- To enhance financial literacy among women from marginalized and underprivileged families, the Bank provided financial assistance to an organization working for social justice.
- The Bank provided financial assistance to the Nepal Intellectual Council for conducting a one-day seminar on "Kathmandu Valley: Urbanization, Planning, and Finance." The seminar provided a platform for experts, policymakers and urban planners to discuss the urbanization and sustainable development of the Kathmandu Valley.

(f) Others:

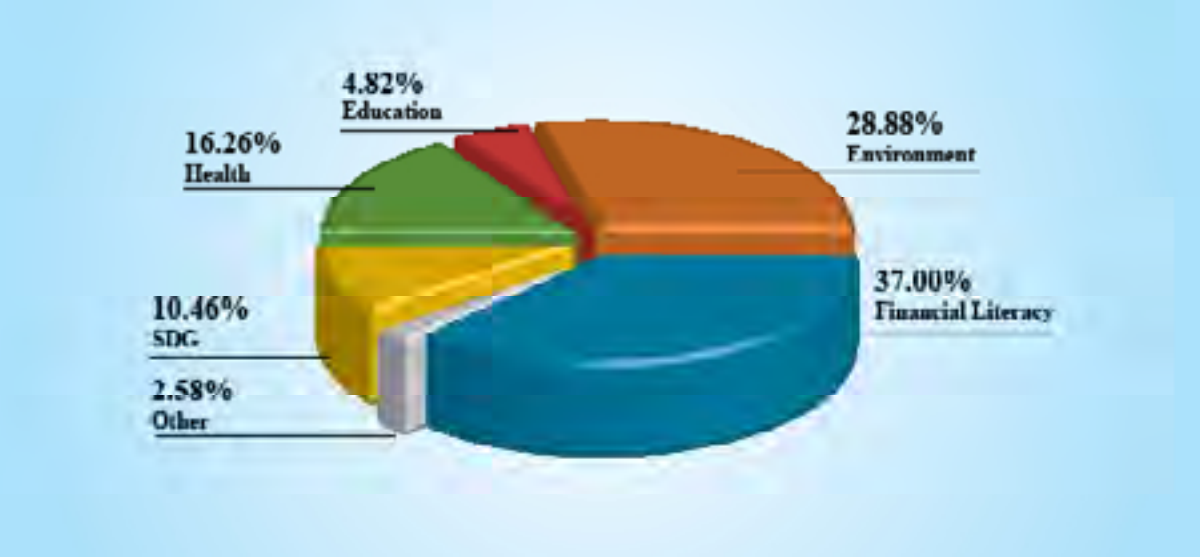
- The Bank provided financial assistance to an organization established for the care and protection of stray animals.
- The Bank offered financial support to Birgunj Metropolitan City for the installation of CCTV cameras in major areas of Birgunj to enhance social security.
- Awareness-oriented traffic signboards were installed at various locations within Belka Municipality.
- Support was provided to Cholung Park, a historically and ecologically important site, to promote eco-tourism and to help preserve local culture and biodiversity.

The Bank contributed a total of 16,619,389.88 (Sixteen Million Six Hundred Nineteen Thousand Three Hundred Eighty-Nine Rupees and Eighty-Eight Paisa Only) under various headings for Corporate Social Responsibility (CSR) during the fiscal year 2081/82.

Bank's CSR Expenses in FY 2081/82

(Amount in NPR)

Province	Health	Education	Environment	Financial Literacy	Other	SDG	Total
Koshi	-	100,000	380,000	163,096	46,000	15,000	704,096
Madhesh	-	74,997	1,050,000	528,018	107,128	50,180	1,810,322
Bagmati	2,702,997	284,350	1,674,782	3,664,928	138,140	1,276,897	9,742,094
Gandaki	-	126,500	275,000	512,762	-	375,882	1,290,144
Lumbini	-	45,000	980,000	307,353	137,500	-	1,469,853
Karnali	-	5,000	8,400	507,957	-	-	521,357
Sudurpaschim	-	165,000	430,978	464,545	-	21,000	1,081,523
Total	**2,702,997**	**800,847**	**4,799,160**	**6,148,659**	**428,768**	**1,738,960**	**16,619,390**



N) Committees Formed by the Board of Directors

To implement the prevailing laws and the policies adopted by the Bank, the following committees have been constituted and are currently in operation:

i. Audit Committee

In compliance with Section 164 of the Companies Act 2063, the Bank has constituted an Audit Committee. The Committee is chaired by Non-Executive Director Mr. Rajaram Khadka, with Director Mr. Bijay Sthapit as a member and the Head of the Internal Audit Department serving as Member-Secretary. The Internal Audit Department functions under the direct purview of this Committee. During the fiscal year 2081/82, the Audit Committee convened 10 meetings to discharge its oversight responsibilities.

ii. Human Resources Committee

A Human Resource Committee has been formed under the coordination of Director Mr. Pashupati Murarka to prepare and submit necessary plans, policies and standards to the Board of Directors on matters such as employee selection, recruitment, appointment, career development and retirement benefits. The committee comprises the Chief Executive Officer, the Chief Finance Officer as members and the Head- Human Resource Officer serves as the Member-Secretary. During the fiscal year 2081/82, the Committee held 6 meetings.

iii. Risk Management Committee

A Risk Management Committee has been formed under the coordination of Director Mr. Mahesh Prasad Pokharel with Director Mr. Rajaram Khadka and the Chief Operating Officer as member, while the Chief Risk Officer serves as the Member-Secretary. The Committee is responsible for accurately identifying the risks inherent in the Bank and formulating the necessary policies and guidelines accordingly. During the fiscal year 2081/82, the committee held 7 meetings.

vi. Anti-Money Laundering (AML) Committee

An Anti-Money Laundering Committee has been formed under the coordination of Director Mr. Bijay Kumar Shrestha, with Director Ms. Simran Agrawal, the Chief Risk Officer and the Compliance Officer as members, while the Head of the Anti-Money Laundering Department serves as the Member-Secretary.

The Committee is responsible for formulating the required policies and guidelines related to the Bank's internal responsibilities and division of work, risk assessment systems and methodologies, as well as risk-based customer identification, updating and monitoring procedures. During the fiscal year 2081/82, the committee held 6 meetings.

v. Other Committees at the Management Level

In addition to the committees formed by the Board of Directors, several committees have been constituted at the management level under the coordination of the Chief Executive Officer to ensure the effective execution of the Bank's operations. These include the Management Committee, Financial Steering Committee, Credit Management Committee, Building Construction Committee and the Pricing and Asset–Liability Management Committee (ALCO).

Similarly, the Recruitment Committee, Labor Relations Committee, Disciplinary and Performance Evaluation Committee and the Procurement Committee are also active within the Bank. No allowances, additional remuneration or facilities of any kind are provided to the officials serving on these committees.

O) Human Resources (HR)

Employees play a pivotal role in the overall progress of the Bank. The Bank's HR policy focuses on recruiting individuals with high qualifications and professional integrity, while providing domestic and international training to enhance efficiency, expertise and productivity. The Bank remains committed to upgrading the skills of its existing workforce and fostering new capabilities. which will maintain an optimal balance between risk and return.

As of the end of the review period, the Bank employs a total of 3,107 staff members on both permanent and contract bases. During the year, our employees also actively participated in various sports and social activities.

Current Year's Target, Achievement, and Action Plan

For the current fiscal year, the Bank aims to maintain overall credit quality by focusing on the recovery and management of non-performing loans (NPLs), with a strategic focus on growth within the Retail and SME sectors. The Bank has set a target to increase total lending by 7.62%, to 314.57 billion. On the deposit front, the Bank intends to reduce the proportion of institutional deposits while increasing individual and low-cost deposits to optimize the deposit mix and reduce the cost of funds. Furthermore, the Bank targets a profit before loan loss provision of approximately 10 billion, representing a 10.43% increase over the reviewed fiscal year.

The following objectives have been established for the upcoming fiscal year:

Heading	2081/82 (Achieved)	2082/83 (Target)	Increase Amount (NPR Ten Lakhs)	Increase (%)
Loans and Advances	292,313	314,579	22,266	7.62
Net Interest Income	11,622	12,243	621	5.34
Net Other Income	3,572	3,718	146	4.08
Operating Profit before Loan Loss Provision/(Loss)	9,039	9,982	943	10.43

Achievement of the Current Year up to the Date of Report Preparation:

Heading	FY 2081/82 (Up to Mid-July)	FY 2082/83 (Up to Mid-October)
Deposits	379,620	374,429
Loans and Advances	292,313	301,112
Investment	81,659	97,836
Net Interest Income	11,622	2,912
Net Other Income	3,572	1,303
Operating Expenses	6,155	1,527
Operating Profit before Loan Loss Provision/(Loss)	9,039	2,688

As of the end of Ashoj in the current fiscal year 2082, deposits decreased by 5.19 billion (1.37%) compared to the end of Ashadh of the previous fiscal year and stood at 374.42 billion. Loans and advances increased by 8.79 billion (3.01%) and reached 301.11 billion. Similarly, operating profit before loan loss provision stood at 2.68 billion and net profit at 1.05 billion.

Summary of Bank's Plans and Programs for the Current and Future Fiscal Years:

- To accurately assess and strategically manage the complex financial market conditions emerging in the post-"Gen-Z" movement landscape.
- To accord high priority to the management and recovery of non-performing loans (NPLs).
- To promote entrepreneurship within the country, fostering youth employment and striving to make the young workforce self-reliant at home.
- Since deposits are the primary source for business expansion, the Bank will design new deposit schemes to attract customers while aiming to reduce the average cost of funds.
- To continue the policy of expanding the individual depositor base through the implementation of innovative deposit products.
- To mitigate risk by diversifying the loan portfolio across various sectors.
- To continuously improve credit quality and maintain a policy of increasing investments in small-ticket (Retail/SME) loans during credit expansion.
- To identify new sources of non-interest income to drive overall profitability.
- To expand the scope of business by attracting customers with fast, agile and secure investment procedures.
- To enhance employee productivity through professional and production-oriented training, ensuring swift and efficient service delivery to customers.
- To implement the latest technological developments in digital banking while meticulously managing associated cyber risks, transitioning internal systems and services to digital media wherever possible.
- To upgrade the Core Banking System (Finacle) to strengthen customer security and add new features. Furthermore, to expedite the completion of the "CAPTAIN Project" to provide high-quality and effective digital services.
- To further strengthen internal control systems, risk management, compliance and corporate governance.
- To focus specifically on increasing the business volume and scale of the Bank's subsidiary companies.
- To implement additional programs under Corporate Social Responsibility (CSR), establishing the Bank as a socially responsible institution and further strengthening the "Kumari" brand.

The Bank's overarching roadmap focuses on improving and maintaining asset quality, increasing employee productivity and ensuring the Bank remains profit-oriented while providing accessible, high-quality services. We are committed to contributing to financial sector reforms by developing modern facilities that simplify customers' lives, bringing the unbanked population into the formal banking fold and supporting national economic development through SME financing. Depending on the prevailing national situation, the Bank plans to expand its branch network and provide services in unrepresented areas through Kumari Mobile Banking and Branchless Banking solutions.

4. Company's Industrial and Business Relations (Industrial and Business Relations)

The Bank maintains continuous and transparent cooperation with all stakeholders, including customers, shareholders, well-wishers and other banks and financial institutions, as well as industrial and professional associations. By fostering a sense of mutual ownership, we have maintained harmonious professional relationships dedicated to the progress, prosperity and expansion of the institution.

The Management and the Board of Directors remain committed to ensuring that these professional relations are agile, robust and contemporary. The Bank's policies and regulations are formulated with a focus on their professional impact and long-term consequences, ensuring they are implemented in a streamlined, transparent and professional manner.

5. Changes in the Board of Directors and the Reason

There were no changes in the composition of the Board of Directors during the review period.

6. Key Factors Affecting Business

During the review year, several factors affected the bank's business activities. The Gen-Z agitation, political transition under abnormal circumstances, instability, imbalances in export and import, delays in government capital expenditure, changes in the country's economic, monetary and financial policies and policy revisions related to commercial banks by the Government/Nepal Rastra Bank had a direct adverse impact on banking operations. Fluctuations in foreign exchange rates also contributed to this impact.

These developments led to a slowdown in economic activities which in turn affected timely loan repayments resulting in increases in loan loss provisioning and non-performing loans. Competition among banks, limited alternative investment opportunities and contraction in the domestic market affected income sources and overall business volume. Fluctuations in liquidity created volatility in deposit and lending rates and the shortage of investible liquidity constrained business growth.

The increasing outflow of workforce to foreign employment has created economic and social impacts which have also posed challenges in the bank's business operations and human resource management. Along with advancements in information technology, various types of cyber-related risks have emerged as additional challenges for the bank. Global geopolitical tensions and their economic consequences may also influence the Nepali market and could affect the bank's business outlook. Due to these various conditions, both loan investment and deposit mobilization in the market have been affected and these factors continue to exert direct pressure on the bank's business activities.

7. Board of Directors' Response to the Audit Report

The Audit Report for the Fiscal Year 2081/82 did not contain any significantly adverse remarks beyond standard operational observations. Management has already been instructed to implement the auditors' suggestions. The financial statements were approved by Nepal Rastra Bank on 2082/08/15 (November 30, 2025), and all subsequent directives have been published herewith in Annual Report and forwarded to management for immediate compliance.

8. Proposed Dividend

For the Fiscal Year 2081/82, the Bank has not proposed any dividend distribution.

9. Details of Forfeited Shares

No shares were forfeited during the reporting period.

10. Report on Bank and its Subsidiary Company

Detailed progress reports for the Bank and its subsidiaries are included in the respective sections of this Annual Report.

11. Major Transactions Completed by the Bank and its Subsidiary Company in FY 2081/82 and any Significant Changes in the Company's Business during that Period

- **KBL Securities Limited:** Mr. Binaya Regmi serves as the CEO. The Board includes Ms. Seepa Regmi, Mr. Hari Prasad Niraula, Mr. Pawan Budhathoki and Independent Director Mr. Manish Dhakal.
- **Kumari Capital Limited:** Mr. Pushpa Sharma serves as the CEO. The Board includes Mr. Sudhir Nath Pandey, Mr. Rohit Singh, Mr. Arpan Pokharel, Independent Director Mr. Laxmi Prasad Duwal and Female Independent Director Ms. Renu Bhusal.

12. Information Provided by the Bank's Substantial Shareholders

There is no such information to report from the substantial (promoter) shareholders during the review period.

13. Details of Share Ownership by Directors and Officials of the Company in Previous Fiscal Years and Information Received by the Company Regarding their Involvement in the Company's Share Transactions

No such information has been reported or brought to the Bank's notice.

14. Information Regarding the Personal Interests of any Director or their Relatives in Contracts Related to the Bank

No information has been brought to the Bank's notice.

15. Details of Buyback of Shares

The Bank has not undertaken any buyback of its own shares during this period.

16. Information Regarding Internal Control System

The bank is working to maintain an effective Internal Control System through various internal policies, rules, mechanisms, structures and departments, ensuring that the control system remains continuously active to minimize credit, operational and market risks. The effectiveness of the internal control system is regularly reviewed by the Internal Audit Department. The Internal Audit Report did not find any serious weakness in the bank's operations. The Audit Committee regularly gives suggestions to the management regarding the review of the internal control system and compliance with it and this information is also regularly provided to the Board of Directors. The bank management is regularly improving its operations as per the suggestions provided by the Audit Committee.

17. Details of the Bank's Total Management Expenses

The management expenses of the bank for fiscal year 2081/82 are as follows:

Employee expenses amounted to 4,311,039,370.00 (in words: Four Billion Three Hundred Eleven Million Thirty-Nine Thousand Three Hundred Seventy Only).

Other operating expenses amounted to 1,844,366,534.00 (in words: One Billion Eight Hundred Forty-Four Million Three Hundred Sixty-Six Thousand Five Hundred Thirty-Four Only).

The detailed breakdown of the bank's total management expenses is provided in Schedules 4.36, 4.37 and 4.38 of the bank's annual report.

18. Information Regarding the Audit Committee

During the review period, in accordance with Section 164 of the Companies Act, an active Audit Committee, chaired by Non-Executive Director Mr. Rajaram Khadka, Director Mr. Bijay Sthapit as a member and the Head of the Internal Audit Department, Mr. Saurav Acharya, as the Member Secretary is in place.

The Internal Audit Department submits its audit reports directly to this committee. In the Fiscal Year 2081/82, the committee held 10 meetings. Members (excluding the Member Secretary) received meeting fees at the same rate as Board members. The committee's activities align with the directives of Nepal Rastra Bank and the Companies Act. No significant issues were noted in the internal audit reports regarding the Bank's operations. The committee regularly provides recommendations to Management on internal control compliance and provides periodic updates to the Board of Directors.

19. Information Regarding any Amount Due to the Bank from Directors, Managing Directors, Chief Executive, Fundamental Shareholders, or their Relatives, or any Firm, Company, or Organized Institution in which they are involved

There are no outstanding amounts owed to the Bank.

20. Remuneration, Allowances, and Facilities Paid to Directors, Managing Director, Chief Executive, and Officials

A. Board of Directors

As per the provisions of the bylaws, directors are provided meeting allowances for attending meetings of the committees and sub-committees formed under them. The Chairperson receives NPR 16,000 (in words: Sixteen Thousand Only) per meeting and the directors receive NPR 14,000 (in words: Fourteen Thousand Only) per meeting.

In addition, the Chairperson and members of the Board of Directors are provided a monthly allowance of NPR 12,000 (in words: Twelve Thousand Only) towards telephone, mobile and newspaper expenses. No other facilities are provided to the directors beyond these

B. Annual Salary, Allowances and Facilities of the Chief Executive Officer and Other Officials/Managers for FY 2081/82:

Remuneration and Facilities	Chief Executive Officer (NPR)	Senior Management (NPR)
Salary	16,305,600	159,107,949
Allowances	1,290,000	71,872,665
Leave (Annual + Accumulated)	-	15,164,963
Vehicle Facility Allowance	-	100,557,615
Other Payments	-	49,007,163
Total (NPR)	**17,595,600**	**395,710,356**
Number of Staff	**1**	**124**

Other Managers represents the staff AM and Above.

The salary and allowance figures mentioned above include the remuneration and benefits received during their service period by employees who left the bank and those who joined the bank during fiscal year 2081/82.

The remuneration and facilities provided to senior management are governed by the bank's Employee Service Bylaws and Human Resource Policy. Employee bonus is provided in accordance with the Bonus Act, 2030. Contributions to the provident fund are made as per the Labour Act, 2074. Life insurance, health insurance and accident insurance facilities are provided in accordance with the bank's Employee Service Bylaws.

21. Undistributed Dividend Due to Shareholders

As of the end of Ashad 2082, the total amount of cash dividends remaining unclaimed by shareholders stands at 257.16 million.

Description	Amount (NPR)
Kumari Bank Limited	863,409
Remaining Dividend for Payment from Acquired Institutions (Kathmandu Development Bank Ltd, Mahalaxmi Bikas Bank Ltd, Paschimanchal Finance Ltd, and Kankrebihar Bikas Bank Ltd)	715,095
Remaining Dividend for Payment from Acquired Institution (Deva Bikas Bank Ltd)	169,284
Kumari Bank Limited (paid to Kumari Capital Ltd for payment)	174,124,101
Remaining Dividend for Payment from Merged Institution (NCC Bank Ltd) (paid to Kumari Capital Ltd for payment)	71,866,824
Remaining Dividend for Payment from Acquired Institution (Paschimanchal Finance Ltd) (paid to Kumari Capital Ltd for payment)	1,136,846
Remaining Dividend for Payment from Acquired Institution Deva Bikas Bank Ltd (paid to Kumari Capital Ltd for payment)	8,284,081
Total Unclaimed Dividend Amount	**257,159,640**

22. Details of Asset Purchase or Sale under Section 141 of the Company Act, 2063

There were no transactions during the review period.

23. Details of Transactions between Related Companies under Section 175 of the Company Act, 2063

There were no reportable transactions during the review period.

24. Other Matters to be Disclosed in the Board of Directors' Report as per the Company Act, 2063 and Prevailing Law

There are no additional matters to be disclosed.

25. Other Matters

There are no other significant matters to report.

Acknowledgment

We would like to express our heartfelt gratitude to our respected shareholders, valued customers and well-wishers for their continuous support, encouragement and guidance, which have been instrumental in boosting the Bank's morale.

We extend our sincere gratitude to the officials of Nepal Rastra Bank, the Office of the Company Registrar, the Securities Board of Nepal (SEBON), Nepal Stock Exchange Ltd. (NEPSE), and CDSC & Clearing Ltd., as well as to all other stakeholders and members of the public who have supported us, directly or indirectly, throughout the year. We also wish to thank our Joint Statutory Auditors, G.P. Rajbahak & Co., Chartered Accountants and NBSM & Associates, Chartered Accountants, for the timely completion of the audit and for providing the Bank with valuable professional insights and recommendations. Special appreciation is due to the Bank's Management and staff, whose unwavering dedication and commitment to the Bank's progress remain exemplary. Their continued efforts and investment of time and expertise have been instrumental in our journey. Finally, we affirm our enduring belief that the Bank and its customers are two sides of the same coin. The trust and goodwill of our valued customers have been the cornerstone of the Bank's growth and success. We remain steadfast in our commitment to nurturing this relationship and deepening the bond of trust in the years ahead.

Thank you.

On behalf of the Board of Directors

Mr. Amir Pratap J.B. Rana
(Chairman)
Date: 2082/08/25

SEBON Declaration

Annual Report Concerning Rule 26, Sub-rule (2) of the Securities Registration and Issue Regulation, 2073

1. Board of Directors' Report

Included in the Annual Report.

2. Auditor's Report

Included in the Annual Report.

3. Audited Financial Statements

Included in the Annual Report.

4. Legal Proceedings

- Cases filed by or against the Bank: Except for cases related to loans disbursed in the regular course of business and certain tax matters, there are no ongoing legal cases that would significantly affect the Bank or create an additional material financial burden.
- Cases against Promoters or Directors regarding violation of prevailing laws or criminal offenses: The Bank has no information regarding any such cases filed against its Promoters or Directors.
- Cases against Promoters or Directors regarding financial crimes: The Bank has no information regarding any such cases filed against its Promoters or Directors.

5. Analysis of Share Transaction and Performance of the Organized Institution

- **Management's view on share transactions in the stock market:** Since share prices and transactions are determined by open market operations, the Bank management holds no specific view on this matter.
- **Share Price and Volume Data for FY 2081/82:**

Quarter (Month-end)	Max Price (NPR)	Min Price (NPR)	Closing Price (NPR)	Total Transactions	Total Traded Volume	Total Trading Days
First Trimester (Ashoj end 2081)	272.90	150.70	237.00	139,131	44,923,041	57
Second Trimester (Poush end 2081)	235.50	207.00	209.00	45,178	16,937,245	55
Third Trimester (Chaitra end 2081)	227.20	193.10	206.03	37,971	14,494,313	56
Fourth Trimester (Ashadh end 2082)	231.00	192.10	219.77	52,524	24,410,115	63

6. Problems and Challenges

Internal Challenges:

- Retaining skilled and competent human resources.
- Increasing operational expenses.
- Enhancing operational capacity by mitigating inherent risks.
- Managing Non-Performing Loans (NPL).

External Challenges:

- The economic and political situation of the country.
- Lack of an investment-friendly environment.
- Competitive banking market.
- Meeting increasing operating costs through income sources.
- Difficult health, business, and social conditions arising after popular movements and the COVID-19 pandemic.

Management's Strategy to Address Challenges:

- Identifying and enhancing the efficiency and professional development of employees.
- Implementing cost-effective practices by identifying genuine needs before spending.
- Developing new services and facilities according to changing customer lifestyles and market demand.
- Pricing interest-sensitive assets and liabilities based on market liquidity conditions.
- Diversifying the loan portfolio and ensuring timely management of non-performing loans.
- Analyzing inherent risks in banking and preparing/implementing timely action plans.
- Promoting online banking and digital systems while enhancing employee capacity for digital services.

7. Corporate Governance

The Board of Directors is committed and responsible for maintaining high standards of corporate governance. The Board continuously works to ensure transparency and strong governance in all bank activities, viewing it as a guiding principle for administrative operations. Various committees and sub-committees have been formed to implement laws and bank policies. Clear functional separation exists between departments with potential conflicts of interest, such as Credit, Risk Management, and Operations. The Bank fully complies with the circulars and directives issued by Nepal Rastra Bank.

8. Variance in Projections

There is no variance of 20% or more between the projected figures in the prospectus and the actual audited figures.

9. Special Events or Circumstances (Rule 22, Sub-rule 5)

No such special events or circumstances were observed during the review year.

INDEPENDENT AUDITOR'S REPORT

TO THE SHAREHOLDERS OF KUMARI BANK LIMITED

Opinion

We have audited the Consolidated Financial Statements of Kumari Bank Limited and its subsidiaries (collectively referred to as the "Group"), which comprises the Consolidated Statement of Financial Position as at Ashadh 32, 2082 (*July 16, 2025*), and the Consolidated Statement of Profit or Loss, and Consolidated Other Comprehensive Income, Consolidated Statement of Changes in Equity and Consolidated Statement of Cash Flows for the year then ended, and Consolidated notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying Consolidated Financial Statements give a true and fair view, in all material respects, the Consolidated Financial Position of the Bank as at Ashadh 32, 2082 (*July 16, 2025*), and its financial performance and its cash flows for the year then ended in accordance with Nepal Financial Reporting Standards (NFRS).

Basis for Opinion

We conducted our audit in accordance with Nepal Standards on Auditing (NSA). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Bank in accordance with the ethical requirements that are relevant to our audit of the financial statements in Nepal, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report:

S. No.	Key Audit Matters	Auditor's Response
a)	**Interest Income:** The Bank has implemented NRB's Guidance Note on Interest Income Recognition, 2025 effective from Shrawan 2081. The guidelines require staging of loans (Stage 1, 2, 3) with different recognition methods - accrual basis for Stage 1 & 2 based on coupon interest rate and cash basis (incremental) for Stage 3 assets. The transitional arrangement involves complex quarterly tracking at account level and reconciliation between interest suspense, accrued interest, and actual collections.	Our audit approach included: a. Obtained understanding of the Bank's implementation framework and tested quarterly interest computation processes at account level b. Verified staging classification (Stage 1, 2, 3) for sample loans based on ECL guidelines and tested stage migration reports c. For Stage 3 assets, tested cash basis approach by tracing collections to bank statements, recalculating interest suspense movements, and

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Chartered Accountants

K.R.S.M. & Associates
Chartered Accountants

Given the significant system changes, manual interventions during transition, and risk of misstatement in interest income, we considered this as a key audit matter.

verifying that suspense doesn't exceed accrued interest

d. Performed reconciliation between CBS interest calculations and GL entries and verified quarterly interest income aggregation.

b) Investment valuation, identification and impairment:

Investment of the bank comprises of investment in government bonds, T-bills, development bonds and investment in quoted and unquoted securities. The valuation of the aforesaid securities has been done in compliance with NFRS 9 and NRB Directive number 8. The investment in the government and NRB bonds and T-bills has been done on Amortized cost and rest have been valued through Fair Value through Other Comprehensive Income. The valuation of the investment requires special attention and further in view of the significance of the amount of the investment in the financial statement the same has been considered as Key Audit Matters in our audit.

Our audit approach regarding investment of the bank is based on the NRB Directive and NFRS issued by the Accounting Standard Board of Nepal. For the investment valuation that are done at amortized cost, we checked the EIR and amortization schedule on test basis.

For the investment valued through OCI i.e. for quoted investment, we relied on the Last transaction price in NEPSE as on 16.07.2025. And for the unquoted investment the fair value has been determined based on latest available Net Assets Value (NAV), i.e., Level 3 valuation. Further the income and bonus have been cross verified from Demat statement of the bank wherever applicable.

c) Impairment of Loans and Advances:

Requirement under NFRS 9 read with (carve-out on NFRS-9 issued by ICAN dated 2082/05/09 and opted by Bank), bank shall measure impairment loss on loans and advances at the higher of:

a) Amount derived as per norms prescribed by NRB for loan loss provisioning or;
b) Amount determined as per para 5.5 of NFRS adopting the expected credit loss model

As per the norms prescribed by the NRB, provision at the prescribed rate shall be created on the loans and advances based on overdue status of loans and advances as well as utilization status of the facility, status of security etc. Hence, assessment of availability and accuracy of data for impairment under NRB provisioning norms is regarded as key audit matters.

Our audit approach included:

a. Reviewing the overdue status of loans and advances by obtaining data from the system and matching the same with NRB 2.2 report.

b. Sample credit files were reviewed for the purpose of assuring the utilization of loan & advances for the intended purpose, account movement and account turnover.

c. Assessed the alignment of the Bank's impairment for expected credit losses computations and underlying methodology including responses to current economic conditions with its accounting policies, based on the best available information up to the date of our report.

d. Evaluated the design, implementation and operating effectiveness of controls over estimation of expected credit losses, which included assessing

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Expected credit losses of loans and advances measured at amortized cost as disclosed in Note 4.7 (*Notes to Consolidated Financial Statements*) and Disclosure 5.5.5, is determined by management based on the accounting policies described in Note 2.5 to the financial statements.

This was a key audit matter due to

- The involvement of significant management judgements, assumptions and level of uncertainty associated with estimating future cash flows to recover such loans and advances; and
- The materiality of the reported amount of expected credit losses.

Key areas of significant judgements, assumptions and estimates made by management in the assessment of expected credit losses for loans and advances include forward-looking macroeconomic scenarios, associated weightages and considerations that indicate significant increase in credit risk. These are subject to inherently heightened levels of estimation uncertainty.

Information of such key estimates, assumptions and judgements are disclosed in Note 2.5.

the level of oversight, review and approval of impairment for expected credit losses, policies and procedures by the Board and management.

e. Tested the completeness, accuracy and reasonableness of the underlying data used in the expected credit loss computations by agreeing details to relevant source documents and accounting records of the Group.

f. Evaluated the reasonableness of credit quality assessments and related stage classifications.

In addition to the above, the following procedures were performed:

g. For loans and advances assessed on an individual basis for impairment:

- Tested the arithmetical accuracy of the underlying individual impairment calculations.
- Evaluated the reasonableness of key inputs used in the impairment for expected credit losses made with economic conditions. Such evaluations were carried out considering the value and timing of cash flow forecasts particularly relating to elevated risk industries and status of recovery actions of the collaterals.

h. For loans and advances assessed on a collective basis for impairment:

- Tested the key inputs and the calculations used in the impairment for expected credit losses.
- Assessed the reasonableness of judgements, assumptions and estimates used by the Management in the underlying methodology and the management overlays. Our testing included evaluating the reasonableness of forward-looking information used, economic scenarios considered, and probability weighting assigned to each scenario.

i. Assessed the adequacy of the related financial statement disclosures set out

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		in Disclosure 5.5.5 and 4.7 (Notes to Consolidated Financial Statements)
d)	**Information Technology:** As most of the information of the bank is digitally stored and transactions are carried out digitally/electronically. We have considered information technology status of the bank as our key audit areas.	Our audit approach regarding Information Technology of the bank is based upon the Information Technology Guidelines 2012 issued by NRB and it also included: a. Understanding of IT process, mapping of application and control measures adopted by the bank such as users' access and authority across operating systems. b. Verification of the interest income and expense booking regarding loan and deposit on test basis with the CBS of the bank. c. Reliance on the IT audit conducted by the bank. d. Verification of the provisioning of the loan and advances based on ageing on the test check basis

Other Matter

We did not audit the financial statement and other financial statement of subsidiaries namely Kumari Capital Ltd and Kumari Securities Ltd. The financial statements and other financial information have been audited by other auditor whose report has been furnished to us by the management. Our opinion on the financial statement so far as it relates to the accounts and disclosures included in respect of the subsidiary is based solely on the report of other auditors.

The auditor's report is intended solely for the intended users and should not be distributed to or used by other parties.

Other Information

Management is responsible for the preparation of other information. The other information comprises the information included in the Annual Report but does not include the consolidated Financial Statements and our auditor's report thereon.

Our opinion on the Consolidated Financial Statement does not cover the other information and we do not express any form of assurance conclusion thereon.

Our responsibility is to read the Other Information and, in doing so, consider whether the Other Information is materially inconsistent with the Consolidated Financial Statements or our knowledge obtained in the course of our audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the Consolidated Financial Statements in accordance with NFRS, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

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Chartered Accountants

N.B.K.M. & Associates
Chartered Accountants

In preparing the Consolidated Financial Statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

Auditor's Responsibilities for the Audit of Consolidated Financial Statements

Our objectives are to obtain reasonable assurance whether the Consolidated Financial Statements as a whole are free from material misstatement, whether caused due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with NSAs will always detect a material misstatement when it exists.

As part of an audit in accordance with NSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on company's ability to continue as going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to related disclosures in the financial statements or, if such disclosure is inadequate, to modify our audit opinion. Our conclusions are based on the audit evidences obtained up to date of our auditor's report. However, future events or conditions may cause the Group to cease as a going concern.

- Evaluate the overall presentation, structure and content of the financial statement, including the disclosures, and whether the financial statements represent the underlying transaction and events in a manner that achieves fair presentation.

- Obtain sufficient and appropriate audit evidence regarding the financial information of the Group's Activities to express an opinion on Financial Statements.

We communicate with those charged with governance, regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

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Statement of Financial Position

As on 32 Ashad 2082

Particulars	Note	Group		Bank	
		FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Assets					
Cash and cash equivalent	4.1	35,734,760,503	19,628,921,035	35,350,484,074	19,581,636,193
Due from Nepal Rastra Bank	4.2	21,339,804,952	28,158,091,418	21,339,804,952	28,158,091,418
Placement with Bank and Financial Institutions	4.3	13,387,665,129	1,422,914,007	13,387,665,129	1,422,914,007
Derivative financial instruments	4.4	1,176,104,630	346,539,668	1,176,104,630	346,539,668
Other trading assets	4.5	-	-	-	-
Loan and advances to B/FIs	4.6	14,153,339,391	10,745,446,714	14,153,339,391	10,745,446,714
Loans and advances to customers	4.7	260,322,398,319	268,431,270,470	260,322,398,319	268,431,270,470
Investment securities	4.8	80,511,938,582	65,054,699,186	80,098,703,721	64,635,154,603
Current tax assets	4.9	540,217,320	2,585,083,170	536,113,916	2,577,355,650
Investment in subsidiaries	4.10	-	-	600,000,000	600,000,000
Investment in associates	4.11	1,431,127,503	1,593,685,400	960,017,596	1,165,017,596
Investment property	4.12	2,538,824,508	1,913,183,766	2,538,824,508	1,913,183,766
Property and equipment	4.13	2,701,876,978	2,333,380,144	2,657,414,617	2,294,213,275
Goodwill and Intangible assets	4.14	188,977,866	225,205,280	184,391,875	219,588,225
Deferred tax assets	4.15	1,093,571,769	105,287,225	1,092,503,225	108,629,781
Other assets	4.16	7,514,136,863	7,394,732,733	7,285,874,319	7,253,840,425
Total Assets		**442,634,744,312**	**409,938,440,217**	**441,683,640,272**	**409,452,881,793**
Liabilities					
Due to Bank and Financial Institutions	4.17	11,008,829,728	14,311,349,530	11,085,042,708	14,717,409,163
Due to Nepal Rastra Bank	4.18	3,895,761,000	3,729,500,000	3,895,761,000	3,729,500,000
Derivative financial instruments	4.19	1,168,560,453	350,040,393	1,168,560,453	350,040,393
Deposits from customers	4.20	364,639,161,514	333,111,322,485	364,639,161,514	333,111,322,485
Borrowing	4.21	1,380,591,727	1,340,593,579	1,380,591,727	1,340,593,579
Current Tax Liabilities	4.9	-	-	-	-
Provisions	4.22	3,100,000	3,000,000	3,100,000	3,000,000
Deferred tax liabilities	4.15	-	-	-	-
Other liabilities	4.23	8,825,072,304	7,780,823,659	8,412,759,020	7,417,356,292
Debt securities issued	4.24	13,981,837,110	13,980,460,457	13,981,837,110	13,980,460,457
Subordinated Liabilities	4.25	-	-	-	-
Total Liabilities		**404,902,913,835**	**374,607,090,104**	**404,566,813,532**	**374,649,682,370**
Equity					
Share capital	4.26	26,225,861,340	26,225,861,340	26,225,861,340	26,225,861,340
Share premium		-	-	-	-
Retained earnings		(3,269,598,783)	(4,862,110,672)	(3,849,526,718)	(5,367,424,480)
Reserves	4.27	14,775,567,920	13,967,599,446	14,740,492,118	13,944,762,562
Total equity attributable to equity holders		**37,731,830,477**	**35,331,350,113**	**37,116,826,740**	**34,803,199,422**
Non-controlling interest		-	-	-	-
Total equity		**37,731,830,477**	**35,331,350,113**	**37,116,826,740**	**34,803,199,422**
Total liabilities and equity		**442,634,744,312**	**409,938,440,217**	**441,683,640,272**	**409,452,881,793**
Contingent liabilities and commitment	4.28	106,177,056,088	77,532,244,958	106,177,056,088	77,532,244,958
Net assets value per share		143.87	134.72	141.53	132.71

Ram Chandra Khanal
Chief Executive Officer

Amir Pratap JB Rana
Chairman

Pashupati Murarka
Director

Mahesh Prasad Pokharel
Director

Aswin Babu Shrestha
Chief Finance Officer

Bijay Kumar Shrestha
Director

Rajaram Khadka
Director

Bijay Sthapit
Director

Simran Agrawal
Director

Date: 12 November, 2025
Place: Tangal, Kathmandu

As per our report of even date
CA. Pradeep Lama
Partner
G. P. Rajbahak & Co.
Chartered Accountants

As per our report of even date
CA. Durga Prasad Gnawali, FCA
Senior Partner
N.B.S.M. & Associates
Chartered Accountants

Statement of Profit or Loss

For the year ended 32 Ashad 2082

Particulars	Note	Group		Bank	
		FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Interest income	4.29	32,387,486,464	38,673,191,700	32,357,200,352	38,609,365,782
Interest expense	4.30	20,735,639,930	27,806,010,628	20,735,654,382	27,806,025,079
Net interest income		**11,651,846,534**	**10,867,181,073**	**11,621,545,970**	**10,803,340,703**
Fee and commission income	4.31	3,033,276,978	2,437,605,068	3,033,276,978	2,437,605,068
Fee and commission expense	4.32	371,656,093	339,520,201	371,656,093	339,520,201
Net fee and commission income		**2,661,620,885**	**2,098,084,867**	**2,661,620,885**	**2,098,084,867**
Net interest, fee and commission income		**14,313,467,419**	**12,965,265,939**	**14,283,166,855**	**12,901,425,570**
Net trading income	4.33	453,177,356	366,413,542	453,177,356	366,413,542
Other operating income	4.34	762,174,548	585,113,817	457,678,565	368,585,470
Total operating income		**15,528,819,323**	**13,916,793,298**	**15,194,022,777**	**13,636,424,583**
Impairment charge/(reversal) for loans and other losses	4.35	3,451,421,338	6,841,410,631	3,451,421,338	6,841,410,631
Net operating income		**12,077,397,985**	**7,075,382,668**	**11,742,601,439**	**6,795,013,952**
Operating expense					
Personnel expenses	4.36	4,370,466,776	3,904,308,944	4,311,039,370	3,857,072,668
Other operating expenses	4.37	1,120,443,540	1,151,312,666	1,051,554,716	1,112,699,625
Depreciation & Amortisation	4.38	805,715,109	856,946,762	792,811,818	851,318,123
Operating Profit		**5,780,772,559**	**1,162,814,295**	**5,587,195,535**	**973,923,536**
Non operating income	4.39	73,368,067	46,751,365	73,368,067	46,751,365
Non operating expense	4.40	425,943,542	21,709,731	425,943,542	21,709,731
Profit before income tax		**5,428,197,084**	**1,187,855,929**	**5,234,620,060**	**998,965,170**
Income tax expense	4.41	3,459,461,483	1,029,285,821	3,414,921,412	994,356,466
Current Tax		4,617,498,372	1,100,482,937	4,567,340,305	1,069,300,535
Deferred Tax		(1,158,036,889)	(71,197,116)	(1,152,418,893)	(74,944,069)
Profit for the year		**1,968,735,600**	**158,570,108**	**1,819,698,647**	**4,608,704**
Profit attributable to:					
Equity holders of the Bank		1,968,735,600	158,570,108	1,819,698,647	4,608,704
Non-controlling interest				-	-
Profit for the year		**1,968,735,600**	**158,570,108**	**1,819,698,647**	**4,608,704**
Earnings per share					
Basic earnings per share		7.51	0.60	6.94	0.02
Diluted earnings per share		7.51	0.60	6.94	0.02

Ram Chandra Khanal
Chief Executive Officer

Amir Pratap JB Rana
Chairman

Pashupati Murarka
Director

Mahesh Prasad Pokharel
Director

Aswin Babu Shrestha
Chief Finance Officer

Bijay Kumar Shrestha
Director

Rajaram Khadka
Director

Bijay Sthapit
Director

Simran Agrawal
Director

As per our report of even date
CA. Pradeep Lama
Partner
G. P. Rajbahak & Co.
Chartered Accountants

As per our report of even date
CA. Durga Prasad Gnawali, FCA
Senior Partner
N.B.S.M. & Associates
Chartered Accountants

Date: 12 November, 2025
Place: Tangal, Kathmandu

Statement of Comprehensive Income

For the year ended 32 Ashad 2082

Particulars	Note	Group		Bank	
		FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Profit for the year		**1,968,735,600**	**158,570,107**	**1,819,698,647**	**4,608,704**
Other comprehensive income, net of income tax					
a) Items that will not be reclassified to profit or loss					
Gain /(losses) from investments in equity instruments measured at fair value		640,378,673	184,460,478	635,432,076	184,460,478
Gain /(losses) on revaluation		-	(3,683,000)	-	(3,683,000)
Actuarial gains/(loss) on defined benefit plans		(69,348,220)	(86,635,227)	(69,348,220)	(86,635,227)
Income tax relating to above items		(171,309,136)	(29,347,575)	(169,825,157)	(29,347,575)
Net other comprehensive income that will not be reclassified to profit or loss		**399,721,317**	**64,794,676**	**396,258,699**	**64,794,676**
b) Items that are or may be classified to profit or loss					
Gain /(losses) on cash flow hedge		-	-	-	-
Exchange gain/ (losses) (arising from translating financial assets of foreign operation)		-	-	-	-
Income tax relating to above items		-	-	-	-
Reclassify to profit or loss		-	-	-	-
Net other comprehensive income that are or may be reclassified to profit or loss					
c) Share of other comprehensive income of associate accounted as per equity method		-	-	-	-
Other comprehensive income for the period, net of income tax		399,721,317	64,794,676	396,258,699	64,794,676
Total comprehensive income for the year		**2,368,456,918**	**223,364,783**	**2,215,957,346**	**69,403,380**
Total comprehensive income attributable to:					
Equity holders of the Bank		2,368,456,918	223,364,783	2,215,957,346	69,403,380
Non-controlling interest				-	-
Total comprehensive income for the year		**2,368,456,918**	**223,364,783**	**2,215,957,346**	**69,403,380**

Ram Chandra Khanal
Chief Executive Officer

Amir Pratap JB Rana
Chairman

Pashupati Murarka
Director

Mahesh Prasad Pokharel
Director

Aswin Babu Shrestha
Chief Finance Officer

Bijay Kumar Shrestha
Director

Rajaram Khadka
Director

Bijay Sthapit
Director

Simran Agrawal
Director

Date: 12 November, 2025
Place: Tangal, Kathmandu

As per our report of even date
CA. Pradeep Lama
Partner
G. P. Rajbahak & Co.
Chartered Accountants

As per our report of even date
CA. Durga Prasad Gnawali, FCA
Senior Partner
N.B.S.M. & Associates
Chartered Accountants

Statement of Cash Flows

For the year ended 32 Ashad 2082

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
CASH FLOWS FROM OPERATING ACTIVITIES				
Interest received	34,372,806,690	35,984,831,132	34,342,520,578	35,921,005,214
Fees and other income received	3,033,276,978	2,437,605,068	3,033,276,978	2,437,605,068
Divided received	-	-	-	-
Receipts from other operating activities	1,034,187,365	733,346,719	772,133,486	588,170,770
Interest paid	(19,301,042,269)	(26,821,340,013)	(19,301,056,720)	(26,821,354,465)
Commission and fees paid	(371,656,093)	(339,520,201)	(371,656,093)	(339,520,201)
Cash payment to employees	(3,619,940,637)	(3,760,336,815)	(3,560,513,231)	(3,713,100,538)
Other expense paid	(4,240,310,684)	(8,403,416,152)	(4,195,817,549)	(8,376,048,353)
Operating cash flows before changes in operating assets and liabilities	**10,907,321,350**	**(168,830,263)**	**10,718,887,449**	**(303,242,505)**
(Increase)/Decrease in operating assets				
Due from Nepal Rastra Bank	6,818,286,466	(14,697,146,890)	6,818,286,466	(14,697,146,890)
Placement with bank and financial institutions	(11,964,751,122)	6,348,531,786	(11,964,751,122)	6,348,531,786
Other trading assets	-	-	-	-
Loan and advances to bank and financial institutions	(3,407,892,677)	(991,140,254)	(3,407,892,677)	(991,140,254)
Loans and advances to customers	8,108,872,151	2,506,037,839	8,108,872,151	2,506,037,839
Other assets	(3,075,181,625)	3,724,232,085	(2,846,919,081)	3,865,124,392
Increase/(Decrease) in operating liabilities				
Due to bank and financial institutions	(3,108,579,436)	5,677,774,541	(3,632,366,456)	5,483,834,174
Due to Nepal Rastra Bank	166,261,000	2,233,000,000	166,261,000	2,233,000,000
Deposit from customers	31,527,839,029	17,064,267,958	31,527,839,029	17,064,267,958
Borrowings	39,998,148	(1,304,924,301)	39,998,148	(1,304,924,301)
Other liabilities	1,397,268,731	1,106,423,838	984,955,446	742,956,471
Net cash flow from operating activities before tax paid	**37,409,442,015**	**21,498,226,340**	**36,513,170,354**	**20,947,298,670**
Income taxes paid	(2,577,090,298)	(2,296,198,376)	(2,527,378,279)	(2,256,884,056)
Net cash flow from operating activities	**34,832,351,717**	**19,202,027,964**	**33,985,792,075**	**18,690,414,615**
CASH FLOWS FROM INVESTING ACTIVITIES				
Purchase of investment securities	(15,773,172,470)	(22,439,492,635)	(15,359,937,609)	(22,019,948,052)
Receipts from sale of investment securities	101,388,492	101,388,492	101,388,492	101,388,492
Purchase of property and equipment	(1,826,116,263)	(1,318,815,278)	(1,781,653,902)	(1,279,648,409)
Receipt from the sale of property and equipment	-	-	-	-
Purchase of intangible assets	30,610,360	(36,535,221)	35,196,350	(30,918,167)
Receipt from the sale of intangible assets	-	-	-	-
Purchase of investment properties	-	-	-	-
Receipt from the sale of investment properties	-	-	-	-
Interest received	-	-	-	-
Dividend received	212,090,502	193,579,608	212,090,502	193,579,608
Net cash used in investing activities	**(17,255,199,380)**	**(23,499,875,034)**	**(16,792,916,167)**	**(23,035,546,528)**
CASH FLOWS FROM FINANCING ACTIVITIES				
Receipt from issue of debt securities	1,376,653	4,992,485,807	1,376,653	4,992,485,807
Repayment of debt securities	-	-	-	-
Receipt from issue of subordinated liabilities	-	-	-	-
Repayment of subordinated liabilities	-	-	-	-
Receipt from issue of shares	-	-	-	-
Dividends paid	-	-	-	-
Interest paid	(1,425,404,681)	(987,200,468)	(1,425,404,680)	(987,200,467)
Other receipt/payment	-	-	-	-
Net cash from financing activities	**(1,424,028,028)**	**4,005,285,340**	**(1,424,028,027)**	**4,005,285,341**
Net increase (decrease) in cash and cash equivalents	**16,153,124,310**	**(292,561,730)**	**15,768,847,880**	**(339,846,573)**
Cash and cash equivalents at Shrawan 1, 2081	19,581,636,193	19,921,482,766	19,581,636,193	19,921,482,766
Effect of exchange rate fluctuations on cash and cash equivalents held				
Cash and cash equivalents at Ashad end 2082	**35,734,760,503**	**19,628,921,035**	**35,350,484,074**	**19,581,636,193**

Ram Chandra Khanal
Chief Executive Officer

Amir Pratap JB Rana
Chairman

Pashupati Murarka
Director

Mahesh Prasad Pokharel
Director

Aswin Babu Shrestha
Chief Finance Officer

Bijay Kumar Shrestha
Director

Rajaram Khadka
Director

Bijay Sthapit
Director

Simran Agrawal
Director

Date: 12 November, 2025
Place: Tangal, Kathmandu

As per our report of even date
CA. Pradeep Lama
Partner
G. P. Rajbahak & Co.
Chartered Accountants

As per our report of even date
CA. Durga Prasad Gnawali, FCA
Senior Partner
N.B.S.M. & Associates
Chartered Accountants

Statement of changes in equity

For the year ended 32 Ashad 2082

Group												
Particulars	Attributable to equity holders of the Bank										Non-controlling interest	Total equity
	Share Capital	Share Premium	General Reserve	Exchange Equalisation Reserve	Regulatory Reserve	Fair value Reserve	Revaluation Reserve	Retained Earning	Other Reserve	Total		
Balance at Shrawan 1, 2080	**26,225,861,340**	**-**	**5,820,996,080**	**65,575,034**	**3,853,120,518**	**156,767,452**	**396,860,536**	**(1,780,150,026)**	**1,011,401,928**	**35,750,432,862**	**-**	**35,750,432,862**
Adjustment/Restatement	-	-	-	-	-	41,469,660	-	(50,370,787)	6,336,000	(2,565,127)	-	(2,565,127)
Adjusted/Restated balance at Shrawan 1, 2080	**26,225,861,340**	**-**	**5,820,996,080**	**65,575,034**	**3,853,120,518**	**198,237,112**	**396,860,536**	**(1,830,520,813)**	**1,017,737,928**	**35,747,867,735**	**-**	**35,747,867,735**
Comprehensive income for the year	-	-	-	-	-	-	-	-	-	-	-	-
Profit for the year	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**158,570,107**	**-**	**158,570,107**	**-**	**158,570,107**
Other comprehensive income, net of tax	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Gain/ (losses) from investments in equity instruments measured at fair value	-	-	-	-	-	-	-	129,122,335	-	129,122,335	-	129,122,335
Gain /(losses) on revaluation	-	-	-	-	-	-	(3,683,000)	-	-	(3,683,000)	-	(3,683,000)
Actuarial gain /(losses) on defined benefit plans	-	-	-	-	-	-	-	(60,644,665)	-	(60,644,665)	-	(60,644,665)
Gain /(losses) on cash flow hedge	-	-	-	-	-	-	-	-	-	-	-	-
Exchange gain/ (losses) (arising from translating financial assets of foreign operation)	-	-	-	-	-	-	-	-	-	-	-	-
Total comprehensive income for the year	-	-	-	-	-	-	-	227,047,777	-	227,047,777	-	227,047,777
Gain/ (losses) from investments in equity instruments measured at fair value	-	-	-	-	-	-	-	-	-	-		
Transfer to reserve during the year	**-**	**-**	**9,294,985**	**2,879,296**	**1,089,672,845**	**-**	**-**	**(3,130,159,961)**	**1,386,662,338**	**(641,650,498)**	**-**	**(641,650,498)**
Transfer from reserve during the year	-	-	-	-	-	130,245,774	-	(68,477,675)	-	61,768,099	-	61,768,099
Transactions with owners, directly recognised in equity	-	-	-	-	-	-	-	-	-	-	-	-
Share issued	-	-	-	-	-	-	-	-	-	-	-	-
Share based payments	-	-	-	-	-	-	-	-	-	-	-	-
Dividends to equity holders	-	-	-	-	-	-	-	-	-	-	-	-
Bonus shares issued	-	-	-	-	-	-	-	-	-	-	-	-
Cash dividend paid	-	-	-	-	-	-	-	(60,000,000)	-	(60,000,000)	-	(60,000,000)
Others (From Merger)	-	-	-	-	-	-	-	-	-	-	-	-
Total contributions by and distributions	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(60,000,000)**	**-**	**(60,000,000)**	**-**	**(60,000,000)**
Balance at Ashad end 2081	**26,225,861,340**	**-**	**5,830,291,066**	**68,454,329**	**4,942,793,363**	**328,482,887**	**393,177,536**	**(4,862,110,672)**	**2,404,400,265**	**35,331,350,113**	**-**	**35,331,350,113**

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Particulars	Group											
	Attributable to equity holders of the Bank										Non-controlling interest	Total equity
	Share Capital	Share Premium	General Reserve	Exchange Equalisation Reserve	Regulatory Reserve	Fair value Reserve	Revaluation Reserve	Retained Earning	Other Reserve	Total		
Balance at Shrawan 1, 2081	**26,225,861,340**	**-**	**5,830,291,066**	**68,454,329**	**4,942,793,363**	**328,482,887**	**393,177,536**	**(4,862,110,672)**	**2,404,400,265**	**35,331,350,113**	**-**	**35,331,350,113**
Adjustment/Restatement	-	-	-	-	-	-	-	1,084,783	-	1,084,783	-	1,084,783
Adjusted/Restated balance at Shrawan 1, 2081	**26,225,861,340**	**-**	**5,830,291,066**	**68,454,329**	**4,942,793,363**	**328,482,887**	**393,177,536**	**(4,861,025,889)**	**2,404,400,265**	**35,332,434,896**	**-**	**35,332,434,896**
Comprehensive income for the year	-	-	-	-	-	-	-	-	-	-	-	-
Profit for the year	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**1,970,466,910**	**-**	**1,970,466,910**	**-**	**1,970,466,910**
Other comprehensive income, net of tax	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Gain/ (losses) from investments in equity instruments measured at fair value	-	-	-	-	-	-	-	444,802,453	-	444,802,453	-	444,802,453
Gain /(losses) on revaluation	-	-	-	-	-	-	-	-	-	-	-	-
Actuarial gain /(losses) on defined benefit plans	-	-	-	-	-	-	-	(48,543,754)	-	(48,543,754)	-	(48,543,754)
Gain /(losses) on cash flow hedge	-	-	-	-	-	-	-	-	-	-	-	-
Exchange gain/ (losses) (arising from translating financial assets of foreign operation)	-	-	-	-	-	-	-	-	-	-	-	-
Total comprehensive income for the year	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**2,366,725,609**	**-**	**2,366,725,609**	**-**	**2,366,725,609**
Transfer to reserve during the year	-	-	374,772,346	(15,660,146)	(993,067,815)	-	-	(314,039,803)	1,019,762,260	71,766,840	-	71,766,840
Transfer from reserve during the year	-	-	-	-	-	445,410,323	(23,248,492)	(396,258,699)	-	25,903,131	-	25,903,131
Transactions with owners, directly recognised in equity	-	-	-	-	-	-	-	-	-	-	-	-
Share issued	-	-	-	-	-	-	-	-	-	-	-	-
Share based payments	-	-	-	-	-	-	-	-	-	-	-	-
Dividends to equity holders	-	-	-	-	-	-	-	-	-	-	-	-
Bonus shares issued	-	-	-	-	-	-	-	-	-	-	-	-
Cash dividend paid	-	-	-	-	-	-	-	(65,000,000)	-	(65,000,000)	-	(65,000,000)
Others (From Merger)	-	-	-	-	-	-	-	-	-	-	-	-
Total contributions by and distributions	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(65,000,000)**	**-**	**(65,000,000)**	**-**	**(65,000,000)**
Balance at Ashad end 2082	**26,225,861,340**	**-**	**6,205,063,411**	**52,794,183**	**3,949,725,547**	**773,893,209**	**369,929,043**	**(3,269,598,783)**	**3,424,162,525**	**37,731,830,477**	**-**	**37,731,830,477**

Bank												
Particulars	Attributable to equity holders of the Bank										Non-controlling interest	Total equity
	Share Capital	Share Premium	General Reserve	Exchange Equalisation Reserve	Regulatory Reserve	Fair value Reserve	Revaluation Reserve	Retained Earning	Other Reserve	Total		
Balance at Shrawan 1, 2080	**26,225,861,340**	**-**	**5,808,948,669**	**65,575,034**	**3,853,120,518**	**156,767,452**	**396,860,536**	**(2,202,909,148)**	**1,010,577,484**	**35,314,801,886**	**-**	**35,314,801,886**
Adjustment/Restatement	-	-	-	-	-	41,469,660	-	(47,805,660)	6,335,999.94	-	-	-
Adjusted/Restated balance at Shrawan 1, 2080	**26,225,861,340**	**-**	**5,808,948,669**	**65,575,034**	**3,853,120,518**	**198,237,112**	**396,860,536**	**(2,250,714,808)**	**1,016,913,484**	**35,314,801,886**	**-**	**35,314,801,886**
Comprehensive income for the year	-	-	-	-	-	-	-	-	-	-	-	-
Profit for the year	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**4,608,704**	**-**	**4,608,704**	**-**	**4,608,704**
Other comprehensive income, net of tax	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Gain/ (losses) from investments in equity instruments measured at fair value	-	-	-	-	-	-	-	129,122,335	-	129,122,335	-	129,122,335
Gain /(losses) on revaluation	-	-	-	-	-	-	(3,683,000)	-	-	(3,683,000)	-	(3,683,000)
Actuarial gain /(losses) on defined benefit plans	-	-	-	-	-	-	-	(60,644,659)	-	(60,644,659)	-	(60,644,659)
Gain /(losses) on cash flow hedge	-	-	-	-	-	-	-	-	-	-	-	-
Exchange gain/ (losses) (arising from translating financial assets of foreign operation)	-	-	-	-	-	-	-	-	-	-	-	-
Total comprehensive income for the year	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**73,086,380**	**-**	**73,086,380**	**-**	**73,086,380**
Gain/ (losses) on disposal of investments in equity instruments at FVOCI								-		-		
Transfer to reserve during the year	-	-	921,741	2,879,296	1,089,672,845			(3,121,318,378)	1,386,193,993	(641,650,504)	-	(641,650,504)
Transfer from reserve during the year	-		-	-		129,122,335	-	(68,477,675)		60,644,660	-	60,644,660
Transactions with owners, directly recognised in equity										-	-	-
Share issued	-	-	-	-	-	-	-	-	-	-	-	-
Share based payments	-	-	-	-	-	-	-	-	-	-	-	-
Dividends to equity holders	-	-	-	-	-	-	-	-	-	-	-	-
Bonus shares issued		-	-	-	-	-	-	-	-	-	-	-
Cash dividend paid	-	-	-	-	-	-	-	-	-	-	-	-
Others (From Merger)	-	-	-	-	-	-	-	-	-	-	-	-
Total contributions by and distributions	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Balance at Ashad end 2081	**26,225,861,340**	**-**	**5,809,870,410**	**68,454,329**	**4,942,793,363**	**327,359,447**	**393,177,536**	**(5,367,424,481)**	**2,403,107,477**	**34,803,199,422**	**-**	**34,803,199,422**

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Particulars	Bank											
	Attributable to equity holders of the Bank										Non-controlling interest	Total equity
	Share Capital	Share Premium	General Reserve	Exchange Equalisation Reserve	Regulatory Reserve	Fair value Reserve	Revaluation Reserve	Retained Earning	Other Reserve	Total		
Balance at Shrawan 1, 2081	**26,225,861,340**	**-**	**5,809,870,410**	**68,454,329**	**4,942,793,363**	**327,359,447**	**393,177,536**	**(5,367,424,481)**	**2,403,107,477**	**34,803,199,422**	**-**	**34,803,199,422**
Adjustment/Restatement	-	-	-	-	-		-	-		-	-	-
Adjusted/Restated balance at Shrawan 1, 2081	**26,225,861,340**	**-**	**5,809,870,410**	**68,454,329**	**4,942,793,363**	**327,359,447**	**393,177,536**	**(5,367,424,481)**	**2,403,107,477**	**34,803,199,422**	**-**	**34,803,199,422**
Comprehensive income for the year	-	-	-	-	-	-	-	-	-	-	-	-
Profit for the year	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**1,819,698,647**	**-**	**1,819,698,647**	**-**	**1,819,698,647**
Other comprehensive income, net of tax	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Gain/ (losses) from investments in equity instruments measured at fair value	-	-	-	-	-		-	444,802,453	-	444,802,453	-	444,802,453
Gain /(losses) on revaluation	-	-	-	-	-	-		-	-	-	-	-
Actuarial gain /(losses) on defined benefit plans	-	-	-	-	-	-	-	(48,543,754)	-	(48,543,754)	-	(48,543,754)
Gain /(losses) on cash flow hedge	-	-	-	-	-	-	-	-	-	-	-	-
Exchange gain/ (losses) (arising from translating financial assets of foreign operation)	-	-	-	-	-	-	-	-	-	-	-	-
Total comprehensive income for the year	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**2,215,957,346**	**-**	**2,215,957,346**	**-**	**2,215,957,346**
Transfer to reserve during the year	-	-	363,939,729	(15,660,146)	(993,067,815)			(301,800,885)	1,018,963,827	72,374,710	-	72,374,710
Transfer from reserve during the year	-		-	-		444,802,453	(23,248,492)	(396,258,699)		25,295,262	-	25,295,262
Transactions with owners, directly recognised in equity										-		-
Share issued	-	-	-	-	-	-	-	-	-	-	-	-
Share based payments	-	-	-	-	-	-	-	-	-	-	-	-
Dividends to equity holders	-	-	-	-	-	-	-	-	-	-		-
Bonus shares issued		-	-	-	-	-	-	-	-	-	-	-
Cash dividend paid	-	-	-	-	-	-	-	-	-	-	-	-
Others (From Merger)										-	-	-
Total contributions by and distributions	-	-	-	-	-	-	-	-	-	-	-	-
Balance at Ashad end 2082	**26,225,861,340**	**-**	**6,173,810,140**	**52,794,183**	**3,949,725,547**	**772,161,900**	**369,929,043**	**(3,849,526,718)**	**3,422,071,304**	**37,116,826,740**	**-**	**37,116,826,740**

Ram Chandra Khanal
Chief Executive Officer

Amir Pratap JB Rana
Chairman

Pashupati Murarka
Director

Mahesh Prasad Pokharel
Director

Aswin Babu Shrestha
Chief Finance Officer

Bijay Kumar Shrestha
Director

Rajaram Khadka
Director

Bijay Sthapit
Director

Simran Agrawal
Director

Date: 12 November, 2025
Place: Tangal, Kathmandu

As per our report of even date
CA. Durga Prasad Gnawali, FCA
Senior Partner
N.B.S.M. & Associates
Chartered Accountants

As per our report of even date
CA. Pradeep Lama
Partner
G. P. Rajbahak & Co.
Chartered Accountants

Notes to the Financial Statements

Year ended 16th July 2025

1. BANK

1.1. General

Kumari Bank Limited (the "Bank") is a publicly listed "A-Class" commercial bank, incorporated and domiciled in Nepal on Chaitra 21, 2057 B.S (April 03, 2001) with an objective of providing competitive modern banking services in the Nepalese financial market. The Bank is licensed by Nepal Rastra Bank (NRB) and its corporate office is located in Tangal, Kathmandu.

The Bank's expansion has been driven by a strategic vision and regulatory directives. Key milestones include:

- The acquisition of Kasthamandap Development Bank Limited, Paschimanchal Finance Company Limited, Mahakali Bikash Bank Limited, and Kakre Bihar Bikash Bank Limited in Asadh 2074 (July 2017).
- The acquisition and subsequent joint operation of Deva Bikas Bank Limited from Asadh 28, 2077 (July 2020).
- The merger with Nepal Credit and Commerce Bank Limited, effective Poush 17, 2079 (January 1, 2023).

These consolidations were undertaken to achieve the mandated paid-up capital and create a stronger, more efficient financial institution.

As of the reporting date, the Bank operates with distribution networks with 302 branches, 318 ATMs, 50 extension counters, and 54 branchless banking units.

1.2. Financial Statements

The Financial Statement of Bank for the year ended 16 July, 2025 comprises Statement of Financial Position, Statement of Profit or Loss, Statement of Other Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows, Notes to the Financial Statements, Significant Accounting Policies of the Company.

1.3. Basis of Consolidation

The Consolidated Financial Statements incorporate the financial position, performance, and cash flows of the Bank and all entities it controls (its subsidiaries). Control is established when the Bank is exposed to, or has rights to, variable returns from its involvement with the entity and has the power to affect those returns. Uniform accounting policies are applied across the Group for similar transactions.

All intra-group balances, transactions, income, and expenses are eliminated in full upon consolidation.

1.3.1 Subsidiaries

Subsidiaries are entities over which the Bank exercises control. Control is generally presumed when the Bank holds more than half of the voting power. However, control can also exist in other circumstances, such as through rights granted by contractual agreement or the potential voting rights that are currently exercisable.

The Bank consolidates a subsidiary from the date it first obtains control and ceases consolidation from the date that control ends. The following are the subsidiaries of the bank that meets the consolidation criteria:

Subsidiary	Principal Activities	Ownership as on:	
		16th July 2025	15th July 2024
Kumari Capital Limited	The Subsidiary is opened to provide merchant/investment banking services such as Management of public offerings, portfolio management, underwriting of securities, management of mutual fund schemes, depository participant's service under Central Depository Service (CDS) and other merchant banking services.	100%	100%
K.B.L Securities Limited	The Subsidiary is opened to provide the brokerage services on the request of clients. Final approval for operation is obtained from Securities Board of Nepal on 06/06/2023 and from NEPSE on 21/11/2023.	100%	100%

1.3.2 Investments in Associates and Joint Ventures

Entities over which the Bank has significant influence are associates and entities over which the Bank has joint control are joint ventures. Significant influence is the power to participate in the financial and operating policy decisions of an investee, but is not control or joint control over these entities. Significant influence is presumed to exist where the Bank holds between 20% and 50% of the voting rights of an entity. Significant influence may also exist where the Bank holds less than 20% of the voting rights and has influence over financial and operating policy-making processes, through board representation and significant commercial arrangements. Associates and joint ventures are accounted for using the equity method of accounting. Investments in associates and joint ventures are carried on the Consolidated Balance Sheet initially at cost and increased or decreased to recognize the Bank's share of the profit or loss of the associate or joint venture, capital transactions, including the receipt of any dividends, and write-downs to reflect any impairment in the value of such entities. These increases or decreases, together with any gains and losses realized on disposition, are reported on the Consolidated Statement of Profit & Loss. The following are the associates of the bank that meets the consolidation criteria:

Subsidiary	Principal Activities	Ownership as on:	
		16th July 2025	15th July 2024
First Microfinance Laghu Bittiya Sanstha Limited	The Associate is of the bank is microfinance banking institute with license to operate as a D class financial institution from Nepal Rastra Bank. The principal activity of the associate is to improve access to wide range of financial services of the poor and marginalized members as per customer needs. It strives to promote a culture of saving, encourages income generation, supports micro-enterprises development and provides social security services to its member. It aims to focus on improving livelihood of target people with priority to agriculture and micro enterprises.	**4%**	**4%**
National Microfinance Bittiya Sanstha Limited		**9%**	**9%**
Mero Microfinance Bittiya Sanstha Limited		**7%**	**7%**
Aviyan Laghubitta Bittiya Sanstha Ltd		**10%**	**10%**
Solar Farm Limited	The Associate of the bank is a 5 MW solar PV power plant in Gandaki Province, which was commissioned in September 2021.The Farm is the first on-grid solar IPP to secure a 25- year power purchase agreement with Nepal Electricity Authority.	**-**	**9%**
Avasar Equity Limited	Avasar Equity Limited is a Private Equity/Venture Capital Fund Manager licensed by Securities Board of Nepal (SEBON). The company is promoted by Siddhartha Bank, Sanima Bank, Kumari Bank, Nepal Bank, prominent personalities from diverse business sectors of Nepal and highly experienced professionals. Avasar Equity are an investee-centric organization driven by our commitment to help our investee companies achieve their maximum potential. We support the long-term success of our investee companies operating in various industries by connecting them to an array of resources.	**10%**	**10%**
Avasar Equity Diversified Fund		**19%**	**22%**

1.3.3 Loss of Control

When the Bank loses control over a Subsidiary, it derecognizes the assets and liabilities of the former subsidiary from the consolidated statement of financial position. The Bank recognizes any investment retained in the former subsidiary at its fair value when control is lost and subsequently accounts for it and for any amounts owed by or to the former subsidiary in accordance with relevant NFRSs. That fair value shall be regarded as the fair value on initial recognition of a financial asset in accordance with relevant NFRS or, when appropriate, the cost on initial recognition of an investment in an associate or joint venture. The Bank recognizes the gain or loss associated with the loss of control attributable to the former controlling interest.

1.3.4 Transaction elimination on consolidation

Intra group balances and transactions, any unrealized income and expenses arising from intra group transactions, are eliminating in preparing the consolidated financial statements. Unrealized gains/losses arising from transactions with equity accounted investees are eliminated against the investments to the extent of group interest of investee.

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The Financial Statements of Bank for the year ended 16th July, 2025 comprising Statement of Financial Position, Statement of Profit or loss and Other Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows and Notes to the Financial Statements (including Significant Accounting Policies), have been prepared in accordance with Nepal Financial Reporting Standards (hereafter referred as NFRS), laid down by the Institute of Chartered Accountants of Nepal and in compliance with the requirements of all applicable laws and regulations.

The preparation of these financial statements in conformity with NFRS requires management to make judgments, estimates, and assumptions that affect the reported amounts of assets, liabilities, income, and expenses, along with the disclosure of contingent liabilities. These estimates and underlying assumptions are reviewed periodically. Actual results may differ from these estimates.

2.2 Compliance to non-optional carve-outs to NFRS 9 issued by ICAN

In response to the practical implementation challenges faced by Banks and Financial Institutions (BFIs), the 354th Meeting of the Council of ICAN, held on 2082/05/02, issued certain non-optional carve-outs to NFRS 9: Financial Instruments. These carve-outs are effective until the end of Fiscal Year 2082/83.

In accordance with these carve-outs, the Bank has applied the following alternative treatments as permitted by ICAN:

2.2.1 Impairment Measurement Basis

The Bank measures the impairment loss on its loans and advances at the higher of:

- Amount determined under the Expected Credit Loss Model in accordance with paragraph 5.5 of NFRS 9, and
- Amount of loan loss provision required as per the prevailing unified directives issued by Nepal Rastra Bank.

This treatment is a non-optional requirement for all financial institutions registered under the Bank and Financial Institution Act, 2073, and supersedes the full expected credit loss (ECL) model outlined in NFRS 9 for the specified period.

2.2.2 Interest Revenue Recognition

For banks and financial institutions, interest revenue on financial assets can be recognized as per the Guidance Note issued by Nepal Rastra Bank, as an alternative to the specific requirements in paragraph 5.4.1 of NFRS 9.

The Bank has applied these carve-outs in preparing these financial statements. The impact of applying these carve-outs, compared to the full requirements of NFRS 9, is that the impairment provision and interest revenue are calculated based on a hybrid model that incorporates regulatory prudential norms. These financial statements therefore comply with NFRS as modified by the above carve-outs.

2.3. Reporting Period and Approval of Financial Statements

2.3.1. Reporting Period

The Bank has prepared the financial statements in accordance with NFRS depicting financial performance for FY 2024/25 and financial position of 16th July 2025 and the comparatives of FY 2023/24.

2.3.2. Responsibility for Financial Statements

The preparation and presentation of Financial Statements including consolidated financial statements is the responsibility of the Board of Directors as per the governing provisions.

2.3.3. Approval of Financial Statements by Directors

The accompanied Financial Statements have been authorized to issue by the Board of Directors vide its resolution dated 12th November 2025 and recommended for its approval by the Annual General Meeting of the shareholders.

2.4. Use of Estimates, Assumptions and Judgments

The preparation of Financial Statements in conformity with Nepal Financial Reporting Standards requires the management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ due to these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised and in any future periods affected.
The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect in the Financial Statements are as follows:

2.4.1 Going Concern

The Directors have made an assessment of Bank's ability to continue as a going concern and satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board is not aware of any material uncertainties that may provide significant doubt upon Bank's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of it. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.4.2 Fair Value of Financial Instruments

Where the fair values of financial assets and financial liabilities recorded in the statement of financial position can be derived from active markets, they are derived from observable market data. However, if this is not available, judgment is required to establish fair values.

2.4.3 Taxation

The Bank is subject to income tax and judgment is required to determine the total provision for current, deferred and other taxes due to the uncertainties that exist with respect to the interpretation of the applicable tax laws, at the time of preparation of these Financial Statements. Deferred tax assets are recognized in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilized. Judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and level of future taxable profits, together with future tax planning strategies.

2.4.4 Defined Benefit Plans

The cost of the defined benefit obligations and the present value of their obligations are determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, future salary increments, mortality rates and possible future pension increments if any. Due to the long term nature of these plans, such estimates are subject to uncertainty. All assumptions are reviewed at each reporting date. In determining the appropriate discount rate, management considers the interest rates of Nepal government bonds with maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increment and pension increment are based on expected future salary increment rates of the Bank.

2.4.5 Fair Value of Property, Plant and Equipment

The freehold land and buildings of the bank are presented at cost. Since the property, plant and equipment are not reflected at fair value, no revaluation has been carried at the reporting date.

2.4.6 Useful Life-time of the Property, Plant and Equipment

The Bank is following the cost model for recognition of Property, Plant and Equipment. The Bank reviews the residual values, useful lives and methods of depreciation of property, plant and equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

2.4.7 Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured.
Contingent liabilities are not recognized in the Statement of Financial Position but are disclosed unless they are remote.

2.4.8 Classification of Investment Properties

Management requires using its judgment to determine whether a property qualifies as an investment property. The Bank has developed criteria so it can exercise its judgment consistently. A property that is held to earn rentals or for capital appreciation or both and which generates cash flows largely independently of the other assets held by the Bank is accounted for as investment properties. On the other hand, a property that is used for operations or in the process of providing services or for administrative purposes and which do not directly generate cash flows as standalone assets are accounted for as property, plant and equipment. The Bank assesses on an annual basis the accounting classification of its properties taking into consideration the current use of such properties.

2.5 Changes in Accounting Policies

2.5.1 NFRS 9- Financial Instruments

The Bank has applied Nepal Financial Reporting Standard NFRS 9 - "Financial Instruments" (NFRS 9) effective for annual fiscal year 2081-82, for the first time when preparing these financial statements. This standard replaced Nepal Accounting Standard NAS 39 – "Financial Instruments: Recognition and Measurement" (NAS 39). NFRS 9 brought about significant changes to the classification and measurement of financial instruments and impairment assessment pertaining to such instruments.

2.5.2 Changes to the impairment calculation

The adoption of NFRS 9 has fundamentally changed the Bank's accounting for loan loss impairment by replacing incurred loss approach as per NAS 39 with a forward-looking expected credit loss (ECL) approach. NFRS 9 requires the Bank to record an allowance for ECLs for all loans and other debt financial assets not held at FVTPL, together with loan commitments and financial guarantee contracts. The allowance is based on the ECLs associated with the probability of default in the next twelve months unless there has been a significant increase in credit risk since origination. If the financial asset meets the definition of purchased or originated credit impaired (POCI), the allowance is based on the change in the ECLs over the life of the asset.

2.5.3 Classification and Subsequent Measurement of Financial Instruments

To determine their classification and measurement category, NFRS 9 requires all financial assets, except equity instruments and derivatives, to be assessed based on a combination of the entity's business model for managing the assets and the instruments' contractual cash flow characteristics. The NFRS 9 measurement categories of financial assets (fair value through profit or loss (FVTPL), available for sale (AFS), held-to-maturity and loans and receivables - amortized cost) have been replaced by:

- Debt instruments at amortized cost
- Debt instruments at fair value through other comprehensive income (FVOCI), with gains or losses recycled to profit or loss on de-recognition
- Equity instruments at FVOCI, with no recycling of gains or losses to profit or loss on de-recognition
- Financial assets Fair Value through Profit & Loss (FVTPL)

2.6 Discounting

When the realization of assets and settlement of obligation is for more than one year, the Bank considers the discounting of such assets and liabilities where the impact is material. Various internal and external factors have been considered for determining the discount rate to be applied to the cash flows of company.

Service fees charged by the bank on loans and advances unless immaterial or impracticable to determine reliably is to be considered for computation of Effective Interest Rate. However, bank has opted the Carve-out (not optional) pronounced by Institute of Chartered Accountants of Nepal (ICAN) on 2nd Bhadra 2082; as per the notice issued by ICAN regarding the extension of a year time for its implementation.

Defined Benefit Plan; that includes gratuity has been determined by considering discount rate as the average yield on government bonds issued during the period having maturity of five years or more.

2.7 Materiality and Aggregation

In compliance with Nepal Accounting Standard - NAS 01 (Presentation of Financial Statements), each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately unless they are immaterial. Financial Assets and Financial Liabilities are offset and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Statement of Profit or Loss unless required or permitted by an Accounting Standard.

2.8 Comparative Information

The Financial Statement of the Bank provides comparative information in respect of previous periods. The accounting policies have been consistently applied by Bank with those of the previous financial year in accordance with NAS 01 Presentation of Financial Statements, except those which had to be changed as a result of application of the new NFRS or expiry of the carve out period. Further, comparative information is reclassified wherever necessary to comply with the current presentation.

3. Significant Accounting Policies

The accounting policies set out below have been applied consistently to all periods presented in these Financial Statements, and deviations if any have been disclosed accordingly.

3.1 Impairment Losses on Loans & Advances

3.1.1 Individual impairment assessment

The Group reviewed their individually significant loans and advances at each reporting date to assess whether an impairment loss should be recorded in the statement of profit or loss. In particular, management judgement was required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates were based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance made.

3.1.2 Collective impairment assessment

Loans and advances that have been assessed individually and found not to be impaired and all individually insignificant loans and advances are then assessed collectively, by categorizing those into groups of assets with similar credit risk characteristics, to determine whether a provision should be made due to expected loss events.

3.1.3 Applicable prior to 16th July 2024

Prior to 16th July 2024, provisions were made for incurred loss events for which there is objective evidence, but the effect of which are not yet evident. The collective assessment takes account of data from the loan portfolio such as number of days in arrears and judgements on the effect of concentrations of risks and economic data (including levels of GDP growth, unemployment, inflation, interest rates, exchange rates, effect of regulatory changes), and trends in non-performing loans.

3.1.4 Applicable from 16th July 2024

The measurement of impairment losses under NFRS 9 requires judgement across all categories of financial assets, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates are driven by a number of factors, changes in which can result in different levels of impairment allowances. The Bank's ECL calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL models that are considered for accounting judgements and estimates include:

- The Bank's criteria for assessing if there has been a significant increase in credit risk as a result out which allowances for financial assets should be measured on a Life Time ECL basis and the qualitative assessment
- The segmentation of financial assets when their ECL is assessed on a collective basis
- Development of ECL models, including the various formulas and the choice of inputs
- Determination of associations between macro-economic scenarios and, economic inputs, such as unemployment levels, GDP growth, inflation interest rates, exchange rates, and the effect on PDs, EADs and LGDs
- Selection of forward-looking macro-economic scenarios and their probability weightings, to derive at the economic inputs into the ECL models

The Bank's policy is to regularly review its models in the context of actual loss experience and adjust when necessary. The impairment loss on loans and advances is disclosed in the financial statements.

3.1.5 Impairment of Financial Assets carried at Amortized Cost - Applicable from 16th July 2024

The Group assesses impairment for financial assets carried at amortized cost in line with the same principles used for assessment for impairment of loans and receivables. The impairment loss on financial assets carried at amortized cost is disclosed in the financial statements.

3.1.6 Impairment for Financial Guarantees, Letter of Credit & Undrawn Loan Commitments - Applicable from 16th July 2024

The Group assesses impairment for off balance sheet exposures such as financial guarantees letter of credit and undrawn commitments in line with ECL principles. Impairment loss on above exposures is disclosed in the financial statements.

3.2 Basis of Measurement

The Financial Statements of Bank have been prepared on the historical cost basis, except for the following material items in the Statement of Financial Position:

- Available for sale investments (quoted) are measured at fair value.
- Liabilities for defined benefit obligations are recognized at the present value of the defined benefit obligation less the fair value of the plan assets.
- Financial assets and financial liabilities held at amortized cost are measured using a rate that is a close approximation of effective interest rate opting the available Carve Out pronounced by Institute of Chartered Accountants of Nepal.

3.3 Cash and cash equivalent

Cash and Cash Equivalents include cash in hand, balances with banks, placements with banks and money at call and at short notice with original maturity less than three months from the date of acquisition date that are subject to an insignificant risk of changes in their fair value, and are used for short term commitments.

Details of the Cash and Cash Equivalents are given in Note 4.1 to the Financial Statements.

3.4 Financial Assets

3.4.1 Financial Instruments – Initial Recognition, Classification and Subsequent Measurement

Date of Recognition

All financial assets and liabilities with the exception of loans and advances to customers and balances due to customers are initially recognized on the trade date, i.e., the date that the Group becomes a party to the contractual provisions of the instrument. This includes "regular way trades". Regular way trades mean purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the marketplace. Loans and advances to customers are recognized when funds are transferred to the customers' accounts. The bank recognizes balances due to customers when funds are transferred to the bank.

Recognition and Initial Measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing instruments as described in Note 3.4 to the financial statements.

All financial instruments are measured initially at their fair value, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss. Transaction costs are added to, or subtracted from, this amount.

Trade receivables are measured at transaction price. When the fair value of financial instruments at initial recognition differs from the transaction price, the bank accounts for the 'Day 1' profit or loss, as described below.

Day 1 Profit or Loss

When the transaction price of the instrument differs from the fair value at origination and the fair value is based on a valuation technique using only inputs observable in market transactions, the Bank recognizes the

difference between the transaction price and fair value in net trading income. In those cases, where fair value is determined based on models for which some of the inputs are not observable, the difference between the transaction price and the fair value deferred is only recognized in the statement of profit or loss when the inputs become observable, or when the instrument is de-recognized.

Measurement Categories of Financial Assets & Liabilities

The Bank classifies all of its financial assets based on the business model for managing the assets and the asset's contractual terms, measured at either:

- Amortized cost,
- Fair Value through Other Comprehensive Income (FVOCI),
- Fair Value through Profit or Loss (FVTPL)

The Bank classifies and measures its derivative and trading portfolio. The Bank may designate financial instruments at FVTPL, if doing so eliminates or significantly reduces measurement or recognition inconsistencies, Before 1st January 2018, the Bank classified its financial assets as loans and receivables (amortized cost), FVPL, available-for-sale or held-to-maturity.

Financial liabilities, other than loan commitments and financial guarantees, are measured at amortized cost or at FVPL. The financial liabilities are measured at FVPL when they are either derivative instruments, held for trading or the fair value designation is applied.

Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount presented in the Statement of Financial Position only when the Group has a legal right to set-off the recognized amounts and it intends either to settle on a net basis or to realize the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted under NASs/NFRSs or for gains and losses arising from a group of similar transactions such as in the Group's trading activity.

3.5 Financial Liabilities

3.5.1 Due from Banks, loans & Advances to Customers, Financial Assets at Amortized Cost

Due from banks and loans and advances to customers, included non–derivative financial assets with fixed or determinable payments that were not quoted in an active market, other than those:

- That the Bank intended to sell immediately or in the near term
- That the Bank, upon initial recognition, designated as FVTPL or as available-for-sale
- For which the Bank may not recover substantially all of its initial investment, other than because of credit deterioration, which were designated as available-for sale.

The Bank only measures due from banks, loans and advances to customers and other financial assets at amortized cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows
- The contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI) on the principal amount outstanding.

The details of these conditions are outlined below:

Business Model Assessment

The Bank determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective. The Bank's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel"
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected)

- The expected frequency, value and timing of sales are also important aspects of the Bank's assessment

The business model assessment is based on reasonably expected scenarios without taking into account "worse case" or "stress case" scenarios. If cash flows after initial recognition are realized in a way that is different from the Bank's original expectations, the Bank does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

The SPPI Test (Solely Payments of Principal and Interest)
As a second step of its classification process the Bank assesses the contractual terms of the financial assets to identify whether they meet the SPPI test. "Principal" for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortization of the premium/discount). The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Bank applies judgement and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set. In contrast, contractual terms that introduce a more than "deminimis" exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVTPL.

3.5.2 Financial Liabilities at Fair Value Through Profit or Loss (FVTPL)

Financial liabilities in this category are those that are not held for trading and have been either designated by the Bank upon initial recognition or are mandatorily required to be measured at fair value under NFRS 9. Bank only designates an instrument at FVTPL upon initial recognition when one of the following criteria are met. Such designation is determined on an instrument-by-instrument basis:

The designation eliminates, or significantly reduces, the inconsistent treatment that would otherwise arise from measuring the liabilities or recognizing gains or losses on them on a different basis Or

The liabilities are part of a group of financial liabilities, which are managed and their performances are evaluated on a fair value basis, in accordance with a documented risk management or investment strategy Or

The liabilities containing one or more embedded derivatives, unless they do not significantly modify the cash flows that would otherwise be required by the contract, or it is clear with little or no analysis when a similar instrument is first considered that separation of the embedded derivative(s) is prohibited financial liabilities at FVPL are recorded in the statement of financial position at fair value.

Changes in fair value are recorded in profit and loss with the exception of movements in fair value of liabilities designated at FVPL due to changes in the Bank's own credit risk. Such changes in fair value are recorded in the own credit reserve through OCI and do not get recycled to the profit or loss. Interest earned or incurred on instruments designated at FVPL is accrued in interest income or interest expense, respectively, using the EIR, taking into account any discount/ premium and qualifying transaction costs being an integral part of the instrument.

3.5.3 Financial Guarantees, Letter of Credit & Undrawn Loan Commitments

The Bank issues financial guarantees, letters of credit and loan commitments. Financial guarantees are initially recognized in the financial statements (within Provisions) at fair value, being the premium received. Subsequent to initial recognition, the Bank's liability under each guarantee is measured at the higher of the amount initially recognized less cumulative amortization recognized in the statement of profit or loss, and

- under NAS 39 – the best estimate of expenditure required to settle any financial obligation arising as a result of the guarantee, or
- under NFRS 9 – an ECL provision as set out to the financial statements.

The premium received is recognized in the statement of profit or loss in net fees and commission income on a straight-line basis over the life of the guarantee. Undrawn loan commitments and letters of credits are commitments under which, over the duration of the commitment, the Bank is required to provide a loan with pre-specified terms to the customer. Similar to financial guarantee contracts, under NAS 39, a provision was made if they were an onerous contract but, these contracts are in the scope of the ECL requirements. The nominal contractual value of financial guarantees, letters of credit and undrawn loan commitments, where the loan agreed to be provided is on market terms, are not recorded on in the statement of financial position.

3.6 Reclassifications of Financial Instruments

With the adoption of NFRS 9, the Bank reclassifies its financial assets subsequent to the initial recognition when an only when the business model for managing such financial assets is changed. Such reclassifications are applied prospectively from the reclassification date. Financial liabilities are never reclassified.

If a financial asset is reclassified out of the amortized cost measurement category and into the fair value through profit or loss measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from a difference between the previous amortized cost of the financial asset and fair value is recognized in statement of profit or loss.

If the reclassification takes place out of the fair value through profit or loss category into the amortized cost measurement category, its fair value at the reclassification date becomes the new gross carrying amount.

If the reclassification takes place out of the amortized cost measurement category and into the fair value through other comprehensive income measurement category, fair value is measured at the reclassification date. Any gain or loss arising from a difference between the previous amortized cost of the financial asset and fair value is recognized in other comprehensive income. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.

3.7 Repurchase and Reverse Repurchase Agreements

Securities sold under agreement to repurchase at a specified future date are not de-recognized from the Statement of Financial Position as the Bank retains substantially all of the risks and rewards of ownership. The corresponding cash received is recognized in the Statement of Financial Position as a liability with a corresponding obligation to return it, including accrued interest under 'Securities sold under repurchase agreements', reflecting the transaction's economic substance to the Bank. The difference between the sale and repurchase prices is treated as interest expense and is accrued over the life of the agreement using the effective interest rate. When the bank has the right to sell or re-pledge the securities, the Bank reclassifies those securities in its Statement of Financial Position as 'Financial assets held for trading' pledged as collateral or 'Financial assets at fair value through OCI' pledged as collateral, as appropriate.

Conversely, securities purchased under agreements to resell at future date are not recognized in the Statement of Financial Position. The consideration paid, including accrued interest, is recorded in the Statement of Financial Position, under "Reverse repurchase agreements' reflecting the transaction's economic substance to the Bank. The difference between the purchase and resale prices is recorded as 'Interest income' and is accrued over the life of the agreement using the effective interest rate. If securities purchased under agreement to resell are subsequently sold to third parties, the obligation to return the securities is recorded as a short sale within 'Financial liabilities held for trading' and measured at fair value with any gains or losses included in 'Net trading income'.

3.8 Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount presented in the Statement of Financial Position when and only when Bank has a legal right to set off the recognized amounts and it intends either to settle on a net basis or to realize the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted under NFRSs or for gains and losses arising from a group of similar transaction such as in trading activity.

3.9 Amortized Cost Measurement

The Amortized cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortization using the effective interest method of any difference between the initial amount recognized and the maturity amount, minus any reduction for impairment.

3.10 Fair Value Measurement

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability or
- In the absence of principal market, in the most advantageous market for asset or liability.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- ***Level 1 - Valuation technique using quoted market price:*** financial instruments with quoted prices for identical instruments in active markets.

- ***Level 2 - Valuation technique using observable inputs:*** financial instruments with quoted prices for similar instruments in active markets or quoted prices for identical or similar instruments in inactive markets and financial instruments valued using models where all significant inputs are observable.

- ***Level 3 – Valuation technique with significant unobservable inputs:*** financial instruments valued using valuation techniques where one or more significant inputs are unobservable.

Level 1

When available, the Bank measures the fair value of an instrument using quoted prices in an active market for that instrument or dealer price quotations, without any deduction for transaction costs.

A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

Level 2

If a market for a financial instrument is not active, then the Bank establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analysis and option pricing models.

The chosen valuation technique makes maximum use of market inputs, relies as little as possible on estimates specific to the Group, incorporates all factors that market participants would consider in setting a price, and is consistent with accepted economic methodologies for pricing financial instruments.

Level 3

Certain financial instruments are recorded at fair value using valuation techniques in which current market transactions or observable market data are not available. Their fair value is determined using a valuation model that has been tested against prices or inputs to actual market transactions and using the Bank's best estimate of the most appropriate model assumptions.

The fair value of a demand deposit is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest best use or by selling it to another market participant that would use the asset in its highest and best use.

The Bank recognizes transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

3.11 Trading Assets

Financial assets such as government securities, equity etc. held for short term with an intention to trade have been classified as trading assets. Trading assets are measured at fair value with any changes in fair value being recognized in Profit or Loss.

3.12 Derivative assets and derivative liabilities

Derivative financial instruments such as forward foreign exchange contracts are valued using a valuation technique with market observable inputs. The most frequently applied valuation technique is forward pricing model which incorporates various inputs including foreign exchange spot and forward premiums.

Forward contracts are the contracts to purchase or sell a specific quantity of a financial instrument, a commodity, or a foreign currency at a specified price determined at the outset, with delivery or settlement at a specified future date. Settlement is at maturity by actual delivery of the item specified in the contract, or by a net cash settlement.

All freestanding contracts that are considered derivatives for accounting purposes are carried at fair value on the statement of financial position regardless of whether they are held for trading or non-trading purposes. Changes in fair value on derivatives held for trading are included in net gains/ (losses) from financial instruments in fair value through profit or loss on financial assets/ liabilities at fair value through profit or loss.

3.13 Property and Equipment

3.13.1 Recognition

Property, plant and equipment are tangible items that are held for use in the production or supply of services, for rental to others or for administrative purposes and are expected to be used during more than one period. The Bank applies the requirements of the Nepal Accounting Standard - NAS 16 (Property, Plant and Equipment) in accounting for these assets. Property, plant and equipment are recognized if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably measured.

The freehold land and buildings of the bank are measured at cost and not reflected at fair value and no revaluation has been carried at the reporting date.

Fixed assets except land are stated at acquisition cost less accumulated depreciation. Acquisition cost includes expenditures that are directly attributable to the acquisition of the assets.

3.13.2 Measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to, replace part of an item of property, plant & equipment. The cost of self-constructed assets includes the cost of materials and direct labor, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring the site on which they are located. Purchased software that is integral to the functionality of the related equipment is capitalized as part of computer equipment. When parts of an item of property or equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Assets with a value less than Rs. 10,000 are charged off as a revenue expense irrespective of its useful life in the year of purchase.

Leasehold improvements are capitalized at cost and amortized over the period of five years. The amount of amortization is charged as revenue expenses.

3.13.3 Cost Model

Property and equipment is stated at cost excluding the costs of day–to–day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the equipment when that cost is incurred, if the recognition criteria are met.

3.13.4 Revaluation Model

The Bank has not applied the revaluation model to the any class of freehold land and buildings or other assets. Such properties are carried at a previously recognized GAAP Amount.

However, the assets and liabilities transferred from the business combination of Nepal Commerce and Credit Bank Limited is recognized at fair value.

3.13.5 Subsequent Cost

The subsequent cost of replacing a component of an item of property, plant and equipment is recognized in the carrying amount of the item, if it is probable that the future economic benefits embodied within that part will flow to the Bank and it can be reliably measured. The cost of day-to-day servicing of property, plant and equipment are charged to the Statement of Profit or Loss as incurred.

3.13.6 De-recognition

The carrying amount of an item of property, plant and equipment is derecognized on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of property, plant and equipment is included in the Statement of Profit or Loss when the item is derecognized. When replacement costs are recognized in the carrying amount of an item of property, plant and equipment, the remaining carrying amount of the replaced part is derecognized. Major inspection costs are capitalized. At each such capitalization, the remaining carrying amount of the previous cost of inspections is derecognized. The gain or losses arising from de-recognition of an item of property, plant and equipment is included in profit or loss when the item is derecognized.

3.13.7 Depreciation

Depreciation is calculated by on the basis of useful life of the asset on cost or carrying value of property, plant & equipment other than freehold land.

The depreciable amount of an item of property, plant and equipment is allocated on systematic basis over its useful life, under written down value method of depreciation except for Leasehold properties and is depreciated as follows:

Asset Category	Estimated Useful Life of Asset (Years) FY 2081/82	Estimated Useful Life of Asset (Years) FY 2080/81
Buildings	40 Years	40 Years
Vehicles	10 Years	10 Years
Office Equipment	8 Years	8 Years
Furniture & Fixtures (Metal & Wooden)	8 Years	8 Years
Computer Hardware	8 Years	8 Years
Battery	6 Years	6 Years
Leasehold Properties	5 Years	5 Years

Salvage Value is assumed to be 10% of the cost of the asset in case of asset depreciated on Diminishing Value Method.

Depreciation on newly acquired property and equipment are charged from the next month of booking. Depreciation of property and equipment ceases when it is derecognized at the time of its disposal. For the expenses allowance for tax purpose; depreciation is provided as per Income Tax Act. The differences in the calculation of depreciation as per financial and as per Income tax act is taken up for calculation of deferred tax.

3.13.8 Changes in Estimates

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

3.13.9 Capital Work in Progress

These are expenses of capital nature directly incurred in the construction of buildings, major plant and machinery and system development, awaiting capitalization. Capital work-in-progress would be transferred to the relevant asset when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management. Capital work-in-progress is stated at cost less any accumulated impairment losses.

3.13.10 Borrowing Costs

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of an asset. All other borrowing costs are expensed in the period in which they occur. Borrowing costs consist of interest and other costs that the Bank incurs in connection with the borrowing of funds.

3.14 Intangible Assets

3.14.1 Recognition

An intangible asset is an identifiable non-monetary asset without physical substance, held for use in the production or supply of goods or services, for rental to others or for administrative purposes. An intangible asset is recognized if it is probable that the future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably. An intangible asset is initially measured at cost. Expenditure incurred on an intangible item that was initially recognized as an expense by the Bank in previous annual Financial Statements or interim Financial Statements are not recognized as part of the cost of an intangible asset at a later date.

3.14.2 Computer Software and License

Cost of purchased licenses and all computer software costs incurred, licensed for use by the Bank, which are not integrally related to associated hardware, which can be clearly identified, reliably measured, and it's probable that they will lead to future economic benefits, are included in the Statement of Financial Position under the category 'Intangible assets' and carried at cost less accumulated amortization and any accumulated impairment losses.

Acquired computer software licenses are capitalized on the basis of cost incurred to acquire and bring to use the specific software and are amortized over their useful life estimated as 5 years from the date of acquisition.

3.14.3 Subsequent Expenditure

Expenditure incurred on software is capitalized only when it is probable that this expenditure will enable the asset to generate future economic benefits in excess of its originally assessed standard of performance and this expenditure can be measured and attributed to the asset reliably. All other expenditure is expensed as incurred.

3.14.4 Amortization of Intangible Assets

Intangible Assets, except for goodwill, are amortized on a straight–line basis in the Statement of Profit or Loss from the date when the asset is available for use, over the best of its useful economic life based on a pattern in which the asset's economic benefits are consumed by the bank. Amortization methods, useful lives, residual values are reviewed at each financial year end and adjusted if appropriate. The Bank assumes that there is no residual value for its intangible assets.

Asset Category	For the year ended 16th July 2025	For the year ended 15th July 2024
Computer Software	5 years	5 years

3.14.5 De-recognition of Intangible Assets

The carrying amount of an item of intangible asset is derecognized on disposal or when no future economic benefits are expected from its use. The gain or loss arising on de recognition of an item of intangible assets is included in the Statement of Profit or Loss when the item is derecognized.

3.15 Investment Property

Investment property is property (land or a building or part of a building or both) held (by the owner or by the lessee under a finance lease) to earn rentals or for capital appreciation or both but not for sale in the ordinary course of business.

3.15.1 Measurement

Investment property is accounted for under Fair Value in the Financial Statements. In the absence of information related to market price of the properties, the amount outstanding at the time of settlement of loan has been considered as the fair value of the asset.

3.15.2 De-recognition

Investment properties are derecognized when they are disposed of or permanently withdrawn from use since no future economic benefits are expected. Transfers are made to and from investment property only when there is a change in use. When the use of a property changes such that it is reclassified as Property, Plant and Equipment, its fair value at the date of reclassification becomes its cost for subsequent accounting.

3.16 Income Tax

The Bank is subject to income tax and judgment is required to determine the total provision for current, deferred and other taxes due to the uncertainties that exist with respect to the interpretation of the applicable tax laws, at the time of preparation of these Financial Statements.

As per Nepal Accounting Standard- NAS 12 (Income Taxes) tax expense is the aggregate amount included in determination of profit or loss for the period in respect of current and deferred taxation. Income Tax expense is recognized in the statement of Profit or Loss, except to the extent it relates to items recognized directly in equity or other comprehensive income in which case it is recognized in equity or in other comprehensive income. The Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to tax authorities.

Current Tax

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to Inland Revenue Department in respect of the current year, using the tax rates and tax laws enacted or substantively enacted on the reporting date and any adjustment to tax payable in respect of prior years.

Deferred Tax

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax liabilities are recognized for all taxable temporary differences except:

- Where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination, and at the time of transaction, affects neither the accounting profit nor taxable profit or loss.

- In respect of taxable temporary differences associated with investments in subsidiaries, where the timing of the reversal of the temporary differences can be controlled and is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognized for all deductible temporary differences, carried forward unused tax credits and unused tax losses (if any), to the extent that it is probable that the taxable profit will be available against which the deductible temporary differences, carried forward unused tax credits and unused tax losses can be utilized except:

- Where the deferred tax asset relating to the deductible temporary differences arising from the initial recognition of an asset or liability in a transaction that is not a business combination, and at the time of transaction, affects neither the accounting profit nor taxable profit or loss.
- In respect of deductible temporary differences associated with investments in Subsidiaries, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary difference will be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is probable that sufficient profit will be available to allow the deferred tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.
Current and deferred tax assets and liabilities are offset only to the extent that they relate to income taxes imposed by the same taxation authority.

3.16 Deposits, debt securities issued and subordinated liabilities

Deposits, debt securities issued and subordinated liabilities are the Bank's sources of funding. Deposits include non-interest-bearing deposits, saving deposits, term deposits, call deposits and margin deposits. The estimated fair value of deposits with no stated maturity period is the amount repayable on demand. The fair value of fixed interest-bearing deposits is considered as the interest receivable on these deposits plus carrying amount of these deposits. The fair value of debt securities issued is also considered as the carrying amount of these debt securities issued. Sub-ordinate liabilities are liabilities subordinated, at the event of winding up, to the claims of depositors, debt securities issued and other creditors.

3.17 Provisions, Commitments and Contingencies

A provision is recognized if, as a result of a past event, the Bank has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. The amount recognized is the best estimate of the consideration required to settle the present obligation at the reporting date, taking in to account the risks and uncertainties surrounding the obligation at that date. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is determined based on the present value of those cash flows. A provision for onerous contracts is recognized when the expected benefits to be derived by the Bank from a contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision is measured as the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract.

Before a provision is established, the Bank recognizes any impairment loss on the assets associated with that contract. The expense relating to any provision is presented in the Statement of Profit or Loss net off any reimbursement.

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognized in the Statement of Financial Position but are disclosed unless they are remote.

The Bank receives legal claims against it in the normal course of business. Management has made judgments as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claims is uncertain, as is the amount of possible outflow of economic benefits.

3.18 Revenue Recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to Bank and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognized.

Interest Income

Interest income is recognized in profit or loss for all interest-bearing instruments on an accrual basis using the method which is approximately the same with effective interest method as allowed by carve-out on NFRS. The effective interest rate is the rate that exactly discounts the expected estimated future cash payments and receipts through the expected life of the financial asset or liability. Where financial assets have been impaired, interest income continues to be recognized on the impaired value, based on the original effective interest rate.

Fee and Commission Income

Fees earned for the provision of services over a period of time are accrued over the period, which include service fees and commission income. The bank has availed the option provided as per carve out of NFRS for transaction cost to be included in computing effective interest rate.

Dividend Income

Dividend income is recognized when the right to receive payment is established.

Net Trading Income

Net trading income comprises gains less losses relating to trading assets and liabilities, and includes all realized interest, dividend on financial assets held for trading and foreign exchange differences as wells as unrealized changes in fair value of trading assets and liabilities.

Net income from other financial instrument measured at fair value through Profit or Loss

Trading assets such as equity shares and mutual fund are recognized at fair value through profit or loss. No other financial instruments are designated at fair value through profit or loss. The bank has no income under the heading net income from other financial instrument at fair value through profit or loss.

3.19 Interest expense

For financial liabilities measured at amortized cost, interest expense is recognized using the EIR to the extent material and practicable. EIR is the rate that exactly discounts estimated future cash payments through the expected life of the financial liabilities or a shorter period, where appropriate, to the net carrying amount of the financial liability.

3.20 Employee Benefits

Employee benefits include:

a. Short-term employee benefits such as the following, if expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related services:
   - Wages, salaries and social security contributions;
   - Paid annual leave and paid sick leave;
   - Profit sharing and bonuses, and
   - Non-monetary benefits (such as medical care, housing, cars and free or subsidized goods or services) for current employees;

   Short term employee benefits are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognized for the amount expected to be paid under short term cash bonus or profit-sharing plans if the Bank has present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

b. Post-employment benefits, such as the following:
   - Retirement benefits (e.g.: pensions, lump sum payments on retirement); and
   - Other post-employment benefits such as post-employment life insurance and post-employment medical care;
   - Other long term employee benefits and
   - Termination benefits

3.20.1 Post employments benefits

a. Defined Contribution Plans

A defined contribution plan is a post-employment benefit plan under which the Bank makes fixed contribution into a separate Bank account (a fund) and will have no legal or constructive obligation to pay further contributions even if the fund does not hold sufficient assets to pay all employee benefits relating to employee services in the current and prior periods as defined in Nepal Accounting Standards – NAS 19 (Employee Benefits).

The contribution payable by the employer to a defined contribution plan in proportion to the services rendered to Bank by the employees and is recorded as an expense under 'Personnel Expense' as and when they become due. Unpaid contributions are recorded as a liability under 'Other Liabilities' in Notes 4.23.

Bank contributed 10% of the salary of each employee to the Employees' Provident Fund. The above expenses are identified as contributions to 'Defined Contribution Plans' as defined in Nepal Accounting Standards – NAS 19 (Employee Benefits).

b. Defined Benefit Plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. Accordingly, staff gratuity has been considered as defined benefit plans as per Nepal Accounting Standards – NAS 19 (Employee Benefits).

3.20.2 Gratuity

An actuarial valuation is carried out every year to ascertain the full liability under gratuity.

Bank's obligation in respect of defined benefit obligation is calculated by estimating the amount of future benefit that employees have earned for their service in the current and prior periods and discounting that benefit to determine its present value, then deducting the fair value of any plan assets to determine the net amount to be shown in the Statement of Financial Position. The value of a defined benefit asset is restricted to the present value of any economic benefits available in the form of refunds from the plan or reduction on the future contributions to the plan. In order to calculate the present value of economic benefits, consideration is given to any minimum funding requirement that apply to any plan in Bank. An economic benefit is available to Bank if it is realizable during the life of the plan, or on settlement of the plan liabilities.

The Gratuity recognition each year is as per the bank's employee bye laws which stipulates for recognition of gratuity provision / payment as per the latest staff basic remuneration; multiplied by the eligible number of years.

Bank determines the interest expense on the defined benefit liability by applying the discount rate used to measure the defined benefit liability at the beginning of the annual period. The discount rate is the average yield on government bonds issued during the period having maturity dates approximating to the terms of Bank's obligations.

The increase in gratuity liabilities attributable to the services provided by employees during the period (current service cost) has been recognized in the Statement of Profit or Loss under 'Personnel Expenses' together with interest expense under the Interest Expense of bank. Bank recognizes the total actuarial gain/(loss) that arises in computing Bank's obligation in respect of gratuity in other comprehensive income during the period in which it occurs.

3.20.3 Other long term employee benefits

Other long term employee benefits are all employee benefits other than short term employee benefits, post-employment benefits and terminal benefits.

3.20.4 Unutilized Accumulated Leave

Bank's policy related to the accumulation of the leave states for accumulation of total 150 days leave (90 days' annual leave and 60 days medical leave), payable on gross salary of the staff on the date of encashment. Thus, the liability of the bank is provisioned as per the latest staff remuneration for the leave accumulated, Bank's liability towards the accumulated leave is treated as short term employee benefit and additional cost resulting every year from the accumulation is charged to profit and loss account as per the definition of short-term employee benefit of NAS 19.

3.21 Leases

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

a. Finance Lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as finance lease.

When Bank is the lessor under finance lease, the amounts due under the leases, after deduction of unearned interest income, are included in, 'Loans& receivables from other customers', as appropriate. Interest income receivable is recognized in 'Net interest income' over the periods of the leases so as to give a constant rate of return on the net investment in the leases.

When Bank is a lessee under finance leases, the leased assets are capitalized and included in 'Property, Plant and Equipment' and the corresponding liability to the lessor is included in 'Other liabilities. A finance lease and its corresponding liability are recognized initially at the fair value of the asset or if lower, the present value of the minimum lease payments. Finance charges payable are recognized in 'Interest expenses' over the period of the lease based on the interest rate implicit in the lease so as to give a constant rate of interest on the remaining balance of the liability.

b. Operating Lease

All other leases are classified as operating leases. When acting as lessor, Bank includes the assets subject to operating leases in 'Property, plant and equipment' and accounts for them accordingly. Impairment losses are recognized to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired. Lease payments under an operating lease are recognized as an expense as per NFRS 16 under Depreciation charge on right of use of assets and interest expense on lease liability basis over the lease term.

3.22 Foreign currency translation

All foreign currency transactions are translated into the functional currency, which is Nepalese Rupees, using the exchange rates (i.e., mid-rate) prevailing at the dates when the transactions were affected.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to Nepalese Rupees using the spot foreign exchange rate ruling at that date and all differences arising on non-trading activities are taken to 'Other Operating Income' in the Statement of Profit or Loss. The foreign currency gain or loss on monetary items is the difference between amortized cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period, and the amortized cost in foreign currency translated at the rates of exchange prevailing at the end of the reporting period.

Non-monetary items in a foreign currency that are measured in terms of historical cost are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items in foreign currency measured at fair value are translated using the exchange rates at the date when the fair value was determined.

Foreign exchange differences arising on the settlement or reporting of monetary items at rates different from those which were initially recorded are dealt with in the Statement of Profit or Loss.

3.23 Share capital and reserves

Share capital and reserves are different classes of equity claims. Equity claims are claims on the residual interest in the assets of the entity after deducting all its liabilities. Changes in equity during the reporting period comprise income and expenses recognized in the statement of financial performance; plus, contributions from holders of equity claims, minus distributions to holders of equity claims.

3.24 Earnings per share including diluted

Bank presents basic and diluted Earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit and loss attributable to ordinary equity holders of Bank by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting both the profit and loss attributable to the ordinary equity holders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares, if any.

Earnings per share is calculated and presented in consolidated statement of profit or loss.

3.25 Write off of Loan

As per policy of the Bank and in compliance with directive issued by NRB, the bank has written off following loan during the period i.e. Shrawan 2081 to Ashad 2082:

S. No.	Name of Borrower	Loan Approving Authority	Previous Bank Name (If Merged)	Loan Booked Date	Loan Write off
1	Aasha Business	CEO-Kamal Gautam	Infrastructure Dev. Bank	19/Sep/2012	515,635
2	Aasha Maya Tamang	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	138,480
3	Ambika Sapkota	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	29/Jun/2021	137,763
4	Ambika Thapa	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	20/May/2021	152,123
5	Amrita Sunar	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	7/Aug/2012	132,378
6	Anisha Limbu(Nemong)	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	1/Aug/2012	167,220
7	Anita Mahato	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	30/Jun/2021	95,826
8	Anita Shrestha	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	12/Apr/2021	184,784
9	Anita Dhakal Devkota	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	165,228
10	Anjana Neupane	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	107,384
11	Anju Shrestha	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	22/Nov/2018	191,757
12	Anju Devi Shrestha	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	18/Aug/2010	5,318,549
13	Anu Shrestha	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	20/Feb/2022	83,605
14	Aone Felt& Handicraft Export Ind.Pv	Management Credit Committee (Madhuban Lal Shrestha)	Royal Merchant Banking & Finance Ltd	14/Jul/2013	594,326
15	Apsara Nepali	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	24/Apr/2019	144,595
16	Ashok Kumari Shrestha	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	30/Jun/2021	124,254
17	Asmita Shrestha	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	24/May/2019	81,824
18	Aupsara B.K.	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	60,327
19	B.P. Sales	CBO-Binod Kumar Sharma	NCC Bank Ltd	4/Sep/2020	663,438
20	Badri Gurung	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	3/Jul/2019	172,859
21	Bal Bahadur Rokaya	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	7/Nov/2012	62,334
22	Basanta Paudel	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	30/Jun/2021	140,484
23	Bhabisara Darai	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	49,005
24	Bhagawati Darji	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	1/Jul/2021	169,156
25	Bharati Mahato	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	101,355
26	Bhawani Dhital (Giri)	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	2/Jul/2021	79,562
27	Bhim Kumar Kedem	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	10/Sep/2012	132,146
28	Bhim Maya Damai	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	1/Jul/2021	134,211
29	Bhuwani Prasad Dahal	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	11/Apr/2013	692,416
30	Bidur Karki	BM- Nagendra Bimali	Infrastructure Dev. Bank	10/Nov/2006	63,786

S. No.	Name of Borrower	Loan Approving Authority	Previous Bank Name (If Merged)	Loan Booked Date	Loan Write off
31	Bikar Miya Mahato	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	2/Apr/2018	89,158
32	Bimala Pariyar	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	6/Jul/2021	4,885
33	Bimala Praja	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	28/Jun/2021	144,625
34	Bimala Bhandari	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	1/Jul/2021	158,802
35	Bimala Mahato	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	4/Feb/2018	65,939
36	Bina Chaudhary	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	2/Oct/2020	162,241
37	Bindu Khadka	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	30/Jun/2021	118,135
38	Binu Phal Magar	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	104,862
39	Bir Bahadur Tamang	BM-Arjun Sundar Shrestha	Apex Development Bank Ltd	13/Apr/2014	228,501
40	Bishal Bhujel	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	11/Sep/2012	173,780
41	Bishal Limbu	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	1/Aug/2012	172,172
42	Bishal Rai	ACEO Rishi Raj Bhatta	Apex Development Bank Ltd	4/Jul/2016	1,283
43	Bishnu Kumari Chaudhary	Sr. Officer- Samsher Bahadur Ale	Deva Bikash Bank Ltd	4/Feb/2018	17,789
44	Bishnu Maya Adhikari	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	50,961
45	Bishnu Maya Ale	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	9/Jun/2019	172,105
46	Bishnu Maya Lama	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	29/Mar/2019	91,676
47	Bishnu Maya Rai(Dewan)	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	5/Aug/2012	164,942
48	Bishnu Maya Tamang	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	28/Jun/2021	241,129
49	Bishnu Pokhrel	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	28/Jun/2021	187,556
50	Bishnu Risami Magar	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	3/Jul/2021	116,326
51	Bishnumaya Darji	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jun/2019	205,148
52	Buddha Bahadur Tamang	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	30/Jun/2021	165,256
53	Buddha Complex Pvt Ltd	Head SME-Ishor Gurung	Kumari Bank Ltd	30/Jul/2021	496,564
54	Buddhi Lal Shrtestha	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	21/Jul/2013	3,704,665
55	Buddhi Maya Gurung	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	3/Jul/2021	110,732
56	Chanda Bhattrai	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	4/Feb/2018	174,025
57	Chanda Thapa(Shrestha)	Loan Management Committee (Suryadhoj Neupane)	Surya Darshan Finance Ltd	9/Jun/2010	1,796,843
58	Chandra Kumari Lama	Sr. Officer- Samsher Bahadur Ale	Deva Bikash Bank Ltd	20/Feb/2022	142,440
59	Chandra Kumari Nepali	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	2/Jul/2021	126,273
60	Chandra Kumari Pandhak	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	23/Jul/2012	144,601
61	Chandra Mohan Gauchan	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	14/Jul/2010	1,662,110
62	Chandra Thapa Chhetri	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	28/Jun/2021	198,520

S. No.	Name of Borrower	Loan Approving Authority	Previous Bank Name (If Merged)	Loan Booked Date	Loan Write off
63	City Center Hospital	CEO-Naresh Dev Pradhan	Uninon Finance Limited	16/Jul/2014	2,552,294
64	Dak Bahadur Pariyar	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	2/Jul/2021	127,743
65	Dasrath Thapa	BM- Kumar Sharma	Infrastructure Dev. Bank	26/Jan/2012	304,405
66	Deepa Lama Gurung	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	11/Sep/2012	173,447
67	Deumaya Sunar	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	1/Jul/2021	167,072
68	Dev Bahadur Bishwokarma	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	29/Jun/2021	154,827
69	Dev Bishwokarma	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	2/Jul/2021	80,237
70	Dev Kumar Limbu	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	10/Sep/2012	132,215
71	Dev Kumari Mahato	Sr. Officer- Samsher Bahadur Ale	Deva Bikash Bank Ltd	6/Jul/2021	72,671
72	Devi Gurung Tamang	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	3/Jul/2021	83,470
73	Devi Kumari Sharma	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	6/Jul/2021	54,155
74	Dhan Bahadur Rawat	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	13/Jul/2012	133,207
75	Dhan Kumari Ale	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	12/Feb/2019	94,219
76	Dhan Maya Simkhada	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	2/Jul/2021	136,966
77	Dhanalaxmi Shrestha	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	3/Jul/2021	118,843
78	Dhiraj Adhikari	BM- Kumar Sharma	Infrastructure Dev. Bank	27/Feb/2012	1,076,459
79	Dil Maya Sunar	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	144,711
80	Dilip Chhetri	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	13/Jul/2012	191,801
81	Dinesh Achhami	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	6/Nov/2008	629,004
82	Dipa Gurung	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	28/Jun/2021	105,565
83	Dipa Sunar	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	5/Jul/2021	116,965
84	Dule Maya Aslami	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	3/Jul/2021	113,555
85	Durga Mithun	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	117,370
86	Durga Adhikari Damai	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	52,524
87	Electrocom And Research Center P. L	Consortium NMB, Kumari Bank, Lumbini Bikas Bank	Kumari Bank Ltd	26/Sep/2011	164,475,358
88	Everest Nirman Sewa	CEO-Naresh Dev Pradhan	Uninon Finance Limited	13/Jul/2011	21,387,467
89	Ganesh Rokaya	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	8,643
90	Ganga Devi Thada Magar	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	83,037
91	Ganga Laxmi Joshi	Sr. Officer- Samsher Bahadur Ale	Deva Bikash Bank Ltd	4/Feb/2018	80,412
92	Garima Hardware Center	CEO-Ramesh Raj Aryal	NCC Bank Ltd	21/Feb/2022	605,093
93	Gauri Tamang	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	104,799
94	Gayatri Matowar Lama	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	5/Jul/2021	104,931
95	Geeta Rai	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	1/Aug/2012	179,990
96	Gesu Chaudhary	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	30/Jun/2021	129,740
97	Gita Malla	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	30/Jun/2021	113,142

S. No.	Name of Borrower	Loan Approving Authority	Previous Bank Name (If Merged)	Loan Booked Date	Loan Write off
98	Gita Budhathoki	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	9/Sep/2012	63,038
99	Gita Gharti	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	30/Jun/2021	152,099
100	Gita Mahato	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	3/Jul/2021	111,920
101	Goma Bhandari	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	1/Jul/2021	155,410
102	Goma Kumari Kunwar	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	30/Jun/2021	162,405
103	Goodwill International Trading	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	13/Jan/2013	2,585
104	Hari Bahadur Theeng	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	25/Jul/2012	45,484
105	Hari Kumar Rai	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	15/Feb/2011	1,359,689
106	Harikala Lamichhane	Sr.Officer- Purna Prasad Poudel	Rising Development bank	4/Feb/2018	48,062
107	Harka Bahadur Disuwa Magar	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	6/Jun/2019	196,912
108	Hem Kali Gubanju	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	128,984
109	Hira Chaudhari	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	2/Jul/2021	119,597
110	Indira Timilsena	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	2/Jul/2021	151,521
111	Indra Kumari Sunar	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	11,200
112	Indra Maya Shrestha	CEO-Shrawan Kumar Rajbhandari	Kasthamandup Development Bank Ltd	23/Feb/2022	295,817
113	Indra Maya Thapa	CEO- Surendra Bhandari	Kumari Bank Ltd	22/Jun/2004	619,106
114	Ishu Pariyar	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	2/Jul/2021	140,702
115	Iswori Thakuri	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	57,382
116	Jamuna Tamang	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	3/Jul/2021	114,583
117	Jaubari Tea Estate Pvt.Ltd	CEO-Shrawan Kumar Rajbhandari	Kasthamandup Development Bank Ltd	16/May/2011	262,173
118	Jayanti Shrestha	Sr.Officer- Purna Prasad Poudel	Rising Development bank	3/Nov/2015	48,677
119	Jit Bahadur Dewan Yakha	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	9/Sep/2012	52,439
120	Jit Bahadur Gurung	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	24/Jun/2019	108,549
121	Jit Maya Chongwang	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	1/Aug/2012	172,172
122	Kabiraj Rai	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	1/Aug/2012	191,161
123	Kabita Limbu	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	9/Sep/2012	63,037
124	Kailu Maya Shrestha	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	6/Jul/2021	64,526
125	Kajiman Sambhahangphe	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	7/Aug/2012	132,378
126	Kalpana Bisunkhe	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	25/Jul/2012	45,484
127	Kamal Bahadur Sunar	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	2/Jul/2021	134,660
128	Kamala Kumal	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	9,712
129	Kamala Pun	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	2/Jul/2021	91,744

S. No.	Name of Borrower	Loan Approving Authority	Previous Bank Name (If Merged)	Loan Booked Date	Loan Write off
130	Kamala Ale	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	3/Jul/2021	133,898
131	Kamala Kumari Tamang	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	28/Mar/2018	115,217
132	Kaushila Aryal	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	62,911
133	Kaushila Chaudhary	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	73,945
134	Kebal Bahadur Bhandari	Management Credit Committee (Madhuban Lal Shrestha)	Royal Merchant Banking & Finance Ltd	13/Jan/2012	2,382,524
135	Keshab Singh Thagunna	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	23/Jul/2012	143,266
136	Khagisara Gurung	CEO Khem Raj Bhetuwal	Rising Development bank	1/Feb/2015	38,800
137	Khusbu Chaudhary	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	169,128
138	Kripa Shrestha Bhandari	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	4/Oct/2018	139,497
139	Krishna Bahadur Thapa	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	20/Mar/2011	599,300
140	Krishna Bishwokarma	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	2/Jul/2021	67,513
141	Krishna Maya Shrestha	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	3/Jul/2021	100,339
142	Krishna Modern Dal Udyog	CEO- Amrit Charan Shrestha	NCC Bank Ltd	23/Oct/2013	50,301,828
143	Kumar Darnal	Credit Committee (Madhuban Lal Shrestha)	Apex Development Bank Ltd	15/Nov/2013	1,582,672
144	Kumari Khatri	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	22/Nov/2018	217,580
145	Kumari B.K	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	4/Jul/2021	106,827
146	Kumari Gurung	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	24/Jul/2019	213,949
147	Lal Maya Shrestha	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	4/Jul/2021	118,256
148	Laxman Pariyar	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	29/Jun/2021	168,479
149	Laxmi B.K.	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	14,870
150	Laxmi Rana	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	39,610
151	Laxmi Bahadur Rokaya	Credit Committee (Rishi Raj Bhatta)	Apex Development Bank Ltd	14/Nov/2017	2,711,537
152	Laxmi Kumari Chaudhary	Sr. Officer- Samsher Bahadur Ale	Deva Bikash Bank Ltd	4/Feb/2018	118,727
153	Lil Bahadur Karki	CEO-Bijay Bahadur Shrestha	Deva Bikash Bank Ltd	4/Dec/2016	2,073,834
154	Lila Pun	Sr. Officer- Samsher Bahadur Ale	Deva Bikash Bank Ltd	4/Feb/2018	21,232
155	Lok Bahadur Khati	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	23/Jul/2012	143,752
156	Lok Bahadur Tamang	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	25/Jul/2012	45,484
157	Lokendra Bista	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	23/Jul/2012	143,752
158	Lokendra Kumar Limbu	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	1/Aug/2012	172,172
159	Lokendra Wanem[Limbu]	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	23/Jul/2012	143,752
160	Maiya Kumari Mijar	Sr. Officer- Samsher Bahadur Ale	Deva Bikash Bank Ltd	4/Feb/2018	83,452
161	Man Maya Ale	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	21/Feb/2019	83,589
162	Man Maya Tamang	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	138,782

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163	Manadevi Rai	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	10/Sep/2012	132,214
164	Mangal Bahadur Sunar	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	36,765
165	Mangal Bahadur Wanem Fago Limbu	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	10/Sep/2012	132,215
166	Manisha Pariyar	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	169,036
167	Manisha Rai	ACEO Rishi Raj Bhatta	Apex Development Bank Ltd	4/Jul/2016	1,283
168	Manju Bhattarai	Sr.Officer- Purna Prasad Poudel	Rising Development bank	4/Feb/2018	35,169
169	Manju Gauchan	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2019	283,535
170	Manju Kumari Chetri (G.C.)	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	79,730
171	Matrika Malla	MD-Madhuban Lal Shrestha	Apex Development Bank Ltd	15/Jul/2012	180,000
172	Menuka Charmakar	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	5/Jul/2021	55,870
173	Merina Hamal	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	177,750
174	Milan Bhujel	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	11/Sep/2012	173,781
175	Mina Sapkota	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	60,329
176	Mina Damai	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	12/Mar/2019	169,480
177	Mina Gurung	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	3/Jul/2021	129,324
178	Mingma Sherpa	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	1/Aug/2012	174,018
179	Mira Kumari Bishokarma	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	29/Jun/2021	163,213
180	Mira Neupane	CCO- Geha Nath Dhungana	Kumari Bank Ltd	6/Jul/2018	142,511
181	Moonlight Builders	CEO-Amrit Charan Shrestha	NCC Bank Ltd	19/Aug/2015	1,453,059
182	Mukunda Adhikari	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	13/Jul/2012	137,846
183	Nabin Dhakal	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	1/Jul/2021	138,294
184	Namuna Shrestha	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	4/Feb/2018	192,246
185	Narsingh Giri	Gehanath Dhungana, Division Head-Risk	Kumari Bank Ltd	13/Oct/2008	1,054,779
186	New Listimai Trade Link	CEO- Kamal Gautam	Infrastructure Dev. Bank	29/Jul/2012	1,522,933
187	New Strong Aluminum	Head SME-Ishor Gurung	Kumari Bank Ltd	2/Aug/2021	1,617,041
188	Nilam Khanal	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	29/Mar/2019	114,306
189	Nirmala Marasini	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	30/Jun/2021	176,216
190	Nirmala Ghole	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	1/Jul/2021	119,723
191	Niru Tamang	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	4/Jul/2021	57,328
192	Nita Pariyar	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	1/Jul/2021	156,607
193	Nitu Gurung	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	41,662
194	Om Kumar Aangbuhang	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	11/Sep/2012	173,780

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195	Om Prakash Limbu	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	11/Sep/2012	173,780
196	Pabimaya Thakuri	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	69,526
197	Pabitra Bist	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	23/Jul/2012	143,752
198	Padam Bahadur Bishwokarma	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	1/Jul/2021	146,154
199	Papi Raj Rai	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	1/Aug/2012	172,174
200	Paramsila Devi	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	30/Jun/2021	81,819
201	Paras Prasad Sah	BM-Satin Bir Singh Kansakar	NDEP Development Bank Ltd	9/Jul/2013	231,776
202	Parbati B.K	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	9/Sep/2012	63,038
203	Parbati Bishwokarma	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	129,780
204	Parbati Chaudhary	Sr. Officer- Samsher Bahadur Ale	Deva Bikash Bank Ltd	5/Jul/2021	104,929
205	Parbati Limbu	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	10,331
206	Pendra Prashad Limbu	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	1/Aug/2012	172,893
207	Philip Limbu	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	23/Jul/2012	143,752
208	Pradip Mahato Tharu	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	4/Jul/2021	106,478
209	Pramila Basnet	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	6/Jul/2021	77,326
210	Prem Mncha Newar	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	25/Jul/2012	42,337
211	Priya Banshi Thakuri Chaudhari	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	22/Mar/2019	104,927
212	Puja Chaudhari	Sr. Officer- Samsher Bahadur Ale	Deva Bikash Bank Ltd	27/Jan/2019	93,620
213	Puja Bomjan	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	1/Jul/2021	146,025
214	Punam Sarangkoti	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	36,964
215	Purna Bahadur Tamang	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	23/Jul/2012	143,752
216	Purna Kumari Thapa(Tamang)	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	1/Jul/2021	153,326
217	Purna Maya Darai	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	6/Jun/2019	143,393
218	Rabindra Sonar	CEO-Bijay Bahadur Shrestha	Deva Bikash Bank Ltd	4/Dec/2016	2,210,110
219	Rabindra Sunar	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	27/Nov/2018	41,997
220	Rachana Motors	CEO-Amrit Charan Shrestha	NCC Bank Ltd	28/Jun/2012	636,727
221	Radha Budhathoki	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	4/Jul/2021	94,113
222	Radha Devi Mishra	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	15,841
223	Radhika Khatri	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	30/Jun/2021	105,161
224	Raj Kumar Nepali	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	5/Jul/2021	42,738
225	Raj Kumar Shrestha	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	22/Apr/2019	189,392
226	Rajesh Kumal	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	39,157
227	Rajib Ingnam	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	10/Sep/2012	132,214

S. No.	Name of Borrower	Loan Approving Authority	Previous Bank Name (If Merged)	Loan Booked Date	Loan Write off
228	Raju Mijar	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	25/Jul/2012	45,484
229	Raju Shrestha	ACEO Rishi Raj Bhatta	Apex Development Bank Ltd	15/Oct/2015	6,295
230	Ram Bahadur B.K	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	11/Sep/2012	160,614
231	Ram Bahadur Budha	Management Credit Committee (Rishi Raj Bhatta)	Apex Development Bank Ltd	13/Jun/2016	1,867,058
232	Ram Kumari Mahatto	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	1/Jul/2021	94,407
233	Ram Kumari Rana	Sr. Officer- Samsher Bahadur Ale	Deva Bikash Bank Ltd	1/Jul/2022	69,597
234	Ram Maya Kumal	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	83,555
235	Ram Prasad Bhattrai	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	18/Jun/2009	364,566
236	Rama Devi Pandey	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	2/Jul/2019	175,467
237	Ramesh Darlami	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	11/Jul/2019	237,394
238	Ramesh Pariyar	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	4/Feb/2018	126,412
239	Ranjana Shrestha Shakya	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	4/Feb/2018	123,509
240	Ranjita Poudel Chaudhary	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	50,265
241	Rejina Shjrestha(M.C)	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	71,989
242	Rekha Puri	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	2/Jul/2021	124,745
243	Reliable Packaging Ind.Pvt.Ltd.	CEO-Ratna Raj Bajracharya	NCC Bank Ltd	12/Feb/2008	1,895,418
244	Rewat Bahadur Devan	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	5/Aug/2012	172,086
245	Reweti Raman Rijal	CEO-Surendra Bhandari	Kumari Bank Ltd	6/Feb/2004	617,473
246	Rima Gurung	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	28/Jun/2021	230,400
247	Rina Pariyar	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	25,655
248	Rishikesh Subedi	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	1/Jul/2021	139,685
249	Rita Darai	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	137,821
250	Roda Pariyar	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	6/Jul/2021	71,701
251	Rodden Enterprises P. Ltd.	Division Head- Business Development-Bhasker Rimal	Kumari Bank Ltd	13/Aug/2006	1,386,939
252	Rojina Rai	BM-Sagar Neupane	Apex Development Bank Ltd	4/Jul/2016	473,432
253	Runa Sunar	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	14,225
254	Rup Chandra Kurmi	BM- Man Bahadur Rawal	Apex Development Bank Ltd	24/Feb/2015	203,842
255	Rup Kumari Samal Thakuri	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	53,446
256	Rupesh Upreti	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	13/Jul/2012	137,846
257	Sabitri Bhattrai	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	14/Oct/2018	154,237
258	Sabitri Darai	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	7/May/2019	209,916
259	Sabitri Khatiwada	Sr. Officer- Samsher Bahadur Ale	Deva Bikash Bank Ltd	4/Feb/2018	18,496
260	Sachi Trading Concern	Head SME-Ishor Gurung	Kumari Bank Ltd	30/Jul/2021	22,121,438
261	Sagar Pariyar	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	1/Jul/2021	155,609

S. No.	Name of Borrower	Loan Approving Authority	Previous Bank Name (If Merged)	Loan Booked Date	Loan Write off
262	Sahadev Rajbanshi	MD-Madhuban Lal Shrestha	Apex Development Bank Ltd	25/Jun/2014	974,425
263	Saina Limbu	CEO- Rishi Raj Bhatta	Apex Development Bank Ltd	27/Jan/2020	1,283
264	Sakuntala Koirala	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	30/Jun/2021	77,084
265	Salehesh Suppliers And Construction Pvt. Ltd	Acting CEO-Anuj Mani Timalsina	Kumari Bank Ltd	16/Aug/2021	40,163,874
266	Samichhya Darai	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	5/May/2019	197,841
267	Samjhana Gurung	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	197,841
268	Samsher Bahadur Sunar	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	6/Jul/2021	64,616
269	Samyukta Traders	Senior Manager- Rajendra lal Bajracharya	NDEP Development Bank	19/Apr/2011	159,690
270	Sangita Chaudhari	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	24/Jul/2019	146,755
271	Sangita Thapa Magar	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	4/Jul/2021	70,109
272	Sangita Ale	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	2/Jul/2021	136,236
273	Sangita Lama Gurung	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	11/Sep/2012	173,780
274	Sangita Maharjan	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	87,336
275	Sangita Panjiyar	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	106,075
276	Sanita Tamang	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	28,402
277	Sanju Devi Shah	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	6/Jul/2021	60,085
278	Sanju Upreti	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	1/Jul/2021	154,618
279	Sansari Maya Tamang	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	71,672
280	Santosh Biswokarma	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	3/Jul/2021	51,858
281	Santosh Pun	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	95,211
282	Santoshi Ssewa	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	7/Jul/2021	54,489
283	Santoshi Nepali (Gautam)	ACEO Rishi Raj Bhatta	Apex Development Bank Ltd	24/Apr/2016	500,000
284	Sanu Poudel	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	1/Jul/2021	109,810
285	Sapana Karki Sunar	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	4/Jul/2021	92,335
286	Saraswati Darji	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	169,301
287	Sarita Pariyar	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	123,788
288	Sarita Basnet	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	4/Jul/2021	92,694
289	Sarita Ghising	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	23/Jul/2012	143,753
290	Sarita Kumari Shah	CEO-Bijay Bahadur Shrestha	Deva Bikash Bank Ltd	16/Jul/2018	2,724,015
291	Saroj Bahadur Sonar	CRO-Angir Man Singh	Kumari Bank Ltd	7/Nov/2016	254,329
292	Saroj Ranabhat	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	4/Jul/2021	47,696
293	Saurya Suman Trade And Suppliers Pvt Ltd	COP- Bishnu Regmi	Kumari Bank Ltd	18/Jan/2021	505,516
294	Shanta Kumari B.K	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	7/Aug/2012	132,378
295	Shanta Shrestha	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	3/Jul/2021	92,807

S. No.	Name of Borrower	Loan Approving Authority	Previous Bank Name (If Merged)	Loan Booked Date	Loan Write off
296	Shanu Chaudhari	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	25/Apr/2019	142,501
297	Sharmila Tamang	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	6/May/2019	78,023
298	Sharmila Adhikari (Marasini)	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	7/Jul/2019	149,977
299	Sharmila Shrestha	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	2/Jul/2021	132,506
300	Sher Bahadur Bist	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	23/Jul/2012	143,753
301	Shova Pariyar	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	6/Jul/2021	67,276
302	Shova Kumari Ale	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	1/Jul/2021	129,392
303	Shree Krishna Shrestha	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	29/Jun/2021	129,906
304	Shree Raj Laxmi Enterprise	CEO- Amrit Charan Shrestha	NCC Bank Ltd	22/Jun/2012	4,913,637
305	Shree Ram Bakhunchhe	CEO-R. Khadka	International Development Bank Ltd	29/Mar/2012	365,124
306	Shree Shyam Baba Internat	CEO- Ratna Raj Bajracharya	NCC Bank Ltd	5/Jul/2010	147,570
307	Shree Shyam Baba International	CEO- Ratna Raj Bajracharya	NCC Bank Ltd	5/Jul/2010	20,000,000
308	Shree Subhakamana Traders	BM-Bikash Shrestha	Apex Development Bank Ltd	18/Dec/2015	2,814
309	Shyanu Maya Shrestha	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	2/Jul/2021	73,578
310	Sirjana Rana Magar	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	129,519
311	Sita Biswokarma	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	29/May/2019	107,550
312	Sita Mahato	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	6/May/2019	88,424
313	Sita Ale	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	3/Jul/2021	109,716
314	Sita Gurung	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	21/Nov/2018	219,420
315	Sita Kumal	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	117,356
316	Sita Kunwar Chhetri	Sr.Officer- Purna Prasad Poudel	Deva Bikash Bank Ltd	4/Feb/2018	62,819
317	Sita Pariyar	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	3/Jul/2021	139,199
318	Smriti Waiba Tamang	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	1/Jul/2021	149,117
319	Som Maya Sarki	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	30/Jun/2021	166,491
320	Srishti Gurung	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	1/Aug/2012	172,174
321	Sukiya Mahato	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	5/Jul/2021	42,764
322	Sulochana Shrestha	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	3/Jul/2021	125,259
323	Suman Subba Limbu	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	23/Jul/2012	144,605
324	Sumana Ghimire Simkhada	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	30/Jun/2021	161,869
325	Sumitra B.K.	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	4/Jul/2021	86,482
326	Sumitra Pariyar	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	2/Jul/2021	103,558
327	Sumitra Shrestha	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	2/May/2019	180,331
328	Sunil Guidel	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	1/Aug/2012	146,065
329	Sunil Sunar	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	4/Jul/2021	76,757
330	Sunita Pradhan	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	9/Oct/2018	114,043

S. No.	Name of Borrower	Loan Approving Authority	Previous Bank Name (If Merged)	Loan Booked Date	Loan Write off
331	Sunita Waiba	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	1/Jan/2019	59,420
332	Sunita Tamang	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	18/Jun/2019	73,051
333	Surendra Regmi	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	8/Nov/2012	52,778
334	Sushma Thakuri	CEO- Gobinda Raj Upadhyay	Apex Development Bank Ltd	30/Jul/2014	617,460
335	Susma Limbu	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	9/Sep/2012	62,038
336	Taramaya Thapa	Sr. Officer- Samsher Bahadur Ale	Deva Bikash Bank Ltd	4/Feb/2018	80,598
337	Tikaram Kandel	CEO- Surendra Bhandari	Kumari Bank Ltd	9/Jul/2004	623,059
338	Til Kumari Gurung	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	5/Jul/2021	90,950
339	Tirtha Maya Gurung	Sr.Officer-Surya prasad Upadhya	Deva Bikash Bank Ltd	31/Jul/2018	81,031
340	Tirthamaya Sunuwar	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	13/Jul/2012	137,846
341	Triyuga Kashta Furniture Udhyogh	CEO- Ramesh Raj Aryal	NCC Bank Ltd	28/Dec/2020	8,647,319
342	Tulasi Gurung	Sr. Officer- Samsher Bahadur Ale	Deva Bikash Bank Ltd	4/Feb/2018	129,056
343	Ujjwal Karki	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	2/Jul/2021	127,925
344	Uma Devi	Jr.Officer-Bijay Pandey	Deva Bikash Bank Ltd	13/Feb/2019	108,500
345	Umachhi Mahato	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	6/Mar/2019	21,563
346	Umesh Garment Pvt.Ltd.	Head SME- Binod Kumar Sharma	NCC Bank Ltd	29/Aug/2018	296,361
347	Uttam Mart Pvt. Ltd	CBO-Sandip Prasad Pandey	NCC Bank Ltd	23/Jan/2022	5,358,191
348	Yagya Bahadur Khatri	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	7/Nov/2012	47,000
349	Yam K Soti Magar	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Jul/2021	91,004
350	Yam Kumari B.K	MD-Madhuban Lal Shrestha	Royal Merchant Banking & Finance Ltd	12/Jul/2018	171,880
351	Yasarmiya Chaudhari	Chief Micro Finance Department-Him Raj Dawadi,	Deva Bikash Bank Ltd	5/Apr/2019	80,630
	Grand Total				**425,770,050**

3.26 Segment Reporting

An operating segment is a component of an entity:

- that engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other components of the same entity),
- whose operating results are regularly reviewed by the entity's chief operating decision maker to make decisions about resources to be allocated to the segment and assess its performance, and
- for which discrete financial information is available.

The bank has identified the key segments of business on the basis of nature of operations that assists the Executive Committee of the bank in decision making process and to allocate the resources. It will help the management to assess the performance of the business segments. The business segments identified are Banking (including loan, deposit and trade operations), Payment solutions (Cards), Remittance, and Treasury.

3.27 Employee Bonus

Employee bonus shall be calculated at the rate of 10% of Net Profit as per Bonus Act, 2030.

3.28 Dividend on Ordinary Shares

Dividend on ordinary shares is recognized as a liability and deducted from equity when they are approved by the Bank's shareholders. Dividend for the year that is approved after the reporting date is disclosed as an event after the reporting date.

3.29 Cash Flow Statement

The Bank has reported its cash flow statement applying the 'Direct Method' in accordance with NAS 07 – "Statement of Cash Flows". Application of the direct method in presenting cash flow statement discloses major classes of gross cash receipts and gross cash payments thereby provides information which may be useful in estimating future cash flows of an entity.

The statement of cash flows reports cash flows during the period classified by operating, investing and financing activities as defined here under:

- Operating Activities
- Investing Activities
- Financing Activities

3.30 Comparative Figures

The comparative figures and phrases have been rearranged wherever necessary to conform to the current year's presentation.

Cash and cash equivalent 4.1

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Cash in hand	8,087,094,698	8,291,400,355	8,087,094,698	8,291,400,355
Balances with B/FIs	1,829,025,427	1,457,368,457	1,444,748,998	1,410,083,615
Money at call and short notice	-	-	-	-
Other	25,818,640,378	9,880,152,223	25,818,640,378	9,880,152,223
Total	**35,734,760,503**	**19,628,921,035**	**35,350,484,074**	**19,581,636,193**

Cash and cash equivalent is measured in its carrying value. Balance with BFIs include balance maintained at various banks and financial institutions. Other items in cash and cash equivalent includes interbank placements and other investments with maturity above 7 days and within 3 months, based on original maturity.

Due from Nepal Rastra Bank 4.2

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Statutory balances with NRB	17,928,092,497	2,679,113,162	17,928,092,497	2,679,113,162
Securities purchased under resale agreement	-	-	-	-
Other deposit and receivable from NRB	3,411,712,455	25,478,978,257	3,411,712,455	25,478,978,257
Total	**21,339,804,952**	**28,158,091,418**	**21,339,804,952**	**28,158,091,418**

Balance with Nepal Rastra Bank is measured in its carrying amount. Balance with NRB is principally maintained as a part of regulatory cash reserve ratio required by NRB. Other deposit and receivables from NRB includes balance at NRB in foreign currency.

Placements with Bank and Financial Institutions 4.3

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Placement with domestic B/FIs	-	-	-	-
Placement with foreign B/FIs	13,387,665,129	1,422,914,007	13,387,665,129	1,422,914,007
Less: Allowances for impairment	-	-	-	-
Total	**13,387,665,129**	**1,422,914,007**	**13,387,665,129**	**1,422,914,007**

Placement with domestic as well as foreign BFIs with original maturities more than three months from the purchase date are presented above.

Derivative financial instruments 4.4

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Held for trading	**-**	**-**	**-**	**-**
Interest rate swap	-	-	-	-
Currency swap	-	-	-	-
Forward exchange contract	-	-	-	-
Others	-	-	-	-
Held for risk management	**1,176,104,630**	**346,539,668**	**1,176,104,630**	**346,539,668**
Interest rate swap	-	-	-	-
Currency swap	-	-	-	-
Forward exchange contract	1,176,104,630	346,539,668	1,176,104,630	346,539,668
Other	-	-	-	-
Total	**1,176,104,630**	**346,539,668**	**1,176,104,630**	**346,539,668**

The Forward Exchange Contracts are derivative products used by the bank for hedging purpose as a regular treasury activities. The derivative assets and derivative liabilities for non-proprietary are shown as gross and in case of derivative assets and derivative liabilities for Proprietary transactions are netted off and shown separately in the financial statements as a part of risk management. Accordingly, the same has been restated in previous financial year.

Other trading assets 4.5

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Treasury bills	-	-	-	-
Government bonds	-	-	-	-
NRB Bonds	-	-	-	-
Domestic Corporate bonds	-	-	-	-
Equities	-	-	-	-
Other	-	-	-	-
Total	-	-	-	-
Pledged	-	-	-	-
Non-pledged	-	-	-	-

Loan and advances to B/FIs 4.6

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Loans to microfinance institutions	14,332,814,786	10,875,904,595	14,332,814,786	10,875,904,595
Other	-	-	-	-
Less: Allowances for impairment	179,475,395	130,457,881	179,475,395	130,457,881
Total	**14,153,339,391**	**10,745,446,714**	**14,153,339,391**	**10,745,446,714**

Loans to microfinance institutions

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Loans to microfinance institutions	14,312,286,182	10,871,490,057	14,312,286,182	10,871,490,057
Accrued Interest	20,528,604	4,414,538	20,528,604	4,414,538
Total	**14,332,814,786**	**10,875,904,595**	**14,332,814,786**	**10,875,904,595**

Loan and advances provided to microfinance financial institution are presented under this head.

4.6.1: Allowances for impairment

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Balance at Shrawan 1, 2081	130,457,881	178,272,956	130,457,881	178,272,956
Impairment loss for the year:	49,017,514	(47,815,075)	49,017,514	(47,815,075)
Charge for the year	49,017,514	(47,815,075)	49,017,514	(47,815,075)
Recoveries/reversal	-	-	-	-
Amount written off	-	-	-	-
Balance at Ashad end 2082	**179,475,395**	**130,457,881**	**179,475,395**	**130,457,881**

Loans and advances to customers 4.7

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Loan and advances measured at amortized cost	286,779,673,613	291,486,141,941	286,779,673,613	291,486,141,941
Less: Impairment allowances	26,457,275,295	23,054,871,471	26,457,275,295	23,054,871,471
Collective impairment	18,091,557,918	13,540,406,790	18,091,557,918	13,540,406,790
Individual impairment	8,365,717,377	9,514,464,681	8,365,717,377	9,514,464,681
Net amount	**260,322,398,319**	**268,431,270,470**	**260,322,398,319**	**268,431,270,470**
Loan and advances measured at FVTPL	-	-	-	-
Total	**260,322,398,319**	**268,431,270,470**	**260,322,398,319**	**268,431,270,470**

Loans and advances are assessed individually and collectively as per incurred loss model which is compared with the loss provision prescribed by NRB directive no. 2. Higher of the loss as per incurred loss model and NRB directive is considered for impairment. Accrued Interest Receivable on loans have been considered under Loans and Advances measured at Amortized Cost. Loan to employees provided according to the Employee Bylaws of the bank is presented under this head, which is also measured at amortized cost.

4.7.1: Analysis of loan and advances - By Product

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Product				
Term loans	129,428,338,654	154,522,803,823	129,428,338,654	154,522,803,823
Overdraft	43,498,652,754	50,333,016,919	43,498,652,754	50,333,016,919
Trust receipt/Import loans	4,842,514,766	3,129,800,288	4,842,514,766	3,129,800,288
Demand and other working capital loans	30,203,384,194	30,978,410,914	30,203,384,194	30,978,410,914
Personal residential loans	12,595,382,024	12,566,572,763	12,595,382,024	12,566,572,763
Real estate loans	7,906,164,561	4,512,163,111	7,906,164,561	4,512,163,111
Margin lending loans	10,433,276,232	4,376,242,027	10,433,276,232	4,376,242,027
Hire purchase loans	4,666,852,146	6,597,065,857	4,666,852,146	6,597,065,857
Deprived sector loans	16,101,282,667	4,064,882,997	16,101,282,667	4,064,882,997
Bills purchased	625,764,001	-	625,764,001	-
Staff loans	2,340,072,511	2,134,742,664	2,340,072,511	2,134,742,664
Other	17,698,727,686	11,462,132,165	17,698,727,686	11,462,132,165
Sub total	**280,340,412,196**	**284,677,833,526**	**280,340,412,196**	**284,677,833,526**
Interest receivable	6,439,261,417	6,808,308,414	6,439,261,417	6,808,308,414
Grand total	**286,779,673,613**	**291,486,141,941**	**286,779,673,613**	**291,486,141,941**

4.7.2: Analysis of loan and advances - By Currency

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Nepalese rupee	285,325,673,940	290,032,142,267	285,325,673,940	290,032,142,267
Indian rupee	-	-	-	-
United State dollar	1,453,999,673	1,453,999,673	1,453,999,673	1,453,999,673
Great Britain pound	-	-	-	-
Euro	-	-	-	-
Japanese yen	-	-	-	-
Chinese yuan	-	-	-	-
Other	-	-	-	-
Total	**286,779,673,613**	**291,486,141,941**	**286,779,673,613**	**291,486,141,941**

4.7.3: Analysis of loan and advances - By Collateral

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Secured				
Movable/immovable assets	248,480,409,287	275,484,917,781	248,480,409,287	275,484,917,781
Gold and silver	4,755,087	2,525,305	4,755,087	2,525,305
Guarantee of domestic B/FIs	14,251,906,789	9,346,928,871	14,251,906,789	9,346,928,871
Government guarantee	238,337,309	240,100,043	238,337,309	240,100,043
Guarantee of international rated bank	-	-	-	-
Collateral of export document	2,130,724,397	75,184,975	2,130,724,397	75,184,975
Collateral of fixed deposit receipt	1,298,206,514	1,969,018,090	1,298,206,514	1,969,018,090
Collateral of Government securities	-	79,901,656	-	79,901,656
Counter guarantee	-	-	-	-
Personal guarantee	149,554,987	239,250,872	149,554,987	239,250,872
Other collateral	20,225,779,243	4,048,314,348	20,225,779,243	4,048,314,348
Subtotal	**286,779,673,613**	**291,486,141,941**	**286,779,673,613**	**291,486,141,941**
Unsecured	-	-	-	-
Grand Total	**286,779,673,613**	**291,486,141,941**	**286,779,673,613**	**291,486,141,941**

4.7.4: Allowances for impairment

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Specific allowances for impairment				
Balance at Shrawan 1, 2081	**9,514,464,682**	**5,779,520,337**	**9,514,464,682**	**5,779,520,337**
Impairment loss for the year:				
Charge for the year	-	-	-	-
Recoveries/reversal during the year	1,148,747,304	(3,734,944,345)	1,148,747,304	(3,734,944,345)
Write-offs	-	-	-	-
Exchange rate variance on foreign currency impairment	-	-	-	-
Other movement	-	-	-	-
Balance at Ashad end 2082	**8,365,717,378**	**9,514,464,682**	**8,365,717,378**	**9,514,464,682**
Collective allowances for impairment				
Balance at Shrawan 1, 2081	**13,540,406,790**	**10,386,125,429**	**13,540,406,790**	**10,386,125,429**
Impairment loss for the year:				
Charge/(reversal) for the year	4,551,151,128	3,154,281,361	4,551,151,128	3,154,281,361
Exchange rate variance on foreign currency impairment	-	-	-	-
Other movement	-	-	-	-
Balance at Ashad end 2082	**18,091,557,917**	**13,540,406,790**	**18,091,557,917**	**13,540,406,790**
Total allowances for impairment	**26,457,275,295**	**23,054,871,472**	**26,457,275,295**	**23,054,871,472**

Investment securities 4.8

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Investment securities measured at amortized cost	76,428,531,772	61,825,283,858	76,310,078,705	61,631,830,791
Investment in equity measured at FVTOCI	3,851,661,033	3,057,582,529	3,788,625,016	3,003,323,812
Investment in equity measured at FVTPL	231,745,777	171,832,800	-	-
Total	**80,511,938,582**	**65,054,699,186**	**80,098,703,721**	**64,635,154,603**

The total investment of the bank in the financial instruments is presented under this account head in two categories; investment securities measured at amortized cost and investment in equity measured at fair value through other comprehensive income.

4.8.1: Investment securities measured at amortized cost

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Debt securities	-	-	-	-
Government bonds	70,159,095,033	37,887,521,296	70,159,095,033	37,887,521,296
Government treasury bills	6,150,983,672	23,734,385,695	6,150,983,672	23,734,385,695
Nepal Rastra Bank bonds	-	-	-	-
Nepal Rastra Bank deposits instruments	-	-	-	-
Other	118,453,067	203,376,867	-	9,923,800
Less: specific allowances for impairment	-	-	-	-
Total	**76,428,531,772**	**61,825,283,858**	**76,310,078,705**	**61,631,830,791**

4.8.2: Investment in equity measured at fair value through other comprehensive income

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Equity instruments				
Quoted equity securities	3,562,178,374	2,831,309,032	3,267,396,579	2,605,217,516
Unquoted equity securities	521,228,436	398,106,297	521,228,436	398,106,297
Total	**4,083,406,810**	**3,229,415,329**	**3,788,625,016**	**3,003,323,812**

4.8.3: Information relating to investment in equities

Particulars	Group				Bank			
	FY 2081-82		FY 2080-81		FY 2081-82		FY 2080-81	
	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value
Investment in Quoted Equity								
Api Power Company Limited (API) 59,591 Ordinary Shares of Rs. 100 each fully paid	31,453,710	33,318,225	-	382	15,306,704	17,634,169	-	382
Arun Kabeli Power Limited (AKPL) 1,531 Ordinary Shares of Rs. 100 each fully paid	2,020,806	1,840,790	396,782	283,235	-	-	396,782	283,235
Asian Life Insurance Company Limited (ALICL) 66,416 Ordinary Shares of Rs. 100 each fully paid	45,651,764	33,099,078	26,857,221	24,518,788	45,651,764	33,099,078	26,857,221	24,518,788
Balephi Hydropower Ltd. (BHL) 35,000 Ordinary Shares of Rs. 100 each fully paid	9,160,000	7,375,900	-	-	-	-	-	-
Barun Hydropower Company Limited (BARUN) 1 Ordinary Share of Rs. 100 each fully paid	-	-	-	-	-	-	-	296
Butwal Power Co. Limited (BPCL) 1 Ordinary Share of Rs. 100 each fully paid	21,327,417	23,611,558	-	-	-	-	-	310
CEBD Holdings Limited 5,923 Ordinary Share of Rs. 100 each fully paid	15,552,384	15,648,507	-	-	-	-	-	
Chandragiri Hills Limited (CGH) 4,000 Ordinary Share of Rs. 100 each fully paid	3,583,448	3,824,080	-	-	-	-	-	
Chhimek Laghubitta Bittiya Sanstha Limited (CBBL) 1 Ordinary Share of Rs. 100 each fully paid	-	1,036	5,319,332	5,243,400	-	1,036	-	900
Citizen Life Insurance Company Limited (CLI) 19,738 Ordinary Shares of Rs. 100 each fully paid	8,521,097	9,360,549	7,398,107	8,070,427	8,521,097	9,360,549	3,110,605	3,532,276
Chilime Hydro Power Company Limited-(CHCL) 1 Ordinary Shares of Rs. 100 each fully paid	-	533	4,553,791	5,100,585	-	533	4,553,791	5,100,585
Deprosc Laghubitta Bittiya Sanstha Limited (DDBL) 2 Ordinary Share of Rs. 100 each fully paid	-	1,765	6,422,592	6,728,841	-	1,765	-	841
Forward Microfinance Laghubitta Bittiya Sanstha Limited (FOWAD) 1 Ordinary Share of Rs. 100 each fully paid	-	1,294	637,700	707,913	-	1,294	-	1,413
Garima Bikas Bank Limited (GBBL) 10,000 Ordinary Share of Rs. 100 each fully paid	4,275,261	4,283,600	-	-	-	-	-	-
Grameen Bikas Laghubitta Bittiya Sanstha Limited -Promoter (GBLBSP) 233 promoter Shares of Rs. 100 each fully paid	23,300	131,412	3,889,807	4,053,408	23,300	131,412	23,300	131,412
Hydroelectricity Investment and Development Company Limited (HIDCLPO) 1,343,631 promoter Shares of Rs. 100 each fully paid	176,944,948	288,810,623	9,090,489	9,299,767	171,310,183	282,914,943	170,772,227	182,600,460
Himalayan Everest Insurance Limited - Promoter (HEIP) 2,429 promoter Shares of Rs. 100 each fully paid	223,600	910,899	223,600	847,721	223,600	910,899	223,600	847,721
Himalayan Everest Insurance Limited (HEI) 9 Ordinary Shares of Rs. 100 each fully paid	-	5,547	4,968,080	5,377,688	-	5,547	-	5,688
Himalayan Life Insurance Company Limited (HLI) 2 Ordinary Shares of Rs. 100 each fully paid	9,873,003	8,238,685	-	8,211	-	814	-	8,211
Himalayan Reinsurance Limited (HRL) 72,926 Ordinary Shares of Rs. 100 each fully paid	70,661,427	76,014,925	10,757,840	10,517,720	61,738,647	67,294,654	-	-
Hydroelectricity Investment and Development Co. Limited (HIDCL) 2,513 Ordinary Shares of Rs. 100 each fully paid	-	-	214,454	449,827	-	-	214,454	449,827
IGI Prudential insurance Limited (IGI) 52,008 Ordinary Share of Rs. 100 each fully paid	33,073,583	28,967,936	-	1,070	33,073,583	28,967,936	-	
Kisan Lagubitta Bittiya Sanstha Limited (KLBSL) 1 Ordinary Share of Rs. 100 each fully paid	-	-	-	1,070	-	-	-	1,070
Kalika Power Company Limited (KPCL) 9,999 Ordinary Share of Rs. 100 each fully paid	5,243,241	5,617,474	-	-	-	-	-	-
Kamana Sewa Bikas Bank Limited (KSBBL) 836 Ordinary Share of Rs. 100 each fully paid	398,579	418,577	-	-	-	-	-	-
Life Insurance Co. Nepal Limited (LICN) 137,251 Ordinary Shares of Rs. 100 each fully paid	133,163,897	126,316,011	62,867,883	54,868,328	128,908,915	122,047,707	62,867,883	54,868,328
Madhya Bhotekoshi Jalavidyut Co. Ltd. (MBJC) 8,572 Ordinary Shares of Rs. 100 each fully paid	3,542,209	2,709,181	- -	- -	- -	- -	- -	- -
Mahila Laghubitta Bittiya Sanstha Limited (MLBSL) 1,500 Ordinary Shares of Rs. 100 each fully paid	3,335,861	3,532,725						
Mountain Energy Nepal Ltd. (MEN) 3,000 Ordinary Shares of Rs. 100 each fully paid	1,915,052	1,917,570	-	-	-	-	-	-
Mero Microfinance Laghubitta Bittiya Sanstha Limited (MERO) 2 Ordinary Shares of Rs. 100 each fully paid	-	-	-	-	-	-	-	1,400

Particulars	Group				Bank			
	FY 2081-82		FY 2080-81		FY 2081-82		FY 2080-81	
	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value
National Laghubitta Bittiya Sanstha Limited (NMFBS) 1 Ordinary Shares of Rs. 100 each fully paid	-	1,400	-	-	-	1400.05	-	-
National Life Insurance Co. Limited (NLICL) 1 Ordinary Share of Rs. 100 each fully paid	136,750	157,142	6,643,243	6,923,727	-	624	-	595
Neco Insurance Limited. (NIL) 13,298 Ordinary Shares of Rs. 100 each fully paid	9,876,783	9,827,831	15,341,443	15,318,028	9,515,272	9,446,367	9,553,773	9,466,028
Nepal Doorsanchar Company Limited (NTC) 67,446 Ordinary Shares of Rs. 100 each fully paid	74,760,407	66,625,147	502,260	507,000	65,890,040	59,168,352	-	-
Nepal Insurance Co. Limited (NICL) 240 Ordinary Shares of Rs. 100 each fully paid	1,695,652	1,412,944	1,576,195	2,467,520	-	154,843	738,345	1,587,520
Nepal Life Insurance Co. Limited (NLIC) 1 Ordinary Share of Rs. 100 each fully paid	-	773	2,561,320	2,476,619	-	773	-	619
Nerude Mirmire Laghubitta Bittiya Sanstha Limited (NMLBBL) 162 Ordinary Shares of Rs. 100 each fully paid	-	113,457	-	128,196	-	113,457	-	128,196
Ngadi Group Power Limited (NGPL) 80 Ordinary Shares of Rs. 100 each fully paid	2,257,605	2,192,685	-	27,280	-	-	-	27,280
Nirdhan Utthan Laghubitta Bittiya Sanstha Limited (NUBL) 11,200 Ordinary Shares of Rs. 100 each fully paid	9,314,975	8,609,552	-	-	-	-	-	-
NLG Insurance Co. Limited (NLG) 5 Ordinary Shares of Rs. 100 each fully paid	504	3,896	-	-	504	3,896		
NLG Insurance Co. Limited - Promoter (NLGPO) 4 promoter Shares of Rs. 100 each fully paid	-	-	-	704	-	-	-	704
NRN Infrastructure and Development Limited (NRN) 2,000 Ordinary Shares of Rs. 100 each fully paid	4,513,394	4,558,380	-	-	-	-	-	-
Prabhu Insurance Limited (PRIN) 597 Ordinary Shares of Rs. 100 each fully paid	-	-	-	493,122	-	-	-	493,122
Prime Commercial Bank Ltd.(PCBL) 6,012 Ordinary Shares of Rs. 100 each fully paid	1,741,162	1,661,176	-	-	-	-	-	-
Radhi Bidyut Company Ltd (RADHI) 1 Ordinary Shares of Rs. 100 each fully paid	787	810	-	-	-	-	-	-
Ridi Power Company Limited (RIDI) 1 Ordinary Share of Rs. 100 each fully paid	-	-	-	191	-	-	-	191
Reliable Nepal Life Insurance Limited (RNLI) 28,088 Promoter Shares of Rs. 100 each fully paid	19,983,009	17,652,414	1,146,726	1,371,710	15,605,322	13,388,988	-	-
RSDC Laghubitta Bittiya Sanstha Limited (RSDC) 78 Ordinary Shares of Rs. 100 each fully paid	-	54,693	-	567,440	-	54,693	-	567,440
Ru Ru Jalbidhyut Pariyojana Limited (RURU) 8,000 Ordinary Shares of Rs. 100 each fully paid	6,047,077	5,831,520	-	-	-	-	-	-
Sampada Laghubitta Bittiya Sanstha Limited (SMPDAP) 351,050 Promoter Shares Kitta of Rs. 100 each	20,000,000	173,769,750	20,000,000	114,793,350	20,000,000	173,769,750	20,000,000	114,793,350
Sana Kisan Bikas Laghubitta Bittiya Sanstha Limited (SKBBL) 7 Ordinary Shares of Rs. 100 each fully paid	-	6,191	1,792,392	1,990,828	-	6,191	-	40,978
Sanjen Jalavidhyut Co. Ltd. (SJCL) 7,000 Ordinary Shares of Rs. 100 each fully paid	2,811,253	2,220,960	-	-	-	-	-	-
Sanima General Insurance Company Limited -Promoter (SGICP) 391,607 Promoter Shares of Rs. 100 each fully paid	36,428,600	97,901,750	36,428,600	36,428,600	36,428,600	97,901,750	36,428,600	36,428,600
Sanima General Insurance Company Limited (SGIC) 19,463 Ordinary Shares of Rs. 100 each fully paid	1,810,600	11,872,235	13,571,400	78,306,978	1,810,600	11,872,235	13,571,400	78,306,978
Sanima Mai Hydropower Limited (SHPC) 1,000 Ordinary Shares of Rs. 100 each fully paid	17,499,460	29,809,477	12,612,702	13,022,202	16,907,483	29,183,287	10,781,687	10,985,541
Sarbottam Cement Limited (SARBTM) 8,000 Ordinary Shares of Rs. 100 each fully paid	6,946,599	6,926,480	-	-	-	-	-	-
Shikhar Insurance Co. Limited (SICL) 59,284 Ordinary Shares of Rs. 100 each fully paid	48,888,878	45,857,953	34,805,947	26,592,663	48,888,878	45,857,953	34,805,947	26,592,663
Shine Resunga Development Bank Ltd. (SHINE) 9,542 Ordinary Shares of Rs. 100 each fully paid	4,123,540	4,121,858	-	-	-	-	-	-
Shivam Cements Limited (SHIVM) 13,098 Ordinary Shares of Rs. 100 each fully paid	12,420,284	12,530,102	23,639,051	23,629,699	6,167,090	7,007,954	14,708,531	14,588,299
Siddhartha Bank Limited (SBL) 7,067 Ordinary Shares of Rs. 100 each fully paid	2,329,013	2,712,103	-	-	-	-	-	-
Siddhartha Premier Insurance Limited (SPIL) 75,707 Ordinary Shares of Rs. 100 each fully paid	92,936,813	79,166,852	5,865,120	7,040,861	75,198,922	63,620,377	-	161,661

Particulars	Group				Bank			
	FY 2081-82		FY 2080-81		FY 2081-82		FY 2080-81	
	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value
Siddhartha Premier Insurance Limited Promoter Share 28,000 Ordinary Shares of Rs. 100 each fully paid	11,928,000	11,928,000	-	-	-	-	-	-
Surya JyotiLife Insurance Company Limited (SJLIC) 1 Ordinary Share of Rs. 100 each fully paid	-	-	-	430	-	-	-	430
Synergy Power Development Limited (SPDL) 1 Ordinary Share of Rs. 100 each fully paid	-	418	-	255	-	418	-	255
Swabalamban Laghubitta Bittiya Sanstha Limited (SWBBL) 1 Ordinary Share of Rs. 100 each fully paid	-	1,763	400,865	470,000	-	881	-	-
Unique Nepal Laghubitta Bittiya Sanstha Limited-Promoter (UNLBP) 108,000 Promoter Shares of Rs. 100 each fully paid	10,800,000	130,788,000	10,800,000	10,800,000	10,800,000	130,788,000	10,800,000	10,800,000
United Ajod Insurance Limited (UAIL) 31,767 Ordinary Shares of Rs. 100 each fully paid	22,588,974	18,156,747	21,286,649	17,815,550	22,588,974	18,156,747	21,286,649	17,815,550
Vijaya Laghubitta Bittiya Sanstha Limited (VLBS) 7 Ordinary Shares of Rs. 100 each fully paid	-	-	-	7,280	-	-	-	7,280
Vijaya Laghubitta Bittiya Sanstha Limited-Promoter Share (VLBSPO) 530,711 Promoter Shares of Rs. 100 each fully paid	34,657,126	243,065,638	34,657,126	173,542,497	34,657,126	243,065,638	34,657,126	173,542,497
Sana Kisan Bikas Laghubitta Bittiya Sanstha Limited -Promoter(SKBBLP) 1 Promoter Share of Rs. 100 each fully paid	29	100	29	100	29	100	29	100
Singati Hydro Energy Limited 27,950 Ordinary Shares of Rs. 100 each fully paid	8,000,356	8,059,942	-	-	-	-	-	-
Oriental Hotels Limited (OHL) 14,488 Ordinary Shares of Rs. 100 each fully paid	11,363,136	12,755,960	9,700,828	9,768,540	11,363,136	12,755,960	9,700,828	9,768,540
Taragaon Regency Hotel Limited (TRH) 12,545 Ordinary Shares of Rs. 100 each fully paid	11,143,777	11,869,075	7,799,675	8,127,297	11,143,777	11,869,075	7,799,675	8,127,297
Radhi Bidyut Company Ltd (RADHI) 59,478 Ordinary Shares of Rs. 100 each fully paid	17,007,843	48,191,455	6,122,082	6,340,784	17,007,843	48,191,455	6,122,082	6,340,784
Mutual Fund:								
Citizens Mutual Fund (CMF1) 2,719,500 Units of Rs. 10 each fully paid	-	-	27,472,878	26,215,980	-	-	27,472,878	26,215,980
Citizens Mutual Fund 2 (CMF2) 699,800	6,998,000	7,473,864	7,000,000	7,224,000	6,998,000	7,473,864	7,000,000	7,224,000
Global IME Balance Fund-1 (GIBF1) 4,000,000 Units of Rs. 10 each fully paid	-	-	40,000,000	36,400,000	-	-	40,000,000	36,400,000
Kumari Dhanbriddhi Yojana (KDBY) 18,376,089 Units of Rs. 10 each fully paid	183,760,890	184,679,694	183,760,890	177,696,781	183,760,890	184,679,694	183,760,890	177,696,781
Kumari Equity Fund (KEF) 17,406,670 Units of Rs. 10 each fully paid	174,066,700	173,196,367	174,066,700	168,148,432	174,066,700	173,196,367	174,066,700	168,148,432
Kumari Sabal Yojana (KSY) 1,000,000 Units of Rs. 10 each fully paid	10,000,000	10,000,000	-	-	-	-	-	-
Kumari Sunaulo Lagani Yojana-open ended (KSLY) 15,000,000 Units of Rs. 10 each fully paid	150,000,000	184,650,000	150,000,000	168,000,000	150,000,000	184,650,000	150,000,000	168,000,000
Laxmi Equity Fund (LEMF) 2,892,772 Units of Rs. 10 each fully paid	-	-	45,431,887	32,889,051	-	-	40,202,431	27,394,551
Laxmi Unnati Kosh (LUK) 2,000,000 Units of Rs. 10.65 each fully paid	21,667,763	21,155,599	21,291,939	18,000,000	21,291,939	20,780,000	21,291,939	18,000,000
Laxmi Value Fund 2 50,000 Units of Rs. 10.65 each fully paid	506,182	506,000	-	-	-	-	-	-
Mega Mutual Fund 1 (MMF1) 872,680 Units of Rs. 10 each fully paid	8,726,800	8,360,274	8,726,800	6,737,090	8,726,800	8,360,274	8,726,800	6,737,090
Nabil Balanced Fund III (NBF3) 16,670 Units of Rs. 10 each fully paid	166,700	166,533	166,700	130,026	166,700	166,533	166,700	130,026
NIBL Growth Fund (NIBLGF) 5,000,000 Units of Rs. 10 each fully paid	50,000,000	49,300,000	50,000,000	53,200,000	50,000,000	49,300,000	50,000,000	53,200,000
NIBL Sahabhagita Fund (NIBLSF) 5,819,358 Units of Rs. 10.84 each fully paid	63,110,054	66,457,068	64,712,054	61,345,807	63,110,054	66,457,068.36	63,110,054	59,764,807
NIBL Samriddhi Fund- II (NIBSF2) 3,543,463 Units of Rs. 10 each fully paid	35,434,630	31,288,778	35,434,630	29,233,570	35,434,630	31,288,778	35,434,630	29,233,570
NIC ASIA Balanced Fund (NICBF) 4,172,650 Units of Rs. 9.54 each fully paid	39,813,660	40,766,791	39,813,660	40,057,440	39,813,660	40,766,791	39,813,660	40,057,440
NIC Asia Select 30 Index Fund (NICSF) 3,155,000 Units of Rs. 10.05 each fully paid	31,709,408	29,309,950	30,000,000	28,800,000	31,709,408	29,309,950	30,000,000	28,800,000
NIC Asia Dynamic Debt Fund (NICADF) 664,830 Units of Rs. 10 each fully paid	6,648,300	7,087,088	6,648,300	7,220,054	6,648,300	7,087,088	6,648,300	7,220,054
NIC Asia Growth Fund (NICGF) 4,861,900 Units of Rs. 10 each fully paid	-	-	69,364,908	48,132,810	-	-	69,364,908	48,132,810

Particulars	Group				Bank			
	FY 2081-82		FY 2080-81		FY 2081-82		FY 2080-81	
	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value
NMB 50 13,051,945 Units of Rs. 11.61 each fully paid	152,376,038	140,487,392	152,417,438	144,125,555	151,472,438	139,525,292	151,472,438	143,221,955
NMB Sulav Investment Fund-2 (NSIF2) 10,000 Units of Rs. 10 each fully paid	100,000	112,900	3,000,000	3,018,000	100,000	112,900	3,000,000	3,018,000
Prabhu Select Fund (PSF) 1,493,590 Units of Rs. 10 each fully paid	15,160,884	17,088,431	24,680,900	24,162,601	14,935,900	16,862,631	24,680,900	24,162,601
Prabhu Smart Fund 50,000 Units of Rs. 10 each fully paid	560,753	573,500	-	-	-	-	-	-
RBB Mutual Fund -1 (RMF1) 3,992,087 Units of Rs. 10 each fully paid	40,899,165	40,757,187	39,920,870	32,575,430	39,920,870	39,761,187	39,920,870	32,575,430
Reliable Samriddhi Yojana (RSY) 10,000,000 Units of Rs. 10 each fully paid	100,000,002	99,300,000	-	-	100,000,002	99,300,000	-	-
Sanima Equity Fund (SAEF) 8,297,450 Units of Rs. 10 each fully paid	-	-	120,024,032	90,841,526	-	-	119,712,921	90,525,180
Sanima Flexi Fund 200,000 Units of Rs. 10 each fully paid	2,000,000	2,002,000	-	-	-	-	-	-
Sanima Large Cap Fund (SLCF) 2,345,000 Units of Rs. 10 each fully paid	23,450,000	23,989,350	25,000,000	23,225,000	23,450,000	23,989,350	25,000,000	23,225,000
Sanima Growth Fund (SAGF) 989,400 Units of Rs. 10 each fully paid	9,894,000	10,210,608	10,000,000	10,140,000	9,894,000	10,210,608	10,000,000	10,140,000
Siddhartha Equity Fund (SEF) 5,645,744 Units of Rs. 10.74 each fully paid	60,641,615	58,094,706	60,641,615	47,367,792	60,641,615	58,094,706	60,641,615	47,367,792
Siddhartha Investment Growth Scheme 2 (SIGS2) 8,471,693 Units of Rs. 10 each fully paid	88,636,875	88,952,777	88,636,875	80,396,367	88,636,875	88,952,777	88,636,875	80,396,367
Sunrise Blue Chip Fund (SBCF) 4,200,000 Units of Rs. 10 each fully paid	48,106,057	48,152,180	45,000,000	37,215,000	42,000,000	42,000,000	45,000,000	37,215,000
Sunrise First Mutual Fund (SFMF) 8,040,310 Units of Rs. 11.13 each fully paid	91,108,056	87,521,778	91,723,812	85,287,209	89,507,812	85,870,511	89,507,812	83,217,209
Sunrise Focussed Equity Fund (SFEF) 4,959,000 Units of Rs. 10 each fully paid	50,657,798	50,880,712	50,000,000	41,200,000	49,590,000	49,788,360	50,000,000	41,200,000
Nabil Balanced Fund-2 (NBF2) 8,200,200 Units of Rs. 11.39 each fully paid	93,433,679	82,904,022	93,433,679	73,801,800	93,433,679	82,904,022	93,433,679	73,801,800
Laxmi Value Fund 2 (LVF2) 1,886,900 Units of Rs. 10 each fully paid	18,869,000	19,095,428	20,000,000	18,480,000	18,869,000	19,095,428	20,000,000	18,480,000
Himalayan 80-20 (H8020) 3,000,000 Units of Rs. 10 each fully paid	-	-	30,000,000	29,970,000	-	-	30,000,000	29,970,000
NIC ASIA Growth Fund-2 (NICGF2) 3,000,000 Units of Rs. 10 each fully paid	30,000,000	28,560,000	30,000,000	24,600,000	30,000,000	28,560,000	30,000,000	24,600,000
NIBL Stable Fund (NIBLSTF) 10,000 Units of Rs. 10 each fully paid	100,000	98,900	100,000	100,000	100,000	98,900	100,000	100,000
Kumari Sabal Yojana (KSY) 14,000,000 Units of Rs. 10 each fully paid	140,000,000	140,000,000	150,000,000	150,000,000	140,000,000	140,000,000	140,000,000	140,000,000
Investment in Unquoted Equity :								
Avasar Equity Limited (AEL) 76,700 Units of Rs. 100 each fully paid	7,670,000	7,670,000	-	-	-	-	-	-
Aviyan Laghubitta Bittiya Sanstha Limited 250,000 Units of Rs. 100 each fully paid	25,000,000	29,074,305	-	-	25,000,000	29,074,305	-	-
Credit Information Centre Limited (CICL) 344,243 Ordinary Shares of Rs. 8 each fully paid	2,754,500	265,720,029	2,769,440	135,701,010	2,754,500	265,720,029	2,754,500	135,701,010
Equity of SWIFT 6 Ordinary Shares of EUR 125 each fully paid	6,720,004	6,720,004	6,720,004	6,720,004	6,720,004	6,720,004	6,720,004	6,720,004
Himal Water Park Village Hotel Private Limited (HWPVH) 100,000 Units of Rs. 100 each fully paid	10,000,000	10,000,000	-	-	-	-	-	-
Nepal Clearing House Limited (NCHL) 829,174 Ordinary Shares of Rs. 100 each fully paid	29,381,700	179,432,320	29,381,700	177,514,837	29,381,700	179,432,320	29,381,700	177,514,837
National Banking Training Institute (NBTI) 144,954 Ordinary Shares of Rs. 100 each fully paid	3,669,720	15,281,779	3,669,720	59,890,449	3,669,720	15,281,779	3,669,720	59,890,449
Reliable Private Equity Fund (RPEF) 25,000 Ordinary Shares of Rs. 1000 each fully paid	69,953,392	69,953,392	25,000,000	25,000,000	25,000,000	25,000,000	25,000,000	25,000,000
Total	**2,987,709,300**	**4,083,406,810**	**2,466,862,761**	**2,925,801,451**	**2,685,536,585**	**3,788,625,016**	**2,535,667,458**	**3,003,323,812**

Current tax assets 4.9

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Current tax assets	**9,215,025,642**	**8,551,623,489**	**9,210,922,238**	**8,543,895,969**
Current year income tax assets	9,215,025,642	8,551,623,489	9,210,922,238	8,543,895,969
Tax assets of prior periods	-	-	-	-
Current tax liabilities	**8,674,808,323**	**5,966,540,319**	**8,674,808,323**	**5,966,540,319**
Current year income tax liabilities	8,674,808,323	5,966,540,319	8,674,808,323	5,966,540,319
Tax liabilities of prior periods	-	-	-	-
Total	**540,217,320**	**2,585,083,170**	**536,113,916**	**2,577,355,650**

Current tax assets of the bank includes advance tax paid by the bank and tax deducted at source (TDS) on behalf of the bank. In the same way the current income tax liabilities include the tax payable to the Government computed as per the provisions of the income tax act 2058 under self assessment tax return filed.

Investment in subsidiaries 4.10

Particulars	Bank	
	FY 2081-82	FY 2080-81
Investment in quoted subsidiaries	-	-
Investment in unquoted subsidiaries	600,000,000	600,000,000
Total investment	**600,000,000**	**600,000,000**
Less: Impairment allowances	-	-
Net carrying amount	**600,000,000**	**600,000,000**

4.10.1: Investment in quoted subsidiaries

Particulars	Bank			
	FY 2081-82		FY 2080-81	
	Cost	Fair Value	Cost	Fair Value
Total				

4.10.2: Investment in unquoted subsidiaries

Particulars	Bank			
	FY 2081-82		FY 2080-81	
	Cost	Fair Value	Cost	Fair Value
Kumari Capital Ltd. (40,00,000 Kitta of Rs. 100 each)	400,000,000	400,000,000	400,000,000	400,000,000
KBL Securities Ltd. (2,00,000 Kitta of Rs. 100 each)	200,000,000	200,000,000	200,000,000	200,000,000
Total	**600,000,000**	**600,000,000**	**600,000,000**	**600,000,000**

4.10.3: Information relating to subsidiaries of the Bank

Particulars	Bank	
	Percentage of ownership held by the Bank	
	FY 2081-82	FY 2080-81
Kumari Capital Ltd.	100%	100%
KBL Securities Ltd.	100%	100%

4.10.4: Non controlling interest of the subsidiaries

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Equity interest held by NCI (%)	-	-	-	-
Profit/(loss) allocated during the year	-	-	-	-
Accumulated balances of NCI as on Ashad end 2080	-	-	-	-
Dividend paid to NCI	-	-	-	-

As the subsidiary is wholly owned by the bank, hence non controlling interest does not exist as on the reporting date.

Investment in associates 4.11

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Investment in quoted associates	504,388,862	488,013,591	80,017,596	105,017,596
Investment in unquoted associates	926,738,641	1,105,671,809	880,000,000	1,060,000,000
Total investment	**1,431,127,503**	**1,593,685,400**	**960,017,596**	**1,165,017,596**
Less: Impairment allowances	-	-	-	-
Net carrying amount	**1,431,127,503**	**1,593,685,400**	**960,017,596**	**1,165,017,596**

4.11.1: Investment in quoted associates

Particulars	Group				Bank			
	FY 2081-82		FY 2080-81		FY 2081-82		FY 2080-81	
	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value
National Microfinance Bittiya Sanstha Limited Promoter Shares 2,00,000 Kitta of Rs. 100 each Bonus Shares 9,05,920 Kitta of Rs. 100 each	20,000,000	262,657,397	20,000,000	228,252,827	20,000,000	20,000,000	20,000,000	20,000,000
First Microfinance Laghu Bittiya Sanstha Limited Promoter Shares 2,15,068 Kitta of Rs. 100 each Bonus Shares 3,29,527, Kitta of Rs. 100 each	22,994,596	75,699,880	22,994,596	72,838,996	22,994,596	22,994,596	22,994,596	22,994,596
Mero Microfinance Bittiya Sanstha Limited Promoter Shares 3,70,230 Kitta of Rs. 100 each Bonus Shares 623,072 Kitta of Rs. 100 each	37,023,000	166,031,585	37,023,000	156,976,699	37,023,000	37,023,000	37,023,000	37,023,000
Aviyan Laghubitta Bittiya Sanstha Limited Promoter Shares 2,50,000 Kitta of Rs. 100 each	-	-	25,000,000	29,945,069	-	-	25,000,000	25,000,000
Total	**80,017,596**	**504,388,862**	**105,017,596**	**488,013,591**	**80,017,596**	**80,017,596**	**105,017,596**	**105,017,596**

4.11.2: Investment in unquoted associates

Particulars	Group				Bank			
	FY 2081-82		FY 2080-81		FY 2081-82		FY 2080-81	
	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value	Cost	Fair Value
Avasar Equity Limited Promoter Shares 3,00,000 Kitta of Rs. 100 each	30,000,000	33,437,320	30,000,000	30,000,000	30,000,000	30,000,000	30,000,000	30,000,000
Avasar Equity Diversified Fund Promoter Shares 850,00,000 Kitta of Rs. 100 each	850,000,000	893,301,321	1,000,000,000	1,043,105,815	850,000,000	850,000,000	1,000,000,000	1,000,000,000
Solar Farm Limited Promoter Shares 3,00,000 Kitta of Rs. 100 each	-	-	30,000,000	32,565,994	-	-	30,000,000	30,000,000
Total	**880,000,000**	**926,738,641**	**1,060,000,000**	**1,105,671,809**	**880,000,000**	**880,000,000**	**1,060,000,000**	**1,060,000,000**

4.11.3: Information relating to associates of the Bank

Particulars	Group		Bank	
	Percentage of ownership held by the Bank			
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
National Microfinance Bittiya Sanstha Limited Promoter Shares 2,00,000 Kitta of Rs. 100 each Bonus Shares 9,05,920 Kitta of Rs. 100 each	9%	9%	9%	9%
First Microfinance Laghu Bittiya Sanstha Limited Promoter Shares 2,15,068 Kitta of Rs. 100 each Bonus Shares 3,29,527, Kitta of Rs. 100 each	4%	4%	4%	4%
Mero Microfinance Bittiya Sanstha Limited Promoter Shares 3,70,230 Kitta of Rs. 100 each Bonus Shares 623,072 Kitta of Rs. 100 each	7%	7%	7%	7%
Aviyan Laghubitta Bittiya Sanstha Limited Promoter Shares 2,50,000 Kitta of Rs. 100 each	10%	10%	10%	10%
Avasar Equity Promoter Shares 3,00,000 Kitta of Rs. 100 each	10%	10%	10%	10%
Avasar Equity Diversified Fund Promoter Shares 8,50,00,000 Kitta of Rs. 100 each	19%	22%	19%	22%
Solar Farm Limited Promoter Shares 3,00,000 Kitta of Rs. 100 each	-	9%	-	9%

4.11.4: Equity value of associates

Particulars	Group	
	FY 2081-82	FY 2080-81
National Microfinance Bittiya Sanstha Limited	262,657,397	228,252,827
First Microfinance Laghu Bittiya Sanstha Limited	75,699,880	72,838,996
Mero Microfinance Bittiya Sanstha Limited	166,031,585	156,976,699
Aviyan Laghubitta Bittiya Sanstha Limited	-	29,945,069
Avasar Equity	33,437,320	30,000,000
Avasar Equity Diversified Fund	893,301,321	1,043,105,815
Solar Farm Limited	-	32,565,994
Total	**1,431,127,503**	**1,593,685,400**

Investment properties 4.12

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Investment properties measured at fair value				
Balance as on Shrawan 1, 2081	1,913,183,766	1,263,212,752	1,913,183,766	1,263,212,752
Addition/disposal during the year	625,640,742	649,971,014	625,640,742	649,971,014
Net changes in fair value during the year	-	-		-
Adjustment/transfer	-	-		-
Net amount	**2,538,824,508**	**1,913,183,766**	**2,538,824,508**	**1,913,183,766**
Investment properties measured at cost				
Balance as on Shrawan 1, 2081	-	-	-	-
Addition/disposal during the year	-	-		-
Adjustment/transfer	-			
Accumulated depreciation	-			
Accumulated impairment loss	-	-	-	-
Net amount	**-**	**-**	**-**	**-**
Total	**2,538,824,508**	**1,913,183,766**	**2,538,824,508**	**1,913,183,766**

Property and Equipment

4.13

Particulars	Group									
	Land	Building	Leasehold Properties	Computer & Accessories	Vehicles	Furniture & Fixture	Machinery	Equipment & Others	Total Ashad End 2082	Total Ashad End 2081
Cost										
As on Shrawan 1, 2080	1,031,168,152	269,221,527	984,407,092	560,765,237	515,194,415	428,954,679	-	1,147,751,821		4,937,462,923
Addition during the Year										-
Acquisition										-
Capitalization	-	-	98,804,298	24,049,842	15,415,834	22,320,139	-	94,488,803		255,078,915
Disposal during the year	-	4,814,041	99,403,082	53,243,852	101,737,282	18,522,264	-	84,127,952		361,848,473
Adjustment/Revaluation	-	(97,311,356)	110,788,107	3	(1,601,676)	(10,837,450)	-	(1,537,266)		(499,637)
Balance as on Ashad end 2081	**1,031,168,152**	**167,096,130**	**1,094,596,415**	**531,571,229**	**427,271,292**	**421,915,104**	**-**	**1,156,575,406**	**4,830,193,727**	**4,830,193,727**
Addition during the Year										
Acquisition	-	-	75,976,974	16,059,709	55,502,400	12,680,143	-	38,050,000	198,269,226	
Capitalization	-	-	-	-	-	-	-	-	-	
Through Merger-NCC	-	-	-	-	-	-	-	-	-	
Disposal during the year	-	-	54,225,912	9,276,452	87,410,217	8,611,097	-	29,317,503	188,841,182	
Adjustment/Revaluation	-	-	(11)	-	-	-	-	-	(11)	
Balance as on Ashad end 2082	**1,031,168,152**	**167,096,130**	**1,116,347,466**	**538,354,486**	**395,363,474**	**425,984,150**	**-**	**1,165,307,903**	**4,839,621,760**	
Depreciation and Impairment										
As on Shrawan 1, 2080	-	92,245,889	600,575,451	395,408,358	263,589,460	286,605,407	-	769,497,501		2,407,922,065
Depreciation charge for the Year	-	5,894,063	168,006,864	44,639,611	49,036,919	38,675,799	-	105,071,965		411,325,222
Impairment for the year	-	-	-	-	-	-	-	-		-
Disposals	-	2,862,957	91,419,689	51,118,469	81,477,550	16,236,005	-	77,550,367		320,665,037
Adjustment	-	(38,267,895)	50,109,068	(959,697)	(509,020)	(9,718,829)	-	(2,160,924)		(1,507,297)
As on Ashad end 2081	**-**	**57,009,100**	**727,271,693**	**387,969,804**	**230,639,809**	**299,326,371**	**-**	**794,858,175**	**2,497,074,952**	**2,497,074,952**
Impairment for the year	-	-	-	-	-	-	-	-	-	
Depreciation charge for the Year	-	5,507,137	151,654,600	37,647,975	40,751,368	32,379,945	-	91,402,432	359,343,456	
Disposals	-	-	48,497,823	9,041,033	75,471,379	7,462,134	-	27,362,980	167,835,349	
Adjustment	-	-	-	-	-	-	-	38	38	
As on Ashad end 2082	**-**	**62,516,237**	**830,428,469**	**416,576,745**	**195,919,797**	**324,244,183**	**-**	**858,897,665**	**2,688,583,097**	
Capital Work in Progress 2080	-	261,369	-	-	-	-	-	-		261,369
Capital Work in Progress 2081	-	261,369	-	-		-	-	-		261,369
Capital Work in Progress 2082	-	550,838,315	-	-	-	-	-	-	550,838,315	-
Net Book Value										
As on Ashad end 2080	**1,031,168,152**	**177,237,007**	**383,831,641**	**165,356,879**	**251,604,956**	**142,349,272**	**-**	**378,254,320**		**2,529,802,227**
As on Ashad end 2081	**1,031,168,152**	**110,348,399**	**367,324,722**	**143,601,425**	**196,631,483**	**122,588,732**	**-**	**361,717,231**		**2,333,380,143**
As on Ashad end 2082	**1,031,168,152**	**655,418,208**	**285,918,996**	**121,777,740**	**199,443,677**	**101,739,967**	**-**	**306,410,238**	**2,701,876,978**	**-**

Particulars	Bank									
	Land	Building	Leasehold Properties	Computer & Accessories	Vehicles	Furniture & Fixture	Machinery	Equipment & Others	Total Ashad End 2082	Total Ashad End 2081
Cost										
As on Shrawan 1, 2080	1,031,168,152	269,277,229	977,953,952	558,839,993	512,198,047	432,962,883	-	1,137,239,229		4,919,639,486
Addition during the Year										-
Capitalization			92,188,423	21,715,270	15,346,000	21,169,029		74,806,478		225,225,201
Disposal during the year		4,814,041	99,403,082	53,232,552	101,737,282	18,511,184		84,127,952		361,826,093
Adjustment/Revaluation	-	(97,311,356)	110,788,107	3	(1,601,676)	(10,837,450)	-	(1,537,266)		(499,637)
Balance as on Ashad end 2081	**1,031,168,152**	**167,151,832**	**1,081,527,400**	**527,322,713**	**424,205,089**	**424,783,279**	**-**	**1,126,380,490**	**4,782,538,955**	**4,782,538,955**
Addition during the Year									-	
Acquisition	-	-	73,290,821	15,557,419	48,732,900	12,419,449	-	36,154,599	186,155,188	
Disposal during the year	-	-	54,225,912	9,276,452	87,410,217	8,611,097	-	28,991,025	188,514,704	
Adjustment/Revaluation			(11)						(11)	
Balance as on Ashad end 2082	**1,031,168,152**	**167,151,832**	**1,100,592,298**	**533,603,680**	**385,527,772**	**428,591,631**	**-**	**1,133,544,063**	**4,780,179,428**	
Depreciation and Impairment										
As on Shrawan 1, 2080	-	92,245,890	599,338,406	394,294,086	263,116,676	290,103,215	-	764,948,578		2,404,046,852
Depreciation charge for the Year		5,894,063	167,209,332	43,714,683	48,957,172	37,930,852	-	103,006,430		406,712,533
Impairment for the year	-	-	-	-	-	-	-	-		-
Disposals		2,862,957	91,419,689	51,118,469	81,477,550	16,236,005		77,550,367		320,665,037
Adjustment	-	(38,267,895)	50,109,068	(959,697)	(509,020)	(9,718,829)	-	(2,160,925)		(1,507,298)
As on Ashad end 2081	**-**	**57,009,101**	**725,237,117**	**385,930,604**	**230,087,278**	**302,079,233**	**-**	**788,243,716**	**2,488,587,049**	**2,488,587,049**
Impairment for the year	-									
Depreciation charge for the Year		5,507,136.58	148,548,693.13	36,489,361.35	39,192,688.63	32,148,984.12		90,811,881.88	352,698,746	
Disposals	-	-	48,497,823	9,041,033	75,471,379	7,462,134	-	27,210,338	167,682,707	
Adjustment								38	38	
As on Ashad end 2082	**-**	**62,516,238**	**825,287,987**	**413,378,932**	**193,808,588**	**326,766,083**	**-**	**851,845,297**	**2,673,603,125**	
Capital Work in Progress 2080	-	261,369	-	-	-	-	-	-		261,369
Capital Work in Progress 2081	-	261,369	-	-	-	-	-	-		261,369
Capital Work in Progress 2082	-	550,838,315	-	-	-	-	-	-	550,838,315	
Net Book Value										
As on Ashad end 2080	**1,031,168,152**	**177,292,708**	**378,615,546**	**164,545,906**	**249,081,371**	**142,859,668**	**-**	**372,290,651**		**2,515,854,003**
As on Ashad end 2081	**1,031,168,152**	**110,404,100**	**356,290,283**	**141,392,109**	**194,117,811**	**122,704,049**	**-**	**338,136,774**		**2,294,213,277**
As on Ashad end 2082	**1,031,168,152**	**655,473,909**	**275,304,311**	**120,224,748**	**191,719,184**	**101,825,548**	**-**	**281,698,766**	**2,657,414,617**	

Goodwill and Intangible Assets

Particulars	Group					
	Goodwill	Software		Other	Total Ashad end 2082	Total Ashad end 2081
		Purchased	Developed			
Cost						
As on Shrawan 1, 2080	109,074,522	379,388,069	-	-		488,462,591
Addition during the Year						-
Acquisition	-	71,984,843	-	-		71,984,843
Capitalization	-	-	-	-		-
Disposal during the year	-	1,785,400	-	-		1,785,400
Adjustment/Revaluation	-	-	-	-		-
Balance as on Ashad end 2081	**109,074,522**	**449,587,512**	**-**	**-**	**558,662,033**	**558,662,033**
Addition during the Year						
Acquisition	-	-	-	-	-	
Capitalization	-	1,467,192	-	-	1,467,192	
Disposal during the year	-	1,283,390	-	-	1,283,390	
Written off during the year						
Adjustment/Revaluation	-	-	-	-	-	
Balance as on Ashad end 2082	**109,074,522**	**449,771,314**	**-**	**-**	**558,845,836**	**-**
Amortization and Impairment						
As on Shrawan 1, 2080	-	297,287,492	-	-	-	297,287,492
Amortization charge for the Year	-	36,857,035	-	-	-	36,857,035
Impairment for the year	-	-	-	-	-	-
Disposals	-	687,773	-	-	-	687,773
Adjustment	-	-	-	-	-	-
As on Ashad end 2081	**-**	**333,456,753**	**-**	**-**	**333,456,753**	**333,456,753**
Amortization charge for the Year	-	-	-	-	-	
Impairment for the year	-	37,694,603	-	-	37,694,603	
Disposals	-	1,283,387	-	-	1,283,387	
Written off during the year					-	
Adjustment	-	-	-	-	-	
As on Ashad end 2082	**-**	**369,867,970**	**-**	**-**	**369,867,970**	
Capital Work in Progress	**-**	**-**	**-**	**-**	**-**	**-**
Net Book Value	**-**	**-**	**-**	**-**	**-**	**-**
As on Ashad end 2080	**109,074,522**	**82,100,577**	**-**	**-**	**-**	**191,175,099**
As on Ashad end 2081	**109,074,522**	**116,130,758**	**-**	**-**		**225,205,280**
As on Ashad end 2082	**109,074,522**	**79,903,344**	**-**	**-**	**188,977,866**	

Particulars	Bank					
	Goodwill	Software		Other	Total Ashad end 2082	Total Ashad end 2081
		Purchased	Developed			
Cost						
As on Shrawan 1, 2080	109,074,522	375,328,327	-	-		484,402,849
Addition during the Year						-
Acquisition	-	66,769,825	-	-		66,769,825
Capitalization	-	-	-	-		-
Disposal during the year	-	565,000	-	-		565,000
Adjustment/Revaluation	-	-	-	-		-
Balance as on Ashad end 2081	**109,074,522**	**441,533,152**	**-**	**-**	**550,607,674**	**550,607,674**
Addition during the Year						
Acquisition	-		-	-	-	
Capitalization	-	1,073,500	-	-	1,073,500	
Disposal during the year	-	406,800	-	-	406,800	
Written off during the year						
Adjustment/Revaluation	-	-	-	-	-	
Balance as on Ashad end 2082	**109,074,522**	**442,199,852**	**-**	**-**	**551,274,374**	
Amortization and Impairment						
As on Shrawan 1, 2080	-	295,732,790	-	-		295,732,790
Amortization charge for the Year	-	35,851,658	-	-		35,851,658
Impairment for the year	-	-		-		-
Disposals	-	565,000		-		565,000
Adjustment	-	-		-		-
As on Ashad end 2081	**-**	**331,019,449**	**-**	**-**	**331,019,449**	**331,019,449**
Amortization charge for the Year			-	-	-	
Impairment for the year	-	36269849.12	-	-	36,269,849	
Disposals	-	406,799	-	-	406,799	
Written of during the year					-	
Adjustment	-	-	-	-	-	
As on Ashad end 2082	**-**	**366,882,499**	**-**	**-**	**366,882,499**	
Capital Work in Progress	**-**	**-**	**-**	**-**	**-**	
Net Book Value						
As on Ashad end 2080	**109,074,522**	**79,595,537**	**-**	**-**	**-**	**188,670,059**
As on Ashad end 2081	**109,074,522**	**110,513,704**	**-**	**-**		**219,588,225**
As on Ashad end 2082	**109,074,522**	**75,317,354**	**-**	**-**	**184,391,875**	

Deferred Tax

4.15

Particulars	Group			Bank		
	FY 2081-82			FY 2081-82		
	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/ (Liabilities)	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/ (Liabilities)
Deferred tax on temporary differences on following items						
Loan and Advance to B/FIs	-	-	-	-	-	-
Loans and advances to customers	-	-	-	-	-	-
Investment properties	-	-	-	-	-	-
Investment securities	-	313,186,412.69	(313,186,413)	-	313,153,817	(313,153,817)
Property & equipment	61,965,845.82	4,919,349.36	57,046,496	61,965,846	-	61,965,846
Employees' defined benefit plan	238,911,281.59	-	238,911,282	237,856,862	-	237,856,862
Lease liabilities	850,291,031.78	770,846,767	79,444,265	845,347,213	770,846,767	74,500,447
Provisions	1,019,655,239	-	1,019,655,239	1,019,655,239	-	1,019,655,239
Other temporary differences	17,149,767	5,448,867	11,700,899	17,127,518	5,448,867	11,678,649
Deferred tax on temporary differences	2,187,973,166	1,094,401,396	1,093,571,769	2,181,952,678	1,089,449,451	1,092,503,225
Deferred tax on carry forward of unused tax losses						
Deferred tax due to changes in tax rate				-	-	-
Net Deferred tax asset/(liabilities) as on Ashad end of 2081			**1,093,571,769**			**1,092,503,225**
Recognized in Profit or Loss			1,167,846,900			1,167,800,181
Recognized in Other Comprehensive Income			(74,275,131)			(75,296,956)
Recognized directly in Equity			-			-
Deferred tax (asset)/liabilities as on Shrawan 1, 2080			(105,287,225)			(108,629,781)
Origination/(Reversal) during the year			**988,284,543**			**983,873,444**
Deferred tax expense/(income) recognised in profit or loss			**(1,158,036,887)**			**(1,152,418,891)**
Deferred tax expense/(income) recognised in other comprehensive income			**171,032,054**			**169,825,157**
Deferred tax expense/(income) recognised in directly in equity			**(1,279,708)**			**(1,279,708)**

Particulars	Group			Bank		
	FY 2080-81			FY 2080-81		
	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/ (Liabilities)	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/ (Liabilities)
Deferred tax on temporary differences on following items						
Loan and Advance to B/FIs	-	-	-	-	-	-
Loans and advances to customers	-	-	-	-	-	-
Investment properties	-	-	-	-	-	-
Investment securities	-	126,367,905.94	(126,367,906)	-	122,524,195	(122,524,195)
Property & equipment	-	(25,550,948.17)	25,550,948	-	(30,830,998)	30,830,998
Employees' defined benefit plan	148,703,768.48	-	148,703,768	148,204,171	-	148,204,171
Lease liabilities	62,034,205.32	-	62,034,205	56,752,598	-	56,752,598
Provisions	-	-	-	-	-	-
Other temporary differences	1,228,074	5,861,863	(4,633,791)	1,228,074	5,861,863	(4,633,791)
Deferred tax on temporary differences	211,966,047.63		105,287,225	206,184,843	97,555,059	108,629,781
Deferred tax on carry forward of unused tax losses			-		-	-
Deferred tax due to changes in tax rate			-	-	-	-
Net Deferred tax asset/(liabilities) as on Ashad end of 2081			**105,287,225**			**108,629,781**
Recognized in Profit or Loss			82,951,364			82,949,807
Recognized in Other Comprehensive Income			22,335,863			25,679,976
Recognized directly in Equity			-			-
Deferred tax (asset)/liabilities as on Shrawan 1, 2080			(63,919,160)			(63,033,290)
Origination/(Reversal) during the year			**41,368,067**			**45,596,493**
Deferred tax expense/(income) recognised in profit or loss			**(71,197,116)**			**(74,944,069)**
Deferred tax expense/(income) recognised in other comprehensive income			**29,829,048**			**29,347,575**
Deferred tax expense/(income) recognised in directly in equity			**-**			**-**

Other assets 4.16

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Assets held for sale	-	-	-	-
Other non banking assets	-	-	-	-
Bills receivable	-	-	-	-
Accounts receivable	930,006,392	1,132,317,268	930,006,392	1,132,317,268
Accrued income	-	-	-	-
Prepayments and deposit	74,218,853	172,819,320	74,218,853	172,819,320
Income tax deposit	440,958,467	440,958,467	440,958,467	440,958,467
Deferred employee expenditure	2,848,679,485	3,156,640,056	2,848,679,485	3,156,640,056
Other	650,784,445	532,165,728	422,521,900	391,273,421
Employees defined benefit obligations	-	-	-	-
Right of Use of Assets	2,569,489,222	1,959,831,894	2,569,489,222	1,959,831,895
Total	**7,514,136,863**	**7,394,732,733**	**7,285,874,319**	**7,253,840,426**

Due to Bank and Financial Institutions 4.17

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Money market deposits	-	-	-	-
Interbank borrowing	-	801,900,000	-	801,900,000
Other deposits from BFIs	11,008,829,728	13,509,449,530	11,085,042,708	13,915,509,163
Settlement and clearing accounts	-	-	-	-
Total	**11,008,829,728**	**14,311,349,530**	**11,085,042,708**	**14,717,409,163**

Balances maintained by other local financial institutions with the bank is presented under this head.

Due to Nepal Rastra Bank 4.18

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Refinance from NRB	-	-	-	-
Standing Liquidity Facility	-	-	-	-
Lender of last report facility from NRB	-	-	-	-
Securities sold under repurchase agreements	-	-	-	-
Other payable to NRB	3,895,761,000	3,729,500,000	3,895,761,000	3,729,500,000
Total	**3,895,761,000**	**3,729,500,000**	**3,895,761,000**	**3,729,500,000**

The amount payable to NRB shall include amount of refinance from NRB, standing liquidity facilities, lender of last resort facility, sale and purchase agreements. Other payable to NRB includes deposit from NRB.

Derivative financial instruments 4.19

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Held for trading	**-**	**-**	**-**	**-**
Interest rate swap	-	-	-	-
Currency swap	-	-	-	-
Forward exchange contract	-	-	-	-
Others	-	-	-	-
Held for risk management	**1,168,560,453**	**350,040,393**	**1,168,560,453**	**350,040,393**
Interest rate swap	-	-	-	-
Currency swap	-	-	-	-
Forward exchange contract	1,168,560,453	350,040,393	1,168,560,453	350,040,393
Other	-	-	-	-
Total	**1,168,560,453**	**350,040,393**	**1,168,560,453**	**350,040,393**

The Forward Exchange Contracts are derivative products used by the bank for hedging purpose as a regular treasury activities. The derivative assets and derivative liabilities for non-proprietary are shown as gross and in case of derivative assets and derivative liabilities for Proprietary transactions are netted off and shown separately in the financial statements as a part of risk management. Accordingly, the same has been restated in previous financial year.

Deposits from customers 4.20

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Institutions customers:	153,000,729,989	145,277,914,410	153,000,729,989	145,277,914,410
Term deposits	104,987,227,861	109,011,327,788	104,987,227,861	109,011,327,788
Call deposits	29,668,068,801	23,261,910,718	29,668,068,801	23,261,910,718
Current deposits	16,177,147,240	10,970,713,091	16,177,147,240	10,970,713,091
Other	2,168,286,086	2,033,962,814	2,168,286,086	2,033,962,814
Individual customers:	211,638,431,525	187,833,408,075	211,638,431,525	187,833,408,075
Term deposits	83,108,188,080	96,523,878,395	83,108,188,080	96,523,878,395
Saving deposits	120,491,027,496	87,888,516,175	120,491,027,496	87,888,516,175
Current deposits	7,270,721,601	3,137,180,914	7,270,721,601	3,137,180,914
Other	768,494,347	283,832,591	768,494,347	283,832,591
Total	**364,639,161,514**	**333,111,322,485**	**364,639,161,514**	**333,111,322,485**

4.20.1: Currency wise analysis of deposit from customers

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Nepalese rupee	355,769,668,127	325,900,426,448	355,769,668,127	325,900,426,448
Indian rupee	-	-	-	
United State dollar	8,713,352,088	7,191,329,977	8,713,352,088	7,191,329,977
Great Britain pound	73,388,342	16,181,862	73,388,342	16,181,862
Euro	60,313,246	2,945,931	60,313,246	2,945,931
Japanese yen	20,657,705	-	20,657,705	-
Chinese yuan	-	-	-	-
Other	-	-	-	
AUD	1,780,856	437,182	1,780,856	437,182
CAD	1,150	1,085	1,150	1,085
Total	**364,639,161,514**	**333,111,322,485**	**364,639,161,514**	**333,111,322,485**

Currency wise deposit include NPR converted value of deposit on different currencies as on reporting date.

Borrowing 4.21

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Domestic Borrowing				
Nepal Government	-	-	-	-
Other Institutions	-	-	-	-
Other	-	-	-	-
Sub total	**-**	**-**	**-**	**-**
Foreign Borrowing				
Foreign Bank and Financial Institutions	1,380,591,727	1,340,593,579	1,380,591,727	1,340,593,579
Multilateral Development Banks	-	-	-	-
Other Institutions	-	-	-	-
Sub total	**1,380,591,727**	**1,340,593,579**	**1,380,591,727**	**1,340,593,579**
Total	**1,380,591,727**	**1,340,593,579**	**1,380,591,727**	**1,340,593,579**

Provisions 4.22

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Provisions for redundancy	-	-	-	-
Provision for restructuring	-	-	-	-
Pending legal issues and tax litigation	-	-	-	-
Onerous contracts	-	-	-	-
Other	3,100,000	3,000,000	3,100,000	3,000,000
Total	**3,100,000**	**3,000,000**	**3,100,000**	**3,000,000**

The other provision is created for the audit fee payable for each reporting periods.

4.22.1: Movement in provision

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Balance at Shrawan 1, 2081	**3,000,000**	**3,000,000**	**3,000,000**	**3,000,000**
Provisions made during the year	3,100,000	3,000,000	3,100,000	3,000,000
Provisions used during the year	3,000,000	3,000,000	3,000,000	3,000,000
Provisions reversed during the year	-	-	-	-
Unwind of discount	-	-	-	-
Balance at Ashad end 2082	**3,100,000**	**3,000,000**	**3,100,000**	**3,000,000**

Other liabilities

4.23

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Liability for employees defined benefit obligations	130,543,102	50,403,736	130,543,102	50,403,736
Liability for long-service leave	662,313,104	443,610,167	662,313,104	443,610,167
Short-term employee benefits	-	-	-	-
Bills payable	5,846,207	7,492,862	5,846,207	7,492,862
Creditors and accruals	2,483,936,050	2,868,412,069	2,483,936,050	2,868,412,069
Interest payable on deposit	1,579,626	1,605,148	1,579,626	1,605,148
Interest payable on borrowing	9,328,767	110,261	9,328,767	110,261
Liabilities on deferred grant income	-	-	-	-
Unpaid Dividend	1,747,789	1,760,933	1,747,789	1,760,933
Liabilities under Finance Lease	-	-	-	-
Employee bonus payable	581,624,451	110,996,130	581,624,451	110,996,130
Other	2,130,329,164	2,147,425,132	1,718,015,880	1,783,957,766
Lease Liability	2,817,824,045	2,149,007,220	2,817,824,045	2,149,007,220
Total	**8,825,072,304**	**7,780,823,659**	**8,412,759,020**	**7,417,356,293**

4.23.1: Defined benefit obligations

The amounts recognised in the statement of financial position are as follows:

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Present value of unfunded obligations	-	-	-	-
Present value of funded obligations	2,022,400,290	1,725,450,805	2,022,400,290	1,725,450,805
Total present value of obligations	**2,022,400,290**	**1,725,450,805**	**2,022,400,290**	**1,725,450,805**
Fair value of plan assets	1,891,857,188	1,675,047,069	1,891, 857,188	1,675,047,069
Present value of net obligations	130,543,102	50,403,736	130, 543,102	50,403,736
Recognised liability for defined benefit obligations	**130,543,102**	**50,403,736**	**130, 543,102**	**50,403,736**

4.23.2: Plan assets

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Plan assets comprise				
Equity securities	-	-	-	-
Government bonds	-	-	-	-
Bank deposit	1,891,857,188	1,675,047,069	1,891,857,188	1,675,047,069
Other (Deposit with CIT)	-	-	-	-
Total	**1,891,857,188**	**1,675,047,069**	**1,891,857,188**	**1,675,047,069**

Actual return on plan assets

4.23.3: Movement in the present value of defined benefit obligations

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Defined benefit obligations at Shrawan 1, 2081	1,725,450,805	1,337,149,297	1,725,450,805	1,337,149,297
Actuarial losses	110,363,238	86,635,227	110,363,238	86,635,227
Benefits paid by the plan	(123,378,783)	(83,991,740)	(123,378,783)	(83,991,740)
Past Service Cost		103,947,235	-	103,947,235
Acquisition/Business Combination		-	-	-
Current service costs and interest	309,965,030	281,710,786	309,965,030	281,710,786
Defined benefit obligations at Ashad end 2082	**2,022,400,290**	**1,725,450,805**	**2,022,400,290**	**1,725,450,805**

4.23.4: Movement in the fair value of plan assets

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Fair value of plan assets at Shrawan 1, 2081	1,675,047,069	1,492,042,549	1,675,047,069	1,492,042,549
Contributions paid into the plan	299,173,884	266,996,260	299,173,884	266,996,260
Benefits paid during the year	(82,363,765)	(83,991,740)	(82,363,765)	(83,991,740)
Actuarial (losses) gains	-	-	-	-
Acquisition/Business Combination			-	-
Expected return on plan assets	-	-	-	-
Fair value of plan assets at Ashad end 2082	**1,891,857,188**	**1,675,047,069**	**1,891,857,188**	**1,675,047,069**

4.23.5: Amount recognised in profit or loss

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Current service costs	181,800,990	157,751,817	181,800,990	157,751,817
Interest on obligation	128,164,040	123,958,969	128,164,040	123,958,969
Expected return on plan assets	-	-	-	-
Total	**309,965,030**	**281,710,786**	**309,965,030**	**281,710,786**

4.23.6: Amount recognised in other comprehensive income

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Actuarial (gain)/loss	69,348,220	86,635,227	69,348,220	86,635,227
Total	**69,348,220**	**86,635,227**	**69,348,220**	**86,635,227**

4.23.7: Actuarial assumptions

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Discount rate	7%	8%	7%	8%
Expected return on plan asset	0%	0%	0%	0%
Future salary increase	5%	5%	5%	5%
Withdrawal rate	14%	14%	14%	14%

Debt securities issued 4.24

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Debt securities issued designated as at fair value through profit or loss	-	-	-	-
Debt securities issued at amortised cost	13,981,837,110	13,980,460,457	13,981,837,110	13,980,460,457
Total	**13,981,837,110**	**13,980,460,457**	**13,981,837,110**	**13,980,460,457**

Subordinated Liabilities 4.25

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Redeemable preference shares	-	-	-	-
Irredeemable cumulative preference shares (liabilities component)	-	-	-	-
Other	-	-	-	-
Total	**-**	**-**	**-**	**-**

Share capital 4.26

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Ordinary shares	26,225,861,340	26,225,861,340	26,225,861,340	26,225,861,340
Convertible preference shares (equity component only)	-	-	-	-
Irredeemable preference shares (equity component only)	-	-	-	-
Perpetual debt (equity component only)	-	-	-	-
Total	**26,225,861,340**	**26,225,861,340**	**26,225,861,340**	**26,225,861,340**

4.26.1: Ordinary shares

Particulars	Bank	
	FY 2081-82	FY 2080-81
Authorized Capital 270,000,000 Ordinary shares of Rs. 100 each share	27,000,000,000	27,000,000,000
Issued capital 262,258,613 Ordinary shares of Rs.100 each share	26,225,861,340	26,225,861,340
Subscribed and paid up capital 262,258,613 Ordinary shares of Rs.100 each share	26,225,861,340	26,225,861,340
Total	**26,225,861,340**	**26,225,861,340**

4.26.2: Ownership shares

Particulars	Bank			
	FY 2081-82		FY 2080-81	
	Percent	Amount	Percent	Amount
Domestic Ownership	**100%**	**26,225,861,340**	**100%**	**26,225,861,340**
Nepal Government	-	-	-	-
"A" class licensed institutions	-	-	-	-
Other licensed institutions	-	-	-	-
Other Institutions	17.58%	4,610,684,678	16.09%	4,219,599,351
Public	82.42%	21,615,176,662	83.91%	22,006,261,989
Other	-	-	-	-
Foreign ownership	**-**	**-**	**-**	**-**
Total	**100%**	**26,225,861,340**	**100%**	**26,225,861,340**

Reserves 4.27

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Statutory general reserve	6,205,063,412	5,830,291,066	6,173,810,140	5,809,870,410
Exchange equalisation reserve	52,794,184	68,454,330	52,794,184	68,454,330
Corporate social responsibility reserve	30,105,921	27,729,892	28,014,700	26,437,104
Debenture redemption reserve	3,458,333,335	2,416,666,669	3,458,333,335	2,416,666,669
Regulatory reserve	3,949,725,548	4,942,793,363	3,949,725,548	4,942,793,363
Investment adjustment reserve	30,000,000	30,000,000	30,000,000	30,000,000
Capital reserve	-	-	-	-
Assets revaluation reserve	369,929,043	393,177,536	369,929,043	393,177,536
Fair value reserve	773,893,209	328,482,887	772,161,900	327,359,447
Dividend equalisation reserve	-	-	-	-
Actuarial gain / (loss)	(376,869,930)	(328,326,176)	(376,869,930)	(328,326,176)
Special reserve	-	-	-	-
Other reserve	282,593,198	258,329,880	282,593,198	258,329,880
Employee Training Reserve	105,126,751	62,936,403	105,126,751	62,936,403
Capital Adjustment Reserve	68,391,925	86,318,955	68,391,925	86,318,955
Deferred Tax Reserve	-	-	-	-
Merger/Acquisition Reserve	109,074,522	109,074,522	109,074,522	109,074,522
Total	**14,775,567,920**	**13,967,599,446**	**14,740,492,118**	**13,944,762,562**

Statutory General Reserve

General reserve maintained as per the regulatory requirements. The regulatory requirement to set aside 20% of net profit until the reserve is twice the paid up capital and thereafter minimum 10% of the net profit.

Exchange Equalization Reserve

Exchange equalization is maintained as per requirement of NRB Directive, which is set at 25% of foreign exchange revaluation gain on the translation to the reporting currency. This reserve is accumulation of such gains over the years.

Corporate Social Responsibility Reserve

Corporate Social Responsibility Reserve is created as per NRB directive, which is set aside of 1% of net profit of previous year. The balance in the reserve is the amount which is not exhausted in the current fiscal year to be utilized for Corporate Social Responsibility Objective in the coming years.

Debenture Redemption Reserve
Debenture Redemption Reserve shall include the statutory reserve created for making payment towards Debenture on maturity.

Regulatory Reserve
Regulatory Reserve is created due to the changes in the NFRS conversion and adoption with effect in the retained earnings of the bank.

Investment Adjustment Reserve
Investment Adjustment Reserve is created as per the directive of NRB created against the quoted as well as unquoted investments.

Fair Value Reserve
The fair value reserve is created against the valuation of the investment of the bank as per the fair valuation of the investment made, quoted as available for sale investments.

Actuarial gain/(losses)
The reserve created against the actuarial valuation of gratuity benefit to the employee of the bank.

Capital Reserve
The reserve created on acquisition against the swap ratio adjustment on paid up shares.

Assets Revaluation Reserve
The reserve created on the basis of Fair Value of Assets Adjustment on acquisition.

Other Reserves
Capital Adjustment Reserve is created against the income recognition by capitalization in loans, for which capitalization is allowed by NRB, but distribution is not done till the settlement of the capitalized interest part.

Contingent liabilities and commitments 4.28

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Contingent liabilities	49,559,869,183	50,338,996,920	49,559,869,183	50,338,996,920
Undrawn and undisbursed facilities	55,749,012,962	26,325,074,095	55,749,012,962	26,325,074,095
Capital commitment	-	-	-	-
Lease Commitment	-	-	-	-
Litigation	868,173,942	868,173,942	868,173,942	868,173,942
Total	**106,177,056,088**	**77,532,244,958**	**106,177,056,088**	**77,532,244,958**

4.28.1: Contingent liabilities

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Acceptance and documentary credit	17,260,049,150	16,646,434,321	17,260,049,150	16,646,434,321
Bills for collection	-	-	-	-
Forward exchange contracts	1,170,721,274	354,146,068	1,170,721,274	354,146,068
Guarantees	31,129,098,759	33,338,416,531	31,129,098,759	33,338,416,531
Underwriting commitment	-	-	-	-
Other commitments	-	-	-	-
Total	**49,559,869,183**	**50,338,996,920**	**49,559,869,183**	**50,338,996,920**

4.28.2: Undrawn and undisbursed facilities

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Undisbursed amount of loans	15,606,006,887	15,348,158,222	15,606,006,887	15,348,158,222
Undrawn limits of overdrafts	5,569,568,029	8,058,974,678	5,569,568,029	8,058,974,678
Undrawn limits of credit cards	1,189,576,137	1,270,427,666	1,189,576,137	1,270,427,666
Undrawn limits of letter of credit	33,383,861,910	1,647,513,529	33,383,861,910	1,647,513,529
Undrawn limits of guarantee	-	-	-	-
Total	**55,749,012,962**	**26,325,074,095**	**55,749,012,962**	**26,325,074,095**

4.28.3: Capital commitments

Capital expenditure approved by relevant authority of the bank but provision has not been made in financial statements.

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Capital commitments in relation to Property and Equipment				
Approved and contracted for	-	-	-	-
Approved but not contracted for	-	-	-	-
Sub total	**-**	**-**	**-**	**-**
Capital commitments in relation to Intangible assets				
Approved and contracted for	-	-	-	-
Approved but not contracted for	-	-	-	-
Sub total	**-**	**-**	**-**	**-**
Total	**-**	**-**	**-**	**-**

4.28.4: Lease commitments

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Operating lease commitments				
Future minimum lease payments under non cancellable operating lease, where the bank is lessee				
Not later than 1 year	-	-	-	
Later than 1 year but not later than 5 years	-	-	-	
Later than 5 years	-	-	-	
Sub total	**-**	**-**	**-**	**-**
Finance lease commitments				
Future minimum lease payments under non cancellable operating lease, where the bank is lessee				
Not later than 1 year	-	-	-	-
Later than 1 year but not later than 5 years	-	-	-	-
Later than 5 years	-	-	-	-
Sub total	**-**	**-**	**-**	**-**
Grand total	**-**	**-**	**-**	**-**

4.28.5: Litigation

Tax settlement up to the FY 2066/67 has been completed. Against tax reassessment order of FY 2067/68, 2068/69 and 2069/70, the bank has filed a case which is pending at Supreme Court. For the reassessment order of FY 2070/71, 2071/72, the bank has filed a case which is pending at Revenue Tribunal. Further, for the re-assessment order of FY 2072/73, 2073/74, 2074/75, 2075/76 and 2076/77, the bank has filed a case for Administrative Review.

The bank had acquired Kasthamandap Development Bank whose tax assessment of FY 2072/73, a case is filed at Administrative Review and Paschimanchal Finance Company Limited, whose tax assessment of 2071/72, a case is filed at Revenue Tribunal and for FY 2073-74, a case is filed for Administrative Review. Also, Bank acquired Deva Bikas Bank on FY 2076/77, of which case has been filed case at Revenue Tribunal of FY 2066/67 and that of FY 2067/68, 2073/74, 2075-76, 76-77 has been filed for Administrative Review.

The bank had merge with NCC bank during FY 2079-80, of which against tax reassessment order of FY 2069/70, FY 2070/71, 2071/72, FY 2072/73, and 2073/74 the bank has filed a case which is pending at Revenue Tribunal. Further, for the re-assessment order of 2074/75, 2075/76 and 2076/77 the bank has filed a case for Administrative Review.

Interest income 4.29

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Cash and cash equivalent	30,286,112	75,360,918	-	11,535,000
Due from Nepal Rastra Bank	-	-	-	-
Placement with bank and financial institutions	615,864,185	576,335,190	615,864,185	576,335,190
Loan and advances to bank and financial institutions	11,033,403	12,147,742	11,033,403	12,147,742
Loans and advances to customers	27,348,035,639	34,888,013,058	27,348,035,639	34,888,013,058
Investment securities	3,890,818,512	2,911,250,067	3,890,818,512	2,911,250,067
Loan and advances to staff	485,062,847	210,084,725	485,062,847	210,084,725
Other	6,385,765	-	6,385,765	-
Total interest income	**32,387,486,464**	**38,673,191,700**	**32,357,200,352**	**38,609,365,782**

Interest expense 4.30

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Due to bank and financial institutions	335,663,325	629,402,262	335,677,777	629,416,713
Due to Nepal Rastra Bank	-	3,022,831	-	3,022,831
Deposits from customers	18,580,872,386	25,456,650,597	18,580,872,386	25,456,650,597
Borrowing	79,354,726	397,729,390	79,354,726	397,729,390
Debt securities issued	1,425,404,678	987,200,465	1,425,404,678	987,200,465
Subordinated liabilities	-	-	-	-
Other	314,344,814	332,005,082	314,344,814	332,005,082
Total interest expense	**20,735,639,930**	**27,806,010,628**	**20,735,654,382**	**27,806,025,079**

Fees and Commission Income 4.31

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Loan administration fees	673,668,951	797,355,251	673,668,951	797,355,251
Service fees	1,022,010,088	572,642,620	1,022,010,088	572,642,620
Consortium fees	-	-	-	-
Commitment fees	1,415,268	1,087,253	1,415,268	1,087,253
DD/TT/Swift fees	58,787,751	45,094,574	58,787,751	45,094,574
Credit card/ATM issuance and renewal fees	708,412,865	482,136,821	708,412,865	482,136,821
Prepayment and swap fees	20,866,216	25,492,667	20,866,216	25,492,667
Investment banking fees	-	-	-	-
Asset management fees	-	-	-	-
Brokerage fees	-	-	-	-
Remittance fees	95,833,103	47,557,107	95,833,103	47,557,107
Commission on letter of credit	149,119,638	159,557,206	149,119,638	159,557,206
Commission on guarantee contracts issued	283,017,455	291,845,199	283,017,455	291,845,199
Commission on share underwriting/issue	-	-	-	-
Locker rental	15,754,421	12,125,991	15,754,421	12,125,991
Other fees and commission income	4,391,222	2,710,379	4,391,222	2,710,379
Total fees and Commission Income	**3,033,276,978**	**2,437,605,068**	**3,033,276,978**	**2,437,605,068**

Fees and commission expense 4.32

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
ATM management fees	-	19,312,704	-	19,312,704
VISA/Master card fees	254,531,904	208,829,354	254,531,904	208,829,354
Guarantee commission	-	-	-	-
Brokerage	-	-	-	-
DD/TT/Swift fees	34,163,874	30,617,671	34,163,874	30,617,671
Remittance fees and commission	2,359,308	27,223	2,359,308	27,223
Other fees and commission expense	80,601,008	80,733,249	80,601,008	80,733,249
Total fees and Commission Expense	**371,656,093**	**339,520,201**	**371,656,093**	**339,520,201**

Net trading income

4.33

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Changes in fair value of trading assets	-	-	-	-
Gain/loss on disposal of trading assets	-	-	-	-
Interest income on trading assets	-	-	-	-
Dividend income on trading assets	-	-	-	-
Gain/loss foreign exchange transaction	453,177,356	366,413,542	453,177,356	366,413,542
Other	-	-	-	-
Net trading income	**453,177,356**	**366,413,542**	**453,177,356**	**366,413,542**

Other operating income

4.34

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Foreign exchange revaluation gain	(15,660,146)	11,517,183	(15,660,146)	11,517,183
Gain/loss on sale of investment securities	178,022,363	91,115,747	178,022,363	91,115,747
Fair value gain/loss on investment properties	-	-	-	-
Dividend on equity instruments	212,090,502	193,579,608	212,090,502	193,579,608
Gain/loss on sale of property and equipment	14,675,267	4,931,957	14,675,267	4,931,957
Gain/loss on sale of investment property	-	-	-	-
Operating lease income	-	-	-	-
Gain/loss on sale of gold and silver	7,137,983	19,631,363	7,137,983	19,631,363
Other	365,908,578	264,337,958	61,412,596	47,809,612
Total	**762,174,548**	**585,113,817**	**457,678,565**	**368,585,470**

Impairment charge/(reversal) for loan and other losses

4.35

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Impairment charge/(reversal) on loan and advances to B/FIs	49,017,514	(47,815,075)	49,017,514	(47,815,075)
Impairment charge/(reversal) on loan and advances to customer	3,402,403,823	6,889,225,706	3,402,403,823	6,889,225,706
Impairment charge/(reversal) on financial Investment	-	-	-	-
Impairment charge/(reversal) on placement with banks and financial institutions	-	-	-	-
Impairment charge/(reversal) on property and equipment	-	-	-	-
Impairment charge/(reversal) on goodwill and intangible assets	-	-	-	-
Impairment charge/(reversal) on investment properties	-	-	-	-
Total	**3,451,421,338**	**6,841,410,631**	**3,451,421,338**	**6,841,410,631**

Personnel Expense

4.36

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Salary	1,673,314,213	1,693,802,023	1,613,886,807	1,646,565,746
Allowances	1,080,502,926	1,174,033,285	1,080,502,926	1,174,033,285
Gratuity expense	181,800,990	261,699,052	181,800,990	261,699,052
Provident fund	155,058,073	155,364,662	155,058,073	155,364,662
Uniform	-	-	-	-
Training & development expense	42,427,623	49,302,135	42,427,623	49,302,135
Leave encashment	180,488,445	231,347,806	180,488,445	231,347,806
Medical	174,339,361	170,558,300	174,339,361	170,558,300
Insurance	65,541,347	69,259,533	65,541,347	69,259,533
Employees incentive	-	-	-	-
Cash-settled share-based payments	-	-	-	-
Pension expense	-	-	-	-
Finance expense under NFRS	208,944,841	(87,105,184)	208,944,841	(87,105,184)
Other expenses related to staff	26,424,506	75,051,203	26,424,506	75,051,203
Subtotal	**3,788,842,325**	**3,793,312,814**	**3,729,414,919**	**3,746,076,537**
Employees bonus	581,624,451	110,996,130	581,624,451	110,996,130
Grand total	**4,370,466,776**	**3,904,308,944**	**4,311,039,370**	**3,857,072,668**

Other Operating Expense

4.37

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Directors' fee	4,109,000	4,809,862	4,109,000	4,809,862
Directors' expense	910,276	368,091	910,276	368,091
Auditors' remuneration	3,439,000	3,395,500	3,100,000	3,000,000
Other audit related expense	-	-	-	-
Professional and legal expense	9,731,577	11,947,826	9,731,577	11,947,826
Office administration expense	788,303,027	836,478,226	755,654,348	812,748,856
Operating lease expense	246,592	-	246,592	-
Operating expense of investment properties	-	-	-	-
Corporate social responsibility expense	16,619,390	15,898,872	16,619,390	15,898,872
Onerous lease provisions	-	-	-	-
Other	297,084,679	278,414,288	261,183,533	263,926,118
Total	**1,120,443,540**	**1,151,312,666**	**1,051,554,716**	**1,112,699,625**

Other Operating Expenses (Other)

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Annual fee (Information Technology)	166,294,970	152,331,436	166,294,970	192,331,436
Annual fee (Other)	38,837,163	33,662,062	38,837,162	33,662,063
Other office expenses	33,141,502	40,169,518	33,141,503	40,169,518
Fees and charges	14,273,778	17,561,378	14,273,778	17,561,377
Vehicle renewal fee	4,258 840	4,893,550	4,258,840	4,893,550
Shares and debenture expenses	2,223,584	12,485,971	2,223,584	12,485,971
Bank account expenses	740,640	750,912	740,640	750,912
Merchant banking related expenses	35,901,146	14,488,170	-	-
Vehicle rental expenses	699 267	1,224,766	699,267	1,224,766
Parking fees	469,750	984,325	469,750	584,325
Flower supply expenses	228,000	254,060	228,000	254,060
On-site visit expenses	16,039	8,140	16,039	8,140
Total	**297,084,679**	**278,414,288**	**261,183,533**	**263,926,118**

4.37.1 Office Administration Expense

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Water and electricity	77,237,409	78,560,893	77,237,409	78,560,893
Repair and maintenance				
a) Building	841,716	730,701	841,716	730,701
b) Vehicle	6,290,354	7,614,203	6,290,354	7,614,203
c) Computer Accessories	2,170,660	1,895,478	2,170,660	1,895,478
d) Office equipment and furniture	16,987,537	18,215,396	16,987,537	18,215,396
e) Other	3,853,321	1,929,116	50,210	60,572
Insurance	66,512,968	49,514,328	66,512,968	49,514,328
Postage, telex, telephone, fax	17,049,870	20,789,691	16,618,710	20,609,704
Printing and stationery	72,766,279	96,874,708	71,987,779	96,091,208
Newspaper, books and journals	1,727,895	1,442,942	232,145	373,417
Advertisement	46,933,606	46,600,132	46,660,339	46,395,490
Donation	-	-	-	-
Security expense	165,058,400	197,395,233	165,001,620	197,332,373
Deposit and loan guarantee premium	117,800,378	116,714,709	117,800,378	116,714,709
Travel allowance and expense	6,028,734	10,504,410	6,028,734	10,504,410
Entertainment	9,217,479	10,752,848	9,217,479	10,752,848
Annual/ Special General meeting expense	1,700,437	2,830,728	1,440,160	2,475,509
Other	176,125,984	174,112,710	150,576,150	154,907,616
Total	**788,303,027**	**836,478,226**	**755,654,348**	**812,748,856**

Office Administrative Expenses (Other)

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Cost of cleaning services and materials	63,410,465	59,738,114	63,182,856	59,335,900.
Internet charges	53,079,602	56,602,877	51,839,050	55,517,748
Fuel expenses (Vehicle and Generator)	20,351,187	26,094,752	19,688,499	25,469,484
Wages expenses	15,865,745	14,584,484	15,865,745	14,584,484
Other expenses	23,418,985	17,092,483	-	-
Total	**176,125,984**	**174,112,710**	**150,576,150**	**154,907,616**

Depreciation & Amortisation 4.38

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Depreciation on property and equipment	769,445,260	821,095,104	756,541,969	815,466,465
Depreciation on investment property	-	-	-	-
Amortisation of intangible assets	36,269,849	35,851,658	36,269,849	35,851,658
Total	**805,715,109**	**856,946,762**	**792,811,818**	**851,318,123**

Non operating income 4.39

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Recovery of loan written off	-	-	-	-
Other income	73,368,067	46,751,365	73,368,067	46,751,365
Total	**73,368,067**	**46,751,365**	**73,368,067**	**46,751,365**

Non operating expense 4.40

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Loan written off	425,770,050	-	425,770,050	-
Redundancy provision	-	-	-	-
Expense of restructuring	-	-	-	-
Other expense	173,492	21,709,731	173,492	21,709,731
Total	**425,943,542**	**21,709,731**	**425,943,542**	**21,709,731**

Income tax expense 4.41

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Current tax expense	**4,617,498,372**	**1,100,482,937**	**4,567,340,305**	**1,069,300,535**
Current year	2,758,426,071	559,049,006	2,708,268,004	527,866,603
Adjustments for prior years	1,859,072,301	541,433,931	1,859,072,301	541,433,931
Deferred tax expense	**(1,158,036,889)**	**(71,197,116)**	**(1,152,418,893)**	**(74,944,069)**
Origination and reversal of temporary differences	(1,158,036,889)	(71,197,116)	(1,152,418,893)	(74,944,069)
Changes in tax rate	-	-	-	-
Recognition of previously unrecognised tax losses	-	-	-	-
Total income tax expense	**3,459,461,483**	**1,029,285,821**	**3,414,921,412**	**994,356,466**

4.41.1: Reconciliation of tax expense and accounting profit

Particulars	Group		Bank	
	FY 2081-82	FY 2080-81	FY 2081-82	FY 2080-81
Profit before tax	5,385,754,980	1,116,503,532	5,234,620,060	998,965,170
Tax amount at tax rate of 30%	1,615,726,494	334,951,060	1,570,386,018	299,689,551
Add: Tax effect of expenses that are not deductible for tax purpose	1,586,962,154	2,546,419,415	1,586,962,154	2,546,419,415
Less: Tax effect on exempt income	451,813,959	2,317,953,542	449,080,167	2,315,219,750
Add/less: Tax effect on other items	7,551,382	(4,367,927)	-	(3,022,612)
Total income tax expense	**2,758,426,071**	**559,049,006**	**2,708,268,004**	**527,866,603**
Effective tax rate	**51.20%**	**50.10%**	**51.74%**	**52.84%**

5.1. Disclosures and Additional Information

5.2. Risk Management

Our path to sustained profitability is built on a disciplined balance of revenue, expenses, and capital growth. We selectively embrace risk to earn superior, stable returns, all while prudently investing in our future to achieve our core strategic objectives.

5.2.1. Risk Involved in Bank's Business

The Bank's Risk Inventory provides the foundational framework for our enterprise risk management. It catalogues the principal risk categories—including Strategic, Credit, Market, Operational, and Liquidity Risk, among others—to which our business activities are exposed. This inventory is integral to ensuring consistent and effective processes for the identification, assessment, mitigation, and monitoring of risk across the organization. It serves as the essential starting point for developing robust risk management strategies and informs our transparent reporting and disclosure practices.

Major Risk Categories								
Strategic Risk	Credit Risk	Capital Adequacy Risk	Operational Risk	Market Risk	Liquidity Risk	Insurance Risk	Legal & Regulatory Compliance	Reputational Risk

5.2.2. Risk management framework

All of the Bank's activities inherently involve, to varying degrees, the analysis, evaluation, acceptance, and management of individual or combined risks. The Bank places significant emphasis on the identification, assessment, and prudent handling of key risks it currently faces or may encounter in the course of its operations. With a clear understanding of its business risk profile, the Bank is committed to establishing a robust Risk Management System. A well-defined risk management framework ensures effective oversight and accountability for risk management at both country and regional business levels.

To manage risks effectively, the Bank has established an independent Risk Management Department responsible for assessing its exposure across various risk categories, including Credit Risk, Market Risk, Operational Risk, Compliance & Legal Risk, and Reputational Risk. The Risk Management Committee (RMC), comprising four members—two from the Board of Directors, the Chief Operating Officer, and the Chief Risk Officer—provides strategic oversight. Risk management is embedded across the organization, with every business unit and department fully aware of the risks associated with their respective activities.

5.2.3. Risk appetite and tolerance limits for key types of risks

At Kumari Bank Limited, risk appetite is defined as the level and nature of risk the Bank is willing to undertake in pursuit of its mission on behalf of its shareholders, while remaining within the constraints set by other stakeholders, including debt holders, regulators, and customers. It serves as a strategic framework guiding decision-making across the organization.

The Bank's Board of Directors is responsible for setting the institution's risk tolerance. This is formally outlined in the Risk Appetite and Tolerance Statement Policy, which defines the overall level of risk the Bank is willing to accept under various risk categories in alignment with its strategic goals. The Bank's risk strategy reflects its business preferences and conduct, and is aligned with its capacity to tolerate risk.

Performance is continuously monitored against the approved risk profile and appetite, enabling senior management to assess the Bank's risk exposure and steer business activities to maintain an optimal balance between risk and return. The Bank specifies its intended business activities by sector, location, and product, and accordingly formulates its risk appetite and tolerance levels.

Following steps shall be undertaken to formulate a risk appetite statement for the Bank:

Steps	Description
Identify & Classify Risks	Identification of all material risks. Classify the risks as acceptable or unacceptable risks.
Identify risk return matrices	Identify risk and return measures based on benchmarking with the peers. For example, proportion of NPL to total loans serves as a good measure to quantify risk appetite for credit risk.
Identify peer group	The peer group of the Bank shall comprise of bank's functioning in same or similar geographical regions, comparable size and business strategies
Analyze, measure and formulate risk appetite statements	Measures chosen are scrutinized among the peers for identifying drivers and set tolerance limits for risk measures and target levels for return measures. These risk appetite statements shall drive the business growth strategy of the Bank.

The Bank's risk appetite is formulated by the management, evaluated by the Board Risk Management Committee, and formally approved by the Board.

5.2.4. Stress testing

Stress testing is a risk management technique used to evaluate the potential impact of extreme but plausible adverse events on the Bank's financial health. It involves modeling statistically defined scenarios based on the most damaging combinations of events and estimating the resulting losses. These stress events, though exceptional, are credible and relevant to the Bank's portfolio.

Kumari Bank Limited places strong emphasis on assessing its resilience under stressed market conditions as part of its risk measurement framework. Stress testing provides insights into the conditions under which the Bank's strategies or positions may be most vulnerable. Accordingly, the Bank develops strategies to either prevent such scenarios or minimize their impact if they do occur.

In conducting stress tests, the Bank pays particular attention to instruments or markets with concentrated exposures, recognizing that such positions may be harder to liquidate or hedge during stress events. Both historical market events and forward-looking scenarios are considered, including worst-case and more probable outcomes. Ad hoc scenarios are also developed to reflect specific market conditions or concentrated risk exposures. For instance, a credit shock scenario is assessed by examining asset quality deterioration and its impact on the Bank's capital adequacy.

The stress testing methodology assumes limited scope for management intervention during stress events and incorporates scenarios such as credit shocks, market shocks, liquidity shocks, and other sector-specific stress factors. The Board of Directors is responsible for reviewing stress exposures and ensuring that monitoring, evaluation, and reporting are conducted regularly. Stress test results are reviewed periodically by the Board and discussed within the Risk Management Committee (RMC).

The stress testing framework at KBL addresses the following key risk areas:

i. Concentration Risk
ii. Market liquidity shocks under Stress Conditions
iii. Credit Shocks – from both Capital Adequacy Ratio (CAR) and Non-Performing Loan (NPL) perspectives
iv. Market Interest Rate Risk
v. Exchange Rate and Equity Investment Fluctuation Risks
vi. Other Emerging Risks

KBL's stress tests incorporate both quantitative and qualitative approaches. Quantitative analysis identifies plausible stress scenarios, while qualitative assessment focuses on evaluating the Bank's capital adequacy to absorb potential losses and identifying risk mitigation strategies. These assessments are integral to the Bank's strategic planning and are routinely communicated to the RMC and the Board. Stress testing is conducted across three primary domains:

i. Credit Shocks
ii. Market Shocks
iii. Liquidity Shocks

Credit Shocks

The Bank subjects its portfolios to a series of simulated stress scenarios. The Bank stresses its portfolios with the shocks of the magnitude experienced elsewhere, even when the Bank has never been exposed to those in the past.

The Bank has established a stress testing framework that incorporates the analysis of various historical scenarios. In accordance with this framework and the guidelines issued by Nepal Rastra Bank (NRB), the Bank conducts stress testing on a regular basis. These tests are performed either on a case-by-case basis or collectively, focusing on Capital Adequacy Ratio (CAR), Non-Performing Loans (NPL), and concentration risk factors.

Market Shocks

In addition to the above credit shocks, the Bank has also developed stress tests which it identifies as most adverse based on the characteristics of its market portfolio. The interest rate risks, exchange rate risks and equity price risks are evaluated and the results are reviewed periodically.

Liquidity Shocks

Stress test scenarios are continually reviewed and updated for the liquidity risk scenarios whereby, various factors as impact of continual withdrawals on case or collective basis on CAR and liquidity positions are stressed. Also, concentration risks are also evaluated and the various scenarios are developed to assess the risks possessed due to high level of deposit concentrations.

5.2.4.a. Results of stress testing

The result of stress testing is communicated to the Board of Directors and senior management on regular basis. The same is also discussed in detail in Risk Management Committee. The report of stress testing is also shared with Nepal Rastra Bank as per the requirement of Unified Directives issued by Nepal Rastra Bank.

5.2.4.b. Scenario analysis and Sensitivity Analysis

Scenario analysis and sensitivity analysis is conducted through the model developed by Bank Supervision Department, Nepal Rastra Bank. However, on need basis, the Bank also adopts other techniques and develops other scenarios on case-to-case basis.

5.2.5. Credit Risk

Credit risks are the risk associated with the probability of default of loan provided by the bank. Hence, the credit risks comprise of the highest risk exposure of the bank. Management of the credit risks largely signifies the risk management of the bank as whole.

Credit risk

i. Is measured as the amount which could be lost if a customer or counterparty fails to make repayments.
ii. Is monitored within limits, approved by individuals within a framework of delegated authorities. These limits represent the peak exposure or loss to which the Bank could be subjected should the customer or counterparty fail to perform its contractual obligations;
iii. Is managed through a robust risk control framework which outlines clear and consistent policies, principles and guidance for credit risk management.

5.2.6. Credit Risk Management

Kumari Bank Limited has established a comprehensive Policy and Guidelines related to Credit Risk management that reflects its underlying principles of continuous assessment and mitigation of credit risk. This involves evaluating the probability of default and potential loss, identifying risk exposures, and implementing appropriate mitigation measures. To minimize credit risk, the Bank prioritizes maintaining high-quality assets within its portfolio.

The Credit Policy outlines detailed procedures for effective risk management and includes a structured delegation of credit approval authority. Credit approval limits are assigned to designated officials based on their expertise and risk assessment capabilities. As part of the Bank's internal control system, every credit proposal requires dual approval to ensure sound decision-making.

Regular monitoring of the credit portfolio helps prevent excessive exposure to any single borrower or business sector, thereby reducing concentration risk. The Bank also follows a disciplined investment policy, supported by a dedicated team equipped to make informed investment decisions.

To reinforce its credit risk governance, the Bank has established robust credit processing channels. Credit proposals exceeding a specified threshold are reviewed by a committee comprising Directors from the Board, ensuring oversight and alignment with the Bank's risk appetite and strategic objectives.

5.2.7. Impairment assessment and credit risk mitigation

The Bank recognizes impairment allowances for expected credit losses (ECL) on its financial assets in accordance with the requirements of NFRS 9 Financial Instruments. This forward-looking expected loss model replaces the incurred loss model previously applied under IAS 39.

5.2.7.a. Impairment of Financial Assets Carried at Amortized Cost

The Bank measures ECL on a probability-weighted basis considering historical experience, current economic conditions, and reasonable and supportable forward-looking information. Financial assets are grouped into one of three stages based on the change in credit risk since initial recognition:

Stage 1 (Performing): Assets that have not experienced a significant increase in credit risk since initial recognition. A 12-month ECL is recognized.

Stage 2 (Underperforming): Assets that have experienced a significant increase in credit risk but do not have objective evidence of impairment. A lifetime ECL is recognized.

Stage 3 (Credit-Impaired): Assets with objective evidence of impairment at the reporting date. A lifetime ECL is recognized, and interest revenue is calculated on the net carrying amount.

The measurement of ECL considers the net realizable value of collateral held. For collateralized exposures, the estimated cash flows from the collateral are incorporated into the ECL calculation.

5.2.7.b. Collective Assessment

The Bank performs a collective assessment for ECL on groups of assets that share similar credit risk characteristics when default risk is not yet identified on an individual asset basis. This approach is applied to:

i. Assets evaluated individually for which no evidence of impairment was identified.
ii. Homogeneous groups of loans that are not individually significant.
iii. The collective ECL allowance is determined using statistical models and methodologies, incorporating:
iv. Historical credit loss experience.
v. Current portfolio conditions and credit risk characteristics.
vi. Reasonable and supportable forward-looking macroeconomic factors relevant to Nepal, such as GDP growth, unemployment rates, inflation, and sector-specific trends.

In compliance with Directive No. 2 of the Unified Directives, 2081, and relevant circulars issued by Nepal Rastra Bank, the Bank's policy is to maintain a loan loss provision that is the higher of:

i. The impairment allowance calculated under the ECL model as per NFRS 9; or
ii. The general provision required under the Nepal Rastra Bank directives.

The amount reported in the financial statements represents the higher of the two calculated figures, ensuring adherence to both accounting and regulatory requirements.

5.2.7.c. Write off of loans and receivables

Loans (and the related impairment allowance) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where loans are secured, this is generally after receipt of any proceeds from the realization of security. In circumstances where the realizable value of any collateral has been determined and there is no reasonable expectation of further recovery, write off may be earlier.

5.2.7.d. Collateral management

The Bank seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, securities, letters of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting agreements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the guidelines issued by the Nepal Rastra Bank. Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent valuator and audited financial statements.

5.2.7.e. Credit Risk Mitigants availed under CRM

Types of eligible credit risk mitigants used and the benefits availed under CRM as at 16 July 2025 are as follows:

Amount in Rs.

Particulars	Eligible CRM
Deposit with Bank & Cash margin	2,091,364,383
Gold	-
Deposit with Other Bank / FI	-
Total	**2,091,364,383**

5.2.7.f. Impairment of Financial Assets – Fair Value through OCI

For financial asset at fair value through OCI, Bank assesses at each reporting date whether there is objective evidence that an investment is impaired.

In the case of debt instruments, Bank assesses individually whether there is objective evidence of impairment based on the same criteria as financial assets carried at amortized cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortized cost and the current fair value, less any impairment loss on that investment previously recognized in the Income Statement. Future interest income is based on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. If, in a subsequent period, the fair value of a debt instrument increases and the increase can be objectively related to a credit event occurring after the impairment loss was recognized, the impairment loss is reversed through the Statement of Profit or Loss.

In the case of equity investments classified as available for sale, objective evidence would also include a 'significant' or 'prolonged' decline in the fair value of the investment below its cost. Where there is evidence of impairment, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that investment previously recognized in profit or loss is removed from equity and recognized in the Statement of profit or loss. However, any subsequent increase in the fair value of an impaired available for sale equity security is recognized in other comprehensive income.

Bank writes-off certain available for sale financial investments when they are determined to be uncollectible.

5.2.8. Liquidity Risk

Liquidity is crucial to the ongoing viability of any financial institution. Liquidity risk is the potential for loss to a bank arising from either its inability to meet its obligations or to fund increases in assets as they fall due without incurring unacceptable cost or losses. Liquidity is the ability of an institution to transform its assets into cash or its equivalent in a timely manner at a reasonable price to meet its commitments as they fall due. Liquidity risk is considered a major risk for banks. It arises when the cushion provided by the liquid assets are not sufficient enough to meet its obligation. In such situation banks often meet their liquidity requirements from market. Funding through market depends upon liquidity in the market and borrowing bank's liquidity.

Liquidity risk is:

i. Measured using maturity ladder analysis
ii. Monitored against the Bank's liquidity risk management framework and overseen by Asset and Liability Management Committee.
iii. Managed on a stand-alone basis with no reliance on any related party or the Nepal Rastra Bank, unless this represents routine established business as usual market practice.

5.2.9. Management of liquidity risk

The board has ensured that the bank has necessary liquidity risk management framework and bank is capable of confronting uneven liquidity scenarios. The bank has formulated liquidity risk management policy, risk management policies which are recommended by senior management and approved by the Board of Directors. The bank utilizes flow measures to determine its cash position. A maturity ladder analysis estimates a bank's inflows and outflows and thus net deficit or surplus (GAP) over a time horizon. A maturity ladder is a useful device to compare cash inflows and outflows both on a day-to-day basis and over a series of specified time periods as presented in the NRB Ni.Fa.No.5.1 under NRB Directives No. 5.

Liquidity of the bank is assessed, measured and maintained by Financial Market Department by ensuring minimal compliance with Nepal Rastra Bank prescribed ratios such as CRR, SLR, and Credit to Deposit Ratio and Liquidity Coverage Ratio. The department also maintains investments over and above the prescribed limit to cope up with the unprecedented liquidity risks that the Bank is ever exposed to.

5.2.10. Market Risk

Market risks are the risk of losses in on-balance sheet and off- balance sheet positions arising from adverse movements in market prices. The major constituents of market risks are:

i. The risks pertaining to interest rate related instruments.
ii. Foreign exchange risk (including gold positions) throughout the bank; and
iii. The risks pertaining to investment in equities and commodities.
iv. The risk pertaining to concentration and correlation factors in market transactions

5.2.11. Management of Market Risk

The Bank has Asset Liability Management (ALM) Policy, Market Risk Management Policy, Investment Policy along with Treasury manuals in place, which serves as a guide to address the market risk of the Bank. As for the monitoring of market and liquidity risk, the Bank has an active Assets and Liability Management Committee (ALCO) in place which meets regularly and takes stock of the Bank's assets and liability position and profile of assets & liabilities, monitors risks arising from changes in exchange rates in foreign currencies. All foreign exchange positions are managed by financial market consisting of front office dealers with specific dealing limits and an independent back office. The back office executes the deals made by the dealers and also monitors the liquidity position of the Bank. For the purpose of proper check and control, the front dealing room of financial market and the back office has different reporting line.

Apart from Financial Market (or front office) and back office, the bank also has Treasury Mid Office; which works as a third eye which assesses the risks and timely evaluates and report to the senior management, whose reporting chain is also separate to the front and back office.

5.2.12. Market Risk Assessment Methodology

Out of the various components of market risk, foreign exchange risk is the predominant risk in Nepal. Thus, a net open position approach has been adopted to measure the forex risk exposure of the bank in aggregation and the capital requirement in commensurate of the same as set out by Capital Adequacy Framework issued by Nepal Rastra Bank.

5.2.13. Operational Risk

Operational risks are risk of loss resulting from inadequate internal processes, people and systems, or from external events. Operational risks are highly important as it entails cent percent loss to the bank in the event of its occurrence.

5.2.14. Management of Operational Risk

As a part of monitoring operational risks, the Bank has devised operational manuals for various Banking functions, which are reviewed and modified time to time as per the changing business context.

The Bank has adopted dual control mechanism in its all-operational activities where each and every financial and non-financial transaction is subject to approval from an authority higher than the transaction initiator. Regular review meetings are conducted to assess the adequacy of risk monitoring mechanism and required

changes are made as and when felt necessary. Independent reconciliation unit is established to conduct daily reconciliation of all Nostro / agency accounts, Inter-Branch and Inter-Department account.

The Bank has independent internal audit, which reports to the Audit Committee of the Bank. The Audit Committee meets frequently and reviews the business process and financial position of the Bank. In order to have better focus on managing operational risks across branches and to monitor them from Head Office level, the Bank has separate Branch Operation Department and Operation Risk Management & Compliance Department at Head Office. The Bank has strong MIS in place to monitor the regular operational activities.

5.2.15. Operational Risk Assessment Methodology

Operational risks are assessed employing the Basic Indicators Approach as set out by Capital Adequacy Framework issued by Nepal Rastra Bank. The Basic Indicators Approach assesses operational risk in aggregation and is calculated by multiplying the operational risk capital charge by 9.09%. Bank assesses the operational risk based on the past operational loss due to system failure, staff embezzlement and other external factors which is considered at the time of calculation of economic capital.

5.2.16. Fair value of financial assets and liabilities

Fair value is a market-based measurement, not an entity specific measurement. For some assets and liabilities, observable market transactions or market information might be available. For other assets and liabilities, observable market transactions and market information might not be available. However, the objective of a fair value measurement in both cases is the same – to estimate the price at which an orderly transaction to sell the asset or to transfer the liability would take place between market participants at the measurement date under current market conditions (i.e., an exit price at the measurement date from the perspective of a market participant that holds the asset or owes the liability).

5.2.17. Fair values are determined according to the following hierarchy:

Level-1 inputs

Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date.

Level-2 inputs

Level 2 inputs are those with quoted prices for similar instruments in active markets or quoted prices for identical or similar instruments in inactive markets and financial instruments valued using models where all significant inputs are observable.

Level-3 inputs

Level 3 inputs are those where at least one input, which could have a significant effect on the instrument's valuation, is not based on observable market data.

5.3. Capital Management

5.3.1. Qualitative disclosures

Capital planning and management are essential to ensure an adequate level of capital is available at all times. The Bank's capital management plan incorporates various potential scenarios and is responsive to changes in the economy, market conditions, and the competitive landscape.

The following elements are considered while devising the Bank's capital management plan:

i. Minimum capital requirements as per Nepal Rastra Bank (NRB).
ii. Business growth prospects and associated risks.
iii. Potential capital-raising instruments (e.g., equity, preference shares, bonds).
iv. Outcomes of various stress testing scenarios.
v. Other factors deemed necessary by senior management.

5.3.1.a. Paid-Up Share Capital History

The Bank has consistently grown its capital base over the years, as detailed in the table below:

Fiscal Year	Cumulative Paid up Capital	FY 2080-81
2057/58	350,000,000	-
2058/59	350,000,000	-
2059/60	350,000,000	-
2060/61	500,000,000	Initial Public Offering of NPR. 150 million
2061/62	625,000,000	-
2062/63	750,000,000	Bonus share issue of NPR. 125 million (20%)
2063/64	900,000,000	Bonus share issue of NPR. 150 million (20%)
2064/65	1,070,000,000	-
2065/66	1,186,099,200	-
2066/67	1,306,015,920	In the FY 2065/66, the bank had issued 10% bonus share including to those who were released from black list during the year.
2067/68	1,603,800,000	In the FY 2067/68, the bank capitalized NPR. 178,200,000 (15%) share capital, which was approved for issuance in fiscal year 2064/65. Bonus share at the rate of 8% (NPR. 118,800,000) had been proposed in the FY 2067/68.
2068/69	1,603,800,000	-
2069/70	1,828,332,000	14% bonus share of NPR. 224.532 million Issued in the FY 2069/70.
2070/71	2,431,681,560	33% bonus share of NPR. 603,349,560 issued in the FY 2070/71
2071/72	2,699,166,532	11% bonus share of Rs. 267,484,972 issued in the FY 2071/72
2072/73	3,265,991,503	21% bonus share of Rs. 566,824,971 issued in the FY 2072/73
2073/74	5,969,495,823	Share capital of Rs. 1,353,921,054 added from acquisition.
2074/75	7,163,394,973	-
2075/76	8,685,573,112	21.25% of bonus share for the FY 2073-74 and 2074-75.
2076/77	12,520,049,469	10.526% of bonus share of 868,557,313 for the FY 2075-76 and with 2,965,919,029 added from acquisition.
2077/78	13,878,474,836	10.85% of bonus share of 13,584,253 for the FY 2076-77
2078/79	14,711,183,326	6% of bonus share of 8,327,084 for the FY 2077-78
2079/80	26,225,861,340	Share capital of NPR. 11,514,678,014 added from merger with NCC Bank Limited.
2080/81	26,225,861,340	-
2081/82	26,225,861,340	-

5.3.1.b. Major Shareholders (Holding ≥ 0.5%)

As of Ashad 32, 2082, the following shareholders held 0.5% or more of the Bank's total shares:

S. No.	Name of shareholders	Individual/ Institution	Number of Share	%
1	Employees Provident Fund	Institution	8,363,113	3.19%
2	Amir Pratap J. B. Rana	Individual	5,290,582	2.02%
3	Citizen Investment	Institution	4,489,172	1.71%
4	Bhat Bhateni Super Market & Departmental Store Pvt. Ltd.	Institution	3,760,895	1.43%
5	Januki Kumari J.B. Rana Shahi	Individual	3,406,926	1.30%
6	Sabitri Gurung	Individual	3,155,425	1.20%
7	Himalayan Life Insurance Limited	Institution	3,014,410	1.15%
8	Sangrila Investments (P) Ltd.	Institution	2,494,640	0.95%
9	Sumit Kumar Agarwal	Individual	2,485,335	0.95%
10	Birendra Kumar Shah	Individual	2,394,258	0.91%
11	Pashupati Murarka	Institution	1,818,433	0.69%
12	Gauri Shrestha	Individual	1,731,603	0.66%
13	Jagannath Gyawali	Individual	1,681,019	0.64%
14	Narayan Prasad Shrestha	Individual	1,607,031	0.61%
15	Om Prasad Shrestha	Individual	1,576,408	0.60%
16	Min Bahadur Gurung	Individual	1,571,363	0.60%
17	Pradip Kumar Murarka	Individual	1,495,327	0.57%
18	Ram Prasad Shrestha	Individual	1,443,022	0.55%
19	Anupam Rathi	Individual	1,432,337	0.55%
20	Navin Agrawal	Individual	1,379,063	0.53%
21	Zenith Investment & Securities Pvt.Ltd.	Individual	1,299,567	0.50%

5.3.2. Quantitative Disclosures

5.3.2.a. Capital Structure and Adequacy

i. Tier 1 Capital (Core Capital) Breakdown:

Rs. in '000

S.N.	Particulars	Amount
Tier 1 Capital (Core Capital) (CET1+ AT1)		**30,001,396**
Common Equity Tier 1 (CET 1)		**30,001,396**
A	Paid Up Equity Share Capital	26,225,861
B	Equity Share Premium	-
C	Proposed Bonus Equity shares	-
D	Statutory General Reserves	6,173,810
E	Retained Earnings	(5,669,225)
F	Current year cumulative profit/(Loss)	1,819,699
G	Capital Adjustment Reserve	-
H	Capital Redemption Reserve	68,392
I	Debenture Redemption Reserve	3,458,333
J	Other Free Reserves	109,075
K	Less: Goodwill	109,075
L	Less: Intangible Assets	75,317
M	Less: Investment in equity of institutions with financial interests	1,615,000
N	Less: Investment in equity of institutions in excess of limits	-
O	Less: Purchase of land and building in excess of limit and unutilized	5,101
P	Less: Negative Balances of reserve accounts	376,870
Q	Less: Other Deductions	-
R	Less: Loans and Facilities extended to related parties and restricted lending	3,186

ii. Tier 2 Capital Breakdown:

Rs. in '000

S.N.	Particulars	Amount
A	Cumulative and/or Redeemable Preference Shares	-
B	Subordinated Term Debt	9,000,000
C	Hybrid Capital Instruments	-
D	General Loan Loss Provision	3,954,804
E	Exchange Equalization Reserve	52,794
F	Accrued Interest Receivable on pass loan included in Regulatory Reserve	240,883
G	Interest Capitalized Reserve included in Regulatory Reserve	103,343
H	Investment Adjustment Reserve	30,000
	Total Tier 2 Capital	**13,381,824**

iii. Subordinated Debt (Tier II Capital)

To strengthen its Tier II capital base in accordance with Nepal Rastra Bank guidelines, the Bank has issued subordinated debentures. These instruments are unsecured, subordinated to the claims of depositors and other creditors, and qualify as regulatory capital. The following debentures were outstanding as of Ashad end, 2082:

Summary of Outstanding Debentures

Debenture Series	Issue Size (In Million)	Date of Issue	Date of Maturity	Coupon Rate	Coupon Payment Frequency
10.25% KBL Debenture 2086	3,000	2020-02-02	2030-02-01	10.25%	Semi-Annually
9.50% NCC Debenture 2086	3,000	2021-03-26	2031-03-28	9.50%	Semi-Annually
11.00% KBL Debenture 2089	3,000	2022-09-23	2032-09-22	11.00%	Semi-Annually
10.00% KBL Debenture 2090	5,000	2023-11-05	2033-11-04	10.00%	Quarterly
Total Outstanding Amount	**14,000**				

Key Terms and Conditions:

Status & Claim in Liquidation: The debentures constitute unsecured, subordinated obligations of the Bank. In the event of liquidation or bankruptcy, the claims of the debenture holders are subordinated to the claims of all depositors and other senior creditors.

Listing: All series of debentures are listed on the Nepal Stock Exchange Limited (NEPSE), ensuring liquidity and transparency for investors.

Debenture Redemption Reserve (DRR): The Bank is committed to meeting its obligations and, in compliance with regulatory requirements, is continuously creating a Debenture Redemption Reserve to ensure the orderly redemption of the principal upon maturity.

iv. Regulatory Adjustments to Capital

In compliance with the Nepal Rastra Bank's capital adequacy framework, certain exposures are required to be deducted from the Bank's Core Capital (Tier I). The following adjustments were made in the calculation of the capital adequacy ratio as of Ashad end, 2082:

Summary of Deductions from Core Capital (Tier I)

Rs. in '000

Category of Deduction	Amount
A. Qualifying Investments	
Investment in Kumari Capital Ltd.	400,000
Investment in KBL Securities Ltd.	200,000
Investment in Kumari Sabal Yojana	140,000
Investment in Avasar Equity Diversified Fund	850,000
Investment in Reliable Private Equity Fund	25,000
Sub-Total (Investments)	**1,615,000**
B. Other Regulatory Deductions	
Negative Balance in Actuarial Reserve	376,870
Purchase of land & building in excess of limit and unutilized	5,101
Loans and Facilities to Related Parties	3,186
Sub-Total (Other Deductions)	**385,157**
Total Deductions from Core Capital	**2,000,157**

Notes:

Purpose of Deductions: These deductions are a mandatory regulatory requirement to ensure the core capital base of the Bank is not overstated by certain risk exposures or intra-group transactions.

Nature of Items

Investments: The total amount of investments in specified subsidiaries and funds is deducted as per NRB directives to prevent double leverage within financial groups.

Actuarial Reserve: The negative balance represents an unrealized loss in the staff fund liability, which is deducted from capital to reflect a prudent view of the Bank's net worth.

Related Party Loans: All credit exposures to related parties as defined by NRB are reviewed and the applicable amount is deducted to mitigate potential conflicts of interest and concentration risk.

v. Total Qualifying Capital & Capital Adequacy Ratios

Rs. in '000

Particulars	Amount
Common Equity Tier 1 (CET1)	30,001,396
Additional Tier 1 (AT1)	-
Supplementary Capital (Tier 2)	13,381,824
Total Capital Fund	**43,383,220**

vi. Capital Adequacy Ratio

Capital Adequacy Ratio	Ratio (%)
Common Equity Tier 1 Ratio	8.51%
Core Capital Ratio - Tier 1	8.51%
Total Capital Adequacy Ratio (Tier 1 & Tier 2)	**12.31%**

The NRB minimum requirement including capital conservation buffer was 11.00%. The Bank remained well-capitalized throughout the year.

vii. Internal approach of the Bank to assess capital adequacy

In order to be prepared for distressed economic environments, the Bank assesses the adequacy of its capital by incorporating various potential scenarios and being responsive to changes in the economy, market, competitive or political landscape, or other external factors.

Banks are faced with the challenge of developing internal procedures and systems in order to ensure that they possess adequate capital resources in commensuration with all material risks posed to it by its operating activities. The bank has devised Internal Capital Adequacy Assessment Process (ICAAP), which is a set of policies, methodologies, techniques and procedures to assess the capital adequacy requirements in relation to bank's risk profile and effectiveness of its risk management, control environment and strategic planning. Following elements are taken into consideration while assessing capital adequacy of the Bank:

i. Minimum capital requirements as per NRB
ii. Business growth prospects and risks
iii. Potential capital raising instruments such as equity, preference stocks, bonds etc.
iv. Various stress scenarios
v. Others as considered necessary by the senior management

5.3.2.b. Risk exposures

Risk weighted exposures for Credit Risk, Market Risk and Operational Risk:

Rs. in '000

Particulars	Amount
Risk Weighted Exposure for Credit Risk	316,384,354
Risk Weighted Exposure for Operational Risk	18,440,198
Risk Weighted Exposure for Market Risk	394,538
Adjustments under Pillar II:	
Add: 3% of Gross income of last FY due to supervisor is not satisfied with sound practice of management of operational risk (6.4 a 7)	3,773,168
Add: 3% of the total RWE due to supervisor is not satisfied with the overall risk management policies and procedures of the bank (6.4 a 9)	13,408,764
Total Risk Weighted Exposure (After Pillar II Adjustment)	**352,401,021**

Risk Weighted Exposures under different categories of Credit Risk:

Rs. in '000

S.N.	Categories	Risk Weighted Exposure
1	Claims on domestic banks that meet capital adequacy requirements	368,833
2	Claims on domestic banks that do not meet capital adequacy requirements	15,978
3	Claims on foreign bank (ECA Rating 0-1)	1,061,401
4	Claims on foreign bank (ECA Rating 2)	2,468,894
5	Claims on foreign bank (ECA Rating 3-6)	619,200
6	Claims on foreign bank incorporated in SAARC region and China operating with a buffer of 1% above their respective regulatory capital requirement	902,030
7	Claims on Domestic Corporates (Credit rating score equivalent to A+ to A-)	1,071,660
8	Claims on Domestic Corporates (Credit rating score equivalent to BBB+ & below)	59,686,127
9	Claims on Domestic Corporates (Unrated)	101,284,815
10	Regulatory Retail Portfolio (Not Overdue)	43,642,195
11	Claims secured by residential properties	6,668,859
12	Claims secured by residential properties (Overdue)	279,874
13	Claims secured by Commercial real estate	1,156,979
14	Past due claims (except for claims secured by residential properties)	17,993,533
15	High Risk claims	14,534,752
16	Real Estate loans for land acquisition and development (Other than mentioned in Capital Adequacy framework 2015-point 3.3(j)(1)(k))	485,316
17	Lending against Shares(upto Rs.5 Million)	10,396,173
18	Trust Receipt Loans for Trading Firms	1,715,557
19	Personal Hirepurchase/Personal Auto Loans	1,301,946

20	Investments in equity and other capital instruments of institutions listed in stock exchange	2,574,047
21	Investments in equity and other capital instruments of institutions not listed in the stock exchange	103,284
22	Staff loan secured by residential property	1,894,220
23	Other Assets (as per attachment)	11,045,548
24	Forward Exchange Contract Liabilities	530,226
25	LC Commitments With Original Maturity Upto 6 months domestic counterparty	658,875
26	LC Commitments With Original Maturity Over 6 months domestic counterparty	1,829,927
27	Bid Bond, Performance Bond and Counter guarantee domestic counterparty	7,768,825
28	Repurchase Agreements, Assets sale with recourse	1,900,000
29	Advance Payment Guarantee	4,762,568
30	Acceptances and Endorsements	6,826,331
31	Irrevocable Credit commitments (short term)	1,564,560
32	Irrevocable Credit commitments (long term)	7,271,176
33	Unpaid Guarantee Claims	1,905,645
34	SRP 6.4a(4) - Add 1% of the contract (sale) value in case of the sale of credit with recourse to RWE	95,000
	Total	**316,384,354**

Total Risk Weighted Exposure calculation table:

Rs. in '000

Particulars	Amount
Total Risk Weighted Exposures	352,401,021
Tier 1 Capital (Core Capital) (CET1+AT1)	30,001,396
Total Capital Fund	43,383,220
Total Core Capital to Total Risk Weighted Exposures (%)	8.51%
Total Capital Fund to Total Risk Weighted Exposures (%)	12.31%

5.3.3. Credit Quality and Non-Performing Assets (NPAs) (both Gross and Net)

In accordance with the guidelines issued by the Nepal Rastra Bank (NRB), the following is a summary of the Bank's exposure to Non-Performing Assets (NPAs) at the end of reporting period.

NPAs are classified into three categories – Sub-standard, Doubtful, and Loss – based on the period for which the asset has remained non-performing as per unified directive of Nepal Rastra Bank.

The details of Gross and Net Non-Performing Assets are as follows:

Rs. in '000

Non-Performing Assets	Amount	Loan Loss Provision	Net NPL
Sub-Standard	721,316	169,518	551,797
Doubtful	2,858,549	1,428,063	1,430,486
Loss	16,738,264	16,543,383	194,881
Total	**20,318,128**	**18,140,965**	**2,177,164**

5.3.4 Compliance with Regulatory Requirements

The Bank is required to comply with the minimum Capital Adequacy Requirements set by Nepal Rastra Bank. For the year ended 16 July 2025, this requirement was set at 11% of Total Risk Weighted Exposures.

The Bank successfully complied with this requirement, maintaining a Total Capital Adequacy Ratio (CAR) of 12.31%, which is significantly above the regulatory minimum.

5.3.5. Classification of financial assets and financial liabilities

Financial assets and financial liabilities are measured on an ongoing basis either at fair value or at amortized cost. The summary of significant accounting policies describes how different classes of financial assets and financial liabilities are measured, and how income and expenses, including fair value gains and losses, are recognized.

The following tables provide a reconciliation of the carrying amounts of financial assets and financial liabilities presented in the consolidated statement of financial position and as per their classification in accordance with NFRS 9.

Rs. in '000

Financial Assets	Amortized Cost	FVTOCI*	FVTPL**	Total
Cash in hand	8,087,095	-	-	8,087,095
Balances with B/FIs	1,444,749	-	-	1,444,749
Money at call and short notice	25,818,640	-	-	25,818,640
Balance at NRB	21,339,805	-	-	21,339,805
Derivative financial instrument	1,176,105	-	-	1,176,105
Loans & Advances	274,475,738	-	-	274,475,738
Government treasury bills & Bonds	76,310,079	-	-	76,310,079
Debt securities	-	-	-	-
Equity investments	-	3,788,625	-	3,788,625
Other assets	29,242,805	-	-	29,242,805
Total Financial Assets	**437,895,015**	**3,788,625**	**-**	**441,683,640**

**Fair value through other comprehensive income*
*** Fair value through profit or loss*

Rs. in '000

Financial Liabilities	Amortized Cost	Held for Trading	Designated at FVTPL	Total
Due to Bank and Financial Institutions	11,085,043	-	-	11,085,043
Due to Nepal Rastra Bank	3,895,761	-	-	3,895,761
Derivative financial instruments	1,168,560	-	-	1,168,560
Deposits from customers	364,639,162	-	-	364,639,162
Borrowing	1,380,592	-	-	1,380,592
Debt securities issued	13,981,837	-	-	13,981,837
Employee related liabilities	792,856	-	-	792,856
Bills payable	5,846	-	-	5,846
Creditors and accruals	2,483,934		-	2,483,934
Interest payable on deposit & borrowing	10,908	-	-	10,908
Unpaid Dividend	1,748	-	-	1,748
Other liabilities	5,120,566	-	-	5,120,566
Total Financial Liabilities	**404,566,814**	**-**	**-**	**404,566,814**

5.4. Financial Instruments - Impairment (Expected Credit Loss)

5.4.1. Basis of Preparation

In accordance with the "NFRS 9 Expected Credit Loss Related Guidelines, 2024" issued by Nepal Rastra Bank, the Bank has adopted the Expected Credit Loss (ECL) model for recognizing impairment losses on its financial assets. This represents a significant change from the previous incurred loss model under NAS 39.

The ECL model is forward-looking and requires the Bank to recognize an impairment allowance based on expected credit losses at each reporting date, rather than only when a loss event has been incurred.

5.4.2. Measurement of Expected Credit Losses

The ECL allowance is measured as the difference between the contractual cash flows and the cash flows the Bank expects to receive, discounted at the asset's original effective interest rate. The calculation involves:

i. **Probability of Default (PD):** The likelihood that a counterparty will default within a given time horizon.

ii. **Loss Given Default (LGD):** The estimated loss arising in the event of default, considering the value of any collateral held.

iii. **Exposure at Default (EAD):** The amount exposed to loss at the time of default.

iv. The ECL is measured on either a collective basis (for groups of homogenous assets) or an individual basis (for assets that are individually significant or have unique risk characteristics).

5.4.3. Write-off Policy

Financial assets are written off (either partially or in full) when there is no reasonable expectation of recovery, such as when a borrower is declared bankrupt. Write-offs are made against the related ECL allowance. Subsequent recoveries of amounts previously written off are credited to the statement of profit or loss.

5.4.4. Significant Judgments and Estimates

The calculation of ECL involves significant judgment, particularly in:

i. Determining significant increases in credit risk.
   - The selection of forward-looking macroeconomic variables and their impact on PD, LGD, and EAD.
ii. The estimation of cash flows from collateral for LGD calculations.
iii. These estimates are regularly reviewed and adjusted as new information becomes available.

5.5. Impairment Methodology

5.5.1. General Approach

The Bank measures expected credit losses on financial assets measured at amortized cost (primarily loans and advances to customers) by considering the risk of default over the asset's expected life. The calculation is based on historical experience, current conditions, and reasonable and supportable forward-looking information.

Financial assets are grouped into one of three stages based on the change in credit risk since initial recognition:

i. **Stage 1 (Performing / Low Credit Risk):** Includes assets that have not experienced a significant increase in credit risk since initial recognition or have low credit risk. For these assets, a 12-month ECL is recognized, and interest revenue is calculated on the gross carrying amount.
ii. **Stage 2 (Underperforming / Significantly Increased Credit Risk):** Includes assets that have experienced a significant increase in credit risk since initial recognition but do not have objective evidence of impairment. For these assets, a lifetime ECL is recognized. Interest revenue is still calculated on the gross carrying amount.
iii. **Stage 3 (Credit-Impaired / Non-Performing):** Includes assets with objective evidence of impairment at the reporting date. For these assets, a lifetime ECL is recognized. Interest revenue is calculated based on the amortized cost (i.e., gross carrying amount less ECL allowance).

5.5.2. Simplified Approach

The Bank applies the simplified approach for measuring expected credit losses as permitted by NFRS 9 and Nepal Rastra Bank guidelines to the following financial instruments:

i. Trade receivables without a significant financing component
ii. Contract assets without a significant financing component
iii. All lease receivables.

Under the simplified approach, the Bank recognizes lifetime expected credit losses on these assets from initial recognition. The measurement of ECL does not involve tracking changes in credit risk, and these assets are not subject to the three-stage impairment approach applied to other financial instruments.

5.5.3. Governance and Oversight of Expected Credit Loss Framework

The Bank's Expected Credit Loss (ECL) framework is governed by a robust three-tier model ensuring rigorous oversight and clear segregation of duties. Ultimate responsibility rests with the Board of Directors, which sets the risk appetite and approves all key ECL policies and models. Senior Management provides strategic leadership, drives implementation, and reviews significant assumptions and results. Day-to-day execution is managed by the Finance and Credit Risk departments, which handle calculation, reporting, and risk parameter analysis. Independent assurance over the entire process is provided by Internal Audit. This structured governance framework ensures the integrity, reliability, and transparency of our ECL estimations in compliance with NFRS 9 and Nepal Rastra Bank guidelines.

5.5.4. Use of Forward-Looking Information

The Bank incorporates forward-looking macroeconomic information to convert through-the-cycle probability of default (PD) estimates into point-in-time PDs for expected credit loss calculations. Our methodology utilizes

multiple economic variables—including GDP growth, inflation, unemployment, and fiscal indicators—primarily sourced from the IMF's World Economic Outlook database. These variables are weighted based on their historical correlation with portfolio performance across product segments.

We employ a scenario-based approach, generating base, best, and worst-case economic forecasts using statistical techniques including standard deviation analysis. The resulting PD estimates are probability-weighted, with a 68.27% weighting to the base case, 10.58% to the best case, and 21.15% to the worst-case scenario, reflecting a normal distribution of potential economic outcomes. This approach ensures our ECL calculations appropriately reflect reasonable and supportable forward-looking information as required by NFRS 9.

5.5.5. Credit Risk Exposure

The Bank makes available to its customers, guarantees which may require that the Bank makes payments on their behalf and enters into commitments to extend credit lines to secure their liquidity needs. Letters of credit and guarantees (including standby letters of credit) commit the Bank to make payments on behalf of customers in the event of a specific act, generally related to the import or export of goods. Such commitments expose the Bank to risks similar to loans and are mitigated by the same control processes and policies.

The gross carrying amounts of financial assets, categorized by stage and by product type or sector including off-balance sheet exposures—were presented as follows:

Amount in Million

Gross Carrying Amount	As at 16 July 2025			
	Stage 1	Stage 2	Stage 3	Total
Loans and advances at amortized cost	**227,350**	**11,126**	**71,779**	**310,255**
Agriculture and Forest related	7,634	371	5,487	13,492
Auto Loan	846	56	136	1,038
Construction	25,965	564	17,290	43,819
Credit Cards	637	138	79	854
Direct Deprived Sector Lending	14,276	-	57	14,333
Food Production, and Beverages	6,464	181	6,240	12,885
Hire Purchase	2,292	263	1,113	3,669
Home Loan	10,396	1,170	1,588	13,153
Home Loan/ Real Estate	89	-	-	89
Loan Against FD	1,279	2	19	1,300
Loan Against Securities	10,523	4	62	10,589
Mining Related (Or 'Construction')	968	-	80	1,048
Non Food Production	8,016	154	3,887	12,057
Power and Energy	35,677	-	1,418	37,095
Professional Loan	105	12	21	138
Real Estate	3,887	246	2,745	6,878
Retail - Other	43,295	2,724	4,684	50,703
Service Sector	20,356	4,268	8,075	32,700
Staff Loans	5,731	0	16	5,748
Wholesale & Retail	28,915	974	18,780	48,669
Less: Allowance for Impairment	**1,957**	**1,117**	**16,096**	**19,170**
Net Carrying Value	**225,393**	**10,010**	**55,683**	**291,085**

The table below summarizes the gross carrying values and the associated allowances for expected credit loss (ECL) stage wise:

Amount in Million

Financial Statement Items	As at 16 July 2025								
	Gross Carrying Amount			ECL Provision			ECL Coverage ratio		
	Stage 1	Stage 2	Stage 3	Stage 1	Stage 2	Stage 3	Stage 1	Stage 2	Stage 3
Agriculture and Forest related	7,634	371	5,487	95	33	735	1.25%	8.89%	13.40%
Auto Loan	846	56	136	1	0	3	0.10%	0.76%	1.92%
Construction	25,965	564	17,290	435	47	2,684	1.68%	8.30%	15.52%
Credit Cards	637	138	79	66	24	65	10.41%	17.10%	82.42%

Direct Deprived Sector Lending	14,276	-	57	164	-	37	1.15%	-	65.61%
Food Production, and Bevarages	6,464	181	6,240	43	10	1,145	0.66%	5.27%	18.34%
Hire Purchase	2,292	263	1,113	15	3	397	0.67%	1.10%	35.63%
Home Loan	10,396	1,170	1,588	38	128	193	0.36%	10.90%	12.15%
Home Loan/ Real Estate	89	-	-	1	-	-	1.51%	-	-
Loan Against FD	1,279	2	19	3	0	5	0.27%	0.69%	24.87%
Loan Against Securities	10,523	4	62	36	0	28	0.34%	5.85%	45.00%
Mining Related (Or 'Construction')	968	-	80	4	-	34	0.36%	-	42.54%
Non Food Prodcution	8,016	154	3,887	26	5	519	0.32%	3.39%	13.36%
Power and Energy	35,677	-	1,418	153	-	311	0.43%	-	21.96%
Professional Loan	105	12	21	0	0	3	0.27%	1.53%	13.31%
Real Estate	3,887	246	2,745	25	16	261	0.64%	6.51%	9.52%
Retail - Other	43,295	2,724	4,684	297	434	864	0.69%	15.94%	18.45%
Service Sector	20,356	4,268	8,075	94	299	624	0.46%	7.01%	7.72%
Staff Loans	5,731	0	16	89	0	16	1.56%	5.05%	100.00%
Wholesale & Retail	28,915	974	18,780	372	118	3,075	1.29%	12.10%	16.38%

5.5.6. Maximum Exposure to Credit Risk

Amount in Million

Particulars	Maximum Exposure to Credit Risk	Net Exposure to Credit Risk
Placements with banks	14,462	14,462
Reverse repurchases agreements	-	-
Derivative financial instruments	1,176	1,176
Financial assets recognized - Fair Value through P/L	-	-
Financial assets at amortized cost - Loans & Advances (Gross)	310,255	291,085
Financial assets measured at fair value through other comprehensive income/ Financial investments - available for sale	3,789	3,789
Financial assets at amortized cost - debt and other instruments/ Financial investments - loans and receivables	76,310	76,310
Other Assets	7,445	7,445

5.5.7. Impairment Charges on Financial & Non-Financial Assets

Amount in Million

Gross Carrying Amount	As at 16 July 2025			
	Stage 1	Stage 2	Stage 3	Total
Cash & Cash Equivalents	-	-	-	-
Placements with Banks	-	-	-	-
Loans & Advances	1,186	1,107	16,877	19,170
Debt Instruments	-	-	-	-
Impairment charge/(reversal) on financial assets measured at FVOCI	-	-	-	-
Debt Instruments	-	-	-	-
Impairment charge/(reversal) on loan commitments and financial guarantee contracts	-	-	-	-
Impairment charge/(reversal) on PPE, Intangible Assets and Prepayments	-	-	-	-
Other Impairment Charges	-	-	-	-
Guarantees, Letters of Credit & Acceptances	771	10	-	781
Grand Total	**1,957**	**1,117**	**16,877**	**19,951**

5.5.8. Movements in the allowance for impairment in respect of loans and advances, investment in debt securities, and other financial assets

The Bank adopted the expected credit loss (ECL) model for the first time effective 16 July 2025. Consequently, the comparative information for 15 July 2024 is not presented on a comparable basis, and the concept of transfers between stages is not applicable for this initial period. The loss allowance as of 16 July 2025 represents the initial ECL balance recognized upon adoption.

5.5.9. Financial Assets Measured at Amortized Cost - Loans & Advances to Customers

Amount in Million

Particulars	Amount
Gross Loans & Advances Carrying Amount	
Stage 1	227,350
Stage 2	11,126
Stage 3	71,779
Less: Accumulated Impairment Under:	
Stage 1	1,186
Stage 2	1,107
Stage 3	16,877
Net Loans & Advances	**291,085**

5.5.10. Expected Credit Loss (ECL) Coverage

The following table provides a breakdown of the ECL allowance and the corresponding coverage ratios by impairment stage as of Ashad end 2082. The coverage ratio, calculated as ECL Amount divided by Gross Carrying Amount, represents the proportion of the portfolio's gross carrying amount that is covered by impairment allowances.

Amount in Million

Stages	Expected Credit Loss Amount	Gross Carrying Amount	ECL Coverage Ratio
Stage-1	1,957	227,350	0.86%
Stage-2	1,117	11,126	10.03%
Stage-3	16,096	71,779	22.42%
Grand Total	**19,170**	**310,255**	**6.18%**

Financial Statement Items	NRB Regulatory Provision (Stage)				Regulatory Provision Coverage Ratio % (Stage)			
	1	2	3	Total	1	2	3	Total
Loans and advances to customers	2,757	5,738	18,141	26,636.75	1.19%	14.13%	89.28%	9.11%

Further Financial Statement Items-wise Expected Credit Loss summary are as follows:

Financial Statement Items	Gross Carrying Amount (Stage)				ECL Provision (Stage)			
	1	2	3	Total	1	2	3	Total
Loans and advances to customers	227,350	11,126	71,722	**310,198**	1,186	1,107	16,096	**18,389**
Loan Commitments	8,832	90	-	**8,922**	382	10	-	**392**
Financial guarantee contracts	255,529	-	-	**255,529**	389	-	-	**389**
Others	-	-	-	**-**	-	-	-	**-**
Total	**491,712**	**11,216**	**71,722**	**574,649**	**1,957**	**1,117**	**16,096**	**19,170**

5.5.11. Regulatory Compliance in Provisioning

The Bank applies the expected credit loss (ECL) model under Nepal Financial Reporting Standard (NFRS) 9 for recognizing impairment loss on financial assets. As per the non-optional carve-out provided by the Institute of Chartered Accountants of Nepal (ICAN) until FY 2082/83, the Bank measures impairment loss on loans and advances as the higher of:

i. The amount determined under the Expected loss model as per ECL guideline issued by Nepal, and
ii. The amount of loan loss provision required as per the unified directives issued by Nepal Rastra Bank (NRB).

The following table summarizes the calculated provisions for the current and comparative years:

Particulars	2079/80	2080/81	2081/82
Total Loan loss provision as per norms prescribed by Nepal Rastra Bank (NRB Directive No. 2) and circular issued.	16,343,918,721	23,185,329,351	26,636,750,689
Total Impairment*	**7,882,029,481**	**11,709,105,232**	**19,169,793,321**

Note:

- *The Impairment for FY 2081-82 is calculated as per Expected Credit Loss model under NFRS 9, whereas for the previous FY 2080-81, it was calculated based on the Incurred Loss Model under NAS 39.*
- *The final provision recorded in the financial statements for each year represents the higher of the two calculated amounts, ensuring full compliance with both accounting and regulatory requirements.*

Details of Collective and Individual Impairment:

Particulars	Expected Credit Loss (ECL)
Collective Impairment	**19,169,793,321**
Stage 1	1,957,396,083
Stage 2	1,116,518,268
Stage 3 *	16,095,878,971
Individual Impairment**	**-**
Stage 1	-
Stage 2	-
Stage 3	-
Total Funded	**18,388,931,841**
Non-Funded	**780,861,480**
Total Expected Credit Loss	**19,169,793,321**

**Individual impairment has not been calculated for Stage 3 Loans*

***Only collective impairment has been calculated for all the financial assets*

5.5.12. Credit Risk – Key Inputs and Assumptions for Expected Credit Loss Calculations

The model incorporates a broad range of quantitative forward-looking economic variables, with data primarily sourced from the International Monetary Fund's (IMF) World Economic Outlook Database. The following variables, their direction of correlation with default rates, and their respective codes are used:

Macro-Economic Indicator	Code	2025	2026	2027	2028	2029	2030
Gross domestic product, constant prices	NGDP_RPCH	4.05%	5.48%	5.04%	5.00%	5.00%	5.00%
Inflation, average consumer prices	PCPIPCH	4.86%	4.95%	5.08%	5.00%	5.00%	5.00%
Unemployment Rate	UNEMP	10.00%	9.80%	10.00%	10.92%	10.00%	10.69%

5.5.13. Implementation of Expected Credit Loss (ECL) Framework

During the year, the Bank fully implemented the Expected Credit Loss (ECL) model as mandated by Nepal Financial Reporting Standard (NFRS) 9 and guided by the detailed "NFRS 9- Expected Credit Loss Related Guidelines, 2024" and First Amendment to ECL Guideline, 2024 issued by Nepal Rastra Bank (NRB). This forward-looking model replaces the previous incurred loss approach and requires the Bank to recognize expected credit losses based on past events, current conditions, and reasonable and supportable forecasts of future economic conditions.

The implementation involved the development of robust models for estimating Probability of Default (PD), Loss Given Default (LGD), and Exposure at Default (EAD). Our models incorporate a minimum of three economic scenarios (base, best, worst-case) and use forward-looking information from credible sources such as International Monetary Fund.

5.6. Operating Segment information

5.6.1. General Information

a. Factors used to identify the Bank's reportable segments

The Bank's reportable segments are strategic business units that offer distinct products and services and are managed separately. These segments are identified based on the nature of the Bank's operations to enable the management to evaluate performance and allocate resources effectively. The reportable segments are as follows:

i. Banking: Includes loans, deposits, trade operations, and related services.
ii. Cards: Encompasses all card-related products and digital payment services.
iii. Remittance: Comprises inward and outward remittance services.
iv. Treasury: Involves investment activities, foreign exchange trading, and liquidity management.

b. Products and Services by Segment

Each reportable segment derives its revenue from the following primary sources:

Reportable Segments	Primary Source Revenue
Remittance Services	Remittance fees and commissions.
Card Business	ATM Fees
	Credit Card fees
	Debit Card fees
	Interchange Income (VISA/NIBL)
	Merchant Settlement Fees and commission
	Other Fees and Commission
	Prepaid Card fees
Treasury	Bullion Trading Income
	Dividend Income
	Foreign Exchange Gains
	Gains/Losses from purchase and sale of securities
	Interest Income from placements and investments
	Other Fees and Commission income
	Rebate from Nostro Banks
Banking	Income from Bills Purchase and Discounting
	Income from Document Collection and Bancassurance
	Income from issuance of Letters of Credit and Bank Guarantees
	Income from Loan Products
	Income from other Banking Services
	Profit on sale of assets

5.6.2. Information about profit or loss, assets and liabilities

Rs in '000

Particulars	Remittance Services	Digital Banking Business	Treasury Business	Banking	Total
Revenue from external customers	154,621	1,170,280	4,725,587	30,324,213.88	36,374,701
Intersegment revenues	-	-	-	-	-
Net Revenue	154,621	1,170,280	4,725,587	30,324,214	36,374,701
Interest Revenue	-	7,493	3,890,819	28,458,888.38	32,357,200
Interest Expense	-	-	79,355	20,656,300	20,735,654
Net interest revenue	-	7,493	3,811,464	7,802,589	11,621,546
Depreciation and Amortization	298	869	-	791,645	792,812
Segment profit/(loss)	109,700	816,185	2,867,340	1,441,394	5,234,620
Entity's interest in the profit or loss of associates accounted for using equity method	-	-	-	-	-
Other material non-cash items:	-	-	-	-	-
Impairment of assets	-	72,947	-	26,563,803.51	26,636,751
Segment assets	24,482	160,002	122,049,240	319,449,916	441,683,640
Segment liabilities	369	12,864	350,040	404,203,539	404,566,814

5.6.3. Measurement of operating segment profit or loss, assets and liabilities

a. Basis of Accounting

The segment results are prepared under the historical cost convention and in accordance with the Bank's accounting policies. Intersegment transactions are accounted for as separate units, with allocations based on the use of resources and output derived.

b. Reconciliation to Bank

The measurement of the reportable segments' profit or loss and assets is consistent with the Bank's consolidated profit before tax and total assets. There are no differences in measurement or unallocated corporate balances.

c. Consistency

There were no changes from prior periods in the measurement methods used for segment reporting. Furthermore, no asymmetrical allocations are made to reportable segments.

5.6.4. Reconciliations

a. Revenue

Particulars	FY 2081-82	FY 2080-81
Total revenues for reportable segments	36,374,701,318	41,828,721,328
Other revenues	-	-
Elimination of intersegment revenues	-	-
Entity's revenues	36,374,701,318	41,828,721,328

b. Profit or loss

Particulars	FY 2081-82	FY 2080-81
Total profit or loss for reportable segments	5,234,620,060	998,969,696
Other profit or loss	-	-
Elimination of intersegment profits	-	-
Unallocated amounts:	-	-
Profit before income tax	5,234,620,060	998,969,696

c. Assets

Particulars	FY 2081-82	FY 2080-81
Total assets for reportable segments	441,683,640,272	409,452,885,464
Other assets	-	-
Unallocated amounts	-	-
Entity's assets	441,683,640,272	409,452,885,464

d. Liabilities

Particulars	FY 2081-82	FY 2080-81
Total liabilities for reportable segments	404,566,813,532	374,649,682,874
Other liabilities	-	-
Unallocated liabilities	-	-
Entity's liabilities	404,566,813,532	374,649,682,874

5.6.5. Information about products and services

Particulars	FY 2081-82	FY 2080-81
Remittance Services	154,620,854	92,651,681
Remittance fee and commission	95,833,103	47,557,107
Other fees and commission	58,787,751	45,094,574
Card Business	**1,083,611,206**	**892,076,345**
ATM Fees	59,318,018	53,970,633
Card Charges	279,248,476	166,864,388
Credit Card	60,778,779	46,720,696
Fone-pay & E-sewa Loan	122,847,147	86,912,442
Interchange Income (VISA/CUP/NEPS)	141,818,363	98,600,452
Other Fees and Commission	384,155,753	327,577,684
Prepaid Card	34,939,650	26,402,240
Virtual Credit Card Fees	505,019	-

Treasury	**4,725,586,570**	**4,216,608,226**
Interest Income from placements and investments	3,890,818,512	3,534,148,354
Purchase and Sale of shares/bonds and other financial instruments	178,022,363	91,318,175
Bullion Trading Income	7,137,983	19,631,363
Dividend Income on Investments	212,090,502	193,579,608
Forex Gain	437,517,211	377,930,726
Rebate from Nostro Banks	-	-
Other Fees and Commission income	-	-
Banking	**30,410,882,688**	**36,627,384,975**
Income from Loan Products	28,467,984,425	35,496,886,519
Income from Bills Purchase and Discounting		
Income from issuance of Letter of Credit	149,118,037	159,557,206
Income from issuance of Bank Guarantee	283,017,455	291,845,199
Income from Document Collection	-	-
Income from Banc-assurance	15,695,313	9,506,215
Profit on sale of assets	14,675,267	4,931,957
Profit on sale of Non-Banking Assets	-	-
Income from other Banking Services	1,480,392,191	664,657,879
Total Revenue	**36,374,701,318**	**41,828,721,228**

5.6.6. Information about geographical areas (Total Operating Income)

Particulars	FY 2081-82	FY 2080-81
Domestic	15,194,022,777	13,636,424,684
Bagmati Province	8,833,717,583	5,129,709,311
Gandaki province	199,130,482	44,301,383
Karnali Province	231,131,922	272,779,220
Koshi Province	1,903,508,016	2,862,609,923
Lumbini Province	1,219,580,264	1,456,421,230
Madesh Province	2,169,592,937	3,037,486,804
Sudurpaschim province	637,361,573	833,116,813
Foreign	-	-
Total	**15,194,022,777**	**13,636,424,684**

5.6.7. Information about major customers

None of the external customer of the Bank individually contributes 10% or more to the Bank's revenue at Ashad 32, 2082 as well as at Ashad 31, 2081.

5.7. Share options and share based payment

A share-based payment is a transaction in which the bank receives goods or services either as consideration for its equity instruments or by incurring liabilities for amounts based on the price of the entity's shares or other equity instruments of the entity.

The bank has not entered into any share option or share based payment contract as of Ashad 32, 2082.

5.8. Contingent liabilities and commitment

Contingent Liabilities

Where the Bank undertakes to make a payment on behalf of its customers for guarantees issued, such as for performance bonds or as irrevocable letters of credit as part of the Bank's transaction banking business for which an obligation to make a payment has not arisen at the reporting date, those are included in these financial statements as contingent liabilities.

Other contingent liabilities primarily include revocable letters of credit and bonds issued on behalf of customers to customs, for bids or offers.

Commitments

Where the Bank has confirmed its intention to provide funds to a customer or on behalf of a customer in the form of loans, overdrafts, future guarantees, whether cancellable or not, or letters of credit and the Bank has not made payments at the reporting date, those instruments are included in this financial statement as commitments.

Please refer Note No. 4.28 (including Note No. 4.28.1- 4.28.5) for detail of contingent liabilities and commitments as at Ashad 32, 2082 and Ashad 31, 2081.

5.9. Interest Income Recognition with reference to Nepal Rastra Bank Guideline, 2025

In accordance with the "Guidance Note on Interest Income Recognition, 2025" issued by Nepal Rastra Bank (NRB) in July 2025, the Bank has adopted a revised framework for recognizing interest income on financial assets measured at amortised cost. This guidance note is a supplementary document to the NFRS 9 Expected Credit Loss Related Guidelines, 2024, and outlines a transitional arrangement plan for full implementation.

5.9.1. Basis of Recognition

Interest income is recognized based on the credit risk stage of the financial asset (as per the ECL guidelines) at the previous quarter end, not the current reporting date. The method of recognition differs by stage and is being phased in over a three-year transitional period (FY 2081/82 to 2083/84) as follows:

i. For FY 2081/82 & 2082/83 (Year 1 & 2)

Stage 1 & 2 Financial Assets: Interest income is recognized on an accrual basis using the coupon interest rate applied to the principal outstanding.

Stage 3 Financial Assets: Interest income is recognized only to the extent of cash received during the period (Cash Basis (Incremental) Approach). Accrued interest not received is suspended from income recognition.

ii. From FY 2083/84 (Year 3) onwards

Interest income for Stage 1 and 2 financial assets is recognized by applying the effective interest rate (or deemed effective interest rate for old term loans) to the gross carrying amount.
Interest income for Stage 3 and Purchased or Originated Credit Impaired (POCI) assets is recognized by applying the effective interest rate (or deemed effective interest rate for old term loans) to the amortized cost (gross carrying amount less loss allowance).

5.9.2. Interest Suspended

Interest accrued but not recognized in the Income Statement is held in an interest suspense account. The movement in the interest suspense account for the years ended Ashadh 2082 and Ashadh 2081 is as follows:

Particulars	FY 2081-82	FY 2080-81
Opening Balance of Interest Suspended	5,240,824,856	3,718,979,119
Add: Amounts Suspended during the period *	(1,005,371,300)	1,505,266,316
Add: Loan on which "Net realizable value" of security is insufficient	-	16,579,421
Closing Balance of Interest Suspended	**4,235,453,556**	**5,240,824,856**

**Note: The negative addition in FY 2081-82 represents a net release of suspense due to recoveries.*

5.10. Related parties' disclosures

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions and include major shareholders, subsidiary companies, associates, retirement funds, directors and key management personnel and their close family members.

Banking transactions with the related parties are executed substantially on the same terms, including mark-up rates and collateral, as those prevailing at the time for comparable transactions with unrelated parties and do not involve more than a normal risk.

5.10.1. Subsidiary

Transactions between the Bank and its subsidiaries meet the definition of related party transactions.
If these transactions are eliminated on consolidation, they are not disclosed as related party transactions.

Transactions between the Bank and its subsidiary, Kumari Capital Limited and K.B.L Securities Limited meet the definition of related party as defined under NAS-24 "Related Party Disclosures".

5.10.1.a. Transactions with Kumari Capital Limited

Transactions Details	FY 2081-82 (Rs)	FY 2080-81 (Rs)
Equity Investment by Kumari Bank Limited on Kumari Capital Ltd.		-
Deposits held by Kumari Capital Limited at Kumari Bank Ltd.	63,604,784	112,630,365
Interest Expenses incurred by Kumari Bank Limited, which formed part of income of Kumari Capital Limited	1,252,574.12	1,819,587
Expenses of Kumari Capital Limited paid by Kumari Bank Ltd, reimbursable		-
RTS Fee income of Kumari Capital Limited for the service rendered to Kumari Bank Limited	1,500,000	1,798,493
Share/Debenture Credit Charge received from KBL	-	48,447
ASBA Fee received from KBL	-	9,842
Auction Management Fee received from KBL	-	157,592
Amount transferred in relation to Dividend	60,000,000	60,000,000

5.10.1.b. Transactions with KBL Securities Limited

Transactions Details	FY 2081-82 (Rs)	FY 2080-81 (Rs)
Equity Investment by Kumari Bank Limited on K.B.L Securities Ltd.		-
Deposits held by K.B.L Securities Ltd at Kumari Bank Ltd.	12,608,196	50,348,908
Expenses of K.B.L. Securities Limited paid by Kumari Bank Ltd, reimbursable		-
Interest Expenses incurred by Kumari Bank Limited, which formed part of income of K.B.L Securities Limited	109,564	3,257,136
Amount transferred in relation to Dividend Payable of Kumari Bank Limited for subsequent payment to shareholders	5,000,000	-

5.10.2. Associates

Associates are an entity over which the investor has significant influence. Where an entity holds 20% or more of the voting power (directly or through subsidiaries) on an investee, it will be presumed the investor has significant influence unless it can be clearly demonstrated that this is not the case. If the holding is less than 20%, the entity will be presumed not to have significant influence unless such influence can be clearly demonstrated. The existence of significant influence by an entity is usually evidenced in one or more of the following ways:

i. representation on the board of directors or equivalent governing body of the investee;
ii. participation in the policy-making process, including participation in decisions about dividends or other distributions;
iii. material transactions between the entity and the investee;
iv. interchange of managerial personnel; or
v. provision of essential technical information

Transactions between the Bank and its associates also meet the definition of related parties.

The Bank exercise significant influence in the financial and operating policy decisions of any of its investees as at and Ashad 32, 2082 as the bank has representation on the board of directors in case of following investees:

S.N	Associate	Representative From KBL
1	National Microfinance Laghubitta Bittiya Sanstha Limited	Mr. Kshitij Khadka
2	First Microfinance Laghubitta Bittiya Sanstha Limited.	Mr. Chandan Karki
3	Mero Microfinance Laghubitta Bittiya Sanstha Limited.	Mrs. Sajana Manandhar
4	Avasar Equity	Mr. Chandan Karki

Transactions Details	FY 2081-82 (Rs)	FY 2080-81 (Rs)
National Microfinance Bittiya Sanstha Limited Investment in shares-Promoter	20,000,000	20,000,000
First Microfinance Laghu Bittiya Sanstha Limited Investment in shares-Promoter	20,414,200	20,414,200
Investment in shares-Ordinary Mero Micro Finance Bittiya Sanstha Limited Investment in shares- Promoter	2,580,396 37,023,000	2,580,396 37,023,000
Aviyan Laghubitta Bittiya Sanstha Limited Investment in shares- Promoter	-	25,000,000

Solar Farm Limited Investment in shares- Promoter	-	30,000,000
Avasar Equity and Diversified Fund Investment in shares- Promoter	880,000,000	1,030,000,000
Total Investment in Associates	**960,017,596**	**1,165,017,596**

5.10.3. Directors and other Key Managerial Personnel (KMP)

Key management personnel are those persons having authority and responsibility for planning, directing, and controlling the activities of the Bank, directly or indirectly. The Bank considers certain of its officers and directors to be key management personnel. The Bank makes loans to its key management personnel, their close family members, and their related entities on market terms and conditions with the exception of banking products and services for key management personnel, which are subject to approved policy guidelines that govern all employees.

Key Management Personnel and their immediate family members are also considered to be related parties for disclosure purpose as per NAS-24 "Related Party Disclosures".

As per Nepal Financial Reporting Standard (NAS 24) "Related Party Disclosures", Key Management Personnel are those having authority and responsibility for planning, directing and controlling the activities of the entity. The Bank considers the members of its Board, Chief Executive Officer and all managerial level executives as Key Management Personnel (KMP) of the Bank.

Following is a list of Board of Directors and CEO bearing office at Ashad 32, 2082.

Mr. Amir Pratap J. B. Rana	Chairman
Mr. Pashupati Murarka	Director
Mr. Mahesh Prasad Pokharel	Director
Mr. Bijay Kumar Shrestha	Director
Mr. Rajaram Khadka	Director
Mr. Bijay Sthapit	Director
Ms. Simran Agrawal	Director
Mr. Ram Chandra Khanal	Chief Executive Officer

5.10.3.a. Compensation to the members of the Board

All members of the Board are non-executive directors and no executive compensation is paid to the directors. Specific non-executive allowances paid to directors are as under:

Board Meeting fees	Rs. 4,109,000
Other benefits	Rs. 910,276

The Annual General Meeting of the Bank approves these allowances and benefits.

5.10.3.b. Compensation to Chief Executive Officer and Senior Management of the Bank

Amount in '000

Description	Chief Executive Officer	Senior Management
Salary	16,305,600	159,107,949
Allowance (Including Dasain Allowance)	1,290,000	71,872,665
Annual Leave Allowance	-	15,164,963
Vehicle Facility Allowance	-	100,557,615
Other	-	49,007,163
Total	**17,595,600**	**395,710,356**
Number of Staff	**1**	**124**

Employees of AM level and above represent Senior Management Personnel

i. Benefits and perquisites for Senior Management are governed by the Bank's Employee Service Regulations and Human Resource Policy. This includes provisions for vehicle-related benefits where applicable.

ii. Employees receive a bonus as mandated by the Bonus Act, 2030. Provident Fund contributions are made in accordance with the Labor Act, 2074. Life Insurance, Medical Insurance / Allowance, and Accident

Insurance coverage is provided to employees as stipulated in the Bank's Employee Service Regulations.

iii. All salaries, allowances, and benefits disbursed are subject to applicable tax deductions as per prevailing legislation.

5.10.4. Loans and deposits of Directors and other Key Managerial Personnel (KMP); along with Close Family Members (CFMs)

Amount in '000

Particulars	2081-82	2080-81
Loans and Receivables	85,507	122,263
Credit Cards	443	108
Deposits	53,379	64,725

The above figures indicate the details of directors and staffs of AGM level and above and identified close family members of KMPs.

5.11. Merger and Acquisition

The Bank has not entered into any merger or acquisition activity in FY 2024-25.

5.12. Additional disclosures of non-consolidated entities

Nepal Financial Reporting Standard (NAS 24) "Disclosure of Interests in Other Entities", is applicable when an entity has interest in any of the following:

- Subsidiaries
- Joint arrangements (joint operations or joint ventures)
- Associates
- Unconsolidated structured entities

The Bank has already disclosed its interests in subsidiaries and associates in 5.8. Related parties' disclosures. The Bank does not have any interest in any form of joint arrangements or unconsolidated structured entities as on Ashad 31, 2081 as well as Ashad 32, 2082.

5.13. Events after reporting period

Events after the reporting date are those events, favorable and unfavorable, that occur between the reporting date and the date the Financial Statements are authorized for issue.

The Bank follows NAS-10 "Events after the Reporting Period" to account for and report the events that have occurred after the reporting period.

5.13.1. Adjusting events after reporting period

In accordance with a directive from the Nepal Rastra Bank (NRB), the Bank has adjusted its financial statements for events occurring after the reporting period. For the purpose of calculating the transfer to the regulatory reserve on accrued interest income, the Bank has considered interest recoveries of NPR 830,663,475 received up to July 31, 2025.

Further, in computation of loan loss provisions, the Bank has written-back NPR 2,159.37 million loan loss provision for recoveries up to July 31, 2025. Similarly, the Bank has adjusted for loan loss provision that were fully settled loans between July 31, 2025 and August 30, 2025; this adjustment resulted in a write-back of loan loss provisions amounting to NPR 35.19 million.

Dividend and Bonus

Since the retained earnings up to Fiscal Year 2081/82 is negative balance, no dividend was proposed by Bank's Board of Director's meeting held on 12th November 2025

5.14. Unpaid Dividend

Total cash dividend proposed, NPR 257,159,640 is still payable to shareholders who have not yet collected. Detail of

same is as follows:

Particulars	Amount (Rs.)
Payable of Kumari Bank Limited	174,124,101
Payable of then NCC Bank Limited	71,866,824
Payable of then Western Development Bank Limited	8,284,081
Payable of then Paschimanchal Finance Co. Limited	1,136,846
Total Dividend Payable with Kumari Capital Limited	**255,411,852**

Total Payable in the books of Kumari Bank Limited is as follows:

Particulars	Amount (Rs.)
Payable of Kumari Bank Limited	863,409
Payable of then Deva Bikas Bank Limited	169,284
Payable then (Kasthamandap / Kakre Bihar / Mahakali / Paschimanchal Finance)	715,095
Total Dividend Payable in Books of Bank	**1,747,788**

As per Section 182 (9) of Companies Act, dividend amount not claimed/received by any shareholder even after the expiry of a period of five years after the date of resolution adopted by the company in its general meeting to distribute dividend shall be credited to the investor protection fund to be established under Section 183.

5.15. Provision for staff bonus

Provision for staff bonus has been provided at 10% of net profit before providing for income tax provision. This provision has been made as per Bonus Act 2030.

5.16. General Reserve

20 percent of the profit after tax is transferred to General Reserves as per Section 44 of Banks and Financial Institutions Act 2073. In FY 2081/82, the Bank has transferred NPR 363,939,729 to the General Reserve Fund from the current year's profit. The balance in General Reserve Stands at NPR 6,173,810,140 as at Ashad 32, 2082.

5.17. Exchange Fluctuation Fund

As mandated by Section 45(1) of the Banks and Financial Institutions Act, 2073, 25% of the revaluation gain on foreign exchange is transferred to the Exchange Fluctuation Fund (EFF). Funds credited to the EFF pursuant to this subsection cannot be spent or transferred for any purpose other than adjusting losses arising from foreign currency devaluation, without prior approval from Nepal Rastra Bank.

During the financial year 2081/82, the Bank incurred a net revaluation loss on foreign exchange amounting to NPR 15,660,146. Consistent with the purpose of the Exchange Fluctuation Fund as defined in Section 45(1), this loss was fully adjusted against the accumulated balance of the Exchange Fluctuation Fund.

Following the above adjustment, the closing balance of the Exchange Fluctuation Fund as of Ashadh end, 2082, stood at NPR 52,794,183.

5.18. Interest Capitalization

Following are the loans, on which interest is capitalized to recognize income in accordance with NRB approval. These loans are the project loans, interest on which was capitalized for moratorium period. Detail of such loans and interest recognized in FY 2081/82 is as follows –

Amount in NPR

S. No.	Name of Customer	Asoj 2081	Poush 2081	Chaitra 2081	Ashad 2082	Total
1	Bhairab Hospital Private Limited	9,904,473	5,779,733	-	5,020,223	20,704,429
2	Bhrikuti Hospital Private Limited	-	6,690,353	1,405,442	5,876,402	13,972,198
3	Blue Energy Limited	4,927,597	-	-	-	4,927,597
4	Club Chaulani Private Limited	-	7,819,478	-	-	7,819,478
5	Him Parbat Hydropower Limited	-	11,869,379	-	-	11,869,379
6	Hotel Pawan Palace Private Limited	-	-	16,298,382	-	16,298,382
7	Kbnr Isuwa Power Limited	31,557,267	32,789,625	30,430,307	30,295,793	125,072,992
8	Lumbini Heritage Limited	29,489,554	-	-	-	29,489,554
9	Moonlight Hydropower Company Private Limited	-	16,540,304	14,773,123	7,813,377	39,126,804
10	Multi Energy Devlopment Private Limited	-	7,401,800	-	-	7,401,800

11	Palun Khola Hydropower Limited	2,576,031		1,469,426	246,116	4,291,573
12	Peoples Energy Limited	-	1,771,132	-	-	1,771,132
13	Peoples Hydropower Company Private Limited	21,900,000	26,332,903	-	7,406,030	55,638,933
14	River Side Hydro Energy Private Limited	7,444,366	74,673	4,544,712	2,975,472	15,039,223
15	Rolpa Cement Private Limited	8,232,166	4,095,075	9,283,721	6,261,851	27,872,812
16	Setikhola Hydropower Limited	40,014,833		38,819,493	39,485,231	118,319,558
17	Sita Hydropower Company Private Limited	3,845,317	2,665,643	4,387,616	3,598,462	14,497,038
18	Suiri Nyadi Power Limited	24,456,536	22,085,817	19,960,747	21,500,444	88,003,545
19	Super Khudi Hydropower Private Limited	6,225,895	5,754,240	5,457,420	5,306,544	22,744,098
20	Surya Kunda Hydro Electric Limited	13,550,000	15,146,964	19,586,126	15,092,800	63,375,890
21	Tundi Power Company Private Limited	44,993,000	61,480,816	103,277,563	39,344,046	249,095,425
22	United Mewa Khola Hydropower Private Limited	15,724,000	18,256,835	5,599,090	18,024,994	57,604,920
23	Vision Energy and Power Private Limited	23,289,324	23,740,192	21,707,156	21,797,055	90,533,727
Total		**288,130,359**	**270,294,962**	**297,000,325**	**230,044,840**	**1,085,470,486**

The following interest capitalization has been capitalized as per Clause 46 of Unified Directives 2/2080 through Interest Capitalized Term Loan (ICTL). Further, the above amount of Interest Capitalized Term Loan (ICTL) has been transferred to Regulatory Reserve as per clause 3 of 4/080 of Unified Directives:

Particulars	Amount (NPR)
Surya Kunda Hydro Electric Limited	78,630,899
Rolpa Cement P. Ltd.	25,848,776
Bhairab Hospital Pvt Ltd	20,704,429
Total	**125,184,103**

5.19. Regulatory Reserve

As per the NRB Directive 04/081, BFIs are not required to transfer to the regulatory reserve for the interest income recognized on accrual basis and recovered within July 31, 2025. Accordingly, the Bank has recovered interest income of NPR 830,663,475 after mid-July, 2024 till July 31, 2025 for which no regulatory reserve has been created.

The details included in the regulatory reserve are as:

In '000

Particulars	FY 2080-81	Addition/ (Reversal)	FY 2081-82
Accrued Interest	2,986,907	(2,205,473)	781,434
Provision for possible losses on investment	-		-
Provision on Non-Banking Assets	1,187,447	76,127	1,263,573
Deferred Tax Asset	272,087	1,152,419	1,424,506
Actuarial gain/(loss)	443,047	(66,177)	376,870
Other (Interest Capitalization)	53,307	50,036	103,343
Total	**4,942,794**	**(993,068)**	**3,949,726**

The detail of movement of Regulatory Reserves of the Bank since FY 2074-75 till FY 2081-82 is summarized as below:

In '000

Fiscal Year	Interest Receivable	Short provision for possible losses on investment	Short Provision on NBA	Actuarial Loss Recognized	Deferred Tax	Other	Total
2074/75	282,805	9,311	134,171	50,884	-	-	
2075/76	5,316	7,201	(45,749)	62,674	77,790	-	107,232
2076/77	86,282	17,541	(33,174)	(113,558)	(67,788)	-	(110,697)
2077/78	(75,300)	(34,053)	21,203	132,480	(10,002)	32,292	66,620
2078/79	(29,952)	8,146	(3,281)	(35,724)	-	(28,619)	(89,430)
2079/80	2,199,895	(8,146)	704,795	285,646	197,143	22,891	3,402,224
2080/81	517,860	-	409,482	60,645	74,944	26,743	1,089,673
2081/82	(2,205,473)	-	76,127	(66,177)	1,152,419	50,036	(993,068)
Total	**781,433**	**-**	**1,263,573**	**376,870**	**1,424,506**	**103,343**	**3,949,725**

5.20. Fair Value Reserve

Fair value reserve comprises the cumulative net change in the fair value of financial assets measured at fair value with changes in fair value is recognized in other comprehensive income. Gain/ Loss on DE recognition (net of tax) of financial assets measured at fair value through Other Comprehensive Income (OCI) has been recognized directly under equity.

Particulars	Amount (Rs.)
Opening balance as on Shrawan 1, 2081	**327,359,447**
Movement in Fair Value Reserve net of taxation	444,802,453
Closing balance as on Ashad 32, 2082	**772,161,900**

5.21. Assets Revaluation Reserve

Assets Revaluation Reserve of NPR 369,929,043 has been created as the fair value adjustment of net assets acquired on business combination. The details are as:

Particulars	Amount (Rs.)
Opening balance as on Shrawan 1, 2081	**393,177,536**
Addition/Deduction during the year	(23,248,492)
Closing balance as on Ashad 32, 2082	**369,929,043**

5.22. Other Reserves

5.22.1. Merger/Acquisition Reserve

In accordance with the Nepal Rastra Bank's Unified Directive 2080, a Merger and Acquisition Reserve has been established to account for goodwill arising from business combinations.
The movement in the reserve during the year and its composition is as follows:

Particulars	Amount (Rs.)
Opening Balance as of Shrawan 1, 2081	**109,074,522**
Add: Goodwill on acquisition/merger during the year	-
Closing Balance as of Ashad 32, 2082	**109,074,522**

Breakdown of the Reserve:

i. Rs. 88,804,041 pertains to the goodwill recognized on the acquisition of Deva Bikas Bank Limited in FY 2079-80. This amount was initially recorded in the Share Premium account and subsequently transferred to this reserve in FY 2080-81 as mandated by the Unified Directive during the year 2080-81.
ii. Rs. 20,270,481 represents the goodwill directly recognized in this reserve upon the merger with NCC Bank Limited in FY 2080-81.

This reserve has been created and utilized in full compliance with Directive No. 4(5) of the Unified Directive 2081.

5.22.2. CSR Reserves

In compliance with Nepal Rastra Bank (NRB) Circular, the Bank is required to allocate 1% of its annual net profit to a designated Corporate Social Responsibility (CSR) Fund. Expenditures incurred on approved CSR activities are charged against this fund. The fund is presented within reserves and surplus on the balance sheet.

Movement in CSR Fund for the Year Ended Ashad 32, 2082

Particulars	Amount (Rs.)
Opening balance as on Shrawan 1, 2081	**26,437,104**
Add: Transfer from Net Profit for FY 2081/82 (1% of profit)	18,196,986
Less: CSR Expenditure incurred during the year)	16,619,390
Closing Balance as of Ashad 32, 2082	**28,014,700**

5.22.3. Analysis of CSR Expenditure for FY 2081/82

The total expenditure of Rs. 16,619,390 from the CSR Fund during the year was allocated across the following focus areas and geographical provinces:

Province	Health	Education	Environment	Financial Literacy	Miscellaneous	Sustainable Development Goal	Total
Koshi	-	100,000	380,000	163,096	46,000	15,000	704,096
Madhesh	-	74,997	1,050,000	528,018	107,128	50,180	1,810,322
Bagmati	2,702,997	284,350	1,674,782	3,664,928	138,140	1,276,897	9,742,094
Gandaki	-	126,500	275,000	512,762	-	375,882	1,290,144
Lumbini	-	45,000	980,000	307,353	137,500	-	1,469,853
Karnali	-	5,000	8,400	507,957	-	-	521,357
Sudurpaschim	-	165,000	430,978	464,545	-	21,000	1,081,523
Total	**2,702,997**	**800,847**	**4,799,160**	**6,148,659**	**428,768**	**1,738,960**	**16,619,390**

5.22.4. Training Reserves

In accordance with the Nepal Rastra Bank's Unified Directive, the Bank is required to allocate an amount equivalent to 3% of the total salary and allowances of the previous financial year to a designated Training Reserve. Expenditures incurred on employee training and development programs are charged against this reserve.

Particulars	Amount (Rs.)
Opening Balance as of Shrawan 1, 2081	**62,936,404**
Add: Allocation for the year (3% of FY 2080/81 salary and allowances)	84,617,970
Less: Training expenditures incurred during FY 2081/82	42,427,623
Closing Balance as of Ashad 32, 2082	**105,126,751**

During the fiscal year 2081/82, the Bank utilized Rs. 42,427,623 from the Training Reserve for various employee skill development programs, workshops, and training initiatives, in line with its strategic objective of enhancing human capital.

5.22.5. Capital Adjustment Reserve

Capital Adjustment Reserve is created on interest income recognized by capitalizing interest income for the loans provided under National Priority after approval for such capitalization from Nepal Rastra Bank. The total capital adjustment reserve created in the FY 2075-76 is carried forward in the current year, while no addition to the capital adjustment reserve is required to be created as per NRB directive, apart from addition due to merger.

Financial Year	Name of Borrower	Capital Adjustment Reserve Amount
2072/73	Nepal Health Care Co-operative Limited	4,007,609
2073/74	Nepal Health Care Co-operative Limited	8,559,593
2075/76	B & C Medical College Teaching Hospital & Research Center Pvt. Ltd.	15,822,879
2076/77	B & C Medical College Teaching Hospital & Research Center Pvt. Ltd.	12,892,455
2077/78	B & C Medical College Teaching Hospital & Research Center Pvt. Ltd.	27,109,386
Total Amount		**68,391,922**

5.22.6. Debenture Redemption Reserve

In compliance with Clause 5(2) of Nepal Rastra Bank Directive No. 16/2081, the Bank has maintained a Debenture Redemption Reserve (DRR) to ensure the redemption of its outstanding debentures. The movement and composition of the reserve as of Ashad 32, 2082, are as follows:

Movement in Debenture Redemption Reserve

Particulars	Amount (Rs.)
Opening Balance as of Shrawan 1, 2081	**2,416,666,667**
Add: Provision made during the year	1,041,666,667
Closing Balance as of Ashad 32, 2082	**3,458,333,334**

The reserve has been calculated on a straight-line basis over the tenure of each debenture issue, as detailed below:

Debenture	Debenture Amount	Tenure for Capital redemption reserve	Debenture Redemption Reserve Required
10.25 % KBL Debenture 2086	3,000,000,000	9	333,333,333
9.5% NCC Debenture 2086	3,000,000,000	8	375,000,000
11% KBL Debenture 2089	3,000,000,000	9	333,333,333
Total	**9,000,000,000**		**1,041,666,667**

Note:

In accordance with the Clause 5(2)/16 of Unified Directive issued by Nepal Rastra Bank, No Debenture Redemption Reserve was required for the '10% KBL Debenture 2090' issued in the previous period for fund deployment purposes.

5.22.7. Investment Adjustment Reserve

Investment Adjustment Reserve has been created on investments classified as 'financial assets at fair value through OCI' that are not listed in stock exchange except for investments in Credit Information Centre Limited, Nepal Clearing House Limited and National Banking Training Institute as per Nepal Rastra Bank Directives. There is an amount of NPR. 30,000,000 outstanding investment adjustment reserve as at Balance Sheet date.

Amount in NPR

Particulars	Cost Price (Rs.)	% Reserve	Investment Adjustment Reserve
1. Investment in Shares (unquoted)			
Credit Information Center Limited	1,424,500	Exemption by NRB	-
Nepal Clearing House Limited	5,253,500	Exemption by NRB	-
National Banking Training Institute	1,834,860	Exemption by NRB	-
Kumari Capital Ltd	400,000,000	100% Subsidiary Company	-
Nepal Electronic Payment System Ltd	20,000,000	Exemption by NRB	-
KBL Securities Ltd	20,000,000	100% Subsidiary Company	-
Solar Farm Limited	-	Disposal of Investment	(30,000,000)
Aviyan Laghubitta Bittiya Sanstha Ltd	25,000,000	Listed	-
Avasar Equity Limited	30,000,000	Private Equity	30,000,000
Total Investment	**503,512,860**		-

5.22.8. Actuarial Gain/ Loss Reserve

This reserve comprises net actuarial gains and losses recognized in Other Comprehensive Income on the Bank's defined benefit obligation for employees, arising from changes in the demographic and financial assumptions used in the annual actuarial valuation.

Movement in Actuarial Gain/(Loss) Reserve for the Year Ended Ashad 32, 2082

Particulars	Amount (Rs.)
Opening Balance as of Shrawan 1, 2081	**(328,326,175)**
Add: Actuarial Gain recognized in Other Comprehensive Income during the year	(48,543,754)
Closing Balance as of Ashad 32, 2082	**(376,869,929)**

Note:

The negative reserve balance represents a net cumulative actuarial gain, which has reduced the overall defined benefit liability. The gain of Rs. 48,543,754 for the current year primarily resulted from updates to the financial and demographic assumptions used in the actuarial valuation.

5.23. Summary of Loans and Advances Disbursed, Recovered and Principal & Interest Written-off (except for Staff Loans and advances and interest accrued)

The loan and advances disbursed, recovered and written off during the year is given below:

(Rs in million)

Particulars	Amount
Opening Loans and Advances	**293,414**
Loans and Advances disbursed during the year	94,695
Loans and Advances recovered during the year	96,222
Loans and Advances written off during the year	(426)
Closing Loans and Advances	292,313
Interest written off	**704**

5.24. Weighted Average Interest Rate Spread

Particulars	Rate (%)
Average Rate of return from loans and advances and investment	8.11
Average Rate of interest on deposits & borrowings	4.52
Net Spread	3.59

5.25. Summary of Concentration of exposure

No balance sheet and off-balance sheet transaction have been highly concentrated to a single person, firm, organization or to a particular sector. Detail of highest exposure to a single person or organization is as follows:

(Rs in million)

Particulars	Total Exposure	Maximum concentration to a single customer	
		Amount	%
Loans & Advances	292,313	5,055	1.73
Deposits	379,620	15,163	3.99
Off Balance Sheet Items	76,753	1,353	1.76

5.26. Summary of Changes in deposit during the year

Growth in deposits during the year is given below:

(Rs in million)

Particulars	This Year (Rs.)	Last Year (Rs)	Changes in amount
1) Current Deposit	24,336	15,459	8,877
a) Local Currency	24,122	15,029	9,092
b) Foreign Currency	214	429	(216)
2) Saving Deposit	120,899	88,153	32,746
a) Local Currency	120,275	87,732	32,543
b) Foreign Currency	624	421	203
3) Fixed Deposit	194,761	214,674	(19,913)
a) Local Currency	186,938	208,878	(21,940)
b) Foreign Currency	7,823	5,796	2,027
4) Call Deposit	37,097	30,419	6,678
a) Local Currency	36,901	29,855	7,046
b) Foreign Currency	195	564	(369)
5) Margin Deposit	2,528	2,052	476
a) Local Currency	2,504	2,052	453
b) Foreign Currency	23	-	23
Total Deposit	**379,620**	**350,756**	**28,864**

5.27. Classification of Assets and Liabilities based on Maturity

(Rs in million)

S.N.	Particulars	1-90 Days	91-180 Days	181-270 Days	271-365 Days	Over 1 Year	Total Amount
Assets							
1	Cash Balance	8,087	-	-	-	-	8,087
2	Balance with Banks & FIs	21,764	-	-	-	-	21,764
3	Investment in Foreign Banks	9,077	2,449	2,768	-	-	14,294
4	Call Money	24,700	-	-	-	-	24,700
5	Government Securities	1,613	3,217	786	5,461	64,184	75,261
6	Nepal Rastra Bank Bonds	-	-	-	-	-	-
7	Inter Bank & FI Lending	-	-	-	-	-	-
8	Loans & Advances	59,968	25,983	13,433	12,492	180,436	292,313
9	Interest Receivable	5,407	166	121	639	5,034	11,367
10	Reverse Repo	-	-	-	-	-	-
11	Receivables from other Institutions under Commitment	-	-	-	-	-	-
12	Payment to be made for facilities under s.no 20,21 & 22	18,011	6,196	3,792	3,781	8,276	40,056
13	Others	14,502	-	-	4,782	6,500	25,784
Total Assets (A)		**163,129**	**38,011**	**20,900**	**27,156**	**264,430**	**513,626**

Liabilities							
14	Current Deposits	12,088	4,029	4,029	2,686	4,029	26,863
15	Saving Deposits	39,499	7,900	7,900	7,900	94,797	157,996
16	Fixed Deposits	60,231	34,997	27,707	10,006	61,820	194,761
17	Debentures	-	-	-	-	14,000	14,000
18	Borrowings:	-	-	-	-	1,376	1,376
	(a) Call/Short Notice	-	-	-	-	-	-
	(b) Inter-bank/Financial Institutions	-	-	-	-	-	-
	(c) Refinance	-	-	-	-	-	-
	(d) Others	-	-	-	-	1,376	1,376
19	Other Liabilities and Provisions	86	24	24	122	28,353	28,609
	(a) Sundry Creditors	-	-	-	-	-	-
	(b) Bills Payable	70	23	23	23	-	141
	(c) Interest Payable	15	-	-	-	-	15
	(d) Provisions	-	-	-	99	28,353	28,451
	(e) Others	1	0	0	0	-	2
20	Payable to other institutions under Commitment	-	-	-	-	-	-
21	Unutilized Approved Facilities	-	-	-	-	-	-
22	Letter of Credit/Guarantee (Net of Margin)	18,011	6,196	3,792	3,781	8,276	40,056
23	Repo	-	-	-	-	-	-
24	Payment to be made for facilities under S.No 11	-	-	-	-	-	-
25	Others	1,700	1,700	1,700	1,700	-	6,798
Total Liabilities (B)		**131,615**	**54,846**	**45,152**	**26,195**	**212,651**	**470,459**
Net Financial Assets (A-B)		**31,514**	**(16,834)**	**(24,252)**	**961**	**51,779**	**43,167**
Cumulative Net Financial Assets		**31,514**	**14,680**	**(9,573)**	**(8,612)**	**43,167**	**-**

5.28. Reconciliation Status

The Bank reconciles inter branch transactions and other agency accounts regularly. The difference has been identified, reviewed and reconciled and it has been or will be adjusted in due course of business.

Rs. in '000

Reconciliation status	Ledger Credit	Statement Credit	Ledger Debit	Statement Debit
Less than 1 Month	2,854,492	211,974	1,627,981	1,258,128
More than 1 Month to Less than 3 Months	538,450	161	538,575	872
More than 3 Months to Less than 9 Months	2,559	56	42	670
More than 9 Months	1	-	3	18
Total	**3,395,501**	**212,191**	**2,166,601**	**1,259,688**

5.29. Tax Expense

Adjustment of prior year tax Rs. 1,844,003,311.61 mainly amounts to tax expense pertaining to LLP exceeding 5% threshold limit as per section 59 of income tax Act, 2058 and tax expense related to assessment of previous year tax return filed. Since this is prior year tax not related to current year, this expense has been adjusted from retained earnings.

5.30. Details of Software Application (Intangible Assets)

The Bank recognizes computer software acquired or developed for internal use as an intangible asset, provided that it is probable that future economic benefits will flow to the Bank and the cost can be measured reliably. These assets are initially measured at cost and are amortized on a straight-line basis over their estimated useful lives.

Movement in Carrying Amount

The movement in the gross carrying amount and accumulated amortization for software applications during the year is as follows:

Amount in Rs.

Description	Gross Carrying Amount	Accumulated Amortization	Net Carrying Amount
Opening Balance as of Shrawan 1, 2081	**441,409,678**	**330,895,975**	**110,513,704**
Additions during the year	1,073,500	-	1,073,500
Amortization Charge for the year	-	36,269,849	(36,269,849)
Disposals / Write-offs during the year	406,800	406,800	-
Closing Balance as of Ashad 32, 2082	**442,076,378**	**330,489,175**	**75,317,355**

5.31. Capital Work in Progress (WIP)

Capital Work-in-Progress represents the aggregate of costs directly attributable to the construction of the Bank's new corporate building, which is not yet ready for its intended use. These costs are accumulated as part of a qualifying asset under NAS 16 and will be transferred to the appropriate categories of Property, Plant and Equipment upon substantial completion and commencement of use.

Costs capitalized include all directly attributable expenditures necessary to bring the asset to its intended working condition. This includes, but is not limited to:

i. Costs of materials and services consumed in the construction process.
ii. Employee costs directly attributable to the construction of the asset.
iii. Site preparation costs, including initial soil testing and land levelling.
iv. Professional fees (e.g., architectural and engineering fees).

Movement during the year

The carrying amount of Capital Work-in-Progress is as follows:

Amount in Rs

Description	Amount
Opening Balance as of Shrawan 1, 2081	261,369
Add: Additions during the year	550,576,946
Less: Amounts transferred to Property, Plant and Equipment	-
Closing Balance as of 32nd Ashad 2082	550,838,315

As of the reporting date, the carrying amount of NPR 550,838,315 relates solely to the development of the new corporate building. This includes initial costs such as soil testing conducted at the project site in Naxal.

No depreciation is charged on Capital Work-in-Progress, as stipulated by NAS 16, since the asset is not yet available for use. The project is ongoing, and further costs are expected to be incurred in subsequent periods until its completion.

5.32. Gratuity Plan

The Bank operates a defined benefit gratuity plan for its employees. The benefits are based on the employees' length of service and final basic salary at the time of separation, as governed by the Bank's Employee Service Bylaws.

The amounts recognized in the financial statements are as follows:

Amounts Recognized in the Statement of Financial Position

Amount in Rs

Particulars	As at 16th July 2025	As at 15th July 2024
Present value of defined benefit obligation	2,022,400,290	1,725,450,805
Fair value of plan assets	(1,891,857,188)	(1,675,047,069)
Net liability recognized in the balance sheet	**130,543,102**	**50,403,736**

The entire net liability is classified as a non-current liability.

Amounts Recognized in the Statement of Profit and Loss

Amount in Rs

Particulars	As at 16th July 2025	As at 15th July 2024
Current service cost	181,800,990	157,751,817
Net interest cost	128,164,040	123,958,969
Past service cost	-	103,947,235
Total expense included in 'Employee benefit expense'	**309,965,030**	**385,658,021**

Movement in the Present Value of the Defined Benefit Obligation

Amount in Rs

Particulars	As at 16th July 2025	As at 15th July 2024
Opening defined benefit obligation	**1,725,450,805**	**1,337,149,297**
Current service cost	181,800,990	157,751,817
Interest cost	128,164,040	123,958,969
Benefits paid	(82,363,765)	(83,991,740)
Past service cost	-	103,947,235
Actuarial losses/(gains)	69,348,220	86,635,227
Closing defined benefit obligation	**2,022,400,290**	**1,725,450,805**

Movement in the Fair Value of Plan Assets

Amount in Rs

Particulars	As at 16th July 2025	As at 15th July 2024
Opening fair value of plan assets	**1,675,047,069**	**1,492,042,549**
Expected return	-	-
Contributions by the employer	299,173,884	266,996,260
Benefits paid	(82,363,765)	(83,991,740)
Actuarial gains/(losses)	-	-
Closing fair value of plan assets	**1,891,857,188**	**1,675,047,069**

5.33. Sensitivity Analysis

The following table illustrates the sensitivity of the defined benefit obligation to changes in the significant actuarial assumptions, holding all other assumptions constant:

Amount in Rs.

Particulars	Change in Assumption	Impact on Defined Benefit Obligation
Discount Rate	Increase by 0.50%	1,968,325,763 (Decrease by 2.67%)
	Decrease by 0.50%	2,079,353,135 (Increase by 2.82%)
Salary Growth Rate	Increase by 0.50%	2,080,184,652 (Increase by 2.86%)
	Decrease by 0.50%	1,967,065,721 (Decrease by 2.74%)

Methods and assumptions used in preparing the sensitivity analysis

The sensitivity analysis presented is based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, as changes in some of the assumptions may be correlated. The methods and assumptions used to prepare the sensitivity analysis did not change from the previous period. The calculations are based on the same projected unit credit actuarial method applied in the full valuation.

5.34. Leave Encashment Plan

The Bank operates a defined benefit Privilege Leave Encashment Plan ("the Plan") for its eligible employees, as governed by the Bank's Employee Service Bylaw. The Plan entitles employees to encash accumulated leave upon retirement, resignation, or death.

The benefit obligation is the present value of the accumulated leave expected to be encashed in the future, calculated based on the projected gross salary at the time of encashment. Employees can accumulate a maximum of 90 days of annual leave and 60 days of sick leave.

The Bank's obligation towards the Plan is unfunded, and benefits are paid on a pay-as-you-go basis from its own resources.

The latest actuarial valuation for the Plan was performed by M/s. Global Risk Consultants, an independent firm of actuaries, as of 16th July 2025, in accordance with Nepal Accounting Standard (NAS) 19 – Employee Benefits using the Projected Unit Credit Method.

Amounts Recognized in the Balance Sheet

The following table summarizes the present value of the defined benefit obligation and the resulting liability recognized in the Balance Sheet:

Amount in Rs

Particulars	As at 16th July 2025	As at 15th July 2024
Present value of defined benefit obligation (DBO)	**662,313,104**	**603,738,856**
Fair value of plan assets	-	160,128,689
Net liability / (asset) (Funded Status)	662,313,104	443,610,167
Represented by:		
- Current liability (portion due within 1 year)	108,408,038	102,924,992
- Non-current liability	553,905,066	340,685,175
Total liability recognized in the Balance Sheet	**662,313,104**	**443,610,167**

Amounts Recognized in the Statement of Profit & Loss

The following amounts have been recognized in the "Employee Benefit Expense" within the Statement of Profit & Loss:

Particulars	As at 16th July 2025	As at 15th July 2024
Current service cost	94,327,129	94,421,501
Interest cost (net) on the defined benefit obligation	42,975,210	44,096,877
Expected return on plan assets	-	(16,012,869)
Net actuarial (gains) / losses recognized	43,186,106	108,862,085
Total expense included in Employee Benefit Expense	**180,488,445**	**231,367,594**

Changes in the Present Value of the Defined Benefit Obligation (DBO)

The movement in the gross defined benefit obligation during the year is as follows:

Amount in Rs

Particulars	As at 16th July 2025	As at 15th July 2024
Defined benefit obligation at beginning of the year	**603,738,856**	**603,738,856**
Add: Current service cost	94,327,129	160,128,689
Add: Interest cost	42,975,210	443,610,167
Add/(Less): Actuarial (gains) / losses	54,369,364	
Less: Benefits paid during the year	(133,097,455)	102,924,992
Defined benefit obligation at end of the year	**662,313,104**	**340,685,175**

Sensitivity Analysis

The following table shows how the defined benefit obligation at the end of the reporting period would have been affected by changes in the significant actuarial assumptions:

Amount in Rs.

Sensitivity	Impact on Defined Benefit Obligation
Increase in discount rate by 0.5%	Decrease to 645,894,809
Decrease in discount rate by 0.5%	Increase to 679,596,181
Increase in salary growth rate by 0.5%	Increase to 679,848,454
Decrease in salary growth rate by 0.5%	Decrease to 645,512,117

5.35. Operating Lease recognized as per NFRS 16

The Bank has applied Nepal Financial Reporting Standard (NFRS) 16 – Leases using the modified retrospective approach, with right-of-use ("ROU") assets and lease liabilities recognized for all material operating leases from the date of commencement.

At the commencement date of a lease, the Bank recognizes a right-of-use asset and a corresponding lease liability on the balance sheet.

5.35.1. Right-of-use asset

Initially measured at cost, which comprises the initial amount of the lease liability, any lease payments made at or before the commencement date, and any initial direct costs. Subsequently, the ROU asset is depreciated on a straight-line basis over the shorter of its useful life or the lease term.

5.35.2. Lease liability

Initially measured at the present value of the lease payments unpaid at the commencement date, discounted using the Bank's incremental borrowing rate (as the implicit rate in the leases is not readily determinable). The lease liability is subsequently increased by the interest cost on the lease liability and decreased by lease payments made.

Lease payments are apportioned between the principal portion (which reduces the lease liability) and the finance cost (which is recognized in profit or loss over the lease period).
The details of the operating lease are as:

Particulars	2081-82	2080-81
Right of Use Asset	2,569,489,222	2,845,123,786
Lease Liability	2,817,824,045	2,500,547,274
Right of Use Asset Depreciation	403,843,224	357,159,909
Interest Expense	77,703,082	67,319,014
Total Lease Expenses	**481,546,306**	**424,478,923**

5.36. Disclosure of Non-Banking Assets

As at Ashad 32, 2082, Non-Banking Assets assumed by Bank are as follows:

S. No.	Name of Borrower/Party	Date of assuming of Non-Banking Assets	Non-Banking Assets at cost (Rs.)
1	Shakti Auto Engineering P.Ltd	13-Jan-06	3,450,000
2	Harisiddhi Brick & Tile Factory	15-Jul-09	440,983,914
3	Prabin Nirman Sewa	11-Sep-14	14,420,323
4	Pathivara Shoe Centre	14-Jan-16	7,912,570
5	Kumari Builders & Development Co.P.Ltd.	26-Jan-16	125,175,000
6	Kumar Lawati	07-Sep-17	1,510,000
7	Shyam Khanal	12-Sep-17	10,752,000
8	Everest Computer Embroidary	04-Jan-18	56,745,169
9	Rajendra Prasad Upadhyay Khanal	04-Jan-18	6,828,410
10	Rama Khanal	04-Jan-18	7,746,662
11	Shiva Shankar Laghu Udhyog	20-Apr-18	31,800,000
12	Shuvashree Suppliers Pvt Ltd.	24-Jun-18	35,251,000
13	Ganga Jamuna Suppliers	12-Nov-18	3,900,000
14	Buddhathoki Poultry Firm (Infra)	27-Mar-19	2,300,000
15	Transit Fancy Fair (Supreme)	08-Apr-19	15,950,000
16	Kuldip Sharma	30-Sep-19	6,960,000
17	Lila Khanal	19-Mar-20	36,560,000
18	Khemraj Kurmi	22-Mar-20	4,370,175
19	Ram Nayan Ahir	22-Mar-20	4,762,971
20	Bhagwan Basnet And Bhagwan Tiles & Sanitary	15-Jul-20	6,619,708
21	Kamachya Store	15-Jul-20	3,618,324
22	Meera Fancy Store	29-Mar-21	25,215,000
23	Malika Traders and Order Suppliers	05-Aug-21	2,549,001
24	World Export and Import Pvt Ltd	29-Aug-21	34,185,416
25	Lama Hotel	21-Nov-21	8,626,734
26	Saroj Bahadur Sonar	07-Dec-21	3,179,000
27	Rugu Bina Kumari Singh	31-Mar-22	2,389,169
28	Sushila & Srijana Traders Pvt. Ltd.	13-Apr-22	6,466,985
29	Sahadev Raj Banshi	26-Apr-22	6,850,000
30	City Center Hospital Pvt. Ltd.	08-May-22	16,318,113
31	Ram Chandra Thapa	02-Jun-22	1,865,129
32	Pa Ra Ra Chalaugain Bastralaya	12-Jul-22	2,647,744
33	Ram Sharan Giri	09-Aug-22	1,590,000
34	Lila Khanal	26-Aug-22	10,571,573

S. No.	Name of Borrower/Party	Date of assuming of Non-Banking Assets	Non-Banking Assets at cost (Rs.)
35	Jog Prasad Mahato Puran Ram Mahato	07-Dec-22	2,911,916
36	Moon Light Builders (Prakash Kandel)	09-Apr-23	27,750,000
37	Red Agro Tourism	11-Jul-23	13,690,000
38	Triyuga Furniture & Furnishing/Triyuga Kasta Furniture Udhyog	12-Jul-23	18,128,000
39	Mr Badri Kandel	16-Jul-23	4,260,559
40	Umesh Garments	16-Jul-23	17,000,000
41	Bhuwanweshori Thalal (Thalal Group)	16-Jul-23	2,217,717
42	Prem Sing Thalal (Thalal Group)	16-Jul-23	5,837,761
43	Durga Bhawani Thalal (Thalal Group)	16-Jul-23	10,562,165
44	Bhuwaneshwori Kirana (Thalal Group)	16-Jul-23	4,532,516
45	Shree Durga Bhawani (Thalal Group)	16-Jul-23	9,390,621
46	Shib Tent House	16-Jul-23	1,143,115
47	Pandey Tent	16-Jul-23	5,282,190
48	B.P. Sales	16-Jul-23	15,994,695
49	Shikha Traders	27-Jul-23	19,422,562
50	Durga Thapa	06-Oct-23	35,791,110
51	Saurya Suman Trade & Suppliers	29-Dec-23	6,571,000
52	Garima Hardware	29-Dec-23	22,365,000
53	Laxmi Ganesh Sellar Mill & Laxmi Khadhiyan Kharid Bikri Kendra	17-Jan-24	49,608,000
54	Seti Plastic Udhyog	23-Jan-24	22,096,000
55	Sagarmatha Trade & Packing	24-Jan-24	19,429,500
56	Kedar Poultry Form	18-Feb-24	19,777,557
57	Subhakamana Foot Wear Product Nepal	13-Mar-24	92,781,000
58	Nabin Pashu Tatha Poultry Firm	18-Mar-24	3,087,058
59	B.Eco Friendly Plus	11-Apr-24	18,010,000
60	Shiva Shankar Iron Tatha General Store	12-Apr-24	17,167,000
61	Sachi Group	26-May-24	9,770,000
62	Om Fancy Store	26-May-24	2,455,358
63	Radhe Radhe Group	24-Jun-24	81,246,000
64	Shrestha Khadhyanna Group	26-Jun-24	12,980,000
65	Shanta Kabir Traders	15-Jul-24	72,980,000
66	Bhawani Kirana Pasal	22-Jul-24	7,223,000
67	Ganga Itta Udhyog	24-Jul-24	11,668,000
68	Everest Digital & Suppliers	26-Jul-24	19,969,000
69	Dai Trade Test & Training Center	31-Jul-24	338,287,000
70	Mahabinayak Trade & Suppliers	05-Aug-24	4,594,000
71	Pathivara Cosmetics & Suppliers	06-Aug-24	6,314,000
72	Tika Hardware Electricals	06-Aug-24	9,622,000
73	R.K. City Center	07-Aug-24	421,427,000
74	White Rose Academy Pvt. Ltd.	02-Sep-24	40,685,000
75	Midpoint Fast Food	20-Oct-24	8,906,017
76	Voice Mart	12-Nov-24	46,400,000
77	Bhawani Koila & Lubricant & Supplier	13-May-25	14,338,000
78	Gaur Nitai Traders	14-Jul-25	15,083,000
	TOTAL		**2,538,824,508**

5.37. Impairment of Goodwill

As per Paragraph 10 of NAS 36 i.e., impairment of asset, irrespective of whether there is any indication of impairment, an entity shall also test goodwill acquired in a business combination for impairment annually.

A cash-generating unit (CGU) to which goodwill has been allocated shall be tested for impairment annually, and whenever there is an indication that the unit may be impaired, by comparing the carrying amount of the unit, including the goodwill, with the recoverable amount of the unit. If the recoverable amount of the unit exceeds the carrying amount of the unit, the goodwill allocated to that unit shall be regarded as not impaired. If the carrying amount of the unit exceeds the recoverable amount of the unit, the entity shall recognize the impairment loss. Since the recoverable amount is higher than carrying amount of the cash generating unit, goodwill allocated is not impaired. The summary of calculation of impairment are stipulated below:

Calculation of recoverable amount of the CGU (value in use)	Amount
Present value of cash flows for years 2082 to 2087	30,241,553,858
Present value of cash flow for terminal year	534,260,603,593
Total recoverable amount	564,502,157,450
Calculation of carrying amount of the CGU:	442,263,768,771
Excess of carrying amount over recoverable amount -> impairment loss	122,238,388,679

5.38. Fair Value Hierarchy of Financial Assets

The Bank measures its investments in equity instruments and mutual funds at fair value. The fair value hierarchy prioritizes the inputs to valuation techniques into three levels. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets (Level 1) and the lowest priority to unobservable inputs (Level 3).

The following table presents the Company's financial assets measured at fair value as at the year-end, categorized by the level of the fair value hierarchy:

Fair Value Hierarchy	Amount (NPR)	% Of Total
Level 1	3,267,396,579	86.24%
Level 2	-	-
Level 3	521,228,436	13.76%
Total Fair Value	**3,788,625,015**	**100.00%**

Level 1 Financial Assets

Level 1 fair values are based on quoted market prices in active markets for identical assets. This category primarily consists of investments in listed equities and mutual funds.

Investment in Listed Equities

S. No.	Name of Borrower/Party	Amount (NPR)
1	Api Power Company Limited (API)	17,634,169
2	Asian Life Insurance Company Limited (ALICL)	33,099,078
3	Chhimek Laghubitta Bittiya Sanstha Limited (CBBL)	1,036
4	Chilime Hydro Power Company Limited-(CHCL)	533
5	Citizen Life Insurance Company Limited (CLI)	9,360,549
6	Deprosc Laghubitta Bittiya Sanstha Limited (DDBL)	1,765
7	Forward Microfinance Laghubitta Bittiya Sanstha Limited (FOWAD)	1,294
8	Grameen Bikas Laghubitta Bittiya Sanstha Limited -Promoter (GBLBSP)	131,412
9	Himalayan Everest Insurance Limited - Promoter (HEIP)	910,899
10	Himalayan Everest Insurance Limited (HEI)	5,547
11	Himalayan Life Insurance Company Limited (HLI)	814
12	Himalayan Reinsurance Limited (HRL)	67,294,654
13	Hydroelectricity Investment and Development Company Limited (HIDCLPO)	282,914,943
14	IGI Prudential insurance Limited (IGI)	28,967,936
15	Life Insurance Co. Nepal Limited (LICN)	122,047,707
16	National Laghubitta Bittiya Sanstha Limited (NMFBS)	1400.05
17	National Life Insurance Co. Limited (NLICL)	624
18	Neco Insurance Limited. (NIL)	9,446,367
19	Nepal Doorsanchar Company Limited (NTC)	59,168,352
20	Nepal Insurance Co. Limited (NICL)	154,843
21	Nepal Life Insurance Co. Limited (NLIC)	773
22	Nerude Mirmire Laghubitta Bittiya Sanstha Limited (NMLBBL)	113,457
23	NLG Insurance Co. Limited (NLG)	3,896
24	Oriental Hotels Limited (OHL)	12,755,960
25	Radhi Bidyut Company Ltd (RADHI)	48,191,455
26	Reliable Nepal Life Insurance Limited (RNLI)	13,388,988
27	RSDC Laghubitta Bittiya Sanstha Limited (RSDC)	54,693
28	Sampada Laghubitta Bittiya Sanstha Limited (SMPDAP)	173,769,750
29	Sana Kisan Bikas Laghubitta Bittiya Sanstha Limited (SKBBL)	6,191
30	Sana Kisan Bikas Laghubitta Bittiya Sanstha Limited -Promoter (SKBBLP)	100
31	Sanima General Insurance Company Limited (SGIC)	11,872,235
32	Sanima General Insurance Company Limited -Promoter (SGICP)	97,901,750
33	Sanima Mai Hydropower Limited (SHPC)	29,183,287

S. No.	Name of Borrower/Party	Amount (NPR)
34	Shikhar Insurance Co. Limited (SICL)	45,857,953
35	Shivam Cements Limited (SHIVM)	7,007,954
36	Siddhartha Premier Insurance Limited (SPIL)	63,620,377
37	Swabalamban Laghubitta Bittiya Sanstha Limited (SWBBL)	881
38	Synergy Power Development Limited (SPDL)	418
39	Taragaon Regency Hotel Limited (TRH)	11,869,075
40	Unique Nepal Laghubitta Bittiya Sanstha Limited- Promoter (UNLBP)	130,788,000
41	United Ajod Insurance Limited (UAIL)	18,156,747
42	Vijaya Laghubitta Bittiya Sanstha Limited-Promoter Share (VLBSPO)	243,065,638
	Total	**1,538,753,500**

Investment in Mutual Funds

S. No.	Name of Borrower/Party	Amount (NPR)
1	Citizens Mutual Fund 2 (CMF2)	7,473,864
2	Kumari Dhanbriddhi Yojana (KDBY)	184,679,694
3	Kumari Equity Fund (KEF)	173,196,367
4	Kumari Sabal Yojana (KSY)	140,000,000
5	Kumari Sunaulo Lagani Yojana-open ended (KSLY)	184,650,000
6	Laxmi Unnati Kosh (LUK)	20,780,000
7	Laxmi Value Fund 2 (LVF2)	19,095,428
8	Mega Mutual Fund 1 (MMF1)	8,360,274
9	Nabil Balanced Fund III (NBF3)	166,533
10	NABIL BALANCED FUND-2 (NBF2)	82,904,022
11	NIBL Growth Fund (NIBLGF)	49,300,000
12	NIBL Sahabhagita Fund (NIBLSF)	66,457,068.36
13	NIBL Samriddhi Fund- II (NIBSF2)	31,288,778
14	NIBL Stable Fund (NIBLSTF)	98,900
15	NIC ASIA Balanced Fund (NICBF)	40,766,791
16	NIC Asia Dynamic Debt Fund (NICADF)	7,087,088
17	NIC ASIA Growth Fund-2 (NICGF2)	28,560,000
18	NIC Asia Select 30 Index Fund (NICSF)	29,309,950
19	NMB 50	139,525,292
20	NMB Sulav Investment Fund-2 (NSIF2)	112,900
21	Prabhu Select Fund (PSF)	16,862,631
22	RBB Mutual Fund -1 (RMF1)	39,761,187
23	Reliable Samriddhi Yojana (RSY)	99,300,000
24	Sanima Growth Fund (SAGF)	10,210,608
25	Sanima Large Cap Fund (SLCF)	23,989,350
26	Siddhartha Equity Fund (SEF)	58,094,706
27	Siddhartha Investment Growth Scheme 2 (SIGS2)	88,952,777
28	Sunrise Blue Chip Fund (SBCF)	42,000,000
29	Sunrise First Mutual Fund (SFMF)	85,870,511
30	Sunrise Focussed Equity Fund (SFEF)	49,788,360
	Total	**1,728,643,078**

Level 3 Financial Assets

These are unobservable inputs, based on the company's own data and assumptions, and are used when observable market data is unavailable. Unlisted investments often fall into this category because they are not traded on active markets and require internal assumptions for valuation.

S. No.	Name of Borrower/Party	Amount (NPR)
1	Aviyan Laghubitta Bittiya Sanstha Limited	29,074,305
2	Credit Information Centre Limited (CICL)	265,720,029
3	Equity of SWIFT	6,720,004
4	Nepal Clearing House Limited (NCHL)	179,432,320
5	National Banking Training Institute (NBTI)	15,281,779
6	Reliable Private Equity Fund (RPEF)	25,000,000
	Total	**521,228,436**

Notes:

Valuation Technique: *The fair value of Level 1 investments is based on the closing market price as of the year-end on the Nepal Stock Exchange (NEPSE). The fair value of Level 3 unlisted investments is determined based on the latest available Net Asset Value (NAV) per share or observable prices from recent arm's length transactions. There have been no transfers between Level 1 and Level 2 during the year.*

5.39. Additional Credit Portfolio Disclosure

As of Ashad end, 2082, the company's loan portfolio and AIR recovery after Ashad end 2082 till 15th of Shrawan 2082 includes certain categories requiring specific disclosure. The details of these portfolios are as follows:

Particulars	As of Ashad end 2082	
	No. of Customers	Amount (NRs.
Accrued Interest Received after Ashad end 2081 till 15th of Shrawan 2082	4,483	830,663,475
Subsidized Loan	40,583	5,360,087,023
COVID Management Loan	28	20,770,544
Rescheduled Loans	433	6,699,129,900

5.40. Shareholding Pattern and Distribution

The Bank's shareholder base reflects its commitment to widespread public ownership. The distribution of shareholders and their respective shareholding for the fiscal years ending Ashad 2081 and Ashad 2082 is presented below:

Category	Ashad 2082	Ashad 2081	Change	% Change
Promoter Shareholders	4,507	4,470	37	0.83%
Public Shareholders	289,268	292,436	(3,168)	(1.08%)
Total Shareholders	**293,775**	**296,906**	**(3,131)**	**(1.05%)**

5.41. Rounding off

Figures are rounded to nearest rupees.

Statement of distributable profit or loss

For the year ended 32 Ashad 2082

(As per NRB Regulation)

Particulars	Bank	
	FY 2081-82	FY 2080-81
Net profit or (loss) as per statement of profit or loss	**1,819,698,647**	**4,608,704**
Appropriations:		
a. General reserve	(363,939,729)	(921,741)
b. Foreign exchange fluctuation fund	15,660,146	(2,879,296)
c. Capital redemption reserve	(1,041,666,667)	(1,416,666,667)
d. Corporate social responsibility fund	(1,577,596)	15,852,785
e. Employees' training fund	(42,190,348)	(16,024,770)
f. Other		
- Investment Adjustment Reserve	-	(30,000,000)
- Other Reserve (Capital Adjustment Reserve)	17,927,030	-
- Other Reserve (Fair Value Reserve)	(2,985,985)	-
Profit or (loss) before regulatory adjustment	**400,925,498**	**(1,446,030,984)**
Regulatory adjustment :		
a. Interest receivable (-)/previous accrued interest received (+)	2,205,472,502	(517,859,869)
b. Short loan loss provision in accounts (-)/reversal (+)	-	-
c. Short provision for possible losses on investment (-)/reversal (+)	-	-
d. Short loan loss provision on Non Banking Assets (-)/reversal (+)	(76,126,630)	(409,481,739)
e. Deferred tax assets recognised (-)/ reversal (+)	(1,152,418,893)	(74,944,069)
f. Goodwill recognised (-)/ impairment of Goodwill (+)	-	-
g. Bargain purchase gain recognised (-)/reversal (+)	-	-
h. Actuarial loss recognised (-)/reversal (+)	66,176,896	(60,644,659)
i. Other (+/-) Investment Adjustment Reserve	-	-
j. Other (+/-) Interest Capitalization	(50,036,059)	(26,742,509)
Net Profit for the year end Ashad 2082 available for distribution	**1,393,993,314**	**(2,535,703,829)**
Opening Retained Earning as on Shrawan 1 2081	**(5,367,424,480)**	**(2,202,909,147)**
Adjustment (+/-)	123,904,448	(628,811,504)
Distribution:	**-**	**-**
Bonus Shares issued	-	-
Cash Dividend Paid	-	-
Total Distributable profit or (loss) as on Ashad 2082	**(3,849,526,718)**	**(5,367,424,480)**
Annualised Distributable Profit/Loss per share	-	-

Comparision Unaudited and Audited Financial Statements as of FY 2081/82

Statement of Financial Position	As per Unaudited Financial Statement	As per Audited Financial Statement	Variance		Reason for variance
			In amount	In %	
Assets					
Cash and Cash Equivalents	19,768,452,519	35,350,484,074	15,582,031,555	78.82%	Reclassification of Cash and Cash Equivalents
Due from Nepal Rastra Bank	21,322,921,184	21,339,804,952	16,883,768	0.00%	
Placement with Bank and Financial Institutions	28,969,566,993	13,387,665,129	(15,581,901,864)	-53.79%	Reclassification of Placements
Derivative Financial Instruments	1,176,104,630	1,176,104,630	-	-	
Other Trading Assets	-	-	-	-	
Loans and Advances to BFIs	14,140,779,353	14,153,339,391	12,560,038	0.09%	
Loans and Advances to Customers	260,948,398,135	260,322,398,319	(625,999,816)	-0.24%	Due to Change in Loan Loss Provision and reclassification, Staff Loan Calculation as per NFRS
Investment Securities	80,213,706,216	80,098,703,721	(115,002,495)	-0.14%	Value (NAV) for fair valuation of Mutual funds & Change in Amrotization of Development Bonds.
Current Tax Assets	1,348,290,043	536,113,916	(812,176,127)	-60.24%	Impact of Changes in Statement of Profit or Loss
Investment in Subsidiaries	600,000,000	600,000,000	-	-	
Investment in Associates	985,017,596	960,017,596	(25,000,000)	-2.54%	Due to Change in status of associates.
Investment Property	2,538,824,508	2,538,824,508	-	-	
Property and Equipment	2,058,755,895	2,657,414,617	598,658,722	29.08%	Due to Addition of Capital WIP
Goodwill and Intangible Assets	184,391,875	184,391,875	-	0.00%	
Deferred Tax Assets	30,206,399	1,092,503,225	1,062,296,827	3516.79%	Due to reclassification and compuattion of deferred tax for this year
Other Assets	8,211,233,275	7,285,874,319	(925,358,956)	-11.27%	Reclassification of Other Assets and Addition of NFRS 9 i.e. Lease
Total Assets	**442,496,648,620**	**441,683,640,272**	**(813,008,349)**	**-0.18%**	
Liabilities					
Due to Bank and Financial Institutions	11,085,042,708	11,085,042,708	-	-	
Due to Nepal Rastra Bank	3,895,761,000	3,895,761,000	-	-	
Derivative Financial Instruments	1,176,437,275	1,168,560,453	(7,876,822)	-0.67%	Reclassification of derivatives
Deposits from Customers	364,639,161,514	364,639,161,514	(0.00)	(0.00)	
Borrowings	1,380,591,727	1,380,591,727	-	0.00%	
Current Tax Liabilities	-	-	-	-	
Provisions	3,100,000	3,100,000	-	0.00%	
Deferred Tax Liabilities	-	-	-		
Other Liabilities	9,044,417,551	8,412,759,020	(631,658,530)	-6.98%	Due to adjustment related to gratuity as per actuarial valuation report and other reclassification and offsetting.
Debt Securities Issued	13,982,370,181	13,981,837,110	(533,071)	0.00%	Due to change in amortization of Debenture
Subordinated Liabilities	-	-	-	-	
Total Liabilities	**405,206,881,955**	**404,566,813,532**	**(640,068,423)**	**-0.16%**	

Statement of Financial Position	As per Unaudited Financial Statement	As per Audited Financial Statement	Variance		Reason for variance
			In amount	In %	
Equity					
Share Capital	26,225,861,340	26,225,861,340	-	-	
Share Premium	-	-	-		
Retained Earnings	(2,794,020,616)	(3,849,526,718)	(1,055,506,102)	37.78%	Impact of Changes in Statement of Profit or Loss
Reserves	13,857,925,941	14,740,492,118	882,566,177	6.37%	Impact of Changes in Statement of Profit or Loss
Total Equity Attributable to Equity Holders	**37,289,766,665**	**37,116,826,740**	**(172,939,925)**	**-0.46%**	**Impact of Changes in Statement of Profit or Loss**
Non Controlling Interest	-	-	-	-	
Total Equity	**37,289,766,665**	**37,116,826,740**	**(172,939,925)**	**-0.46%**	**Impact of Changes in Statement of Profit or Loss**
Total Liabilities and Equity	**442,496,648,620**	**441,683,640,272**	**(813,008,349)**	**-0.18%**	

Statement of Profit or Loss	As per Unaudited Financial Statement	As per Audited Financial Statement	Variance		Reason for variance
			In amount	In %	
lnterest income	32,290,582,110	32,357,200,352	66,618,241	0.2%	Due to recognition of interest income and interest suspense adjustment. Reclassification of VCC and Esewa Income
Interest expense	20,736,187,453	20,735,654,382	(533,071)	0.0%	Reclassification of interest expense
Net interest income	**11,554,394,658**	**11,621,545,970**	**67,151,312**	**0.6%**	
Fee and commission income	3,039,564,447	3,033,276,978	(6,287,469)	-0.2%	Reclassification of VCC and Esewa Income
Fee and commission expense	365,745,274	371,656,093	5,910,819	1.6%	Reclassification of expenses pertaining to the year
Net fee and commission income	**2,673,819,173**	**2,661,620,885**	**(12,198,288)**	**-0.5%**	
Net interest, fee and commission Income	**14,228,213,831**	**14,283,166,855**	**54,953,024**	**0.4%**	
Net trading income	409,358,195	453,177,356	43,819,161	10.7%	Reclassification of Income pertaining to the year
Other operating income	495,480,046	457,678,565	(37,801,481)	-7.6%	Reclassification of Income pertaining to the year
TotaI operating income	**15,133,052,072**	**15,194,022,777**	**60,970,705**	**0.4%**	
lmpairment charge/ (reversal) for Loans and other losses	2,796,241,470	3,451,421,338	655,179,867	23.4%	Changes in the Loan Loss provision after audit and NRB remarks
Net operating income	**12,336,810,602**	**11,742,601,439**	**(594,209,163)**	**-4.8%**	
Operating expense					
PersonnelI expenses	4,359,038,979	4,311,039,370	(47,999,609)	-1.1%	Bonus changes, Acturial Expense booked and expenses reclassification
Other operating expenses	1,051,300,400	1,051,554,716	254,316	0.0%	Reclassification of expenses pertaining to the year
Depreciation & Amortization	791,980,194	792,811,818	831,624	0.1%	Reclassification of expenses pertaining to the year
Operating Profit	**6,134,491,029**	**5,587,195,535**	**(547,295,494)**	**-8.9%**	
Non operating income	72,846,260	73,368,067	521,807	0.7%	Reclassification of Income pertaining to the year
Non operating expense	425,943,542	425,943,542	-	0.0%	
Profit before income tax	**5,781,393,747**	**5,234,620,060**	**(546,773,687)**	**-9.5%**	
lncome tax expense	3,664,984,695	3,414,921,412	(250,063,283)	-6.8%	Due to above factors
Current Tax	3,755,164,178	4,567,340,305	812,176,127	21.6%	Due to above factors
Deferred Tax	(90,179,483)	(1,152,418,893)	(1,062,239,411)	1177.9%	Due to above factors

Statement of Profit or Loss	As per Unaudited Financial Statement	As per Audited Financial Statement	Variance		Reason for variance
			In amount	In %	
Profit/(loss) for the period	**2,116,409,051**	**1,819,698,647**	**(296,710,404)**	**-14.0%**	**Due to above factors**

Statement of Comprehensive lncome	As per Unaudited Financial Statement	As per Audited Financial Statement	Variance		Reason for variance
			In amount	In %	
Profit/(loss) for the period	2,116,409,051	1,819,698,647	(296,710,404)	-14.02%	
Other Comprehensive lncome	393,406,686	396,258,699	2,852,013	0.72%	Due to Change in FVTPL to Oci
Total Comprehensive lncome for the period	**2,509,815,737**	**2,215,957,346**	**(293,858,391)**	**-11.71%**	
Basic earnings per share	8.07	6.94	(1.13)	-14.02%	
Diluted earnings per share	8.07	6.94	(1.13)	-14.02%	
Profit attributable to:			-		
Equity holders of the Bank	2,509,815,737	2,215,957,346	(293,858,391)	-11.71%	
Non-controlling interest		-	-	-	

Interim Financial Statements of the FY 2081/82

Condensed Consolidated Statement of Financial Position

As on Fourth Quarter (16th July 2025) of the Fiscal Year 2024/25

Amount in NPR

Particulars	Group		Bank	
	This Quarter Ending	Immediate Previous Year Ending	This Quarter Ending	Immediate Previous Year Ending
Assets				
Cash and Cash Equivalents	20,152,713,898	19,628,921,035	19,768,452,519	19,581,636,193
Due from Nepal Rastra Bank	21,322,921,184	28,158,091,418	21,322,921,184	28,158,091,418
Placement with Bank and Financial Institutions	28,969,566,993	1,422,914,007	28,969,566,993	1,422,914,007
Derivative Financial Instruments	1,176,104,630	346,539,668	1,176,104,630	346,539,668
Other Trading Assets	-	-	-	-
Loans and Advances to BFIs	14,140,779,353	10,745,446,714	14,140,779,353	10,745,446,714
Loans and Advances to Customers	260,948,398,135	268,431,270,470	260,948,398,135	268,431,270,470
Investment Securities	80,626,751,160	65,054,699,186	80,213,706,216	64,635,154,603
Current Tax Assets	1,352,722,555	2,585,083,170	1,348,290,043	2,577,355,650
Investment in Subsidiaries	-	-	600,000,000	600,000,000
Investment in Associates	1,451,308,802	1,593,685,400	985,017,596	1,165,017,596
Investment Property	2,538,824,508	1,913,183,766	2,538,824,508	1,913,183,766
Property and Equipment	2,103,218,255	2,333,380,144	2,058,755,895	2,294,213,275
Goodwill and Intangible Assets	188,977,865	225,205,280	184,391,875	219,588,225
Deferred Tax Assets	30,206,399	105,287,225	30,206,399	108,629,781
Other Assets	8,416,347,135	7,394,732,733	8,211,233,275	7,253,840,426
Total Assets	**443,418,840,872**	**409,938,440,217**	**442,496,648,620**	**409,452,881,793**
Liabilities				
Due to Bank and Financial Institutions	11,008,829,728	14,311,349,530	11,085,042,708	14,717,409,163
Due to Nepal Rastra Bank	3,895,761,000	3,729,500,000	3,895,761,000	3,729,500,000
Derivative Financial Instruments	1,176,437,275	350,040,393	1,176,437,275	350,040,393
Deposits from Customers	364,639,161,514	333,111,322,485	364,639,161,514	333,111,322,485
Borrowings	1,380,591,727	1,340,593,579	1,380,591,727	1,340,593,579
Current Tax Liabilities	-	-	-	-
Provisions	3,100,000	3,000,000	3,100,000	3,000,000
Deferred Tax Liabilities	-	-	-	-
Other Liabilities	9,434,390,021	7,780,823,659	9,044,417,551	7,417,356,293
Debt Securities Issued	13,982,370,181	13,980,460,457	13,982,370,181	13,980,460,457
Subordinated Liabilities	-	-	-	-
Total Liabilities	**405,520,641,445**	**374,607,090,104**	**405,206,881,955**	**374,649,682,371**
Equity				
Share Capital	26,225,861,340	26,225,861,340	26,225,861,340	26,225,861,340
Share Premium	-	-	-	-
Retained Earnings	(2,220,590,232)	(4,862,110,672)	(2,794,020,616)	(5,367,424,480)
Reserves	13,892,928,319	13,967,599,446	13,857,925,941	13,944,762,562
Total Equity Attributable to Equity Holders	**37,898,199,426**	**35,331,350,113**	**37,289,766,665**	**34,803,199,422**
Non-Controlling Interest	-	-	-	-
Total Equity	**37,898,199,426**	**35,331,350,113**	**37,289,766,665**	**34,803,199,422**
Total Liabilities and Equity	**443,418,840,872**	**409,938,440,217**	**442,496,648,620**	**409,452,881,793**

Interim Financial Statements of the FY 2081/82
Condensed Consolidated Statement of Financial Position

As on Fourth Quarter (16th July 2025) of the Fiscal Year 2024/25

Amount in NPR

Particulars	Group				Bank			
	Current Year		Previous Year		Current Year		Previous Year	
	This Quarter	Upto this Quarter (YTD)	This Quarter	Upto this Quarter (YTD)	This Quarter	Upto this Quarter (YTD)	This Quarter	Upto this Quarter (YTD)
Interest income	8,519,693,102	32,320,868,222	9,070,706,829	38,673,191,700	8,514,993,082	32,290,582,110	9,059,797,255	38,609,365,782
Interest expense	4,857,148,583	20,736,173,001	6,681,255,048	27,806,010,628	4,857,148,583	20,736,187,453	6,681,255,048	27,806,025,079
Net interest income	**3,662,544,519**	**11,584,695,221**	**2,389,451,781**	**10,867,181,073**	**3,657,844,499**	**11,554,394,658**	**2,378,542,207**	**10,803,340,703**
Fee and commission income	870,392,467	3,039,564,447	617,092,920	2,437,605,068	870,392,467	3,039,564,447	617,092,920	2,437,605,068
Fee and commission expense	113,499,041	365,745,274	109,557,794	339,520,201	113,499,041	365,745,274	109,557,794	339,520,201
Net fee and commission income	**756,893,426**	**2,673,819,173**	**507,535,126**	**2,098,084,867**	**756,893,426**	**2,673,819,173**	**507,535,126**	**2,098,084,867**
Net interest, fee and commission Income	**4,419,437,945**	**14,258,514,394**	**2,896,986,907**	**12,965,265,939**	**4,414,737,925**	**14,228,213,831**	**2,886,077,333**	**12,901,425,570**
Net trading income	153,708,273	409,358,195	86,389,771	366,413,542	153,708,273	409,358,195	86,389,771	366,413,542
Other operating income	(342,188,648)	794,918,385	239,103,686	585,113,817	68,678,967	495,480,046	109,486,885	368,585,470
Total operating income	**4,230,957,569**	**15,462,790,975**	**3,222,480,364**	**13,916,793,298**	**4,637,125,165**	**15,133,052,072**	**3,081,953,989**	**13,636,424,583**
Impairment charge/ (reversal) for Loans and other losses	(2,370,931,321)	2,796,241,470	3,297,725,886	6,841,410,631	(2,370,931,321)	2,796,241,470	3,297,725,886	6,841,410,631
Net operating income	**6,601,888,891**	**12,666,549,505**	**(75,245,522)**	**7,075,382,668**	**7,008,056,486**	**12,336,810,602**	**(215,771,897)**	**6,795,013,952**
Operating expense							-	
Personnel expenses	1,238,747,014	4,418,409,693	613,651,346	3,904,308,944	1,221,256,125	4,359,038,979	598,822,532	3,857,072,668
Other operating expenses	330,849,951	1,125,389,931	253,495,495	1,151,312,666	310,520,397	1,051,300,400	241,657,715	1,112,699,626
Depreciation & Amortization	203,679,297	800,049,474	234,470,793	856,946,762	200,187,839	791,980,194	231,699,198	851,318,123
Operating Profit	**4,828,612,628**	**6,322,700,407**	**(1,176,863,156)**	**1,162,814,295**	**5,276,092,124**	**6,134,491,029**	**(1,287,951,342)**	**973,923,536**
Non-operating income	42,005,841	72,846,260	30,531,343	46,751,365	42,005,841	72,846,260	30,531,343	46,751,365
Non-operating expense	290,112,268	425,943,542	21,084,054	21,709,731	290,112,268	425,943,542	21,084,054	21,709,731
Profit before income tax	**4,580,506,201**	**5,969,603,125**	**(1,167,415,867)**	**1,187,855,929**	**5,027,985,697**	**5,781,393,747**	**(1,278,504,053)**	**998,965,170**
Income tax expense	3,212,429,896	3,709,643,313	(218,729,648)	1,029,285,821	3,197,399,710	3,664,984,695	(230,318,232)	994,356,466
Current Tax	3,303,781,058	3,804,980,527	(147,532,533)	1,100,482,937	3,287,579,193	3,755,164,178	(155,374,164)	1,069,300,535
Deferred Tax	(91,351,162)	(95,337,214)	(71,197,116)	(71,197,116)	(90,179,483)	(90,179,483)	(74,944,069)	(74,944,069)
Profit/(loss) for the period	**1,368,076,305**	**2,259,959,812**	**(948,686,218)**	**158,570,107**	**1,830,585,987**	**2,116,409,051**	**(1,048,185,821)**	**4,608,704**
Condensed Consolidated Statement of Comprehensive income								
Profit/(loss) for the period	1,368,076,305	2,259,959,812	(948,686,218)	158,570,107	1,830,585,987	2,116,409,051	(1,048,185,821)	4,608,704
Other Comprehensive income	226,168,711	393,406,686	190,097,174	64,794,676	226,168,711	393,406,686	190,097,174	64,794,676
Total Comprehensive income for the period	**1,594,245,017**	**2,653,366,498**	**(758,589,044)**	**223,364,783**	**2,056,754,698**	**2,509,815,737**	**(858,088,646)**	**69,403,380**
Basic earnings per share		8.62		0.60		8.07		0.02
Diluted earnings per share		8.62		0.60		8.07		0.02
Profit attributable to:								
Equity holders of the Bank	**1,594,245,017**	**2,653,366,498**	**(758,589,044)**	**223,364,783**	**2,056,754,698**	**2,509,815,737**	**(858,088,646)**	**69,403,380**
Non-controlling interest	-	-	-	-	-	-	-	-

Statement of Distributable Profit or Loss

For the Quarter end of Ashad 2082

(As per NRB Regulation)

Amount in NPR

Particulars Group This Quarter Ending Immediate Previous Year Ending	Bank	
	This Quarter Ending	Immediate Previous Year Ending
Net profit or (loss) as per statement of profit or loss	**2,116,409,051**	**4,608,704**
Appropriations:		
a. General reserve	(423,281,810)	(921,741)
b. Foreign exchange fluctuation fund	(28,159,015)	(2,879,296)
c. Capital redemption reserve	(1,041,666,667)	(1,416,666,667)
d. Corporate social responsibility fund	(4,544,701)	15,852,785
e. Employees' training fund	(42,132,024)	(16,024,770)
f. Other (Investment adjustment reserve)	30,000,000	(30,000,000)
Profit or (loss) before regulatory adjustment	**606,624,835**	**(1,446,030,984)**
Regulatory adjustment :		
a. Interest receivable (-)/previous accrued interest received (+)	2,416,883,666	(517,859,869)
b. Short loan loss provision in accounts (-)/reversal (+)	-	-
c. Short provision for possible losses on investment (-)/reversal (+)	-	-
d. Short loan loss provision on Non-Banking Assets (-)/reversal (+)	(311,381,399)	(409,481,739)
e. Deferred tax assets recognised (-)/ reversal (+)	(90,179,484)	(74,944,069)
f. Goodwill recognised (-)/ impairment of Goodwill (+)	-	-
g. Bargain purchase gain recognised (-)/reversal (+)	-	-
h. Actuarial loss recognised (-)/reversal (+)	(48,543,754)	(60,644,659)
i. Other (+/-) Interest Capialization	-	(26,742,508)
Net Profit for the quarter ended Ashad 2082 available for distribution	**2,573,403,864**	**(2,535,703,828)**
Opening Retained Earnings as on Shrawan 2081	**(5,367,424,480)**	**(2,202,909,143)**
Adjustment:	-	(628,811,504)
Distribution:	***19,768,452,519***	***19,581,636,193***
Bonus Shares Issued	-	-
Cash Dividend Paid	-	-
Total Distributable Profit or (Loss) as on quarter ended Ashad 2082	**(2,794,020,616)**	**(5,367,424,475)**
Annualised Distributable Profit/Loss per share	**-**	**-**

Ratios as per NRB

Particulars	Group				Bank			
	Current Year		Previous Year Corresponding		Current Year		Previous Year Corresponding	
	This Quarter	Upto this Quarter (YTD)	This Quarter	Upto this Quarter (YTD)	This Quarter	Upto this Quarter (YTD)	This Quarter	Upto this Quarter (YTD)
Tier 1 Capital to RWA		8.94%		7.70%		8.94%		7.70%
CET 1 Capital to RWA		8.94%		7.70%		8.94%		7.70%
Capital fund to RWA		12.98%		11.42%		12.98%		11.42%
Non-Performing Loan (NPL) to Total Loan		6.42%		5.96%		6.42%		5.96%
Net Non-Performing Loan to Total Loan		0.67%		1.34%		0.67%		1.34%
Total loan loss provision to Total NPL		138.43%		132.64%		138.43%		132.64%
Cost of Funds	4.74%		6.74%		4.74%		6.74%	
Credit to Deposit Ratio	75.73%		81.48%		75.73%		81.48%	
Base Rate (FTM)	6.44%		8.89%		6.44%		8.89%	
Interest Rate Spread	3.59%		3.95%		3.59%		3.95%	
Return on Equity	5.68%		0.01%		5.68%		0.01%	
Return on Assets	0.48%		0.00%		0.48%		0.00%	

Notes to the Interim Financial Statements

1. Above figures are prepared in accordance with Nepal Financial Reporting Standards, Nepal Accounting Standard as issued by the Institute of Chartered Accountants of Nepal; subject to change upon otherwise directions of Statutory Auditor and Regulatory Authorities.
2. Group represents the Bank and its wholly owned subsidiary Kumari Capital Ltd and KBL Securities Ltd; National Laghubitta Bittiya Sanstha Limited, First Microfinance Laghu Bitta Bittiya Sanstha Ltd, Mero Microfinance Laghubitta Bittiya Sanstha Ltd, Aviyan Laghubitta Bittiya Sanstha Ltd, Avasar Equity Diversified Fund and Avasar Equity Ltd. as Associates.
3. The NFRS reporting has been complied by adopting appropriate accounting judgment, those having potential material impact on the financial statements and had made appropriate judgment in making accounting estimates.
4. The Bank has adopted the Expected Credit Loss (ECL) model under NFRS 9. Consequently, recognition of interest income is based on the Guidance Note on Interest Income Recognition (2025) issued by the NRB.
5. The Bank recognizes impairment allowances on credit exposures pursuant to the regulatory backstop in NFRS 9 – Expected Credit Loss Related Guideline, 2024 is calculated as the higher of: (i) Total Expected Credit Loss (ECL) under NFRS 9; and (ii) Existing regulatory provisions under NRB Directives No. 2
6. Loan Administration Fees that are integral part of effective interest rate (EIR) is treated immaterial and not considered while calculating the Effective Interest Rate.
7. Personnel Expenses include employment bonus provision calculated at 10 percent of profit and amortization of prepayment amount of subsidized loans provided to the employees of the bank.
8. Previous figures have been regrouped and restated wherever necessary.
9. The detail Interim report has been published in the Bank's website www.kumaribank.com.

Publication of Information as Required by Securities Registration and Issuance Regulation 2073 (Related to Sub Rule (1) of Rule 26)

1. Major Financial Indicators (annualized fig.)

1. Earnings per Share = 8.07
2. Market Price per Share = Rs.219.77
3. Price Earnings Ratio (P/E ratio) = 27.23
4. Net Worth per Share = Rs.142.19
5. Liquidity Ratio = 36.59

2. Management Analysis:

- The bank is focusing on cost management, diversified investments, technological up gradation, optimum utilization of resources, recoveries of it's risk assets and automation of work.

3. Details Regarding Legal Actions

a. Case filed by or to Kumari Bank Ltd. during the quarter –
   - Apart from the case related to credit recovery in the normal course of business operation, no other cases were file by or to Kumari Bank Ltd. during the quarter.

b. Case filed by or against the promoter or director of Kumari Bank Ltd. regarding disobedience of prevailing law or commission of criminal offence –
   - No such information has been received

c. Case filed against any Promoter or Director of Kumari Bank Ltd. regarding commission of financial crime –
   - No such information has been received

4. Analysis of Share Transaction of Organized Institutions

a. Management's view on share transactions of Kumari Bank Ltd. at Securities Market:
   Since the price of the stock is determined by open market operation, the management's view is neutral in this regard.

b. Maximum, minimum and closing price of shares including total transactions and transacted days during the quarter
   Max. Price = Rs. 231 Min. Price = Rs.192.1 Closing Price = Rs. 219.77
   Total no. of Transactions = 52,524 Transacted Day = 63 days

5. Problems and Challenges

Internal

a. Attaining reasonable level of cost of operation.
b. Improving operational efficiencies to minimize inherent risks & management of Non-Performing Assets.

External

a. Improving overhead efficiency.
b. Challenge to pass on cost growth to revenue stream.

Strategy to Overcome Problems & Challenges

a. Continually renovating and diversifying the product & services to meet the changing need of the customers with digitization approach.
b. Utilizing the assets in as much as high yield, low risk investment sector and stringent recovery process for managing Non-Performing Assets.

6. Corporate Governance

In order to increase the standard of corporate governance, following actions has been initiated by the bank:

a. Board including the Audit Committee, Risk Management Committee and other committees continuously review the activities of various areas of the Bank and provide direction and support where necessary.
b. Management Committee (Asset Liability Committee, Risk Management Committee) chaired by the CEO and comprising of heads of key units of the bank, meets on a regular basis to assess the performance of the Bank and take key decisions.

7. Particulars relating to Annexure – 16 of Securities Registration and Issuance Regulation, 2073

- No such reportable events occurred during the period.

8. Declaration by CEO

I hereby declare that the data and information provided in this report is true, complete, and factual to the extent of my knowledge.

Major Indicators

Particulars	Indicators	FY 2078/79	FY 2079/80	FY 2079/80	FY 2080/81	FY 2081/82
1. Net Profit/Gross Income	%	13.64%	12.74%	1.42%	0.01%	5.00%
2. Earnings Per Share						
Basic EPS	Rs.	14.20	17.54	1.97	0.02	6.94
Diluted EPS	Rs.	14.20	17.54	1.97	0.02	6.94
3. Market Value per Share	Rs.	371.00	191.00	165.00	153.70	219.77
4. Price Earning Ratio	Times	26.13	10.89	83.55	8746.31	31.67
5. Dividend (including bonus) on share capital	Rs	6.00%	0.00%	0.00%	0.00%	0.00%
6. Cash Dividend on share Capital	Rs.	2.67%	12.50%	0.00%	0.00%	0.00%
7. Interest Income/Loans & Advances	%	8.93%	11.59%	12.15%	13.83%	11.79%
8. Employee Expenses/Total Operating Expense	%	52.84%	54.45%	52.72%	64.35%	60.59%
9. Interest Expense on Total Deposit and Borrowings	%	4.79%	6.63%	7.03%	7.96%	5.50%
10. Exchange Fluctuation Gain/Total Income	%	6.68%	5.33%	2.84%	2.78%	2.90%
11. Staff Bonus/ Total Employee Expenses	%	20.03%	20.65%	5.30%	2.96%	15.60%
12. Net Profit/Loans & Advances	%	1.38%	1.63%	0.18%	0.00%	0.66%
13. Net Profit/ Total Assets	%	1.04%	1.22%	0.14%	0.00%	0.41%
14. Total Credit/Deposit	%	90.99%	86.58%	86.03%	79.59%	72.30%
15. Total Operating Expenses/Total Assets	%	1.68%	1.67%	1.05%	1.42%	1.39%
16. Adequacy of Capital Fund on Risk Weightage Assets						
a. Core Capital	%	10.64%	9.83%	8.13%	7.70%	8.51%
b. Supplementary Capital	%	3.07%	2.80%	3.98%	3.72%	3.80%
c. Total Capital Fund	%	13.71%	12.63%	12.11%	11.42%	12.31%
17. Liquidity (CRR)	%	3.72%	3.78%	4.10%	4.17%	5.06%
18. Non Performing Loans/Total Loans	%	0.96%	1.11%	4.96%	5.96%	6.95%
19. Base Rate	%	7.90%	10.08%	10.90%	8.89%	6.44%
20. Weighted Average Interest Rate Spread *	Rs.	3.13%	4.07%	4.98%	3.95%	3.59%
21. Book Net worth (in lakh)	Rs.	188,922	210,021	353,148	348,032	371,168
22. Total Shares	Number	138,784,748	147,111,833	262,258,613	262,258,613	262,258,613
23. Total Employees	Number	1,881	1,845	3,296	3,280	3,107
Others						
Per employee Business in lakh	Rs.	760.35	858.59	851.61	851.15	883.41
Employee Expense/ Total Income	%	11.67%	9.55%	5.76%	8.96%	10.25%

KBL Subsidiaries

K.B.L. Securities Ltd.



H. R. Ramali & Associates

CHARTERED ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF K.B.L. SECURITIES LIMITED

Opinion

We have audited the accompanying financial statements of K.B.L. Securities Limited **("the Company")**, which comprises the Statement of Financial Position as at **32nd Ashad, 2082**, the Statement of Profit and Loss and the Statement of Cash Flows for the year then ended on that date **32nd Ashad, 2082**, and a summary of the significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid the financial statements present fairly, in all material respects, the financial position of the organization, as at **32nd Ashad, 2082**, and its financial performance, cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information, in accordance with Nepal Financial Reporting Standards and other prevailing laws.

Basis for Opinion

We conducted our audit of the financial statements in accordance with Nepal Standards on Auditing (NSAs). Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the organization in accordance with the Handbook of The Code of Ethics for Professional Accountants issued by The Institute of Chartered Accountants of Nepal (ICAN), and we have fulfilled our other ethical responsibilities in accordance with the ICAN's Handbook of The Code of Ethics for Professional Accountants. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

Responsibility of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial Statements in accordance with Nepal Financial Reporting Standards (NFRS), and for such internal control as management determines is necessary to enable the preparation of the financial statements that are free from material misstatement, whether due to fraud and error.

In preparing the financial statements, management is responsible for assessing the organization's ability to continue as a going concern, disclosing, as applicable, matters

H. R. Ramali & Associates Kathmandu Chartered Accountants

related to going concern and using the going concern basis of accounting unless management either intends to liquidate the organization or to cease operations, or has no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with NSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with NSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the organization's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the organization's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the organization to cease to continue as a going concern.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to



communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

On the basis of our examination, we would like to further report that:

i. We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose for audit.
ii. The accounts and records of the company have been maintained as required by law except otherwise mentioned in our Management Report.
iii. Financial statements are in agreement with the books of account maintained by the company.
iv. In our opinion and to the best of our information and according to the explanations given to us, the Board of Directors, the representative or any employee of the company has not acted contrary to the provision of law relating to accounts nor caused direct loss or damage to the company deliberately or acted in a manner that would jeopardize the interest and security of the company.
v. The operations of the company were within its jurisdiction.
vi. We have not come across any fraudulence in the accounts, so far as it appeared from our examination of the book of accounts.



Hemanta Raj Ramali, FCA
H. R. Ramali & Associates,
Chartered Accountants

Place: Kathmandu, Nepal
Date: 28th Shrawan, 2082

K.B.L. Securities Ltd.
Statement of Financial Position
As at Ashad 32, 2082 (July 16, 2025)

Amount in NPR

Particulars	Note	Ashadh 32, 2082	Ashadh 31, 2081
Assets			
Cash and Cash Equivalents	4.1	141,846,926	50,351,868
Current Tax Assets	4.2	2,379,987	1,695,358
Investment Securities	4.3	63,036,017	54,258,716
Investment Property	4.4	-	-
Property, Plant and Equipment	4.5	25,185,523	21,671,898
Intangible Assets	4.6	583,384	755,173
Deferred Tax Assets	4.7	-	-
Other Assets	4.8	106,027,737	97,388,439
Total Assets		**339,059,574**	**226,121,452**
Liabilities			
Current Tax Liabilities	4.2	-	-
Provisions	4.9	7,407,797	955,821
Deferred Tax Liabilities	4.7	365,579	289,808
Short Term Borrowings	4.10	65,801,000	-
Other Liabilities	4.11	17,637,340	18,051,335
Total Liabilities		**91,211,716**	**19,296,964**
Equity			
Share Capital	4.12	200,000,000	200,000,000
Retained Earnings	4.13	40,358,645	5,005,715
Reserves	4.14	7,489,214	1,818,773
Total Equity		**247,847,859**	**206,824,488**
Total Liabilities and Equity		**339,059,574**	**226,121,452**

For & on behalf of Board of Directors,

As per our report of even date

Binaya Regmi
Chief Executive Officer

Sipa Regmi
Chairperson

Pawan Budhathoki
Director

Nikit Nepal
Chief Operating Officer

Manish Dhakal
Independent Director

Hari Prasad Niraula
Director

Date: August 13, 2025
Place: Kathmandu

Hemanta Raj Ramali, FCA
H. R. Ramali & Associates
Chartered Accountants

K.B.L. Securities Ltd.
Statement of Profit or Loss
For the Year ended Ashad 32, 2082

Amount in NPR

Particulars	Note	FY 2081/82	FY 2080/81
Revenue			
Revenue from Operation	4.15	86,873,765	16,074,381
Realized Gain/(Loss) on Sale of Securities	4.16	28,989,506	3,569,980
Other Income	4.17	2,804,492	7,036,856
Total Revenue		**118,667,763**	**26,681,217**
Expenses			
Direct Expenses	4.18	21,051,991	5,634,504
Employee Benefit Expenses	4.19	16,129,596	5,608,884
Operating Expenses	4.20	4,596,520	3,519,099
Finance Costs	4.21	9,778,254	2,369,466
Depreciation and Amortization	4.22	3,856,753	2,275,847
Total Expenses		**55,413,114**	**19,407,801**
Profit before Tax from Continuing Operations		**63,254,649**	**7,273,416**
Income Tax			
Current Tax	4.23	19,628,807	2,267,304
Deferred Tax (Income)/Expenses	4.7	(666,219)	(191,666)
Net Profit for the Year		**44,292,061**	**5,197,778**
Basic Earning Per Share		22.15	2.60
Diluted Earning Per Share		22.15	2.60

For & on behalf of Board of Directors,

As per our report of even date

Binaya Regmi
Chief Executive Officer

Sipa Regmi
Chairperson

Pawan Budhathoki
Director

Nikit Nepal
Chief Operating Officer

Manish Dhakal
Independent Director

Hari Prasad Niraula
Director

Date: August 13, 2025
Place: Kathmandu

Hemanta Raj Ramali, FCA
H. R. Ramali & Associates
Chartered Accountants

K.B.L. Securities Ltd.
Statement of Other Comprehensive Income
For the Year ended Ashad 32, 2082

Amount in NPR

Particulars	FY 2081/82	FY 2080/81
Net Profit for the Year	**44,292,061**	**5,197,778**
Unrealized Gains/(losses) from investments in equity instruments measured at fair value	2,473,299	1,604,914
Gains/(losses) on Revaluation	-	-
Actuarial gain/loss on defined benefit plans	-	-
Deferred Income tax relating to above items	-	-
Total Other Comprehensive Income/(Loss)	**2,473,299**	**1,604,914**
Income Tax Expense/(Income) relating to components of other comprehensive income	741,990	481,474
Total Comprehensive Income for the Year, Net of Tax	**46,023,371**	**6,321,217**

For & on behalf of Board of Directors,

As per our report of even date

Binaya Regmi
Chief Executive Officer

Sipa Regmi
Chairperson

Pawan Budhathoki
Director

Nikit Nepal
Chief Operating Officer

Manish Dhakal
Independent Director

Hari Prasad Niraula
Director

Date: August 13, 2025
Place: Kathmandu

Hemanta Raj Ramali, FCA
H. R. Ramali & Associates
Chartered Accountants

K.B.L. Securities Ltd.
Statement of Cash Flows
For the Year ended Ashad 32, 2082

Amount in NPR

Particulars	FY 2081/82	FY 2080/81
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit/(Loss) after Tax	44,292,061	5,197,778
Add: Depreciation & Amortization	3,856,753	2,275,847
Add/(Less) : Deferred Tax Expense /(Income)	(666,219)	(191,666)
Less: CSR Expenses	-	-
Operating Cash Flows Before Changes in Operating Assets and Liabilities	**47,482,596**	**7,281,959**
(Increase)/Decrease In Operating Assets		
(Increase)/ Decrease in Other Assets	(8,639,298)	(97,375,089)
(Increase)/ Decrease in Current Tax Assets	(684,629)	(1,336,599)
(Increase)/ Decrease in Investment Securities	(8,777,301)	(54,258,716)
Unrealized Gain on Investment Securities	2,473,299	1,604,914
Increase/(Decrease) In Operating Liabilities		
Increase / (Decrease) in Other Provisions	6,451,976	955,821
Increase / (Decrease) in Other Liabilities	(413,995)	17,849,198
Increase / (Decrease) in Short Term Borrowings	65,801,000	-
Increase / (Decrease) in Current Tax Liabilities	-	-
Net Cash Flows from Operating Activities	**103,693,648**	**(125,278,512)**
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of PPE	(7,198,590)	(23,846,323)
Purchase of Intangible Assets	-	(856,595)
Sale of PPE	-	-
Debenture Purchased	-	-
Net Cash Flows from Investing Activities	**(7,198,590)**	**(24,702,918)**
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from Issue of Shares	-	-
Dividend Paid	(5,000,000)	-
Net Cash Flows from Financing Activities	**(5,000,000)**	**-**
Net Increase (Decrease) In Cash & Cash Equivalents	**91,495,058**	**(149,981,430)**
Opening Cash and Cash Equivalents	50,351,868	200,333,298
Effect of Exchange Rate Fluctuations on Cash and Cash Equivalents Held	-	-
Closing Cash and Cash Equivalents	**141,846,926**	**50,351,868**

For & on behalf of Board of Directors,

As per our report of even date

Binaya Regmi
Chief Executive Officer

Sipa Regmi
Chairperson

Pawan Budhathoki
Director

Nikit Nepal
Chief Operating Officer

Manish Dhakal
Independent Director

Hari Prasad Niraula
Director

Date: August 13, 2025
Place: Kathmandu

Hemanta Raj Ramali, FCA
H. R. Ramali & Associates
Chartered Accountants

K.B.L. Securities Ltd.
Statement of Changes in Equity
For the Year ended Ashad 32, 2082

Amount in NPR

Particulars	Share Capital	Statutory General Reserve	Available for Sale	Fair Value Reserve	CSR Reserve	Retained Earnings	Total
Balance as at Ashad 31, 2080	**20,000,000**	**-**	**-**	**-**	**-**	**503,271**	**20,503,271**
Profit for the Year	-	-	-	-	-	6,321,217	6,321,217
Change in Fair Value	-	-	-	1,123,440	-	(1,123,440)	-
Apportion to Statutory General Reserve	-	632,122	-	-	-	(632,122)	-
Corporate Social Responsibility Reserve	-	-	-	-	63,212	(63,212)	-
Increment in Share Capital	180,000,000	-	-	-	-	-	180,000,000
Dividend Paid During the Year	-	-	-	-	-	-	-
Balance as at Ashad 31, 2081	**200,000,000**	**632,122**	**-**	**1,123,440**	**63,212**	**5,005,715**	**206,824,488**
Profit for the Year	-	-	-	-	-	46,023,371	46,023,371
Change in Fair Value	-	-	-	607,870	-	(607,870)	-
Apportion to Statutory General Reserve	-	4,602,337	-	-	-	(4,602,337)	-
Corporate Social Responsibility Reserve	-	-	-	-	460,234	(460,234)	-
Distribution of Dividend (including Tax)	-	-	-	-	-	(5,000,000)	(5,000,000)
Change in Corporate Social Responsibility Reserve	-	-	-	-	-	-	-
Balance as at Ashad 32, 2082	**200,000,000**	**5,234,459**	**-**	**1,731,309**	**523,446**	**40,358,645**	**247,847,859**

For & on behalf of Board of Directors,

As per our report of even date

Binaya Regmi
Chief Executive Officer

Sipa Regmi
Chairperson

Pawan Budhathoki
Director

Nikit Nepal
Chief Operating Officer

Manish Dhakal
Independent Director

Hari Prasad Niraula
Director

Date: August 13, 2025
Place: Kathmandu

Hemanta Raj Ramali, FCA
H. R. Ramali & Associates
Chartered Accountants

Notes to Financial Statements

for the year ended 32 Ashad, 2082

1. Reporting Entity

K. B. L. Securities Limited ("the Company") is a public limited company, established under the Companies Act, 2063 (Registration No. 221079/076/077 dated 2076/04/26). After obtaining license from Securities Board of Nepal (SEBON) as security broker, it has obtained membership of Nepal Stock Exchange Limited (NEPSE) on 2080/08/05 [Stock Broker Membership No. 94].

The company's head office is located in Naxal-01, Kathmandu, Nepal. Its core operational objective is to offer stock brokerage services and engage in securities trading.

2. Basis of Preparation

The financial statements of the Company have been prepared on accrual basis of accounting, except the cash flow information which is prepared on cash basis under direct method, in accordance with Nepal Financial Reporting Standards (NFRSs) as published by the Accounting Standards Board (ASB) Nepal and pronounced by The Institute of Chartered Accountants of Nepal (ICAN) and in the manner required by Company Act, 2063.

The financial statements comprise the Statement of Financial Position, Statement of Profit or Loss, Statement of Other Comprehensive Income, the Statement of Changes in Equity, the Statement of Cash Flows and the Notes to the Accounts.

2.1 Statement of Compliance

The Financial statements have been prepared in accordance with Nepal Financial Reporting Standards (NFRSs) and as published by the Accounting Standards Board (ASB) Nepal and pronounced by The Institute of Chartered Accountants of Nepal (ICAN) and in compliance with the requirements of the Securities Act, 2063 and its regulation and in conformity with the Company Act 2063 and other relevant laws.

2.2 Reporting period and approval of financial statements

The Company follows Nepalese financial year based on Nepalese calendar. The corresponding dates for the English calendar are as follows:

Relevant Financial Statement	Nepalese Calendar	English Calendar
Current SFP* Date	32 Ashad 2082	16 July 2025
Current Reporting Period	01 Shrawan 2081-32 Ashad 2082	16 July 2024 -16 July 2025
Comparative SFP* Date	31 Ashad 2081	15 July 2024
Comparative Reporting period	01 Shrawan 2080 -31 Ashad 2081	17 July 2023 -15 July 2024

**SFP- Statement of Financial Position*

2.3 Functional and Presentation Currency

The financial statements are presented in Nepalese Rupees (NPR) which is the Company's functional currency. All financial information presented in NPR has been rounded to the nearest rupee except where indicated otherwise.

2.4 Use of Estimates, Assumptions and Judgements

The Company, under NFRSs, is required to apply accounting policies to most appropriately suit its circumstances and operating environment. Further, it is required to make judgments in respect of items where the choice of specific policy, accounting estimate or assumption to be followed could materially affect the financial statements.

The accounting policies have been included in the relevant notes for each item of the financial statements and the effect and nature of the changes, if any, have been disclosed.

The NFRSs require the Company to make estimates and assumptions that will affect the assets, liabilities, disclosure of contingent assets and liabilities, and profit or loss as reported in the financial statements. The Company applies estimates in preparing and presenting the financial statements and such estimates and underlying assumptions are

reviewed periodically. The revision to accounting estimates are recognized in the period in which the estimates are revised, and are applied prospectively.

Disclosures of the accounting estimates have been included in the relevant sections of the notes wherever the estimates have been applied along with the nature and effect of changes of accounting estimates, if any.

2.4.1 Going Concern

The financial statements are prepared on a going concern basis, as the Board of the Company is satisfied that it has the resources to continue in business for the foreseeable future. In making this assessment, the Board of Directors have considered a wide range of information relating to present and future conditions, including future projections of profitability, cash flows and capital resources.

2.5 Changes in Accounting Policies

The Company is required to adopt and apply the accounting policies in conformity with Nepal Financial Reporting Standards (NFRS). The accounting policies are applied consistently with changes, if any and are disclosed with the financial impact to the extent possible. When policies are not guided by the reporting framework, NFRS, other reporting standards and generally accounting principles are followed.

2.6 New Standards in issue but not yet effective

A number of new standards and amendments to the existing standards and interpretations have been issued by IASB- after the pronouncements of NFRS with varying effective dates. Those become applicable when Accounting Standards Board (ASB), Nepal incorporates them within NFRS. The Company intends to adopt these standards, if applicable, when they become effective.

2.7 New standards and interpretations not adopted

The updates on IFRS subsequent to 2018 become applicable when the ASB incorporates them within the NFRS. The Company has not adopted those standards.

2.8 Discounting

When the realization of asset and settlement of obligation is for more than one year, the Company considers discounting of such assets and liabilities where the impact is material. Various internal and external factors have been considered for determining the discount rate to be applied to the cash flows of the entity.

2.9 Limitation of NFRS Implementation

Wherever the information is not adequately available and/or it is impracticable to develop the information, such exception to NFRS implementation has been noted and disclosed in respective sections.

3. Significant Accounting Policies

3.1 Basis of Measurement

The financial statements have been prepared on historical cost basis except for the following material items in the statement of financial position:

- derivative financial instruments are measured at fair value
- financial instruments through fair value through profit or loss are measured at fair value
- financial instruments through fair value through Other Comprehensive Income are measured at fair value.
- investment property is measured at fair value

3.2 Cash and Cash equivalent

Cash and cash equivalents include cash in hand, balances with B/FIs, money at call & short notice and highly liquid financial assets with original maturities of three months or less from the acquisition dates that are subject to an insignificant risk of changes in their fair value and are used by the Company in the management of its short-term commitments.

3.3 Financial Assets and Financial Liabilities

A. Recognition

The Company initially recognizes a financial asset or a financial liability in its Statement of Financial Position when, and only when, it becomes party to the contractual provisions of the instrument. Investments in equity instruments, bonds, debenture, Government securities, reverse repos, outright purchase are recognized on trade date at which the Company commits to purchase/ acquire the financial assets. Generally, purchase and sale of financial assets are recognized on trade date at which the Company commits to purchase or sell the asset.

B. Classification

I. Financial Assets

The financial assets are subsequently measured at amortized cost or fair value on the basis of its business model for managing the financial assets and the contractual cash flow characteristics of the financial assets.
The financial assets are classified under three categories as required under NFRS 9, as follows;

- **Financial assets measured at amortized cost**
  Financial assets that are held within a business model whose objective is to hold financial assets in order to collect contractual cash flows that are solely payments of principal and interest, are subsequently measured at amortised cost using the effective interest rate ('EIR') method less impairment, if any. The amortisation of EIR and loss arising from impairment, if any is recognised in Statement of Profit or Loss.
- **Financial asset measured at fair value through Profit or loss (FVTPL)**
  Financial assets are classified as fair value through profit or loss (FVTPL) if they are held for trading or are designated at fair value through profit or loss. Upon initial recognition, transaction costs are directly attributable to the acquisition are recognized in profit or loss as incurred. Such assets are subsequently measured at fair value and changes in fair value are recognized in Statement of Profit or Loss.
- **Financial assets at fair value through other comprehensive income (FVTOCI)**
  Financial assets that are held within a business model whose objective is achieved by both, selling financial assets and collecting contractual cash flows that are solely payments of principal and interest, are subsequently measured at fair value through other comprehensive income. Fair value movements are recognized in Statement of Other Comprehensive Income (SOCI).

II. Financial Liabilities

The Company classifies its financial liabilities as follows;

- **Financial Liabilities at Fair Value through Profit or Loss**
  Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Upon initial recognition, transaction cost directly attributable to the acquisition are recognized in Statement of Profit or Loss as incurred. Subsequent changes in fair value is recognized at profit or loss.
- **Financial Liabilities measured at amortized cost**
  All financial liabilities other than measured at fair value though profit or loss are classified as subsequently measured at amortized cost using effective interest rate method.

C. Measurement

I. Initial Measurement

A financial asset or financial liability is measured initially at fair value plus or minus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue. Transaction cost in relation to financial assets and liabilities at fair value through profit or loss are recognized in Statement of Profit or Loss.

ii. Subsequent Measurement

A financial asset or financial liability is subsequently measured either at fair value or at amortized cost based on the classification of the financial asset or liability. Financial asset or liability classified as measured at amortized cost is subsequently measured at amortized cost using effective interest rate method.
The amortized cost of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured at initial recognition minus principal repayments, plus or minus the cumulative amortization using the effective interest method of any difference between that initial amount and the maturity amount, and minus any reduction for impairment or un-collectability.

Financial assets classified at fair value are subsequently measured at fair value. The subsequent changes in fair value of financial assets at fair value through profit or loss are recognized in Statement of Profit or Loss whereas of financial assets at fair value through other comprehensive income are recognized in other comprehensive income.

3.3.1 De-recognition

De-recognition of Financial Assets

The Company derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred or in which it neither transfers nor retains substantially all the risks and rewards of ownership and it does not retain control of the financial asset. Any interest in such transferred financial assets that qualify for de-recognition that is created or retained by the Company is recognized as a separate asset or liability. On de-recognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognized in other comprehensive income is recognized in profit or loss.

In transactions in which the Company neither retains nor transfers substantially all the risks and rewards of ownership of a financial asset and it retains control over the asset, it continues to recognize the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

De-recognition of Financial Liabilities

A financial liability is derecognized when the obligation under the liability is discharged or canceled or expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognized in Statement of Profit or Loss.

3.3.2 Determination of Fair Value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their best economic interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities

Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

At each reporting date, the Management analyzes the movements in the values of assets and liabilities which are required to be re-measured or re-assessed as per the Company's accounting policies. For this analysis, the Management verifies the major inputs applied in the latest valuation by agreeing the information in the valuation computation to contracts and other relevant documents.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

3.3.3 Impairment

At each reporting date the Company assesses whether there is any indication that an asset may have been impaired. If such indication exists, the recoverable amount is determined. A financial asset or a group of financial assets is impaired and impairment losses are incurred if, and only if, there is objective evidence of impairment as a result of one or more events occurring after the initial recognition of the asset (a loss event), and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

The Company considers the following factors in assessing objective evidence of impairment:

- Whether the counter party is in default of principal or interest payments.
- When a counter party files for bankruptcy and this would avoid or delay discharge of its obligation.
- Where the Company initiates legal recourse of recovery in respect of a credit obligation of the counterpart.
- Where the Company consents to a restructuring of the obligation, resulting in a diminished financial obligation, demonstrated by a material forgiveness of debt or postponement of scheduled payments.
- Where there is observable data indicating that there is a measurable decrease in the estimated future cash flows of a group of financial assets, although the decrease cannot yet be identified with specific individual financial assets.

3.4 Trading Assets

Trading assets and liabilities are those assets and liabilities that the Company acquires or incurs principally for the purpose of selling or repurchasing in the near term, or holds as part of a portfolio that is managed together for short-term profit or position taking.

Trading assets and liabilities are initially recognized at fair value and subsequently measured at fair value in the statement of financial position, with transaction costs recognized in profit or loss. All changes in fair value are recognized as part of net trading income in profit or loss.

The Company does not have any trading asset as on reporting date.

3.5 Derivatives Assets and Derivative Liabilities

Derivative instruments include transactions like interest rate swap, currency swap, forward foreign exchange contract etc. held for trading as well as risk management purposes. Derivative financial instruments are initially measured at fair value on the contract date and are subsequently re-measured to fair value at each reporting date.

The Company does not have any derivative instrument during the reporting period.

3.6 Loan to staffs

The Company does not have any staff loan during the reporting period.

3.7 Property, Plant and Equipment

a.Recognition and Measurement

The cost of an item of property and equipment shall be recognized as an asset, initially recognized at cost, if, and only if:

- it is probable that future economic benefits associated with the item will flow to the entity; and
- the cost of the item can be measured reliably.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the following:

- the cost of materials and direct labor;
- any other costs directly attributable to bringing the assets to a working condition for their intended use;
- when the Company has an obligation to remove the asset or restore the site, an estimate of the costs of dismantling and removing the items and restoring the site on which they are located; and
- Capitalized borrowing costs.

The Company adopts cost model for entire class of property and equipment. Neither class of the property and equipment are measured at revaluation model nor is their fair value measured at the reporting date. The items of property and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses. Subsequent expenditure is capitalized if it is probable that the future economic benefits from the expenditure will flow to the company. Ongoing repairs and maintenance to keep the assets in working condition are expensed as incurred. Any gain or loss on disposal of an item of property and equipment (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognized within other income in profit or loss. Property, plant and equipment costing up to Rs. 5,000 are depreciated fully in the year of acquisition.

b. Capital Work in Progress

Fixed assets under construction and cost of assets not ready for use are shown as capital work in progress.

c. Depreciation

Depreciation is calculated using Straight Line Method based on useful life of assets as per management judgement as follows:

Group	Useful life (years)
Computer & Office Equipment	4
Furniture & Fixtures	4
Office Machinery (Other Assets)	6.67
Leasehold Assets	Lease Period

d. De-recognition

The carrying amount of Property and Equipment shall be derecognized on disposal or when no future economic benefits are expected from its use or disposal. The gain or loss arising from the de-recognition of an item of property and equipment shall be included in profit or loss when the item is derecognized (unless on a sale & lease back). Depreciation method, useful lives and residual value are reviewed at each reporting date and adjusted, if any.

3.8 Intangible Assets

Acquired Intangible Assets

Intangible assets are initially measured at fair value, which reflects market expectations of the probability that the future economic benefits embodied in the asset will flow to the Company, and are amortized on the basis of their expected useful lives.

Computer software

Acquired computer software licenses are capitalized on the basis of the costs incurred to acquire and bring to use the specific software. Costs associated with the development of software are capitalized where it is probable that it will generate future economic benefits in excess of its cost. Computer software costs are amortized on the basis of expected useful life. Costs associated with maintaining software are recognized as an expense as incurred.

At each reporting date, these assets are assessed for indicators of impairment. In the event that an asset's carrying amount is determined to be greater than its recoverable amount, the asset is written down immediately.

Software is amortized on a straight-line basis in profit or loss over its estimated useful life, from the date that it is available for use. The estimated useful life of software for the current and comparative periods is five years.

Amortization methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

3.9 Investment Property/Non-Current Assets Held for Sale

Investment Property

Investment properties include land or land and buildings other than those classified as property and equipment and non-current assets held for sale. Generally, it includes land, land and building acquired by the Company but not sold as on the reporting date.

Non-Current Assets Held for Sale

Non-current assets (such as property) and disposal groups (including both the assets and liabilities of the disposal groups) are classified as held for sale and measured at the lower of their carrying amount and fair value less cost to sell when: (i) their carrying amounts will be recovered principally through sale; (ii) they are available-for-sale in their present condition; and (iii) their sale is highly probable.

Immediately before the initial classification as held for sale, the carrying amounts of the assets (or assets and liabilities in a disposal group) are measured in accordance with the applicable accounting policies described above.

The Company does not have any Non-Current Assets Held for Sale as on reporting date.

3.10 Income Tax

Tax expense comprises current and deferred tax. Current tax and deferred tax are recognized in profit or loss except to the extent that they relate to items recognized directly in equity or in other comprehensive income.

a. Current Tax

Current tax is the expected tax payable or recoverable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years. Current tax payable also includes any tax liability arising from the declaration of dividends.

b. Deferred Tax

Deferred tax is recognized in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred income tax is determined using tax rate applicable to the Company as at the reporting date which is expected to apply when the related deferred income tax asset is realized or the deferred income tax liability is settled.

Deferred tax assets are recognized where it is probable that future taxable profit will be available against which the temporary differences can be utilized.

3.11 Provisions

The Company recognizes a provision if, as a result of past event, it has a present constructive or legal obligation that can be reliably measured and it is probable that an outflow of economic benefit will be required to settle the obligation. A disclosure for contingent liability is made when there is a possible obligation or a present obligation that may but probably will not require an outflow of resources. When there is a possible obligation or a present obligation in respect of which the likelihood of outflow of resources is remote, no provision or disclosure is made.

A provision for onerous contract is recognized when the expected benefits to be derived by the Company from a contract are lower than the unavoidable cost of meeting its obligation under the contract.

Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of resources would be required to settle the obligation, the provision is reversed. Contingent assets are not recognized in the financial statements. However, contingent assets are assessed continually and if it is virtually certain that an inflow of economic benefits will arise, the asset and related income are recognized in the period in which the change occurs.

3.12 Revenue Recognition

Revenue from rendering of service is recognized at a point in time when the performance obligation is satisfied and it is based on the amount of the transaction price that is allocated to the performance obligation. The transaction price is the amount of consideration to which the company expects to be entitled in exchange for transferring the promised services to the customer. The consideration expected by the company may include fixed and/or variable amounts. The

management of the company determines the amount of revenue based on the applicable service agreement. Fees and commission arising from transactions are recognized on basis of completion of underlying transaction.

a. D.P. Income & Commission Income

Depository Participant (DP) Income and Commission Incomes are based on prevailing laws and regulations issued by Securities Board of Nepal. The incomes are recognized when it is probable that consideration associated with the transaction will flow to the company and the amount of revenue can be measured reliably.

b. Interest Income

Interest income is recognized in profit or loss using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash receipts through the expected life of the financial asset to the carrying amount of the financial asset. When calculating the effective interest rate, the Company estimates future cash flows considering all contractual terms of the financial instrument, but not future credit losses. The calculation of the effective interest rate includes transaction costs and fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or financial liability.

c. Other Income

Other incomes are recognized when it is probable that consideration associated with the transaction will flow to the company and the amount of revenue can be measured reliably.

d. Dividend Income

Dividend income is recognized when right to receive such dividend is established. Usually this is the ex-dividend date for equity securities. Dividends are presented in net trading income, net income from other financial instruments at fair value through profit or loss or other revenue based on the underlying classification of the equity investment.

e. Net Income from other financial instrument at fair value through Profit or Loss

Net income from other financial instruments at fair value through profit or loss relates to non-trading derivatives held for risk management purposes that do not form part of qualifying hedge relationships and financial assets and liabilities designated at fair value through profit or loss. It includes all realized and unrealized fair value changes, interest, dividends and foreign exchange differences.

3.13 Interest expense

Interest expense is recognized in profit or loss using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial asset or financial liability (or, where appropriate, a shorter period) to the carrying amount of the financial asset or financial liability. When calculating the effective interest rate, the Company estimates future cash flows considering all contractual terms of the financial instrument, but not future credit losses. The calculation of the effective interest rate includes transaction costs and fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or financial liability.

3.14 Fees & Commission Expenses

It includes payouts on account of fee and commission for trading in securities trading by the Company such as commission paid to Stock Exchange (NEPSE) and SEBON, Transaction Management Service Subscription Fees and other DP expenses. The fees and commission expense that are integral to the effective interest rate on the financial liability are included in the measurement of the effective interest rate and are not recognized as expense under this head.

3.15 Employees Benefits/Personnel Expenses

a. Short Term Employee Benefits

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is also recognized for the amount expected to be paid under bonus required by the Bonus Act, 2030 to pay the amount as a result of past service provided by the employee and the obligation can be estimated reliably under short term employee benefits.

Short-term employee benefits include all the following items (if payable within 12 months after the end of the reporting period):

- wages, salaries and social security contributions,
- paid annual leave and paid sick leave,
- profit-sharing and bonuses and
- non-monetary benefits

b. Post-Employment Benefits

Post-employment benefit plan includes the followings:

i. Defined Contribution Plan

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and has no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognized as personnel expenses in profit or loss in the periods during which related services are rendered.

Contributions to a defined contribution plan that are due more than 12 months after the end of the reporting period in which the employees render the service are discounted to their present value.

All employees of the Company are entitled to receive benefits under the provident fund, a defined contribution plan, in which both the employee and the Company contribute monthly at a pre-determined rate of 10% of the basic salary. The Company does not assume any future liability for provident fund benefits other than its annual contribution.

ii. Defined Benefit plan

In accordance with NFRS 19 – Employee Benefits, the Company is required to determine the present value of its defined benefit obligation for compensated absences and gratuity using the projected unit credit method, which involves actuarial valuation incorporating assumptions such as discount rates, future salary growth, employee turnover, and mortality.

Considering the complexity of such assumptions and the cost–benefit implications of engaging an actuary, the Company has not performed an actuarial valuation.

Instead, the calculation of defined benefit obligation is done as follows:

- Gratuity of 8.33% of basic salary is set aside as provision for gratuity.
- Leave benefits provision is created based on accumulated leave of each employee and basic salary of each staff as at the end of reporting period.

iii.Termination

Termination benefits are recognized as an expense when the Company is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date. If benefits are payable more than 12 months after the reporting date, then they are discounted to their present value.

3.16 Leases

NFRS 16 requires lessees to recognize a right to use asset and a liability for future payments arising from a lease contract.

Complying with the standard, the company has recognized the future payments arising from its rental lease contrasts as a 'right-of-use-asset' and an associated liability at the commencement date of the lease. The lease liability has been initially measured at the present value of the lease payments that are not paid at the commencement date. The discount rate used to determine present value is the rate of interest implicit in the lease.

- The right-of-use-asset includes the following amounts:
- the amount of the initial measurement of the lease liability.
- any payments made to the lessor at, or before, the commencement date of the lease, less any lease incentives received
- any initial direct costs incurred by the lessee
- an estimate of any costs to be incurred by the lessee in dismantling and removing the underlying asset, or restoring the site on which it is located.

The right-of-use-asset is subsequently depreciated. Depreciation is over the shorter of the useful life of the asset and the lease term, unless the title to the asset transfers at the end of the lease term, in which case depreciation is over the useful life.

The lease liability is effectively treated as a financial liability which is measured at amortized cost, using the incremental borrowing rate of the company as the effective interest rate. Based on the current economic environment and borrowing capacity of the company, 10% is used as incremental borrowing rate.

3.17 Foreign Currency Translation

The financial statements are presented in Nepalese Rupees (NPR).

Transactions in foreign currencies are initially recorded at the functional currency rate of exchange ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency rate of exchange at the statement of financial position date.

Foreign exchange gains and losses resulting from the settlement of such transactions, and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in the statement of profit or loss.

Non-monetary assets and liabilities are translated at historical exchange rates if held at historical cost, or year-end exchange rates if held at fair value, and the resulting foreign exchange gains and losses are recognized in either the statement of profit or loss or shareholders' equity depending on the treatment of the gain or loss on the asset or liability.

3.18 Share Capital and Reserves

The Company classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instruments. Equity is defined as residual interest in total assets of the company after deducting all its liabilities. Common shares are classified as equity of the company and distributions thereon are presented in statement of changes in equity.

Dividends on ordinary shares classified as equity are recognized in equity in the period in which they are declared. Incremental costs directly attributable to the issue of an equity instrument are deducted from the initial measurement of the equity instruments considering the tax benefits achieved thereon.

The reserves include retained earnings, statutory general reserve, fair value reserve, CSR reserve etc.

3.19 Earnings per share including diluted

The Company presents basic and diluted earnings per share (EPS) data for its ordinary shares. The basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.20 Segment Reporting

The Company has not identified any key segments of the business on the basis of nature of operations that assist the Company in decision process and to allocate the resources. Therefore, segment reporting is not done by the Company.

Cash and Cash Equivalents 4.1

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Cash In Hand	-	-
Cash at Banks	141,846,926	50,351,868
Total	**141,846,926**	**50,351,868**

Current Tax Assets/Liabilities 4.2

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Current tax assets		
Current year income tax assets	20,302,650	3,603,903
Tax assets of prior periods	1,695,358	358,759
Total Current Tax Assets	**21,998,009**	**3,962,662**
Current tax liabilities		
Current year income tax liabilities	19,618,022	2,267,304
Tax liabilities of prior periods	-	-
Total Current Tax Liabilities	**19,618,022**	**2,267,304**
Net Current Tax Asset/(Liabilities)	**2,379,987**	**1,695,358**

Investment Securities 4.3

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Investment securities measured at amortized cost	-	-
Investment securities measured at Fair Value Through Profit or Loss	-	-
Investment securities measured at Fair Value Through Other Comprehensive Income	63,036,017	54,258,716
Total	**63,036,017**	**54,258,716**

Investment Securities measured at Amortized Cost

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Debt securities	-	-
Government bonds	-	-
Nepal Rastra Bank bonds	-	-
Total	**-**	**-**

Investment securities measured at Fair Value Through Profit or Loss

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Equity Instruments	-	-
Quoted Equity Instruments	-	-
Unquoted Equity Instruments	-	-
Total	**-**	**-**

Investment securities measured at Fair Value Through Other Comprehensive Income

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Equity Instruments		-
Quoted Equity Instruments	63,036,017	54,258,716
Unquoted Equity Instruments	-	-
Total	**63,036,017**	**54,258,716.16**

Investment securities measured at Fair Value Through Other Comprehensive Income 4.3.1

Particulars	As at Ashad 32, 2082			As at Ashad 31, 2081		
	No. of shares	Cost	Fair Value	No. of shares	Cost	Fair Value
Investment in quoted equity						
NRN Infrastructure and Development Limited	2,000	4,513,394	4,558,380	-	-	-
Siddhartha Bank Limited	7,067	2,329,013	2,712,103	-	-	-
Kamana Sewa Bikas Bank Limited	836	398,579	418,577	-	-	-
Kalika power Company Ltd	354	-	191,816	-	-	-
Butwal Power Company Limited	13,165	11,334,478	12,602,723	-	-	-
Ngadi Group Power Ltd.	1,000	387,879	398,670	-	-	-
Sanima Mai Hydropower Ltd.	1,000	591,977	626,190	-	-	-
Singati Hydro Energy Limited	27,950	8,000,356	8,059,942	-	-	-
Sanima Flexi Fund	200,000	2,000,000	2,002,000	-	-	-
Prabhu Smart Fund	50,000	560,753	573,500	-	-	-
Laxmi Unnati Kosh	36,150	375,825	375,599	-	-	-
Prabhu Select Fund	20,000	224,984	225,800	-	-	-
Sunrise Bluechip Fund	615,218	6,106,057	6,152,180	-	-	-
Laxmi Value Fund 2	50,000	506,182	506,000	-	-	-
Sunrise Focused Equity Fund	108,800	1,067,798	1,092,352	-	-	-
RBB Mutual Fund 1	100,000	978,295	996,000	-	-	-
Hydroelectricity Investment and Development Company Limited Promoter	28,000	5,634,765	5,895,680	-	-	-
CEBD Holdings Limited	5,923	15,552,384	15,648,507	3,040	2,936,081	3,523,360
Soaltee Hotel Limited	-	-	-	9,877	4,386,297	4,365,634
Himalayan Reinsurance Limited	-	-	-	18,134	10,757,840	10,517,720
Nepal Reinsurance Company Limited	-	-	-	4,276	2,777,734	2,984,648
Laxmi Equity Fund	-	-	-	550,000	5,229,456	5,494,500
Grameen Bikas Laghubitta Bittiya Sanstha Ltd.	-	-	-	4,836	3,866,507	3,921,996
Citizen Life Insurance Company Limited	-	-	-	8,333	4,287,502	4,538,152
Mountain Energy Nepal Limited	-	-	-	11,735	6,960,908	7,005,795
Nepal Life Insurance Co. Ltd.	-	-	-	583	358,368	360,877
Standard Chartered Bank Ltd.	-	-	-	2,644	1,567,524	1,591,688
Deprosc Laghubitta Bittiya Sanstha Limited	-	-	-	8,000	6,422,592	6,728,000
Swabalamban Laghubitta Bittiya Sanstha Limited	-	-	-	2,000	1,769,634	1,880,000
Hydroelectricity Investment and Development Company Limited Promoter	-	-	-	10,000	1,022,248	1,030,000
Sanima Equity Fund	-	-	-	28,996	311,111	316,346
Total		**60,562,718**	**63,036,017**		**52,653,803**	**54,258,716**
Investment in unquoted equity		**-**	**-**		**-**	**-**
Grand Total		**60,562,718**	**63,036,017**		**52,653,803**	**54,258,716**

Investment Property 4.4

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Investment properties measured at fair value		
Opening Balance	-	-
Addition/disposal during the year	-	-
Net changes in fair value during the year	-	-
Adjustment/transfer	-	-
Net amount	-	-
Investment properties measured at cost		
Opening Balance	-	-
Addition/disposal during the year	-	-
Adjustment/transfer	-	-
Accumulated depreciation	-	-
Accumulated impairment loss	-	-
Net amount	-	-
Total	**-**	**-**

Property, Plant and Equipment 4.5

Particulars	Computer & Office Equipment	Furniture & Fixtures	Vehicles	Other Assets	Leasehold Assets	Right of Use Assets	Total
Cost							
As at Ashad End, 2081	**2,083,532**	**457,386**	**-**	**1,029,995**	**2,115,875**	**18,159,536**	**23,846,323**
Reclassification Of PPE	-	-	-	-	-	-	-
Addition during the Year	164,790	106,675	6,769,500	-	157,625	-	7,198,590
Acquisition	-	-	-	-	-	-	-
Capitalization	-	-	-	-	-	-	-
Disposal during the year	-	-	-	-	-	-	-
Balance as at Ashad End, 2082	**2,248,322**	**564,061**	**6,769,500**	**1,029,995**	**2,273,500**	**18,159,536**	**31,044,913**
Depreciation and Impairment							
As at Ashad End, 2081	**367,025**	**76,298**	**-**	**94,913**	**122,895**	**1,513,295**	**2,174,425**
Depreciation charge for the Year	554,802	131,039	809,042	154,923	219,206	1,815,954	3,684,965
Impairment for the year	-	-	-	-	-	-	-
Disposals	-	-	-	-	-	-	-
Adjustment**	-	-	-	-	-	-	-
As at Ashad End, 2082	**921,827**	**207,337**	**809,042**	**249,835**	**342,101**	**3,329,248**	**5,859,390**
Work in Progress							
Net Book Value							
As at Ashad End, 2081	**1,716,506**	**381,088**	**-**	**935,082**	**1,992,980**	**16,646,241**	**21,671,898**
As at Ashad End, 2082	**1,326,495**	**356,724**	**5,960,458**	**780,160**	**1,931,399**	**14,830,287**	**25,185,523**

Intangible Assets 4.6

Particulars	Software Purchased	Software Developed	Others	Total
Cost				
As at Ashad End, 2081	**821,000**	**-**	**35,595**	**856,595**
Addition during the Year				-
Acquisition	-	-	-	-
Capitalization	-	-	-	-
Disposal during the year	-	-	-	-
Balance as at Ashad End, 2082	**821,000**	**-**	**35,595**	**856,595**
Amortization and Impairment				
As at Ashad End, 2081	**98,976**	**-**	**2,446**	**101,422**
Depreciation charge for the Year	164,650	-	7,139	171,788
Impairment for the year	-	-	-	-
Disposals	-	-	-	-
Adjustment	-	-	-	-
As at Ashad End, 2082	**263,626**	**-**	**9,585**	**273,211**
Net Book Value				
As at Ashad End, 2081	**722,024**	**-**	**33,149**	**755,173**
As at Ashad End, 2082	**557,374**	**-**	**26,010**	**583,384**

Deferred Tax 4.7

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Deferred Tax Assets	-	-
Deferred Tax Liabilities	365,579	289,808
Net Amount	**365,579**	289,808

Particulars	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/(Liabilities)
Deferred tax on temporary differences on following items			
Investment Securities	-	741,990	(741,990)
Property, Plant & Equipment	-	4,661,345	(4,661,345)
Intangible Assets	-	19,913	(19,913)
Employee's Leave Provision	52,933	-	52,933
Employee's Gratuity Provision	60,918	-	60,918
Lease Liabilities	4,943,818	-	4,943,818
Other temporary differences	-	-	-
Deferred tax on temporary differences	**5,057,669**	**5,423,248**	**(365,579)**
Net Deferred tax asset/(liabilities) as at 32nd Ashad, 2082			**(365,579)**
Deferred tax (asset)/liabilities as at 1st Shrawan, 2081			289,808
Origination/(Reversal) during the year			**(75,771)**
Deferred tax expense/(income) recognized in profit or loss			**(666,219)**
Deferred tax expense/(income) recognized in OCI			**741,990**

Other Assets 4.8

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Trade Receivables	93,484,567	73,241,027
Accrued Income	-	-
Prepayments & Deposits	518,395	193,239
Receivable from Sale of Investment	12,024,775	23,954,174
Total	**106,027,737**	**97,388,439**

Provisions 4.9

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Provision for Expenses	-	-
Provision for Leave Encashment	176,442	67,674
Provision for Gratuity	203,061	79,990
Provision for Staff Bonus	7,028,294	808,157
Total	**7,407,797**	**955,821**

Short Term Borrowings 4.10

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Bank Overdraft	-	-
Short Term Loan	65,801,000	-
Total	**65,801,000**	**-**

Other Liabilities 4.11

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Audit Fee Payable	111,500	111,500
Sundry Creditors	105,132	318,848.30
Payable to Retirement Fund	-	128,624
Payable to Staffs	249,366	91,332
TDS Payable	156,024	45,855
Lease Liability	16,479,395	17,205,358
Other Payables	535,923	149,817
Total	**17,637,340**	**18,051,335**

Share Capital 4.12

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Ordinary shares		
Equity Share Capital	200,000,000	200,000,000
Total	**200,000,000**	**200,000,000**

Ordinary Shares 4.12.1

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Authorized Capital		
6,000,000 Ordinary Shares of Rs.100 each	600,000,000	600,000,000
Issued capital		
2,000,000 Ordinary Shares of Rs.100 each	200,000,000	200,000,000
Subscribed and paid up capital		
2,000,000 Ordinary Shares of Rs.100 each	200,000,000	200,000,000
Closing Balance	**200,000,000.00**	**200,000,000**

Ordinary Share Ownership 4.12.2

Particulars	As at Ashad 32, 2082		As at Ashad 31, 2081	
	Percent	Amount	Percent	Amount
Domestic Ownership				
Private Individuals	-	-	-	-
Corporate Institutions	100%	200,000,000	100%	200,000,000
Foreign ownership	-	-	-	-
Total	**100%**	**200,000,000**	**100%**	**200,000,000**

List of Shareholders holding more than 0.5% of shares 4.12.3

Shareholder's Name	No. of Shares	Share Amount in NPR	Percentage Holding
Kumari Bank Ltd.	2,000,000	200,000,000	100%

Retained Earnings 4.13

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Opening Balance of Retained Earnings	5,005,715	503,271
Add: Total Comprehensive Income for the year	35,352,930	4,502,444
Closing Balance of Retained Earnings	**40,358,645**	**5,005,715**

Reserves 4.14

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Statutory General Reserve	5,234,459	632,122
Corporate Social Responsibility Reserve	523,446	63,212
Fair Value Reserve	1,731,309	1,123,440
Closing Balance	**7,489,214**	**1,818,773**

Revenue from Operations 4.15

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Depository Participant Income	620,500	96,450
Commission Income	86,253,265	15,977,931
Total	**86,873,765**	**16,074,381**

Realized Gain/(Loss) on Sale of Investment Securities 4.16

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Realized Gain/(Loss) on Sale of Securities	28,989,506	3,569,980
Unrealized Gain/(Loss) on Change in Fair Value of Investments	-	-
Total	**28,989,506**	**3,569,980**

Other Income 4.17

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Dividend Income	443,339	429,287
Interest Income	308,887	6,567,525
Other Income	2,052,265	40,045
Total	**2,804,492**	**7,036,856**

Direct Expenses 4.18

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Stock Exchange Commission	17,250,658	3,195,586
SEBON Commission	517,525	95,866
Depository Participants Expenses	183,808	34,113
TMS Subscription & Regulatory Fee	3,100,000	2,308,939
Total	**21,051,991**	**5,634,504**

Employee Benefit Expenses 4.19

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Salary and Allowances	6,013,179	4,193,206
Leave Expenses	108,768	73,382
Gratuity & Provident Fund	270,815	187,653
Other Allowances	909,420	305,511
Staff Welfare	99,120	40,975
Deputation Costs	1,700,000	-
Sub-Total	**9,101,302**	**4,800,727**
Staff Bonus	7,028,294	808,157
Total	**16,129,596**	**5,608,884**

Operating Expenses 4.20

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Audit Fee	113,000	113,000
Bank Charges	19,097	8,454
Board Meeting Fee	166,000	208,000
Books & Periodicals	11,100	14,476
Security Expenses	376,728	299,662
Insurance Expenses	97,872	7,966
Repair & Maintenance	134,330	29,173
Advertisement & Branding	97,180	173,092
Kitchen Expenses	390,713	277,847
Office Expenses	125,611	143,364
Telephone & Internet	394,790	292,314
Printing & Stationery	202,540	182,091
Legal & Consultancy	166,250	11,300
Electricity Expenses	158,482	105,070
Fuel Expenses	139,635	107,290
Wages	20,200	22,560
Building Management Expenses	240,000	200,000
Registration & Renewal	384,150	907,800
Software Expense	373,421	172,428
Hospitality Expenses	950,324	238,424
Other Expenses	35,096	4,790
Total	**4,596,520**	**3,519,099**

Finance Costs 4.21

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Interest on Lease Liability	1,674,037	1,445,823
Bank Interest on OD	7,104,218	923,644
Loan Processing Fee	1,000,000	-
Total	**9,778,254**	**2,369,466**

Depreciation and Amortization 4.22

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Depreciation on Plant, Property and Equipment	3,684,965	2,174,425
Amortization of Intangible Assets	171,788	101,422
Total	**3,856,753**	**2,275,847**

Current Tax 4.23

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Current year tax	19,618,022	2,267,304
Adjustments for prior years	10,785	-
Total Current Tax	**19,628,807**	**2,267,304**

Deferred Tax Expense 4.24

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Origination and reversal of temporary differences	(75,770.65)	(191,666)
Changes in tax rate	-	-
Recognition of previously unrecognized tax losses	-	-
Total Deferred Tax	**(75,770.65)**	**(191,666)**
Total Income Tax Expense	**19,553,036**	**2,075,638**

4.22.1: Reconciliation of tax expense and accounting profit 4.25

Particulars	As at Ashad 32, 2082	As at Ashad 31, 2081
Profit before tax	63,254,649	7,273,416
Tax amount at tax rate of 30%	18,976,395	2,182,025
Add: Tax effect of expenses that are not deductible for tax purpose	299,282	226,079
Less: Tax effect on exempt income	-	-
Add/(Less): Tax effect on other items	(139,129)	(140,799)
Total income tax expense	**19,136,548**	**2,267,304**
Effective tax rate	**30.25%**	**31.17%**

5. Disclosures & Additional Information

5.1 Management of Risk

The Company's activities expose it to a variety of risks, including financial risk, credit risk, and the effects of changes in property values, debt and equity market prices, foreign currency exchange rates and interest rates. The Company's overall risk management program focuses on the identification and management of risks and seeks to minimize potential adverse effects on its financial performance, by use of underwriting guidelines and capacity limits, insurance planning, credit policy governing the acceptance of clients, and defined criteria for the approval of intermediaries and reinsurers. Investment policies are in place which help manage liquidity, and seek to maximize return within an acceptable level of interest rate risk.

This section summarizes the way the Company manages risk.

i. Credit Risk Management

Credit Risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company's receivables from customers. All the trade and other receivables as at the reporting date are not due for payment. The Company only has income tax receivable as at the end of the reporting date and hence, the management accordingly, does not believe that the Company has any exposure to credit risk.

ii.Market Risk Management

Market risk is the risk that changes in market price, such as foreign exchange rates, interest rates and equity prices will affect the company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return. The Company currently has investment in equity instruments of various public entities which expose it to market risk.

iii. Liquidity Risk Management

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Company's approach to managing liquidity is to ensure, as far as possible, that will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation.

Fair Value of Financial Assets and Financial Liabilities

Fair value is a market-based measurement, not an entity specific measurement. For some assets and liabilities, observable market transactions or market information might be available. For other assets and liabilities, observable market transactions and market information might not be available. However, the objective of a fair value measurement in both cases is the same – to estimate the price at which an orderly transaction to sell the asset or to transfer the liability would take place between market participants at the measurement date under current market conditions (i.e., an exit price at the measurement date from the perspective of a market participant that holds the asset or owes the liability). Fair values are determined according to the following hierarchy:

Level-1 inputs

Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date. Held for trading investments and quoted securities classified as financial assets at fair value through OCI have been recorded using Level 1 inputs.

Level-2 inputs

Level 2 inputs are inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly. Such observable inputs include:

- Quoted price for similar instruments in active market
- Quoted price for identical or similar instruments in inactive market
- Financial instruments are valued using models where all significant inputs are observable

Level-3 inputs

Level 3 inputs are unobservable inputs for the asset or liability. Fair value measurements are derived using valuation techniques in which current market transactions or observable market data are not available. Under this, instruments are fair valued using valuation models which have been tested against prices or inputs to actual market transactions and make use of the best estimates of the most appropriate model assumptions. The company has used latest audited financial statements to arrive at book value for investment in unquoted shares.

Fair Value of Investment Securities

The Investment Securities held by the Company are valued at fair value through OCI. The fair value is calculated based on closing price of the instruments in Nepal Stock Exchange (NEPSE).

For exception, the Company held units at "Sanima Flexi Fund" at the reporting date and no closing price was available at the date. Hence, Net Asset Value (NAV) of the fund as at Ashad 27, 2082 publicly issued by the fund of Rs. 10.01 per unit is taken as fair value of the investment.

5.2 Capital Management

5.2.1 Qualitative disclosures

Capital is very crucial component in a business. In case of Company, sufficient capital needs to be maintained for business growth. Capital management approach is driven by its desire to maintain a strong capital base to support the business growth and to meet the regulatory capital requirements. Capital planning is an integral part of the Company's strategic plan. The Company has robust capital planning and management to meet its projected growth over the upcoming years during the normal as well as stressed situations. The Company ensures that adequate level of capital is maintained at all times. It is well capitalized and is able to maintain required capital through internal generation and also through other sources, if required.

5.2.2 Compliance with minimum capital requirement

The Company is required by Securities Business Regulation, 2064 issued by Securities Board of Nepal to attain a stipulated minimum paid up capital of NPR 20 Crore. As on the reporting date, the Company's paid up capital stands at 20 Crore.

5.3 Classification of financial assets and financial liabilities

5.3.1 Classification-Financial Assets

Particulars	Amortized Cost	Fair Value Through OCI (FVTOCI)	Fair Value Through Profit/ Loss (FVTPL)	Total
Financial Assets				
Cash and Cash Equivalents	141,846,926	-	-	141,846,926
Current Tax Assets	2,379,987	-	-	2,379,987
Investment Securities	-	63,036,017	-	63,036,017
Investment Property	-	-	-	-
Property, Plant and Equipment	25,185,523	-	-	25,185,523
Intangible Assets	583,384	-	-	583,384
Deferred Tax Assets	-	-	-	-
Other Assets	106,027,737	-	-	106,027,737
Total Assets	**276,023,557**	**63,036,017**	**-**	**339,059,574**
Financial Liabilities				
Current Tax Liabilities	-	-	-	-
Other Liabilities	17,637,340	-	-	17,637,340
Total Financial Liabilities	**17,637,340**	**-**	**-**	**17,637,340**

5.4 Segment Analysis

The Company has not identified any key segments of the business on the basis of nature of operations that assist the Company in decision process and to allocate the resources. Therefore, segment reporting is not done by the Company.

5.5 Contingent Liabilities and Commitment

5.5.1 Contingent liabilities

The Company does not have any Contingent Liability as on the reporting date.

5.5.2 Commitments

The Company does not have any Commitments as on the reporting date.

Explanatory Notes

The Company seeks to comply with all applicable laws and regulations, but may be subject to regulatory actions and investigations, the outcome of which are generally difficult to predict and can be material to the Company.

In addition to these matters, the Company may receive legal claims against it in the normal course of business. The Company considers none of these claims as material. Where appropriate, the Company recognizes a provision for liabilities when it is probable that an outflow of economic resources embodying economic benefits will be required and for which a reliable estimate can be made of the obligation(s).

5.6 Related Party Disclosures

5.6.1 Parent Company

Kumari Bank Limited (KBL) hold 100% ownership of the Company.

5.6.2 Key Management Personnel

Key Management Personnel of the Company including members of the Board of Directors, Chief Executive Officer and other executive level staffs, as follows:

Name	Designation
Sipa Regmi	Chairperson
Pawan Budhathoki	Director
Hari Prasad Niraula	Director
Manish Dhakal	Independent Director
Binaya Regmi	CEO

5.6.3 Loans and Facilities extended to Related Parties and Restricted Lending

The Company has not extended any loans to Related Parties during the year.

5.6.4 Loans and Advances extended to Promoters:

The Company has not extended any loans to promoters during the year.

5.6.5 Transaction with Board of Director of the Company

Amount in NPR

Nature of Transaction	Current Year
Meeting Allowances (including committee meeting fee)	142,000.00
Meeting Expenses, Telephone, Mobile & Newspapers/Magazines	-

5.6.6 Remuneration and facilities to Chief Executive Officer of the Company

Categories	Chief Executive Officer
Short Term Employee Benefits	4,208,641

5.6.7 Transactions with substantial shareholder

The Parent, Kumari Bank Ltd. has deputed it's two staffs working full time for the company. As per such deputation contract, the company has paid Rs. 1,700,000.00 for the FY 2081/82 as Staff Deputation Cost.

5.7 Merger and Acquisition

There are no merger or acquisitions transaction during the year.

5.8 Additional Disclosures of non-consolidated entities

The Company doesn't have any Subsidiary(s) as on the reporting date. Hence, there are no such entities which are required to be consolidated but not done during the year.

5.9 Events after reporting date

The Company monitors and assesses events that may have potential impact to qualify as adjusting and / or non-adjusting events after the end of the reporting period. All adjusting events are adjusted in the books with additional disclosures and non-adjusting material events are disclosed in the notes with possible financial impact, to the extent ascertainable.

There are no material events that have occurred subsequent to 16 July, 2025 till the signing of this financial statement.

6. Other Explanatory Notes

6.1 Investment Properties

The Company has no Investment Properties.

6.2 Earnings per share

The Company measures earning per share on the basis of the earning attributable to the equity shareholders for the period. The number of shares is taken as the weighted average number of shares for the relevant period as required by NAS 33 Earnings per Share.

Particulars	Unit	Year ended	
		16-Jul-25	15-Jul-24
Profit attributable to equity shareholders (a)	NPR	44,292,061	5,197,778
Weighted average of number of equity shares used in computing basic earnings per share (b)	Nos.	2,000,000	2,000,000
Basic and diluted earnings per equity share of Rs 100 each (a/b)	Rs	22.15	2.60

As there is no potential ordinary shares that would dilute current earning of equity holders, basic EPS and diluted EPS are equal for the period presented.

6.3 Unpaid Dividends

As at the reporting date, the Company has no unpaid dividend.

6.4 Statutory General Reserve

There is a regulatory requirement to set aside 10% of the net profit to the general reserve. The movement of General Reserve during the years is presented as follows:

Particulars	2081/82	2080/81
Opening Balance of Statutory General Reserve	632,122	-
Transfer to Statutory General Reserve during the Year	4,602,337	632,122
Transfer from reserve during the year	-	-
Closing balance of Statutory General Reserve	**5,234,459**	**632,122**

6.5 Fair Value Reserve

The Company has decided to set aside full amount of unrealized gain on investment in equity instruments net of tax into fair value reserve. The investments have been value at fair value through OCI. The difference between fair value and cost of such investment have been kept as fair value reserve as below:

Particulars	2081/82	2080/81
Opening Balance of Fair Value Reserve	1,123,440	-
Transfer to fair value reserve during the Year	607,869	1,123,440
Transfer from fair value reserve during the year	-	-
Closing balance of Fair Value Reserve	**1,731,309**	**1,123,440**

6.6 Corporate Social Responsibility Reserve

Industrial Enterprise Act, 2076 requires to set aside 1% of the net profit of each year to CSR reserve. The company has following moment in CSR Reserve during the reporting periods.

Particulars	2081/82	2080/81
Opening Balance of CSR Reserve	63,212	-
Transfer to reserve during the Year (1% of net profit)	460,234	63,212
Transfer from reserve during the year	-	-
Closing balance of CSR Reserve	**523,446**	**63,212**

KBL Subsidiaries

Kumari Capital Limited



K. P. N. & ASSOCIATES
CHARTERED ACCOUNTANTS

GPO Box: 3738
House No. 65, Kumari Marga-6
Dillibazar, Kathmandu, Nepal

INDEPENDENT AUDITOR'S REPORT

To the Shareholders of ***Kumari Capital Limited***

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of **Kumari Capital Limited**, which comprise the statement of financial position as at 32 Ashadh 2082 (16 July 2025), and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of **Kumari Capital Limited** as at 32 Ashadh 2082 (16 July 2025), and its financial performance and its cash flows for the year then ended in accordance with Nepal Financial Reporting Standards (NFRSs).

Basis for Opinion

We conducted our audit in accordance with Nepal Standards on Auditing (NSAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the company in accordance with ICAN's Handbook of Code of Ethics for Professional Accountants. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

On the basis of our audit and our professional judgement we have not noted reportable Key Audit Matters.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with NFRSs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, weather due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with NSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with NSAs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, international omissions, misrepresentations, or the override of internal control.
- Obtain and understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on audit evidence obtained up to the date of our auditor's report. However, further events or conclusions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that they may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

We further report that;

- We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of audit,
- The accounts and records of the Company has been maintained as required by law,
- Financial statements are in agreement with the books of account maintained by the Company,
- In our opinion and to the best of our information and according to explanation given to us, the Board of Directors, the representative or any employee of the Company has not acted contrary to the legal provisions relating to accounts nor caused direct loss or damage to the Company deliberately or acted in a manner that would jeopardize the interest and security of the Company,
- The operations of the Company were within its jurisdiction,
- We have not come across any fraudulence in accounts, so far as it appeared from our examination of books of account.



CA. Keshab Prasad Neupane
Principal
K. P. N. & Associates
Chartered Accountants

Date: 2082/04/29
Place: Kathmandu
UDIN: 250814CA00469wzAHu

Kumari Capital Limited
Statement of Financial Position
As on Ashadh 32, 2082 (Corresponding to July 16, 2025)

Amount in NPR

Particulars	Note	Ashadh 32, 2082	Ashadh 31, 2081
Assets			
Non-Current Assets			
Property, Plant and Equipment	4.1	19,276,838	17,494,971
Intangible Assets	4.2	4,002,606	4,861,882
Right of Use (ROU) Assets	4.3	24,566,222	-
Deferred Tax Assets	4.4	1,434,122	-
Financial Assets Measured at Amortized Cost	4.5	28,453,067	103,453,067
Financial Assets held at Fair Value	4.6	231,745,777	171,832,800
Total Non-Current Assets		**309,478,632**	**297,642,720**
Current Assets			
Financial Assets Measured at Amortized Cost	4.5	90,000,000	90,000,000
Inventories	4.7	861,454	461,480
Trade and Other Receivables	4.8	96,807,131	43,042,388
Current Tax Assets	4.9	1,723,417	6,032,162
Cash and Cash Equivalents	4.10	318,642,484	402,992,607
Total Current Assets		**508,034,486**	**542,528,637**
Total Assets		**817,513,118**	**840,171,357**
Equity & Liabilities			
Non-Current Liabilities			
Employee Benefits Obligations	4.11	2,981,073	1,409,502
Lease Liabilities	4.12	20,822,016	-
Total Non-current Liabilities		**23,803,089**	**4,462,250**
Current Liabilities			
Trade and Other Payables	4.13	291,982,754	341,466,136
Lease Liabilities	4.12	4,349,980	-
Employee Benefits Obligations	4.11	154,157	108,159
Provisions	4.14	213,891	455,979
Deferred Revenue	4.15	963,276	1,020,434
Total Current Liabilities		**297,664,058**	**343,050,708**
Equity			
Share Capital	4.16	400,000,000	400,000,000
Reserve & Surplus	4.17	96,045,971	92,658,399
Total Equity		**496,045,971**	**492,658,399**
Total Equity and Liabilities		**817,513,118**	**840,171,357**

Puspa Sharma
Chief Executive Officer

Sudhir Nath Pandey
Chairman

Rohit Singh
Director

Arpan Pokhrel
Director

Anup Shakya
Head - Finance, Admin & HR

Laxmi Prasad Duwal
Independent Director

Renu Bhusal
Independent Director

As per our attached report of even date
On Behalf of K. P. N. & Associates
Chartered Accountants

FCA Keshab Prasad Neupane
Proprietor

Date: August 13, 2025
Place: Kathmandu

Kumari Capital Limited
Statement of Profit or Loss and Other Comprehensive Income
As on Ashadh 32, 2082 (Corresponding to July 16, 2025)

Amount in NPR

Particulars	Note	FY 2081/82	FY 2080/81
Income			
Income from Merchant Banking Activities	4.18	55,020,217	50,494,435
Income from Mutual Fund Operations	4.19	65,320,121	50,910,693
Income from Portfolio Management Services	4.20	4,376,026	914,689
Income from Corporate Advisory Services	4.21	4,408,445	680,125
Interest Income	4.22	29,991,677	57,272,845
Net gain/ (loss) on Financial Assets held at fair value	4.23	23,139,334	8,657,506
Net Unrealized gain/(Loss) on Financial Assets held at fair value	4.24	(9,864,219)	11,626,542
Other Income	4.25	1,295,079	1,778,267
Total Operating Income		**173,686,680**	**182,335,102**
Merchant Banking Related Expenses	4.26	14,849,155	8,853,666
Mutual Fund Related Expenses	4.27	2,770,937	2,071,735
Portfolio Management Service Related Expenses	4.28	170,821	69,691
Corporate Advisory Related Expenses	4.29	132,253	20,404
Other Operating Expenses	4.30	2,072,652	1,238,343
Operating Profit		**153,690,862**	**170,081,263**
Non-Operating Income/(Expenses)	4.31	(102,794)	(1,107,854)
Other Operating Expenses			
Staff Cost	4.32	43,297,810	41,627,393
General Administrative Expenses	4.33	12,732,447	13,728,278
Finance Cost on Lease Liabilities	4.34	631,001	-
Depreciation on Right of Use (ROU) Assets	4.3	4,833,827	-
Depreciation of Property and Equipment	4.1	2,959,745	2,448,838
Amortization of Intangible Assets	4.2	1,252,966	903,954
Profit Before Tax		**87,880,272**	**110,264,946**
Income Tax Expenses	4.35	25,577,483	32,853,717
- Current Tax Expenses		30,529,260	28,915,098
- Deferred Tax Expenses/(Income)		(4,951,777)	3,938,619
Profit for the Year		**62,302,789**	**77,411,229**
Other Comprehensive Income / (Expenses)			
Actuarial Gain / (Loss) on defined benefit plans		-	-
Total Other Comprehensive Income / (Expenses)		**-**	**-**
Less: Tax Expenses related to Components of OCI		-	-
Total Comprehensive Income for the Year		**62,302,789**	**77,411,229**
Profit attributable to:			
Equity holders		62,302,789	77,411,229
Non-controlling Interest		-	-
Profit for the year		**62,302,789**	**77,411,229**
Earning per share		15.58	19.35
Diluted Earning per share		15.58	19.35

Puspa Sharma
Chief Executive Officer

Sudhir Nath Pandey
Chairman

Rohit Singh
Director

Arpan Pokhrel
Director

Anup Shakya
Head - Finance, Admin & HR

Laxmi Prasad Duwal
Independent Director

Renu Bhusal
Independent Director

As per our attached report of even date
On Behalf of K. P. N. & Associates
Chartered Accountants

Date: August 13, 2025
Place: Kathmandu

FCA Keshab Prasad Neupane
Proprietor

Kumari Capital Limited
Statement of Cash Flow

As on Ashadh 32, 2082 (Corresponding to July 16, 2025)

Amount in NPR

Particulars	FY 2081/82	FY 2080/81
(A) Cash Flow from Operating Activities		
1. Cash Received	152,264,183	144,420,329
1.1 Income from Merchant Banking Activities	55,020,217	50,494,435
1.2 Income from Mutual Fund Operation	65,320,121	50,910,693
1.3 Income from PMS Services	4,376,026	914,689
1.4 Income from Corporate Advisory Services	4,408,445	680,125
1.5 Interest Income	21,844,295	39,642,120
1.6 Other Income	1,295,079	1,778,267
2. Cash Payment	**76,026,075**	**67,609,510**
2.1 Merchant Banking Related Expenses	14,849,155	8,853,666
2.2 Mutual Fund Related Expenses	2,770,937	2,071,735
2.3 PMS Related Expenses	170,821	69,691
2.4 Corporate Advisory Related Expenses	132,253	20,404
2.5 Other Operating Expenses	2,072,652	1,238,343
2.6 Staff Cost	43,297,810	41,627,393
2.7 General Administrative Expenses	12,732,447	13,728,278
Cash Flow before Changes in Working Capital	**76,238,108**	**76,810,819**
Increase /(Decrease) of Current Assets	**(54,164,717)**	**11,850,741**
1. (Increase)/Decrease in Short Term Investment	-	25,000,000
2. (Increase)/Decrease in Other Current Assets	(54,164,717)	(13,149,259)
Increase /(Decrease) of Current Liabilities	**(46,615,366)**	**(52,769,347)**
1. Increase/(Decrease) in Other Current Liabilities	(47,990,847)	(53,445,074)
2. Increase/(Decrease) in Provisions	1,375,481	675,727
Payment of Income Tax	**(26,220,515)**	**(29,618,839)**
(B) Cash Flow from Investment Activities	**31,270,380**	**48,572,458**
1. Purchase of Long-term Investment	(169,675,264)	(12,478,568)
2. Proceeds from Disposal of Long-term Investment	195,495,904	52,576,213
3. Purchase of Property, Equipment, and Intangible Assets	(5,309,140)	(10,365,815)
4. Proceeds from Disposal of Property, Equipment, and Intangible Assets	70,000	-
5. Interest income from Long Term Investment	8,147,382	17,630,726
6. Dividend Income	2,541,498	1,209,902
(C) Cash Flow from Financing Activities	**(64,859,054)**	**(60,000,000)**
2. Payment of Interest portion of lease liabilities	(631,001)	-
3. Repayment of Principal portion of lease liabilities	(4,228,053)	-
4. Payment of Dividend	(60,000,000)	(60,000,000)
(D) Cash Flow arising from Exchange Fluctuation	**(1,041)**	**(1,579)**
(E) This Year's Cash Flow from All Activities	**(84,350,123)**	**(5,152,589)**
(F) Opening Balance of Cash and Bank Balances	**402,992,607**	**408,145,196**
(G) Closing Balance of Cash and Bank Balances	**318,642,484**	**402,992,607**

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Chartered Accountants

FCA Keshab Prasad Neupane
Proprietor

Date: August 13, 2025
Place: Kathmandu

Kumari Capital Limited
Statement of Changes in Equity
As on Ashadh 32, 2082 (Corresponding to July 16, 2025)

Amount in NPR

Particulars	Share Capital	Accumulated Profit/ Loss	General Reserve	CSR Reserve	Other Reserve & Fund	Total Amount
Balance as on Ashadh 31, 2080	**400,000,000**	**62,375,316**	**12,047,411**	**824,444**	**-**	**475,247,171**
Adjustments	**-**	**-**	**-**	**-**	**-**	**-**
Adjusted Balance as on Ashadh 31, 2080	**400,000,000**	**62,375,316**	**12,047,411**	**824,444**	**-**	**475,247,171**
Capital Issued	-	-	-	-	-	-
Net Profit for the Period	-	77,411,229	-	-	-	77,411,229
Dividend Paid during the year	-	(60,000,000)	-	-	-	(60,000,000)
Transferred to Retained Earnings	-	368,980	-	(368,980)	-	-
General Reserve Fund	-	(7,741,123)	7,741,123	-	-	-
Corporate Social Responsibility (CSR) Reserve	-	(774,112)	-	774,112	-	-
Balance as on Ashadh 31, 2081	**400,000,000**	**71,640,289**	**19,788,534**	**1,229,576**	**-**	**492,658,399**
Balance as on Ashadh 31, 2081	**400,000,000**	**71,640,289**	**19,788,534**	**1,229,576**	**-**	**492,658,399**
Adjustments						
Adjustment (net of tax) due to initial application of NFRS 16 (Leases)	-	1,084,783	-	-	-	1,084,783
Adjusted Balance as on Ashadh 31, 2081	**400,000,000**	**72,725,072**	**19,788,534**	**1,229,576**	**-**	**493,743,182**
Net Profit for the Period	-	62,302,789	-	-	-	62,302,789
Dividend Paid during the year	-	(60,000,000)	-	-	-	(60,000,000)
Transferred to Retained Earnings	-	284,829	-	(284,829)	-	-
General Reserve Fund	-	(6,230,279)	6,230,279	-	-	-
Corporate Social Responsibility (CSR) Fund	-	(623,028)	-	623,028	-	-
Balance as on Ashadh 32, 2082	**400,000,000**	**68,459,383**	**26,018,813**	**1,567,775**	**-**	**496,045,971**

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Chartered Accountants

FCA Keshab Prasad Neupane
Proprietor

Date: August 13, 2025
Place: Kathmandu

1. General Information

Kumari Capital Limited (KCL) is the subsidiary of Kumari Bank Limited (KBL) registered under Company Act, 2063, which holds 100 percent of the paid-up capital. The company has been working as Depository Participant (DP) under the license obtained by KBL which has delegated the authority to provide DP Service through an agreement signed on 2076/04/27 between KBL and KCL. The bank has received DP Registration Certificate from SEBON to operate as Depository Participants dated Ashwin 07, 2072 and membership license from the CDS and Clearing Ltd, dated Magh 15, 2072 as per the CDS Byelaws, 2058. MOU has been signed with KBL to use all of its branches as representative to provide DP services nationwide.

The company has received Merchant Banker License from SEBON on Poush 10, 2075. Under the license, the company is permitted to provide Issue Management and Underwriting Services, Registrar to Shares, Portfolio Management Services, and Corporate Advisory Services. Similarly, the company has received Fund Manager's License and Depository License from SEBON on Aswin 09, 2077. The company has also received permission from SEBON to work as Qualified Institutional Investor on Poush 23, 2077.

The company was registered at Company Registrar Office on Ashwin 06, 2074 with registration number of 176694/074/075 and registered office at Ward no: 01, Naxal, Kathmandu. It is also registered with Inland Revenue Office on Mangsir 05, 2074 with PAN registration number of 606868806.

The management of the company acknowledges the responsibility of preparation of financial statements of the company. The financial statements were authorized for issue by the Board of Directors on August 13, 2025 and have been recommended for approval by shareholders in the Annual General Meeting.

Kumari Capital Limited is a limited liability company, incorporated on Ashwin 06, 2074 and domiciled in Nepal. It is a licensed Merchant Entity as wholly owned subsidiary of Kumari Bank Limited, licensed under Securities Businessperson (Merchant Banker) Rules, 2064 from the Securities Board of Nepal (SEBON). The registered address of Kumari Capital is Kathmandu, Nepal.

Financial Statements

The Financial Statement of the company for the year ended July 16, 2025 comprises Statement of Financial Position, Statement of Profit or Loss, Statement of Other Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows, Summary of Significant Accounting Policies of the Company and Other Explanatory Notes.

Principal Activities and Operations

Kumari Capital Limited obtained license for commercial operation as a Securities Businessperson (Merchant Banker) from SEBON on Poush 10, 2075. The major activities of the company are issue management, portfolio management services, underwriting of securities, securities trustee, registrar to shares, depository participant services in a central depository service, corporate advisory services, mutual fund management service etc.

2. Basis of Preparation of Financial Statements

2.1 Statement of Compliance

The Financial Statement of the entity which comprises components mentioned above have been prepared in accordance with Nepal Financial Reporting Standards comprising of Nepal Financial Reporting Standards and Nepal Accounting Standards (hereafter referred as NFRS), laid down by the Institute of Chartered Accountants of Nepal and in compliance with the requirements of the Securities Act, 2063 and its regulation and in conformity with the Company Act 2063 and other relevant laws.

2.2 Reporting Period and Approval of Financial Statements

a. Reporting Dates

The company follows the Nepalese financial year based on the Nepalese calendar starting from first day of Shrawan (Mid July) of each year to the last day of Ashadh (Mid July) of the next year. The corresponding dates for the English calendar are as follows:

Relevant financial statements date / period	Nepalese calendar	English calendar
Reporting date	Ashadh 32, 2082	July 16, 2025
Comparative reporting date	Ashadh 31, 2081	July 15, 2024
Reporting period	Shrawan 01, 2081 to Ashadh 32, 2082	July 16, 2024 to July 16, 2025
Comparative reporting period	Shrawan 01, 2080 to Ashadh 31, 2081	July 17, 2023 to July 15, 2024

b) Responsibility for Financial Statements

The preparation and presentation of Financial Statements including consolidated financial statements is the responsibility of the management as per the governing provisions.

c) Approval of Financial Statements by Directors

The accompanied Financial Statements have been authorized to issue by the Board of Directors vide its resolution dated August 13, 2025 and recommended for its approval by the Annual General Meeting of the shareholders.

2.3 Functional & Presentation Currency

The Financial Statements of Entity are presented in Nepalese Rupees (Rs), which is the currency of the primary economic environment in which the Entity operates. Financial information is presented in Nepalese Rupees. There was no change in Entity's presentation and functional currency during the year under review.

2.4 Significant Accounting Judgments, Estimates and Assumptions

The preparation of Financial Statements in conformity with Nepal Accounting Standards requires the management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised and in any future periods affected. Disclosures of the accounting estimates have been included in the relevant section of the notes wherever the estimates have been applied along with the nature and effect of changes of accounting estimates, if any.

The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect in the Financial Statements are as follows:

2.4.1 Going Concern

The Directors have made an assessment of Entity's ability to continue as a going concern and satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, Board is not aware of any material uncertainties that may cast significant doubt upon Entity's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of it. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.4.2 Useful lives of Property Plant & Equipment

Useful life is the period over which an asset is expected to be available for use by an Entity. Various factors may limit the useful life of a vessel. These factors may be due to physical wear and tear, technological advancement, economic factors and legal factors. The entity asses the remaining useful lives of its Property Plant & Equipment at each reporting date. An assessment is made to determine whether there is any indication of impairment in each asset.

2.5 Changes in Accounting Policies

The principle accounting policies are adopted in preparation of financial statements, which have been consistently applied unless otherwise stated.

2.6 Presentation of Financial Statements

The assets and liabilities of entity presented in the Statement of Financial Position are grouped in an order of liquidity. An analysis on recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in the Note.

The statement of profit or loss has been prepared using classification 'by nature' method.
The cash flows from operation within the statement of cash flows have been derived using the indirect method.

The accounting policies have been consistently applied by entity with those of the previous financial year in accordance with NAS 01 Presentation of Financial Statements, except those which had to be changed as a result of application of the new NFRS. Further, comparative information is reclassified wherever necessary to comply with the current presentation.

2.7 Materiality & Aggregation

In compliance with Nepal Accounting Standard - NAS 01 Presentation of Financial Statements, each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately unless they are immaterial.

Financial Assets and Financial Liabilities are offset and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Statement of Profit or Loss unless required or permitted by an Accounting Standard.

2.8 Discounting

When the realization of assets and settlement of obligations is for more than one year, the company considers discounting of such assets and liabilities where the impact is material.

2.9 Comparative Information

The comparative information is re-classified wherever necessary to conform with the current year's classification in order to provide a better presentation. The details of such re-classifications have been provided in Notes to the financial statements.

3. Summary of Significant Accounting Policies

3.1 Basis of Measurement

These are prepared under accrual basis of accounting in accordance with the historical cost convention, except for certain items as follows:

a. Financial Assets (Investment in equity instruments and units of mutual fund) are measured at fair value through Profit or Loss.
b. Financial Assets (Investment in debentures and Fixed Deposit with Banks) subsequently measured at amortized cost.
c. Liability for defined benefit obligations is recognised at present value of the defined benefit obligation as determined by actuary.
d. The company recognizes right of use assets and a lease liability as per NFRS 16.

3.2 Revenue Recognition

Revenue is recognized on accrual basis and is measured at the fair value of the consideration received or receivable net of sales returns, trade discounts and revenue related taxes. The management of the Company determines the amount of revenue based on the applicable service agreement. Fees and commission arising from transactions are recognized on basis of completion of underlying transaction. Accounting policies, estimates and judgments used by management for each item of revenue is detailed below:

3.2.1 Issue Management Fees

The issue management fee is recognized when the related service as specified in the agreement is performed. The management also considers the degree of recoverability and probability that the economic benefit will flow into the company.

3.2.2 ASBA Fee and Other Collection Commission

The ASBA fee and other collection commission is recognized as revenue after the allotment is completed.

3.2.3 Underwriting Fee

The issue management fee is recognized when the related service as specified in the agreement is performed. The management also considers the degree of recoverability, non-refundability and probability that the economic benefit will flow into the company.

3.2.4 RTS/RTS Fee

The Registrar to Shares (RTS) fee is recognized as income on an accrual basis over the period covered by the related agreement.

3.2.5 Depository Participant (DP) Fee

The income related to DP service is recognized on cash basis. This is because of the high uncertainty on recoverability of DP income. The management estimates that the income when recognized on cash basis shall provide reliable and more relevant information about the effects of transactions, and conditions of financial performance of the company.

3.2.6 Annual Fee and Performance Fee from Portfolio Management Service

The annual fee and performance fee is recognized on cash basis. This is because of impracticability to reliably measure the amount of fees to be received. The fee is calculated based on the value of portfolio of the client as on the date of one-year completion after the execution of PMS agreement with the client. As the value of the portfolio for future date cannot be measured reliably, the fee cannot be measured reliably as on the financial statement date.

3.2.7 Corporate Advisory Service

The corporate advisory service fee is recognized when the related service as specified in the agreement is performed after the services are rendered. The management also considers the degree of recoverability and probability that the economic benefit will flow into the company.

3.2.8 Dividend Income

Dividend income is recognized in profit or loss on an accrual basis when the Entity's right to receive the dividend is established.

Dividends are presented as net realized gain/ (loss) on Financial Assets held at fair value based on the underlying classification of the equity investment along with the trading gain/(loss) from financial assets measured at fair value through profit & loss account.

3.2.9 Interest Income

Interest income are recognized in profit or loss using the effective interest rate. The "effective interest rate" is the rate that exactly discounts the estimated future cash receipts through the expected life of the financial asset or financial liability (or, where appropriate, a shorter period) to the carrying amount of the financial asset. When calculating the effective interest rate, the Company estimates future cash flows considering all contractual terms of the financial instrument, but not future credit losses.

The calculation of the effective interest rate includes transaction costs and fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset.

Interest income on all trading assets are considered to be incidental to the Entity's trading operations and are presented together with all other changes in the fair value of trading assets in net trading income.

3.2.10 Gain on Disposal and Fair valuation of FVTPL Financial Instruments

Gain on disposal of "FVTPL Financial Investments" comprises realized trading gains on disposal of government securities, quoted shares and listed debentures, are presented in statement of profit and loss as net gain/(loss) from financial investments.

Fair valuation changes on "FVTPL Financial Investments" comprises unrealized gains on fair valuation (marked to market valuation) of government securities, quoted shares, investment in unit trust and listed debentures, are presented in profit or loss as Net Unrealized gain/(Loss) on Financial Assets held at fair value in the statement of profit or loss.

3.2.11 Other Income

Other incomes are recognized when it is probable that consideration associated with the transaction will flow to the company and the amount of revenue can be measured reliably.

3.3 Interest Expenses

The interest expense on financial liabilities measured at amortized cost is recognized using the effective interest rate. The "effective interest rate" is the rate that exactly discounts the estimated future cash payments through the expected life of the financial asset or financial liability (or, where appropriate, a shorter period) to the carrying amount of the financial liability.

3.4 Income Tax

Income tax expense comprises current and deferred tax. It is recognized in profit or loss except to the extent that it relates to items recognized directly in equity or in Other Comprehensive Income (OCI).
Current tax assets and liabilities and deferred tax assets and liabilities are offset only to the extent that they relate to income taxes imposed by the same taxation authority, there is a legal right and intentions to settle on a net basis and it is allowed under the tax law of the relevant jurisdiction.

Current Tax

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted on the reporting date, and any adjustment to tax payable in respect of previous years.
Provision for taxation is based on the profit for the year adjusted for taxation purposes in accordance with the provisions of the Income Tax Act, 2058 and the amendments thereto.

Deferred Tax

Deferred taxation is computed for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax base of assets and liabilities, which is the amount attributed to those assets and liabilities for tax purposes. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted on the reporting date
.
Deferred tax assets are recognized for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date.
Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realized simultaneously.

3.5 Foreign Currency Transactions

Transactions in foreign currencies are translated into the respective functional currency of Entity at the spot exchange rates at the date of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated into the functional currency at the spot exchange rate (Closing rate) at that date. The foreign currency gain or loss on monetary items is the difference between the amortized cost in the functional currency at the beginning of the year, adjusted for effective interest and payments during the year, and the amortized cost in the foreign currency translated at the spot exchange rate at the end of the year.

Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the spot exchange rate at the date on which the fair value is determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated using the spot exchange rate at the date of the transaction.

Foreign currency differences arising on translation are generally recognized in profit or loss.

3.6 Financial Instrument

Recognition

The company initially recognizes a financial asset or a financial liability in its statement of financial position when, and only when, it becomes party to the contractual provisions of an instrument. The company initially recognizes loans and advances, deposits and debt securities/subordinated liabilities issued on the date that they are originated which is the date that the company becomes party to the contractual provisions of the instruments. The investments in equity instruments, units of mutual funds, bonds, debenture, government securities and NRB bond are recognized on trade date at which the company commits to purchase/acquire the financial assets. Regular purchase and sale of financial assets are recognized on trade date.

Classification

The company classifies its financial assets and financial liabilities as per NFRS 9 into the following measurement categories:

Financial assets

a. Financial assets held at fair value through profit or loss;
b. Financial assets held at fair value through other comprehensive income, and
c. Financial assets held at amortized cost.

Financial liabilities

a. Held at fair value through profit or loss, or
b. Held at amortized cost.

Financial assets

The company classifies the financial assets as subsequently measured at amortized cost or fair value on the basis of the company's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets. Interest income from these financial assets is included in Interest Income using the effective interest rate method. The two classes of financial assets are as follows:

a. Financial assets recognized at amortized cost

The company classifies a financial asset measured at amortized cost if both of the following conditions are met:

i. The asset is held within a business model whose objective is to hold assets in order to collect contractual cash flows and;
ii. The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

b.Financial assets recognized at fair value

Financial assets other than those measured at amortized cost are measured at fair value. Financial assets measured at fair value are further classified into two categories as below:

i. Financial assets at fair value through profit or loss (FVTPL)
Financial assets are classified as FVTPL if they are held for trading or are designated at fair value through profit or loss. Upon initial recognition, transaction costs that are directly attributable to the acquisition are recognized in profit or loss as incurred. Such assets are subsequently measured at fair value and changes in fair value are recognized in statement of profit or loss.

ii. Financial assets at fair value through other comprehensive income (FVTOCI)
Investment in an equity instrument that is not held for trading and at the initial recognition, the company makes an irrevocable election that the subsequent changes in fair value of the instrument is to be recognized in other comprehensive income are classified as FVTOCI. Such assets are subsequently measured at fair value and changes in fair value are recognized in other comprehensive income.

Financial Liabilities

The company classifies financial liabilities as follows:

a. Financial liabilities recognized at fair value through profit or loss (FVTPL)

Financial liabilities are classified as FVTPL if they are held for trading or are designated at fair value through profit or loss. Upon initial recognition, transaction costs that are directly attributable to the acquisition are recognized in statement of profit or loss as incurred. Subsequent changes in fair value is recognized at statement of profit or loss.

b. Financial Liabilities recognized at amortized cost

All financial liabilities other than measured at fair value though statement of profit or loss are classified as subsequently measured at amortized cost using effective interest method.

Measurement

a. Initial Measurement

Financial assets and financial liabilities are recognized when the company becomes party to the contractual provisions of the relevant instrument and are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities are added to or deducted from the fair value on initial recognition of financial assets or financial liabilities unless the same is measured at fair value through profit or loss. The transaction cost of financial assets and financial liabilities measured at fair value through profit or loss are expensed in profit or loss.

b. Subsequent Measurement

A financial asset or financial liability is subsequently measured either at fair value or at amortized cost based on the classification of the financial asset or liability.

Financial asset or liability classified as measured at amortized cost is subsequently measured at amortized cost using effective interest rate method. The amortized cost of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured at initial recognition minus principal repayments, plus or minus the cumulative amortization using the effective interest rate method of any difference between that initial amount and the maturity amount, and minus any reduction for impairment or non-collectability.

Further, once a financial asset or a group of similar financial assets has been written down as a result of an impairment loss, interest income is thereafter calculated by applying effective interest rate to the gross carrying amount of a financial asset. Interest income on financial assets which has been individually impaired are not recognized.

Financial assets classified at fair value are subsequently measured at fair value. The subsequent changes in fair value of financial assets at fair value through profit or loss are recognized in statement of profit or loss whereas of financial assets at fair value through other comprehensive income are recognized in other comprehensive income.

De-recognition

a. De-recognition of Financial Assets

Financial assets are derecognized when the right to receive cash flows from the assets has expired, or has been transferred, and the company has transferred substantially all of the risks and rewards of ownership. Financial assets are also derecognized upon write off. Any gain or loss arising on the disposal or retirement of an item of financial asset is determined as the difference between the sales proceeds and its carrying amount and is recognized in the statement of profit or loss. The cumulative gain or loss that was recognized in other comprehensive income, is recognized to statement of profit or loss except for investment in equity instruments measured at fair value through other comprehensive income.

b. De-recognition of Financial Liabilities

A financial liability is derecognized when, and only when it is extinguished (i.e., when the obligation specified in contract is discharged, cancelled or expired). If the liability is renegotiated with the original lender on substantially different contractual terms, the original liability is derecognized and new liability is recognized.

The difference between the carrying amount of a liability (or portion) extinguished or transferred to another party (including related unamortized cost) and the amount paid for it (including any non-cash assets transferred or liability assumed), are included in statement of profit or loss.

Determination of Fair Value

"Fair value" is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the company has access at that date.

The fair value of a liability reflects its non-performance risk. When available, the scheme measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the company uses valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction. The company uses
The fair value measurement hierarchy is as follows:

Level 1: These are quoted prices in active markets for identical assets or liabilities that the company can access at the measurement date. For the majority of its investments, the company relies on information provided by independent pricing services for the valuation of its investments.

A financial instrument is regarded as quoted in an active market if quoted prices are readily and regularly available from NEPSE and are traded frequently i.e., traded within 30 days.

Level 2: These are the inputs other than quoted prices that are observable for the assets or liabilities, either directly or indirectly. These would include prices for the similar, but not identical, assets or liabilities that were then adjusted to reflect the factors specific to the measured asset or liability.

Level 3: These are unobservable inputs for the assets or liability.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price i.e., the fair value of the consideration given or received. Where available, the company measures the fair value of an instrument using quoted prices in an active market for that instrument. If a market for a financial instrument is not active, the company, establishes fair value using an appropriate fair valuation technique.

For all unquoted investment in equity instruments, their cost has been considered as their fair value and accordingly these are recognized at cost, net of impairment if any.

Impairment

At each reporting date, the company assesses whether there is objective evidence that a financial asset or group of financial assets not carried at fair value through the Statement of Profit or Loss are impaired.
A financial asset or a group of financial assets is impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset(s), and that the loss event has an impact on the future cash flows of the asset(s) that can be estimated reliably.

Objective evidence that financial assets are impaired can include significant financial difficulty of the borrower or issuer, default or delinquency by a borrower, restructuring of a loan or advance by the company on terms that the company would not otherwise consider, indications that a borrower or issuer will enter bankruptcy, the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group, or economic conditions that correlate with defaults in the group. In addition, for an investment in an equity security, a significant or prolonged decline in its fair value below its cost is objective evidence of impairment.

a. Impairment of financial assets measured at amortized cost

Impairment of financial assets measured at amortized cost is based on the judgments of past experience of the assets' behavior. In assessing collective impairment, the company uses historical trends of the probability of default, the timing of recoveries and the amount of loss incurred, adjusted for management's judgment as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical trends. Further, management has taken additional external risk (inflation, market risk and risk of data incompleteness) for the impairment of loans and advances.

Default rates, loss rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure that they remain appropriate. Impairment losses on assets measured at amortized cost are calculated as the difference between the carrying amount and the present value of estimated future cash flows discounted at the asset's original effective interest rate. Loans together with the associated allowance are written off when there is no realistic prospect of future recovery and all collateral has been realized or has been transferred to the company.

If in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognized, the previously recognized impairment loss is increased or reduced by adjusting the allowance account. If a write off is later recovered, the recovery is recognized in the 'recovery of loan written off'.

b. Impairment of investment in equity instrument classified as fair value though other comprehensive income

Objective evidence of impairment of investment in an equity instrument is a significant or prolonged decline in its fair value below its cost. Impairment losses are recognized by reclassifying the losses accumulated in the fair value reserve in equity to profit or loss. The cumulative loss that is reclassified from equity to profit or loss is the difference between the acquisition cost, net of any principal repayment and the current fair value, less any impairment loss recognized previously in profit or loss.

3.7 Derivative assets and derivative liabilities

The company does not have any derivative assets and liabilities.

3.8 Trade and Other Payables

Amounts payable to creditors, TDS Payable, amounts refundable to investors, RTS and custodial dividend payable, Advance received/ transfer from DP clients are categorized as trade and other payables.

3.9 Cash and Cash Equivalents

Cash and cash equivalents includes cash in hand, deposits held at call with banks and other short-term investments in an active market with original maturities of three months or less and bank overdrafts.

3.10 Property, Plant and Equipment

Property, plant and equipment are tangible items that are held for use in the production or supply of goods or services or for administrative purposes and are expected to be used during more than one period.

Recognition and Measurement

Items of property, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

Purchased software that is integral to the functionality of the related equipment is capitalized as part of that equipment. If significant parts of an item of property or equipment have different useful lives, then they are accounted for as separate items (major components) of property and equipment.

Any gain or loss on disposal of an item of property and equipment (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognized within other income in profit or loss.
The low value minor equipment below NRs 5,000 are not booked as Property, Plant and Equipment to ease record keeping and is shown under Non Capitalized Expense under Other Administrative Expenses in Explanatory Notes 4.33 as the cumulative impact of such amount is considered immaterial.

Subsequent Costs

Subsequent expenditure is capitalized only when it is probable that the future economic benefits of the expenditure will flow to the Entity. Ongoing repairs and maintenance are expensed as incurred.

Depreciation

Depreciation is calculated to write off the cost of items of property and equipment less their estimated residual values using the straight-line method over their estimated useful lives, and is generally recognized in profit or loss. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Entity will obtain ownership by the end of the lease term. Land is not depreciated.

The estimated useful lives of significant items of property and equipment lives for the current and comparative periods are as follows are as follows:

Asset Type	Useful Life Time (Years)
Laptop and Computers	8 Years
Furniture & Fixtures	8 Years
Office Equipment	8 Years
Motor Vehicles	10 Years
Other Office Equipment	8 Years
Leasehold Developments	As estimated by the management, or within the lease period where applicable. The lease period of current lease agreement is 10 years.

De-recognition

The carrying amount of an item of property, plant and equipment is derecognized on disposal or when no future economic benefits are expected from its use or disposal. The gain or loss arising from de-recognition of an item of property, plant and equipment is included in profit or loss when the item is derecognized.

3.11 Intangible Assets

Software

Software acquired by the Company is measured at cost less accumulated amortization and any accumulated impairment losses.

Subsequent expenditure on software assets is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Software is amortized on a straight-line basis in profit or loss over its estimated useful life, from the date on which it is available for use. The estimated useful lives for the current and comparative periods are as follows:

Asset Type	Useful Life Time (Years)
Software	5 years or license period whichever is earlier

Amortization methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

3.12 Assets held for sale and discontinued operations

Non-current assets (such as property) and disposal groups (including both the assets and liabilities of the disposal groups) are classified as held for sale and measured at the lower of their carrying amount and fair value less cost to sell when:

i. their carrying amounts will be recovered principally through sale;
ii. they are available-for-sale in their present condition; and
iii. their sale is highly probable.

Immediately before the initial classification as held for sale, the carrying amounts of the assets (or assets and liabilities in a disposal group) are measured in accordance with the applicable accounting policies described above.
There are no assets that meet the recognition criteria for assets held for sale and discontinued operation.

3.13 Provisions

A provision is recognized if, as a result of a past event, the Entity has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

3.14 Commitments & Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities.

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognized in the Statement of Financial Position but are disclosed unless they are remote.

3.15 Employee Benefits

Short-term Employee Benefit

Short-term employee benefits are those expected to be settled wholly before twelve months after the end of the annual reporting period during which employee services are rendered, but do not include termination benefits. Salaries, leave benefits, bonus to be paid under Bonus Act, 2030 and non-monetary benefits paid to current employees.

The undiscounted amount of the benefits expected to be paid in respect of service rendered by employees in an accounting period is recognized in that period. The expected cost of short-term compensated absences is recognized as the employees render service that increases their entitlement or, in the case of non-accumulating absences, when the absences occur, and includes any additional amounts an entity expects to pay as a result of unused entitlements at the end of the period.

Defined Contribution Plan

A defined contribution plan is a post-employment plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay a further amount. Obligations for contributions to defined contribution plans are recognized as expense in the profit or loss as and when they are due.

a. Employee's Provident Fund

The company and employee contribute 10% of basic salary (including grade) of each employee to an approved retirement fund.

b. Gratuity

The company contributes 8.33% of basic salary (including grade) of each employee to an approved retirement fund.

Other Long-term Employee Benefits

Other long-term employee benefits are employee benefits other than short-term employee benefits and long-term employee benefits.

a. Leave Encashment

The company's liability towards the accumulated leave (Annual and Sick Leave) which is expected to be utilized beyond one year from the end of the reporting period is treated as other long-term employee benefits. The company's net obligation towards unutilized accumulated leave is calculated by discounting the amount of future benefit that employees have earned in return for their service in the current and prior periods to determine the present value of such benefits. The calculation is performed by a qualified actuary using the projected unit credit method.

The Company recognizes all re-measurement gains and losses including all service cost and interest cost related to other long term employee benefits are expensed in profit or loss account.

3.16 NFRS 16 – Leases:

The company has adopted NFRS 16 "Leases" from 2024 July 16, which has resulted in changes in the accounting policies and adjustments to the amounts recognized in the financial statements. The new standard eliminates the classification of leases as either operating leases or financial leases and introduces a single lessee accounting model. The company has applied NFRS 16 using the modified retrospective approach and therefore the comparative information has not been restated.

The main changes arising on adoption of NFRS 16 were as follows:

1. Interest – bearing lease liability and non-current assets increased on implementation of the standard as obligations to make future payments under leases previously classified as operating leases were recognized on the Balance Sheet, along with the related "Right of Use (ROU)" Asset. Rental payments associated with these leases are recognized in the Income Statement on a straight – line basis over the life of the lease as depreciation and finance costs.
2. Expenditure on operations has decreased and finance costs have increased as operating lease costs have been replaced by depreciation and lease interest expense.
3. The adoption of NFRS 16 required the company to make a number of judgements, estimates and assumptions. These included:
   - The approach to be adopted on transition :- The Company used the modified retrospective transition approach. Lease liabilities were determined based on the value of the remaining lease payments, discounted by the appropriate incremental borrowing rates at the date of initial application (2024 July 16). ROU assets were measured based on the related lease liability as at the date of transition, adjusted for prepaid or accrued lease payments. As the company applied modified retrospective transition approach as per paragraph C5(b) read together with paragraph C8(b)(ii) of NFRS 16, there was impact on equity as at 2024 July 16 and NFRS 16 doesn't allow comparative information to be restated if the modified retrospective transition approach is used.
   - The estimated lease term :- The term of each lease was based on the original lease term unless management was reasonably certain to exercise options to extend the lease.

The discount rate used to determine the lease liablity :- The rates used on transition to discount future lease payments were the company's incremental borrowing rates.

3.17 Statement of Cash flows

The Statement of Cash Flow has been prepared using the "Direct Method" of preparing Cash Flows in accordance with the Nepal Accounting Standard - (NAS 7) "Statement of Cash Flows".

Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

3.18 Events after Reporting Period

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date, the Financial Statements are authorized for issue.

All material and important events that occurred after the reporting date have been considered and appropriate disclosures if any are made in Note to the Financial Statements.

3.19 Earnings per Share (EPS)

The company presents basic and diluted Earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit and loss attributable to ordinary equity holders of Bank by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting both the profit and loss attributable to the ordinary equity holders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares, if any. Earnings per share is calculated and presented in statement of comprehensive income.

3.20 Segmental Reporting

The company is organized for management and reporting purposes into segments such as: Merchant Banking and Fund Management. The segmental information is disclosed in notes.

3.21 Leasehold Assets

The company holds Leasehold Developments on the building leased to it.

4. Other Explanatory Notes

4.1 Property, plant and equipment

Details of property, plant and equipment are presented as follows:

Amount in NPR

Particulars	Leasehold Develop-ment	Computers & Accessories	Office Equipment	Furniture & Fixture	Electric Equipment & ACs	Vehicles	Total
1. Cost							
a. Opening Balance	**7,091,162**	**4,604,245**	**1,899,329**	**671,025**	**2,046,167**	**7,496,369**	**23,808,297**
b. Addition during the year	2,528,528	337,500	270,350	154,019	1,625,051	-	4,915,448
c. Sales/Disposal	-	-	48,478	-	278,000	-	326,478
d. Revaluation / written back this year	-	-	-	-	-	-	-
e. Written off during the year	-	-	-	-	-	-	-
Total Cost (a + b – c + d - e)	**9,619,690**	**4,941,745**	**2,121,201**	**825,044**	**3,393,218**	**7,496,369**	**28,397,267**
2. Accumulated Depreciation							
a. Up to Previous Year	**1,907,845**	**1,717,666**	**809,172**	**239,608**	**491,615**	**1,147,420**	**6,313,325**
b. For this year	915,824	603,812	259,138	99,922	331,412	749,637	2,959,745
c. Depreciation on Assets sold / written off	-	-	22,908	-	129,733	-	152,641
d. Depreciation on revaluation / written back	-	-	-	-	-	-	-
Total Depreciation (a+b-c+d)	**2,823,669**	**2,321,478**	**1,045,402**	**339,530**	**693,294**	**1,897,057**	**9,120,430**
3. Carrying Value (WDV) (1 - 2)							
As on Ashad 31, 2081	**5,183,317**	**2,886,579**	**1,090,157**	**431,417**	**1,554,552**	**6,348,949**	**17,494,971**
As on Ashad 32, 2082	**6,796,021**	**2,620,267**	**1,075,800**	**485,514**	**2,699,924**	**5,599,312**	**19,276,838**

4.2 Intangible Assets

Amount in NPR

Particulars	C-ASBA	Rigo: Accounts, HR & FA	Share plus	Windows Server & CAL	SQL Server & CAL	Website	MF Management System	PBX-System	Wealth	AML / CFT Solution	Investment Software	New Open End MF Software	Issue Management System	Windows Server 2025	New Website Development	Total
1. Cost																
a. Opening Balance	**50,000**	**259,900**	**395,500**	**142,945**	**254,250**	**169,500**	**987,846**	**206,500**	**452,000**	**113,000**	**58,824**	**3,824,999**	**282,500**	**-**		**7,197,764**
b. Addition during the year	-	-	-	-	-	-	-	-	-	-	-	-	-	190,292	203,400	393,692
c. Sales/Disposal	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
d. Revaluation / written back this year	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
e. Written off during the year	49,999	259,899	-	142,943	254,248	169,500	-	-	-	-	-	-	-	-	-	876,591
Total Cost (a + b – c + d - e)	**1**	**1**	**395,500**	**2**	**2**	**-**	**987,846**	**206,500**	**452,000**	**113,000**	**58,824**	**3,824,999**	**282,500**	**190,292**	**203,400**	**6,714,865**
2. Accumulated Amortization																
a. Up to Previous Year	**45,000**	**251,237**	**344,650**	**138,180**	**245,775**	**152,550**	**615,307**	**88,150**	**233,533**	**22,600**	**2,941**	**191,250**	**4,708**	**-**	**-**	**2,335,881**
b. For this year	4,999	8,662	11,300	4,763	8,473	16,949	197,569	41,300	90,400	22,600	11,765	765,000	56,500	12,686	-	1,252,966
c. Amortization on revaluation / written back	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
d. Amortization on Assets sold / written off	49,999	8,663	-	142,943	254,248	169,499	-	-	-	-	-	-	-	-	-	876,588
Total Amortization	**-**	**-**	**355,950**	**-**	**-**	**-**	**812,876**	**129,450**	**323,933**	**45,200**	**14,706**	**956,250**	**61,208**	**12,686**	**-**	**2,712,259**
3. Carrying Value (WDV) (1 - 2)																
As on Ashad 31, 2081	**5,000**	**8,663**	**50,850**	**4,765**	**8,475**	**16,950**	**372,539**	**118,350**	**218,467**	**90,400**	**55,883**	**3,633,749**	**277,792**	**-**	**-**	**4,861,882**
As on Ashad 32, 2082	**1**	**1**	**39,550**	**2**	**2**	**-**	**174,970**	**77,050**	**128,067**	**67,800**	**44,118**	**2,868,749**	**221,292**	**177,605**	**203,400**	**4,002,606**

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4.3 Right of Use (ROU) Assets

The company has leased the Ground Floor, 1st Floor and 3rd Floor of Durga Bhawan, located at Nag Pokhari, Naxal and 2 rooms at Ground Floor at the building located at Nagpokhari, Naxal. The period of the lease is 10 years. The details of ROU Assets by classifying them on the basis of underlying assets has been provided under:

Amount in NPR

Particulars	Amount
Gross Carrying Amount	
a) Opening Balance	-
b) Additions	29,400,049
c) Disposal	-
Total Gross Carrying Amount	**29,400,049**
Accumulated Depreciation	
a) Opening Balance	-
b) Additions	4,833,827
c) Disposal	-
Total Depreciation	**4,833,827**
As on Ashadh 31, 2081	**-**
As on Ashadh 32, 2082	**24,566,222**

4.4 Deferred Tax Asset/Liability

The details of Deferred Tax Asset/Liability are presented are as follows:

SN	Particulars	Carrying Amount	Tax Base	Temporary Difference
A.	**Assets**			
1	Property and Equipment	19,276,838	18,416,825	860,013
2	Intangible Assets	4,002,607	4,143,147	(140,541)
3	Financial Assets Held at FVTPL	231,745,777	234,110,425	(2,364,648)
	Taxable/(Deductible) Temporary Difference on assets			**(1,645,176)**
B.	**Liabilities**			
1	Provision for leave	3,135,230	-	(3,135,230)
	Taxable/(Deductible) Temporary Difference on liabilities			**(3,135,230)**
	Net Taxable/(Deductible) Temporary Difference			**(4,780,406)**
	Current Tax Rate			30%
	Deferred Tax (Assets)/Liability as of Ashadh 32, 2082			**(1,434,122)**
	Opening Deferred Tax (Assets)/Liability			3,052,748
	Add /(Less): Adjustment of Accrued Rent Payable, recognized directly to Equity			464,907
	Adjusted Opening Deferred Tax (Assets)/ Liability			**3,517,655**
	Deferred Tax (Income)/Expenses			**(4,951,777)**

4.5 Financial Assets measured at Amortized Cost

The financial assets measured at amortized cost include investment in fixed deposits and investment in bond and debentures. The details have been presented as below:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Fixed Deposits with Banks	10,0932,067	175,932,067
2	Investment in Debentures	17,521,000	17,521,000
	Total	**118,453,067**	**193,453,067**

The investments have been classified to current and non-current assets as below:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Current Assets	90,000,000	90,000,000
2	Non-current Assets	28,453,067	103,453,067
	Total	**118,453,067**	**193,453,067**

4.6 Financial Assets measured at Fair Value through Profit and Loss (FVTPL)

The details of investment and analysis within the fair value hierarchy at reporting period end have been presented as below:

Investment in:	Ashadh 32, 2082				Ashadh 31, 2081			
	Fair Value as on Ashadh 32, 2082	L1	L2	L3	Fair Value as on Ashadh 31, 2081	L1	L2	L3
Mutual Fund Units	12,613,367	12,613,367	-	-	14,554,600	14,554,600	-	-
Equity Instruments	219,132,410	156,509,018	62,623,392	-	157,278,200	104,654,808	52,623,392	-
Total	231,745,777	169,122,385	62,623,392	-	171,832,800	119,209,408	52,623,392	-

The investment has been classified to non-current assets.

4.7 Inventories

Inventories include stock of stationery to be used in the ordinary course of business.

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Inventories	861,454	461,480
	Total	**861,454**	**461,480**

4.8 Trade and Other Receivables

These current assets include the assets directly held for the ordinary purpose of business. Following are the details:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Account Receivable	28,630,207	26,235,795
2	Less: Impairment	-	-
3	Prepaid Expenses	1,582,630	2,330,694
4	Security Deposit	76,250	70,000
5	Staff Loan	14,211,605	13,935,291
6	Employee Advance	-	68,000
7	Other Receivable	260	3,404
8	Prepaid Employee Benefit Cost	496,414	399,204
9	Interest Receivable	794,540	-
10	Advance for Investment	51,000,000	-
11	PMS Client Receivable	15,225	-
	Total	**96,807,131**	**43,042,388**

4.9 Current Tax Assets/(Liabilities)

The current tax assets include advance tax paid by the company and the tax deducted from payment made to the company by various parties (withholding tax). Similarly, tax liabilities include tax payable by the company computed as per the provision of Income Tax Act, 2058.

The details of current tax assets are presented as follows:

Particulars	Ashadh 32, 2082	Ashadh 31, 2081
Current Tax Assets		
Opening Balance (Net offset with current tax liabilities)	6,032,162	5,328,421
Add: Tax Receivable during the year	26,210,379	29,618,839
Closing balance	**32,242,541**	**34,947,260**
Current Tax Liabilities		
Opening Balance (Net offset with current tax assets)	-	-
Add: Current tax payable during the year	30,519,124	28,915,098
Closing balance	**30,519,124**	**28,915,0983**
Net Current Tax Assets / (Liabilities)	**1,723,417**	**6,032,162**

4.10 Cash and Cash equivalents

Cash and cash equivalents include cash in hand, deposits held at call accounts with banks, other short-term investments in an active market with original maturities of three months or less and bank overdrafts. The details of cash and cash equivalents are presented as follows:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Cash in Hand	-	433
2	Cash at Bank	318,642,484	402,992,174
	Total	**318,642,484**	**402,992,607**

The cash and cash equivalents as presented above also includes restricted cash balances. Restricted cash balances are those which are not available for use by the company. Those includes amounts collected from investors during issue management, dividends uncollected by the investors, and right share amount yet to be refunded.

Following are the details of amount not available for use at reporting period end:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Uncollected Dividend	264,741,215	292,697,446
2	Right Share Refund Payable	288,800	288,800
3	IPO Refund Payable	160,488	160,488
4	Auction Refund & Payable	-	22,799,016
	Total	**265,190,503**	**315,945,750**

4.11 Employee Benefit Obligations

In order to fully provide for the liabilities against staff accumulated leave encashment, the company has made a provision of NPR. 3,135,230 up to July 16, 2025. The details have been presented as follows:

4.11.1 Amount Recognized in Profit and Loss Account

Particulars	FY 2081/82	FY 2080/81
Current Service Cost	707,708	527,952
Interest Cost	134,702	71,487
Expected Return on Plan Assets	-	-
Past Service Cost	-	-
Net Actuarial Losses/(Gains)	1,116,447	755,026
(Gain) / Loss due to Settlements / Curtailments / Acquisitions / Divestitures	-	-
Unrecognized Asset due to Limit in Para 58(b)	-	-
Total Expense/(Income) included in "Employee Benefit Expense"	**1,958,857**	**1,354,465**

4.11.2 Details of amount presented in Statement of Financial Position:

Particulars	FY 2081/82	FY 2080/81
Other Long-term Benefits	3,135,230	1,517,661
Fair Value of Plan Assets	-	-
Funded Status - (Surplus)/Deficit	3,135,230	1,517,661
Unrecognized Past Service Cost / (Credit)	-	-
Unrecognized Asset due to Limit in Para 58(b)	-	-
Liability/(Asset) recognized in Statement of Financial Position	3,135,230	1,517,661
- Current Liability/(Assets)	154,157	108,159
- Non-Current Liability/(Assets)	2,981,073	1,409,502

4.11.3 Change in Present Value of Benefit Obligation during the Period

Particulars	FY 2081/82	FY 2080/81
Other Long-term Benefit, Beginning of Period	**1,517,661**	**1,266,550**
Current Service Cost	707,708	527,952
Interest Cost	134,702	71,487
Actual Plan Participants' Contributions	-	-
Actuarial (Gains)/Losses	1,116,447	755,026
Acquisition/Business Combination / Divestiture	-	-
Actual Benefits Paid	(341,288)	(1,103,354)
Past Service Cost	-	-
Changes in Foreign Currency Exchange Rates	-	-
Loss / (Gains) on Curtailments	-	-
Liabilities Extinguished on Settlements	-	-
Other Long-term Benefits, End of Period	**3,135,230**	**1,517,661**

4.11.4 History of DBO, Asset values, Surplus / Deficit & Experience Gains / Losses

Particulars	FY 2081/82	FY 2080/81
DBO	3,135,230	1,517,661
Plan Assets	-	-
(Surplus)/Deficit	3,135,230	1,517,661
Exp. Adj. - Plan Assets Gain/(Loss)	-	-
Assumptions (Gain)/Loss	942,456	-
Exp. Adj. - Plan Liabilities (Gains)/Loss	173,991	755,026
Total Actuarial (Gain)/Loss	**1,116,447**	**755,026**

4.11.5 Actuarial Assumptions

a.Financial Assumptions

Particulars	FY 2081/82	FY 2080/81
Discount Rate	7%	10%
Salary Escalation Rate	6%	6%
Expected Return on Assets	0%	0%

b.Demographic Assumptions

Particulars	FY 2081/82	FY 2080/81
Mortality Table *	Nepali Assured Lives Mortality (2009)	Nepali Assured Lives Mortality (2009)
Withdrawal Rate	4%	4%
Retirement Age	60 years	60 years

*Mortality Rates: Representative mortality rates from Nepali Assured Lives Mortality (2009) are given in the table below.

Age	Rate	Age	Rate
20	0.0010300	50	0.0057240
25	0.0011770	55	0.0094470
30	0.0012190	60	0.0143810
25	0.0014590	65	0.0238270
40	0.0021960	70	0.0400580
45	0.0033650	75	0.0656580

c.Timing Related Assumptions

Time of Retirement	Immediately on achieving normal retirement
Salary Increase frequency	Once a year

4.11.6 Other Disclosures

Recognition of Actuarial Gain / Loss	FY 2081/82	FY 2080/81
Actuarial (Gain)/Loss arising on DBO	1,116,447	755.026
Actuarial (Gain)/Loss arising on Plan Assets	-	-
Total (Gain)/Loss recognized during the period	1,116,447	755,026
Unrecognized Actuarial (Gain)/Loss, End of Year	-	-

4.12 Lease Liabilities

At the date of commencement, the company has recognized the right of use of assets and corresponding lease liability at present value of the future lease payment discounted at rate of 10.00% p.a. over the lease period. The interest rate has been assumed to be the effective rate of interest implicit in the lease for the purpose of discounting. Interest expense accrued on lease liability, being a component of finance cost is presented separately as a charge in the statement of Profit or Loss.

Particulars	FY 2081/82	FY 2080/81
Current Lease Liabilities	4,349,980	-
Non-Current Lease Liabilities	20,822,016	-
Total	**25,171,996**	**60 years**

Maturity analysis of Lease Liabilities:

Period of settlement of lease liabilities	Amount
Within 1 year	4,902,640
Within 1 to 5 years	21,877,444
Beyond 5 years	-
Total	**26,780,084**

4.13 Trade and other payables

Trade liabilities include the current liabilities directly related to the operating income or expenses.

Details of trade and other payable are presented as follows:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Accounts Payable	7,495,828	4,532,951
2	CIT Payable	255,682	-
3	Employee Payable	16,999	39,668
4	Gratuity Payable	93,297	-
5	Provident Fund Payable	224,326	324
6	TDS Payable	647,842	528,474
7	Other Payables	1,841,773	4,792,297
8	Dividend Payable	264,741,215	292,697,446
9	Right Share Refund Payable	288,800	288,800
10	IPO Refund Payable	160,488	160,488
11	Auction Refund & Payable	-	22,799,016
12	Payable to Board Members	38,246	11,900
13	Advance Received	11,844	18,194
14	Staff Bonus Payable	9,764,475	12,251,661
15	VAT Payable	-	1,125
16	Debenture Interest Refund Payable	6,401,939	3,343,792
	Total	**291,982,754**	**341,466,136**

4.14 Provisions

The details of provision are as follows:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Provision for Expenses	213,891	455,979
	Total	**213,891**	**455,979**

4.15 Deferred Revenue

Deferred revenue is the revenue already received but related service is yet to be performed. The details are as follows:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	RTS Fee Received in Advance	707,115	799,808
2	Debenture Trusteeship Fee Received in Advance	256,161	220,626
	Total	**963,276**	**1,020,434**

4.16 Share Capital

The capital structure of the company is presented as follows:

Particulars	Value per Share	Ashadh 32, 2082		Ashadh 31, 2081	
		No. of Shares	Amount	No. of Shares	Amount
Authorized capital	100	5,000,000	500,000,000	5,000,000	500,000,000
Issued and subscribed capital	100	4,000,000	400,000,000	4,000,000	400,000,000
Paid-up capital	100	4,000,000	400,000,000	4,000,000	400,000,000

Following is the reconciliation of outstanding number of shares at the reporting period end.

Particulars	Ashadh 32, 2082	Ashadh 31, 2081
Number of paid-up outstanding shares at beginning	4,000,000	4,000,000
Add: Additional issue of equity instruments	-	-
Add: Issue of bonus shares	-	-
Number of paid-up shares outstanding at period end	**4,000,000**	**4,000,000**

4.17 Reserve and Surplus

All accumulated profit reduced by distribution is represented under Reserve and Surplus. Following is the details of Reserve and Surplus:

Particulars	Ashadh 31, 2082	Ashadh 31, 2081
Opening Balance	92,658,399	75,247,171
Add/(Less): Restatement/ Adjustment	1,084,783	-
Add: Net profit during the year	62,302,789	77,411,229
Less: Distribution during the year	(60,000,000)	(60,000,000)
Closing Balance	**96,045,971**	**92,658,399**

4.18 Income from Merchant Banking Activities

The income from merchant banking activities comprises income from RTS/RTS, income from depository participant (DP), income from issue management and underwriting. The following table summarizes the income earn from each of these activities:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	**Income from Share Registrar**	**2,245,274**	**2,287,419**
	Other Income from RTS	185,279	259,548
	RTS Fee	2,015,529	1,938,493
	Debenture Trusteeship Fee	44,466	40,931
	Bonus/Right Share Credit Charge	-	48,447
2	**Income from DP**	**42,983,112**	**34,023,089**
	Account Opening Fee	2,782,200	1,962,300
	Account Operation Annual Fee	22,199,139	18,037,045
	Mero Share Registration Fee	1,001,850	744,750
	Mero Share Renewal Fee	6,948,400	4,626,650
	Other Income from DP	32,788	74,919
	Securities Transfer Fee	9,145,375	8,350,325
	Pledge Acceptance Fee	837,000	178,000
	Pledge Set-up Fee	36,360	49,100
3	**Income from Issue Management and Underwriting**	**9,791,831**	**14,183,927**
	ASBA Fee	6,113,080	206,954
	Issue Management Fee	450,000	2,861,877
	Underwriting Fee	3,228,751	10,957,504
	Auction Management Fee	-	157,592
	Grand Total	**55,020,217**	**50,494,435**

4.19 Income from Mutual Fund Operations

It includes the income earned from mutual fund schemes managed by the company. The company also earns income for providing depository service to the schemes. The details are presented as below:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	**Fund Management Fee**	**57,635,401**	**44,921,200**
	Fund Management Fee from Kumari Equity Fund	16,426,441	15,229,095
	Fund Management Fee from Kumari Dhanabriddhi Yojana	21,252,134	19,564,659
	Fund Management Fee from Kumari Sunaulo Lagani Yojana	7,884,697	5,870,452
	Fund Management Fee from Kumari Sabal Yojana	12,072,129	4,256,994
2	**Depository Fee**	**7,684,720**	**5,989,493**
	Depository Fee from Kumari Equity Fund	2,190,192	2,030,546
	Depository Fee from Kumari Dhanabriddhi Yojana	2,833,618	2,608,621
	Depository Fee from Kumari Sunaulo Lagani Yojana	1,051,293	782,727
	Depository Fee from Kumari Sabal Yojana	1,609,617	567,599
	Grand Total	**65,320,121**	**50,910,693**

4.20 Income from Portfolio Management Services

It includes the income earned from portfolio management service which includes entry fee, exit fee, fixed annual management fee and performance-based management fee. The details are presented as below:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	PMS Entry Fee	82,000	103,500
2	PMS Exit Charge	32,119	23,576
3	Performance Fee	3,413,926	39,115
4	Annual Fee	847,981	748,498
	Total	**4,376,026**	**914,689**

4.21 Income from Corporate Advisory Services

It includes the income earned from different advisory service including valuation and fund-raising consultancy fee as per the agreement. The details are presented as below:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Fund Raising Fee	1,358,445	580,125
2	Valuation Fee	100,000	100,000
3	Advisory Fee	2,950,000	-
	Total	**4,408,445**	**680,125**

4.22 Interest Income

It includes the interest income earned from Fixed Deposits, Bond and Debentures and Call Accounts maintained with various banks and financial institutions. The details are presented as below:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Interest Income from Fixed Deposit	26,633,609	46,817,172
2	Interest Income from Call Deposit	1,495,719	2,338,296
3	Interest Income from Bond and Debenture	1,862,349	8,117,377
	Total	**29,991,677**	**57,272,845**

4.23 Net gain/ (loss) on Financial Assets held at fair value

It includes the capital gain/(loss) realized on disposal of investment made in equity instruments including mutual fund units and the dividend income earned from such investments:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Gain on Disposal of Financial Assets held at fair value	20,597,836	7,447,604
2	Dividend Income	2,541,498	1,209,902
	Total	**23,139,334**	**8,657,506**

4.24 Net Unrealized gain/(Loss) on Financial Assets held at fair value

Following table summarizes the change in fair value of FVTPL Financial Assets:

Investment in:	Ashadh 32, 2082			Ashadh 31, 2081		
	Cost	Fair Value	Gain/(Loss)	Cost	Fair Value	Gain/(Loss)
Mutual fund	12,503,845	12,613,367	109,522	14,763,000	14,554,600	(208,400)
Equity Investments	229,106,152	219,132,411	(9,973,742)	145,443,258	157,278,200	11,834,942
Total	**241,609,997**	**231,745,778**	**(9,864,219)**	**160,206,258**	**171,832,800**	**11,626,542**

4.25 Other Income

The details of other income are presented as below:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Miscellaneous Income	359,822	843,189
2	Interest on Staff Loan	935,257	935,078
	Total	**1,295,079**	**1,778,267**

4.26 Merchant Banking Related Expenses

These expenses represent the expenses directly related to the merchant banking service of the company.

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Issue Management & Underwriting Expenses	3,464,101	-
2	Merchant Banking License Renewal Fee	705,000	705,000
3	SEBON Fee on Merchant Banking Income	2,227,934	1,963,825
4	CDS Service Fee	8,452,120	6,184,741
5	BO Correction Charge	-	100
	Total	**14,849,155**	**8,853,666**

4.27 Mutual Fund Related Expenses

These are the expenses directly related to the mutual fund operations. The details have been presented as follows:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Licensing/Renewal Fee	125,000	125,000
2	SEBON Fee on Fund Management and Depository Fee	1,959,604	1,527,321
3	Fund Management Quality Rating Fee	686,333	419,414
	Total	**2,770,937**	**2,071,735**

4.28 Portfolio Management Related Expenses

These expenses represent the expenses directly related to the portfolio management service. The details have been presented as follows:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	SEBON Fee on PMS Income	131,281	27,441
2	PMS Administrative Expenses	39,540	42,250
	Total	**170,821**	**69,691**

4.29 Corporate Advisory Related Expenses

The details of corporate advisory related expenses have been presented as below:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	SEBON Service Fee on Fund Raising and Valuation Fee	132,253	20,404
	Total	**132,253**	**20,404**

4.30 Other Operating Expenses

The details of other operating expenses have been presented as below:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Brokerage, DP and SEBON Charges	1,487,823	869,363
2	Corporate Social Responsibility Expenses	284,829	368,980
3	Registration Fee	300,000	-
	Total	**2,072,652**	**1,238,343**

4.31 Non-Operating Income/(Expenses)

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Gain/(Loss) on Disposal of Property, and Equipment	(103,835)	(1,109,433)
2	Exchange Fluctuation (Loss) / Gain	1,041	1,579
	Total	**(102,794)**	**(1,107,854)**

4.32 Staff Cost

The details of staff cost have been presented as below:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Festival Allowance	1,703,947	1,396,727
2	Forced Leave Allowances	1,105,542	965,235
3	Staff Insurance Premium	1,257,455	1,178,246
4	Intern Expenses	21,958	15,875
5	Leave Expenses	2,106,210	1,354,465
6	Gratuity Expenses	1,121,642	995,739
7	Provident Fund Expenses	1,346,509	1,195,190
8	Salary and Allowance	21,418,279	19,135,124
9	Staff Bonus Expenses	9,764,475	12,251,661
10	Staff Refreshment and Recreation Expenses	843,174	891,160

11	Staff Welfare Expenses	4,955	4,510
12	Travelling Allowance and Daily Allowance (TADA)	43,820	105,950
13	Amortization of Prepaid Employee Benefit Cost	244,059	304,823
14	Transportation Allowance	1,715,785	1,832,688
15	Performance Allowance	600,000	-
	Total	**43,297,810**	**41,627,393**

4.33 General Administrative Expenses

The details are as follows:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081
1	Annual General Meeting Expenses	273,267	204,642
2	Advertisement and Publicity Expenses	163,097	182,127
3	Annual Maintenance Charge	3,803,111	1,868,544
4	Audit Fees (External)	113,000	113,000
5	Audit Fees (Internal)	113,000	169,500
6	Audit Expenses	33,698	23,004
7	Business Development Expenses	52,381	102,642
8	Consultancy Fees	15,953	15,953
9	Electricity and Water	650,627	617,172
10	Fuel (Petrol)	523,053	517,978
11	Insurance Premium	99,636	123,990
12	Janitorial Expenses	515,729	328,516
13	Kitchen Expenses	1,105,037	1,069,525
14	Marketing Expenses	431,160	179,987
15	Meeting Allowance	612,500	575,500
16	Membership Fee	56,780	62,860
17	Miscellaneous Expenses	70,108	126,044
18	Notice Publication Charge	23,504	17,412
19	Non-Capitalized Expense	238,560	-
20	Office Upkeep Expenses	102,000	51,138
21	Office Rent	-	4,114,452
22	Other Meeting related Expenses	134,961	134,507
23	Other Office Expenses	435,292	654,932
24	Outsourcing Expenses	493,166	-
25	Parking Fees	158,539	-
26	Periodicals and Books	11,703	10,342
27	Postage, Telephone, Email, Internet	845,761	792,816
28	Printing and Stationery	513,939	510,329
29	Rates, and Taxes	15,000	30,000
30	Repair and Maintenance	210,791	97,397
31	Security Expenses	718,083	681,973
32	Training Expenses	74,025	260,888
33	Travelling Expenses	59,681	25,008
34	Vehicle Renewal Charge	42,805	29,100
35	Business Registration and Renewal Charge	22,500	22,500
36	Website Redesigning Expenses	-	14,500
	Total	**12,732,447**	**13,728,278**

4.34 Finance Cost on Lease Liabilities

Finance costs comprises of interest on lease liabilities. The details are as below:

Particulars	Ashadh 32, 2082	Ashadh 31, 2081
Finance Cost on Lease Liabilities	631,001	-
Total	**631,001**	**-**

4.35 Income Tax Expenses

Current year tax liability has been recognized on statement of profit or loss account at the rate of 30%, after required adjustment to arrive at taxable profit. Similarly, deferred tax is computed at 30% of the temporary differences between accounting base and tax base. Deferred tax assets/liabilities and the calculation of deferred taxes are given in Note 4.4.

Following are the details of tax expenses recognized in statement of profit or loss:

Particulars	Ashadh 32, 2082	Ashadh 31, 2081
Current Tax Expenses	**30,529,260**	**28,915,098**
in respect of current year	30,519,124	28,915,098
in respect of previous year	10,136	-
Deferred Tax (Income)/Expenses	**(4,951,777)**	**3,938,619**
in respect of current year	(4,951,777)	3,938,619
Total Income Tax Expenses Recognized during the year	**25,577,483**	**32,853,717**

Following table shows the reconciliation of tax expenses with the product of accounting profit multiplied by applicable tax rate.

Particulars	Ashadh 32, 2082	Ashadh 31, 2081
Profit/ (loss) before tax for the year	87,880,272	110,264,946
Income tax expenses calculated at 30 %	26,364,082	33,079,484
Less: Effect of incomes that are not taxable for the year	**10,136**	**-**
Net unrealized gain on financial asset measured at fair value	-	3,487,963
Net gain/ (loss) on FVTPL Financial Assets (Recognized based on fair value accounting)	6,179,351	2,234,281
Dividend Income received from resident companies	646,949	208,471
Interest on Staff Loan (Unwinding of Interest)	73,218	91,447
Add: Effect of expenses that are not deductible for taxation		
Leave Expenses (Provisioned based on actuarial valuation)	587,657	406,340
Amortization of Prepaid Employee Benefit Cost	73,218	91,447
Depreciation and Amortization	1,263,813	1,005,838
Finance Cost on Lease Liabilities	189,300	-
Depreciation on Right of Use (ROU) Assets	1,450,148	-
Repair & Improvement	63,237	29,219
Non-operating Expenses	30,838	332,356
Net unrealized loss on financial asset measured at fair value	2,959,266	-
Less: Effect of expenses that are deductible for taxation		
Depreciation and amortization as per tax law	1,333,846	1,338,400
Repair & Improvement as per tax law	63,237	29,219
Actual Office Rent Expenses	1,457,716	
Loss on FVTPL financial assets (Based on actual cost)	(7,291,882)	(1,360,196)
Current Tax Expenses in respect of current year	**30,519,124**	**28,915,098**
Effective Tax Rate	**34.73%**	**26.22%**

4.36 Status of Tax Assessment

The self-assessment returns filed by the company for FY 2074/75 to 2080/81, has not yet been opened for reassessment by the inland revenue office.

4.37 Statutory Reserves and Funds

The reserve & surplus of the company includes statutory reserves and funds set aside for specific purpose pursuant to Securities Businessperson (Merchant Bankers) Regulation, 2064.

i. Corporate Social Responsibility (CSR) Fund

The company has expensed Rs. 284,829 on activities relating to CSR during the year. Hence, the amount has been transferred from CSR Fund created in previous year to Accumulated Profit/Loss in the current year.

The company has created additional amount of Rs. 623,028 to CSR Fund being 1% of net profit after tax pursuant to Section 30Ka (2) of Securities Businessperson (Merchant Bankers) Regulation, 2064. The fund so created shall be used for CSR activities in the next fiscal year.

The total movement of Corporate Social Responsibility Fund has been presented in the Statement of Changes in Equity.

ii.General Reserve

The company has created additional amount of Rs. 6,230,279 to General Reserve Fund being 10% of net profit after tax pursuant to Section 38Ka (1) of Mutual Fund Regulation, 2067.

The total movement of General Reserve has been presented in the Statement of Changes in Equity.

4.38 Related Party

A person or entity is considered a related party if it:
a. controls or has significant influence to the Company
b. is subsidiary, joint venture, associates or in which the Company can have significant influence
c. is member of key management personnel of the company or its parent.

Directors and other Key Management Personnel (KMP)

The key management personnel are those persons having authority and responsibility of planning, directing and controlling the activities of the entity, directly or indirectly including any director. The key management of the company includes members of its Board of Directors, Chief Executive Officer, Company Secretary and other staff holding positions of and above the level of Assistant Manager and/or staff acting as head of the department of the company. The name of the key management personnel who were holding various positions in the office during the year were as follows:

Member of Board of Directors

Name of Key Management Personnel	Post
Mr. Sudhir Nath Pandey	Chairman
Mr. Rohit Singh	Director
Mr. Arpan Pokhrel	Director
Mr. Laxmi Prasad Duwal	Independent Director
Ms. Renu Bhusal	Independent Director
Ms. Namita Shakya*1	Former Independent Director
Mr. Bikas Khanal*2	Former Chairman

**1 Resigned from Independent Director w. e. f. 2081/04/15*

**2 Changed as per the decision of the bank w. e. f. 2081/04/21*

Other Key Management Personnel

As of FY 2079/80, the Company has revised its definition of Key Management Personnel (KMP) for disclosure in the financial statements. Previously, only the staff holding positions of and above the level of Chief Manager and Company Secretary was considered as KMP. However, starting from the FY 2079/80, the definition has been expanded to include Chief Executive Officer and other staff holding positions of and above the level of Assistant Manager and/or staff acting as head of the department.

The revised definition of KMP now includes individuals who have the authority and responsibility for planning, directing, and controlling the activities of the Company. This change has been made to enhance transparency and align with corporate governance best practices.

As a result of the change, the number of Key Management Personnel has increased from two in FY 2078/79 to five from FY 2079/80.

Name	Designation
Mr. Puspa Sharma	Chief Executive Officer
Mr. Sagar Tamrakar	Company Secretary
Mr. Anup Shakya	Head – Finance, Admin & HR
Mr. Sabin Budhathoki	Head – Merchant Banking
Mr. Mamin Shakya	Head – Investment Banking
Mr. Bikranta Koirala*	Former Company Secretary

**changed as per the decision of the bank w. e. f. 2082/02/30.*

Holding Company

Kumari Bank Limited (KBL)

A. Compensation to Members of Board of Directors

As per the amended provision of Articles of Association of the company as approved by 5th Annual General Meeting dated 2080 Bhadra 21, the directors are entitled to meeting allowance at Rs. 7,000 per meeting and the company secretary is entitled to Rs. 3,500 per meeting. Previously, the directors are entitled to meeting allowance at Rs. 5,000 per meeting and the company secretary is entitled to Rs. 2,500 per meeting. The details relating to compensation paid to the directors are as follows:

Particulars	Ashadh 32, 2082	Ashadh 31, 2081
Meeting Allowance	553,000	520,000
Total	**520,000**	**380,000**

B. Compensation to other Key Management Personnel

The compensation paid to other member(s) of KMP is governed by Employee Service Byelaw of the company and the decisions made by the management from time to time.

In FY 2078/79, the Company reported the compensation of Key Management Personnel (KMP) based on the previous definition of KMP, which included only the staff holding positions of and above the level of Chief Manager and Company Secretary. As disclosed above, the definition of KMP has been revised FY 2079/80 to include Chief Executive Officer and other staff holding positions of and above the level of Assistant Manager and/or staff acting as head of the department.

Due to the change in the definition of KMP, the compensation paid to Key Management Personnel for the previous year has been reevaluated and adjusted accordingly. The details relating to compensation paid to other key management personnel along with the revised disclosure of KMP compensation for the previous year are as follows:

Particulars	Ashadh 32, 2082	Ashadh 31, 2081
Short term employee benefits		
Salary & Allowances	7,477,084	6,818,087
Employee Bonus*	3,916,566	4,431,916
Festival Allowance	594,609	580,071
Gratuity	388,635	344,769
Provident Fund	466,548	1,832,688
Forced Leave Allowance	389,704	423,461
Transportation Allowance	1,715,785	352,743
Performance Allowance	600,000	-
Meeting Allowance**	31,500	29,500
Total Short Tern Employee Benefits (A)	**15,580,431**	**14,813,235**
Other Long-term Employee Benefits		
Payment against annual leave	41,156	31,378
Total Other Long-term Employee Benefits (B)	**41,156**	**31,378**
Post-Employment Benefits		
- Retirement Leave	-	220,364
Total Post-Employment Benefits (C)	**-**	**220,364**
Total Benefits (A+B+C)	**15,621,587**	**15,064,977**

** Represents the bonus distributed in FY 2081/82 out of profit of FY 2080/81.*
*** Represents allowance paid to the company secretary who doesn't get other compensation.*

C. Related Party Transactions

a. Related Party Transactions with Holding Company

The company has entered into the agreement with Kumari Bank Limited for providing Registrar to the Shares Service with respect the ordinary shares, 10.25% KBL Debenture 2086, 11% KBL Debenture 2089, 10% KBL Debenture 2090 and 9.5% NCC Rinpatra 2086 for annual fee of Rs. 1,500,000, Rs. 100,000 Rs. 100,000, Rs. 100,000 and Rs. 100,000 respectively. The provisions led in the agreements are in line with arms-length principle.

The following is the related party transactions with the Holding Company:

S. N.	Particulars	Ashadh 32, 2082	Ashadh 31, 2081	Nature of Transactions
1	Deposit at KBL (Operating Account)	33,140,755	60,722,755	Bank Deposit
2	Deposit at KBL (Other Bank Balances)	30,464,029	51,907,610	Bank Deposit
3	Interest earned from accounts maintained at KBL	1,252,574	1,819,587	Interest Income
4	RTS fee from KBL for ordinary shares and Debentures	1,830,000	1,798,493	RTS Fee Income
5	Share/Debenture Credit Charge received from KBL	-	48,447	Share / Debenture Credit Charge Income
6	ASBA Fee received from KBL	288,582	9,842	ASBA Fee Income
7	Auction Management Fee received from KBL	-	157,592	Auction Management Fee

b. Related Party Transactions with Kumari Samuhik Lagani Kosh

Kumari Capital Limited serves as both the Fund Manager and Depository for Kumari Samuhik Lagani Kosh in return the company receives Fund Management Fee and Depository Fee from the schemes. It manages four schemes, namely Kumari Equity Fund (KEF), Kumari Dhanabriddhi Yojana (KDBY), Kumari Sunaulo Lagani Yojana (KSLY) and Kumari Sabal Yojana (KSY). Below are the related party transactions made during the year:

Related Party	Relation	Fund Management Fee		Depository Fee		Outstanding Balance	
		FY 2081/82	FY 2080/81	FY 2081/82	FY 2080/81	FY 2081/82	FY 2080/81
KEF	Fund Manager and Depository	16,426,441	15,229,095	2,190,192	2,030,546	4,670,706	4,457,447
KDBY		21,252,134	19,564,659	2,833,618	2,608,621	6,079,037	5,744,102
KSLY		7,884,697	5,870,452	1,051,293	782,727	2,682,490	1,742,278
KSY		12,072,129	4,256,994	1,609,617	567,599	3,473,315	3,228,531

The outstanding related party balances have not been subjected to any provision or impairment allowances by the company. Additionally, the company has not recognized any expenses for bad or doubtful debts related to these outstanding balances. Furthermore, no guarantees have been obtained by the company in connection with these transactions.

4.39 Events after Reporting Period

There have been no events after reporting period that have come to our attention.

4.40 Operating Segment Information

A. General Information

The company has identified the reportable segment as the business activities from which it earns revenues and incurs expenses, whose operating results are reviewed by the management to make decision about the allocation of resources to each segment and assess its performance.

The following are the major business segments identified based on the nature of products and services:

i. Mutual Fund Management
ii. Merchant Banking
iii. Portfolio Management
iv. Corporate Advisory
v. Investment

The segment results that have been reported include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

Factors that management used to identify the entity's reportable segments

i. Mutual Fund Management

This segment includes fund management and depository service being provided to the mutual fund schemes operated under Kumari Samuhik Lagani Kosh. The segment generates revenue in the form of fund management fee and depository fee from the mutual fund schemes managed by it.

ii. Merchant Banking

This segment includes issue management and underwriting, registrar to the shares, depository services. The segment generates revenue from issue management and underwriting service, share/debenture registrar service, registration of demat account and meroshare account etc.

iii. Portfolio Management

This segment includes management of investment portfolio on behalf of the clients. This segment generates revenue from entry and exit fee, fixed annual management fee and management fee based on performance.

iv.Corporate Advisory

This segment includes corporate advisory service to advise on complete business and financial solutions for public and private companies, corporations, financial institutions and government institutions, who require strategic and tactical advice in identifying opportunities, corporate financing and strategic options related with private equity & venture capital (PE/VC), financial planning and restructuring, loan syndication, business valuation and merger & acquisition (M&A). This segment generates revenue from different advisory service based on performance.

v.Investment

This segment includes activities relating to investment/trading in equity instruments, investment in debentures and placement of fund in fixed deposits. The segment generates its revenue from the interest on debentures and fixed deposits, and gain on trading of equity instruments.

B. Information about profit or loss, assets and liabilities

Particulars	Mutual Fund Management	Merchant Banking	Portfolio Management	Corporate Advisory	Investment	Total
Revenue from external customers	65,320,121	55,020,217	4,376,026	4,408,445	41,771,073	170,895,882
Expenses to external customers	2,770,937	14,849,155	170,821	132,253	1,487,823	19,410,989
Intersegment Revenue	-	-	-	-	-	-
Segment Profit	**62,549,184**	**40,171,062**	**4,205,205**	**4,276,192**	**40,283,250**	**151,484,893**
Segment Assets	**16,905,548**	**271,592,442**	**-**	**-**	**350,198,844**	**638,696,834**
Segment Liabilities	**-**	**272,567,561**	**-**	**-**	**-**	**272,567,561**

Notes having brief description for above items are provided below:

a. Revenues from External Customers: Revenue from external customers have been segregated according to the nature of segment.

b. Expenses to External Customers: Expenses to external customers have been segregated according to the nature of segment.

c. Segment Profit: Segment profit is revenue from external customers less expenses to external customers.

C. Reconciliations of reportable segment revenues, profit or loss, assets and liabilities

a. Revenue

Particulars	Amount
Total revenue for reportable segments	170,895,882
Other revenue	2,790,798
Elimination of intersegment revenue	-
Entity's Revenue	**173,686,680**

b. Profit and Loss

Particulars	Amount
Total profit and loss for reportable segments	151,484,893
Elimination of intersegment profit	-
Unallocated amounts	(63,604,621)
Entity's profit before tax	**87,880,272**

c. Assets

Particulars	Amount
Total assets for reportable segments	638,696,834
Unallocated amounts	178,816,284
Entity's Assets	**817,513,118**

d. Liabilities

Particulars	Amount
Total liabilities for reportable segments	272,567,561
Unallocated amounts	48,899,586
Entity's Liabilities	**321,467,147**

D. Information about products and services

Revenue from each type of product and services described in point no. B above:

Particulars	Amount
Mutual Fund Management	65,320,121
Merchant Banking	55,020,217
Portfolio Management	4,376,026
Corporate Advisory	4,408,445
Investment	41,771,073
Total	**170,895,882**

4.41 Earnings per share (EPS)

i. Basic Earnings per Share (BEPS)

Particulars	FY 2081/82	FY 2080/81
From continuing operations attributable to the ordinary equity holders of the company	15.58	19.35
From discontinued operation	-	-
Total basic earnings per share attributable to the ordinary equity holders of the company	15.58	19.35

ii. Diluted Earnings per Share (DEPS)

Particulars	FY 2081/82	FY 2080/81
From continuing operations attributable to the ordinary equity holders of the company	15.58	19.35
From discontinued operation	-	-
Total basic earnings per share attributable to the ordinary equity holders of the company	15.58	19.35

iii. Reconciliations of earnings used in calculating earnings per share For Basic Earnings per Share

Particulars	FY 2081/82	FY 2080/81
Profit attributable to the ordinary equity holders of the company used in calculating basic earnings per share:		
- From continuing operations	62,302,789	77,411,229
- From discontinuing operations	-	-
Total	**62,302,789**	**77,411,229**

For Diluted Earnings per Share

Particulars	FY 2081/82	FY 2080/81
Profit attributable to the ordinary equity holders of the company used in calculating basic earnings per share:		
- Used in calculating basic earnings per share	62,302,789	68,528,000
- Adjustments for income or expenses that would result from conversation of dilutive potential ordinary shares	-	-
Total	**62,302,789**	**68,528,000**

iv. Weighted average number of shares used as the denominator

Particulars	FY 2081/82	FY 2080/81
Weighted average number of ordinary shares used as the denominator in calculating basic earnings per share	4,000,000	4,000,000
Adjustments for calculation of diluted earnings per share	-	-
Weighted average number of ordinary shares and potential ordinary shares used as the denominator in calculating diluted earnings per share	4,000,000	4,000,000

4.42 Interim Financial Reporting

NAS 34, "Interim Financial Reporting" doesn't mandate Kumari Capital Limited to publish interim financial reports. Since, the shares of KCL are not listed and is wholly owned by Kumari Bank Limited, KCL is not required by any regulatory or other bodies which may govern its operating activities to publish interim financial reports.

4.43 Contingent Liability

The company has underwriting commitment relating to the various IPOs amounting to NPR. 82,500,000. The issuance process of the shares has not been initiated during the reporting period.

4.44 Risk Management

The Board of Directors has the overall responsibility for the establishment and oversight of the company's risk management framework. The wide-ranging risk categories that include Market, Liquidity, Credit, and Operational Risk are reviewed, measured, monitored and controlled.

A. Market Risk

Market risk is the risk that changes in market prices, interest rate, foreign exchange rate will affect the company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return on risk.

B. Credit Risk

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss to the company. The company manages the credit quality of financial assets using internal credit ratings. The company's exposure and the credit rating of its counterparties are continuously monitored.

C. Liquidity Risk

Liquidity risk is the risk that the Entity will not have adequate financial resources to meet Entity's obligations as when the fall due. This risk arises from mismatches in the timing of cash flows. The management of liquidity risk includes taking steps to ensure, as far as possible, that it will always have adequate financial resources to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the company's reputation.

D. Operational Risk

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the Entity's involvement with financial instruments, including processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behavior. The company's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the business reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity. The compliance with company's internal controls and procedures is supported by a program of periodic reviews undertaken by internal audit. The results of internal audit reviews are discussed with the management of the business units with summaries submitted to the Audit Committee.

4.45 Proposed Dividend

The Board of Directors meeting of Kumari Capital Limited held on Bhadra 13, 2082 has proposed cash dividend amounting to NPR 68,000,000 (17% of paid-up capital) including tax from retained earning including current year profit.

Puspa Sharma Chief Executive Officer	**Sudhir Nath Pandey** Chairman	**Rohit Singh** Director	**Arpan Pokhrel** Director
Anup Shakya Head - Finance, Admin & HR	**Laxmi Prasad Duwal** Independent Director	**Renu Bhusal** Independent Director	

As per our attached report of even date

On Behalf of K. P. N. & Associates, Chartered Accountants

FCA Keshab Prasad Neupane
Proprietor

Milestones, CSR & Achievements



Corporate Social Responsibility

At Kumari Bank Limited, our guiding principle "Do well by doing good" is more than a motto; it is the foundation of our corporate identity. We firmly believe that true success is achieved when business growth and community well-being advance together. By investing in initiatives that uplift society and strengthen social harmony, we not only fulfill our responsibility as a financial institution but also reinforce our competitive edge and long-term sustainability.

To ensure that our commitment creates lasting impact, we direct our Corporate Social Responsibility (CSR) investments toward sustainable, high-value social initiatives designed to generate enduring benefits for the communities we serve. Our dedication to this purpose is reflected in our establishment of a fully operational CSR unit, making us one of the few banks in Nepal with such a focused and structured approach to social responsibility.

Since the beginning, CSR has been an integral part of our strategic vision driving us to contribute meaningfully to the overall well-being of society. Our sustained efforts, guided by strong corporate citizenship values, have earned us notable recognition and respect within the Nepali banking sector.

At Kumari Bank, we remain committed to creating positive, lasting change because doing good is not just what we do; it is who we are.

Investing for Shared Sustainable Prosperity

Kumari Bank's community outreach efforts are deeply rooted in our commitment to uplift and empower society. Our initiatives in education, health, environment, and social development form the cornerstone of our CSR vision, reflecting our dedication to creating meaningful and lasting impact.

We actively work to enhance the well-being of people across Nepal by supporting sustainable programs and extending assistance to a wide range of institutions, welfare organizations, and community groups. Our reach stretches far beyond our physical branches touching the lives of marginalized and targeted communities in some of the most remote regions of the country. Over the years, our initiatives have positively transformed the lives of thousands of individuals, reinforcing our belief in inclusive progress.

At Kumari Bank, we view social responsibility as an essential extension of our business values. Alongside our financial goals, we remain deeply committed to contributing to the greater good. Our efforts are focused on five key areas of high social relevance, ensuring that our contributions generate lasting, measurable benefits for the communities we serve.

a. Education:

In line with our commitment to fostering academic growth and equitable access to learning, Kumari Bank supported a wide range of impactful educational initiatives throughout the year. Our contributions spanned scholarship programs for deserving students, support to schools for essential materials and infrastructure enhancement, and assistance to institutions participating in nationally and internationally recognized academic events. We partnered with several KUSOM social projects—Mirmire, Aarohan, Abhilasha, Aasha, and Harsha to promote literacy, digital awareness, community development, and student-focused educational support in rural and semi-urban areas. Furthermore, we extended support to conferences, creative festivals, and career conclaves that enhance students' exposure and professional readiness. High-value initiatives, such as providing scholarships to the Living Goddess Kumari, supporting Shree Garhausur Dharmik tatha Paryetakiye Kendra, and delivering visual learning materials to schools in Madhesh, Karnali, and Sudurpaschim, reflect our unwavering dedication to creating sustainable and meaningful impact in the education sector.

b. Health:

In our continued effort to promote community well-being, Kumari Bank supported a range of meaningful health-focused initiatives throughout the year. These included contributing to menstrual hygiene awareness through the provision of sanitary pads and a vending machine for the Nepal Red Cross Society–Youth Red Cross Circle at Shankar Dev Campus and supporting Sahid Smarak College in organizing a blood donation program. We further advanced healthcare accessibility by assisting E-nable Nepal in producing 3D prosthetic hands and by extending significant support to the Kathmandu Institute of Child Health for the construction of a child hospital in Budhanilkantha. Additionally,

we promoted mental and spiritual wellness by supporting a yoga camp in Gosaikunda, Rasuwa, and partnering with Brahmakumari Rajyog Sewa Kendra to deliver spiritual, moral, and character-development classes to the community. These initiatives reflect our holistic approach to strengthening public health and uplifting the communities we serve.

c. Environment:

Kumari Bank continued its commitment to environmental stewardship through a series of impactful initiatives aimed at promoting cleanliness, conservation, and ecological awareness across the country. Our support ranged from assisting local communities such as Namche Yuwa Samuha in developing and managing Namche Village, to contributing to tree-plantation programs, greenery management efforts, and waste-management initiatives in schools. A major focus this year was our extensive investment in nationwide Social Awareness Campaigns, where environmental messages were strategically placed at various high-visibility locations to inspire responsible behavior and public engagement. We further supported public awareness programs on environmental sanitation, reduction of plastic use, and pollution-free community-cleaning events. In addition, we extended support to organizations such as the Nepal Army and the Nepalese Young Entrepreneurs Forum for activities that promote environmental consciousness, including the NYEF Motor Rally to Manang. These combined efforts reflect our continued dedication to fostering a cleaner, greener, and more sustainable Nepal.

d. Financial Literacy:

Kumari Bank remained deeply committed to strengthening financial inclusion by delivering a wide range of financial literacy initiatives across the country. Throughout the year, we conducted extensive MSME awareness programs in collaboration with USAID, empowering micro, small, and medium entrepreneurs with essential financial skills and business knowledge. We also supported multiple Digital Banking Literacy Programs and Workshops to promote safe, informed, and efficient use of digital financial services. Our active participation in Global Money Week 2025 across all provinces further reinforced financial awareness among students, youth, and communities. In addition, we contributed to the publication of financial literacy materials, supported certificate distribution for Training of Trainers (TOT) and assisted institutions like the Congress Library in providing financial planning guidance to underserved groups. A significant highlight of the year was our support for the 36th ACSIC Conference on "Financing Innovations for Economic Growth," reflecting our ongoing commitment to integrating sustainable development goals with financial literacy. These initiatives collectively underline our dedication to fostering a financially informed and empowered society.

e. Sustainable Development Goals (SDGs):

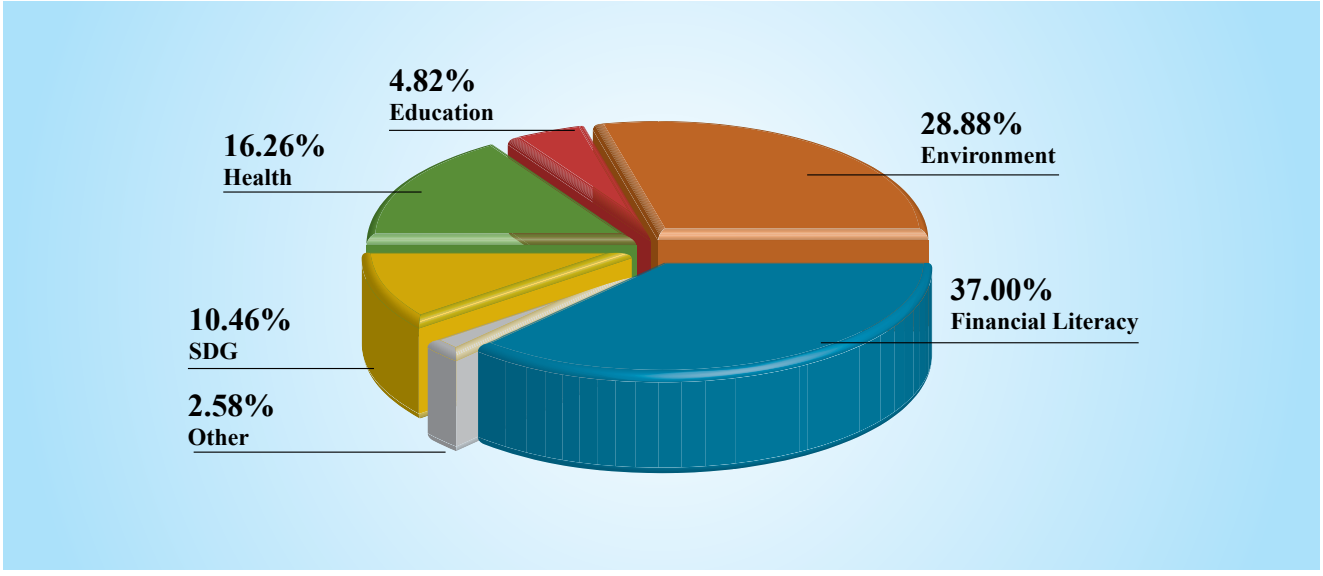
Kumari Bank actively supports a wide spectrum of initiatives aligned with the United Nations Sustainable Development Goals (SDGs), promoting cultural preservation, social welfare, gender equality, education, and public safety. Our contributions include backing traditional festivals and cultural events such as Rathyatra, Gadhimai Temple Mela, Indra Jatra, and so on, which help preserve Nepal's rich heritage. We have supported educational institutions by providing essential equipment and facilitated seminars on urbanization and sustainable planning. Our efforts extend to social empowerment, including assistance for women and children's victims, women entrepreneurship expos, and anti-drug campaigns in partnership with local police. Additionally, we have sponsored workshops that integrate financial literacy with key SDG themes such as poverty reduction, quality education, gender equality, and reduced inequalities. Through collaboration with organizations like the Confederation of Nepalese Industries and Nepal Police, we strive to raise awareness and foster inclusive growth. These initiatives reflect Kumari Bank's holistic approach to driving sustainable social progress in Nepal.

f. Other:

In our ongoing commitment to enhancing community safety, cultural preservation, and public welfare, Kumari Bank supported various impactful initiatives across Nepal. We contributed to traffic safety by placing awareness boards and replacing traffic signals in key municipalities, while promoting eco-tourism and preserving indigenous culture at Cholung Park, Basantapur. Our support extended to local government bodies such as the Birgunj Municipality Office for installing security cameras and the District Administrative Office to improve public services. We also donated unused computers to a community-managed maternity home, and provided financial assistance to the Area Police Office and the Society for Prevention of Cruelty to Animals (SPCA Nepal). Additionally, through initiatives like the "Ek Chhori Ek Bachat Khata" in Bangsdahi Municipality and website enhancements for partnerships with USAID, we continue to foster sustainable social development beyond conventional sectors.

Province-wise and Sector-wise CSR Spending

Province	Health	Education	Environment	FLT	Miscellaneous	SDG	Total
Koshi	-	100,000.00	380,000.00	163,096.15	46,000.00	15,000.00	704,096.15
Madhesh	-	74,996.69	1,050,000.00	528,017.75	107,127.92	50,180.00	1,810,322.36
Bagmati	2,702,996.88	284,350.00	1,674,781.60	3,614,928.02	188,140.00	1,276,897.49	9,742,093.99
Gandaki	-	126,500.00	275,000.00	512,762.09	-	375,882.35	1,290,144.44
Lumbini	-	45,000.00	980,000.00	307,353.02	137,500.00	-	1,469,853.02
Karnali	-	5,000.00	8,400.00	507,957.00	-	-	521,357.00
Sudurpaschim		165,000.00	430,977.92	464,545.00	-	21,000.00	1,081,522.92
Total	**2,702,996.88**	**800,846.69**	**4,799,159.52**	**6,098,659.03**	**478,767.92**	**1,738,959.84**	**16,619,389.88**





Excellence in Cross-Border Business 2025

Awarded for outstanding growth in cross-border transaction volumes, driven by effective strategies and enhanced customer engagement.

Excellence in Consumer Credit Card Business (Principal Client) 2025

Recognized for exceptional contributions to credit card issuance and portfolio growth, demonstrating strong execution and market leadership.



Payments Excellence Awards 2023

Kumari Bank has been the force to be reckoned in the area of Card and Digital Payments. The Bank has been awarded by VISA for **"PAYMENT EXCELLENCE IN CONSUMER CARDS - CREDIT"** at VISA LEADERSHIP CONCLAVE NEPAL 2023 held at Kathmandu on 19 Dec 2023. We are highly committed in providing excellent service through convenient and secure Card and Digital Payment Channels.



Excellence in E-commerce Business 2022

Excellence in E-commerce Business 2022 VISA International felicitated the Bank in the Leadership & Conclave Payments Innovation Awards in the category: **"Excellence in E-commerce Business 2022"** for garnering highest e-commerce business volume in the Nepalese card payment industry.



Infosys Finacle Client Innovation Awards 2019

Kumari Bank Limited has been awarded with international recognition: the **"Accelerated Transformation Award"** at the **Infosys Finacle Client Innovation Awards 2019.** Kumari Bank is first ever Nepali bank to receive the said-award by Finacle Infosys. The said-award has recognized the competence and potential of the comprehensive Nepali banking industry.

Kumari Bank has set up a historical record for successful migration of CBS Finacle Version 10.2.19 in the shortest recorded time of 4.5 months.



mBillionth Award South Asia 2011

The Bank received the coveted international recognition **"mBillionth Award south Asia 2011"** for its mobile cash products. It is a platform that recognizes some of the key innovative applications and services and honored excellence in the arena of mobile communications across South Asia.



Manthan Award South Asia 2011

The first of its kind, Kumari mobile cash pioneered the "mobile wallet" concept in Nepal, which allowed users to store cash balances in their mobile phones. Users are then able to deposit and withdraw cash from their mobile phones, and use the stored cash value for various purposes such as remittance, bill payment, and airtime recharge, with the push of a few buttons. For this, Kumari Bank won the **Manthan Award South Asia 2011** for the concept and introduction of Kumari Mobile Cash in Nepal, out of 481 participants across 30 categories.


Together for the
SUSTAINABLE
DEVELOPMENT
GOALS

Sustainability and Responsible Banking Commitment

Our sustainability mission is anchored in a strong commitment to advancing the Sustainable Development Goals (SDGs) and promoting a nature-positive, responsible banking approach. We embed environmental, social and governance (ESG) principles across every facet of our operations to ensure that our financial growth generates positive outcomes for people, planet and prosperity. Through ethical and responsible banking practices, we strive to drive economic progress, social inclusion, and environmental restoration supported by a culture of transparency, accountability and global partnership.
Our sustainability framework is structured around three core pillars that guide our transition towards a greener, more inclusive and resilient financial ecosystem.

A. Pillar 1: Product - Action on Climate, Resources and Ecosystems

We develop financial products and solutions that actively reduce environmental impact, encourage the responsible use of natural resources, and strengthen climate resilience advancing our commitment to nature-positive banking.

Catalyzing Green Economies & Clean Energy

We accelerate the shift toward low-carbon and circular economies by financing renewable energy projects, green enterprises, and social impact ventures. By enabling clean technology adoption and sustainable production systems, we contribute to national climate goals and help build a regenerative, future-ready economy.

Minimizing Environmental Footprint & Protecting Natural Capital

We integrate ESG and climate-related risk assessments into all lending and investment decisions to safeguard ecosystems and biodiversity. Our operations prioritize resource efficiency, responsible water stewardship, and conservation of terrestrial and freshwater habitats-reflecting our commitment to protecting natural capital and promoting a nature-positive future.

Promoting Sustainable Lifestyles

Through innovative retail solutions such as green deposits, EV and energy-efficient financing, and environmental savings-linked commitments we empower customers to make lifestyle choices that reduce carbon emissions and environmental pressure. Our investment policies ensure that we avoid financing activities that degrade land, pollute oceans, or threaten biodiversity.

Key Nature-Positive and Responsible Banking Products

1. Green Deposit Account
2. Female Deposit Accounts
3. Rural Community-Based Deposit Account
4. Account Conduct–Based Foneloan
5. Virtual Credit Card
6. Green Hire Purchase Loan
7. EV Auto Loan
8. Hydropower Financing
9. Solar Energy–Based Financing
10. Biogas Energy Financing
11. Women Entrepreneurship Loan
12. Education Loan
13. Educated Youth Self-Employment Loan
14. Business Development Loan for Deprived and Marginalized Communities
15. Agriculture Loan

B. Pillar 2: People — Fostering Inclusion, Well-being, and Education

We place people at the heart of our responsible banking agenda. Our initiatives are designed to enhance financial inclusion, build community resilience, and enable equitable access to opportunity.

Expanding Financial Inclusion & Reducing Poverty

Through digital transformation and purpose-driven financial solutions, we extend banking services to underserved and unbanked populations. By supporting livelihood opportunities especially in climate-resilient and sustainable agriculture we contribute to poverty reduction, reduced inequalities, and greater community resilience.

Empowering Through Education, Health & Gender Equity

We invest in financial literacy, digital safety, and capacity-building programs to strengthen financial wellbeing and promote informed decision-making. These initiatives enhance economic confidence, support healthier communities, and advance gender equality through dedicated efforts to empower women financially and socially.

Community-Centered and High-Impact Initiatives

1. Financial Literacy and Awareness Programs
2. Digital Fraud Awareness Campaigns
3. Entrepreneurship Development Programs
4. Training-of-Trainers for Frontline Employees
5. Emergency Monetary Support During Climate Crises
6. Community Awareness and Engagement Activities
7. Advocacy for Clean and Green Economic Practices
8. Capacity-Building Workshops
9. Promotion of Paperless Banking
10. Organizational Transition to EV Mobility
11. Digital and Automated Workflow Integration
12. Responsible and Sustainable Procurement
13. Climate-Resilient Community Actions (e.g., tree planting)
14. Health Camps and Wellness Awareness Initiatives
15. Strategic CSR Programs Aligned with Regulatory Vision
16. Climate-Resilient Financial Solutions Tailored to Local Needs
17. A Dedicated Sustainable Banking Department to embed ESG across operations

C. Pillar 3: Progress — Partnerships for Responsible Growth and Strong Institutions

Our progress is rooted in good governance, collaborative action, and long-term sustainability.

Driving Responsible Growth, Innovation & Governance

We uphold strong governance through transparent sustainability disclosures, ethical practices, and the integration of ESG considerations across all operations. Our financing supports resilient infrastructure, sustainable industrialization, innovation, and inclusive growth ensuring long-term value creation for all stakeholders.

Accelerating Impact Through Partnerships

We collaborate with environmental institutions, civil society, industry peers, and sustainability experts to amplify our collective impact. Through these partnerships, we contribute to sustainable cities, climate-resilient communities, and stronger regulatory frameworks, reinforcing our role as a responsible and purpose-driven financial institution.

Our Commitment: Nature-Positive and Responsible Banking for the Future

Through our three strategic pillars **Product, People, and Progress** we are advancing a transformative path toward nature-positive outcomes, inclusive development, and resilient economic progress. Our commitment to the SDGs, paired with responsible banking principles, guides our long-term vision of building a future that is greener, fairer, and more resilient for generations to come.

Sustainable Finance in Action: Deepening Commitment, Amplifying Results

Kumari Bank is now scaling its sustainable finance ambition into tangible action. We are accelerating the flow of green capital, strengthening core risk governance, and embedding ESG considerations into all lending and investment decisions. Driven by a results-oriented approach, we are focused on key impact areas: fueling the real economy, championing Nepal's renewable energy transition, positioning the Bank as a conduit for international climate finance, and expanding financial inclusion.

Commitment & Management Framework

The Bank has a firmly established Environmental and Social Risk Management (ESRM) framework, governed by a board-approved policy. An E&S Officer oversees its implementation. During FY 2081/82, we conducted 11 training sessions for 25 staff and performed Environmental and Social Due Diligence (ESDD) on 464 credit transactions, categorizing them into 421 Low, 37 Medium, and 6 High-Risk exposures. While no loans were rejected on E&S grounds, 43 were sanctioned with specific E&S Action Plans, and 26 transactions actively supported environmental improvements, primarily in renewable energy

Sectoral Portfolio Analysis & Environmental Implications

The Bank's credit portfolio spans various sectors with distinct environmental footprints. The following table presents the sector-wise exposure and its proportion to the total loan portfolio, highlighting areas of significant environmental impact and contribution.

S. No.	Sector / Sub-Sector	Total Principal (NPR)	% of Total Portfolio	Primary Environmental Considerations & Management Approach
1	Mining Related	1,046.59	0.36%	High Impact. Land degradation, deforestation, water pollution, waste disposal. Subject to stringent ESDD and mitigation plans.
1.1	Coal	38.5	0.01%	High GHG emissions, land impact, and water use.
2	Agri-Forest-Beverage Production	12,250.06	4.19%	Resource intensity (water, energy), effluent discharge, pollution control.
2.1	Lumber/Wood Products	2,055.85	0.70%	Sourcing from sustainably managed forests, waste utilization.
3	Construction	15,873.86	5.43%	Resource extraction for materials, site runoff, dust, noise, waste generation. Managed through site-specific E&S plans.
3.1	Heavy Construction	13,427.40	4.59%	Often involves large-scale land alteration and community impact.
4	Power, Gas and Water	35,164.34	12.03%	Strategic Positive Impact. While infrastructure development has footprint, this sector is crucial for clean energy transition.
4.1	Hydropower	34,731.08	11.88%	Core Green Portfolio. Enables clean energy; managed for ecological flow, sedimentation, and community impact.
4.2	Other Renewables (Solar, Biogas)	12.78	0.00%	Direct positive contribution to reducing fossil fuel dependence.
	Total Impact Sensitive Portfolio	**64,335**	**22.01%**	

Impact Management and Strategic Direction

- **Risk Mitigation:**
  For high-impact sectors (Mining, Cement, Metals), financing is contingent on rigorous impact assessments, client adoption of international mitigation technologies, and adherence to prescribed action plans.

- **Positive Financing:**
  The Bank strategically allocates capital to create positive impact, as evidenced by the 11.88% portfolio allocation to hydropower. This represents a direct, measurable contribution to Nepal's climate resilience and sustainable development goals.

- **Continuous Improvement:**
  Our ESRM process is dynamic. The tenfold increase in transactions governed by E&S Action Plans from the previous year demonstrates our intensified focus on active environmental risk management within the sensitive portfolio segments disclosed above.

Portfolio with Avoided Emissions from Renewable Energy Financing

Sector	Loan Amount (NPR Million)
Hydropower	34,731.08
Other Renewables (Solar, Biogas)	12.78
Total	**34,743.86**

Portfolio with Financed Emissions (Scope 3)

Sector	Loan Amount (NPR Million)
Construction	15,873.86
Mining Related	1,046.59
Total	**16,920.45**

Summary & Net Impact:

Metric	Portfolio (NPR Million)
Total Avoided Emissions (Renewable Energy Portfolio)	34,743.86
Total Financed Emissions (Scope 3, Other Portfolio)	16,920.45
Net Portfolio Climate Impact	**17,823.41**

Conclusion:

The Bank acknowledges its responsibility in financing sectors with material environmental footprints. Our approach is defined by a clear-eyed assessment of these impacts, the implementation of a rigorous management system to mitigate risks, and the proactive allocation of capital towards sustainable infrastructure. This balanced strategy ensures we support economic development while fulfilling our environmental stewardship commitment.

Please SCAN for further details

Branch Network

Products & Online Account Opening

Facebook

Instagram

X (Twitter)

Viber Communtiy

YouTube

Feedback & Grievance




Net Profit
1,819.69
Million
Paid-up Capital
26,225.86
Million
Deposit Portfolio
379,619.97
Million
Total Assets
441,683.64
Million
Lending Portfolio
292,312.63
Million
CAR
12.31%
M-Banking Customers
17,82,079
Branches 302
End of Asad 2082
I-Banking Customers
53,606
ATMs 317
NPL 6.95%
Net interest Income
11,621.54
Million
Extension Counters 50
End of Asad 2082
BLB 48
End of Asad 2082

केन्द्रिय कार्यालय
बानेश्वर, काठमाडौं।
फोन नं.: ०१-४७१९४१/४२
Site: www.nrb.org.np
Email: bsdoffsite@nrb.org.np
पोष्ट बक्स:७१

नेपाल राष्ट्र बैंक
बैंक सुपरिवेक्षण विभाग

प.सं: बै.सु.वि./अफसाइट/एजिएम/११/२०८२-८३ मिति : २०८२/०८/१५
च.नं. १९८

कुमारी बैंक लिमिटेड,
टंगाल, काठमाडौं ।

विषय: वित्तीय विवरण प्रकाशन सम्बन्धमा ।

महाशय,

त्यस बैंकबाट पेश गरिएका वित्तीय विवरण तथा अन्य कागजातहरुका आधारमा यस बैंकद्वारा जारी गरिएको एकीकृत निर्देशन नं.४/०८१ को बुँदा नं.१(झ) मा भएको व्यवस्था बमोजिम आ.व. २०८१/८२ को वार्षिक वित्तीय विवरण वार्षिक साधारण सभामा स्वीकृतिको लागि पेश गर्ने प्रयोजनार्थ देहायका निर्देशन सहित सार्वजनिक गर्न सहमति प्रदान गरिएको व्यहोरा निर्णयानुसार जानकारी गराउँदछु ।

१. आर्थिक वर्ष २०८१/८२ को केही महिनाहरुमा बैंकको प्राथमिक पुँजीकोष अनुपात यस बैंकबाट तोकिएको न्यूनतम पुँजीकोष अनुपात सम्बन्धी व्यवस्थासंग पालना नभएको देखिएको हुँदा बैंकको पुँजीकोष अनुपात सुदृढ गर्ने योजनाहरु कार्यान्वयनमा ल्याउनुहुन ।

२. लेखापरीक्षण प्रतिवेदनमा उल्लेख गरिएका कैफियतहरु पूर्णरुपले सुधार गर्न तथा त्यस्ता कैफियतहरु पुनः दोहोरिन नदिने आवश्यक व्यवस्था मिलाउनुहुन ।

उपरोक्त निर्देशनहरुलाई त्यस बैंकको वार्षिक प्रतिवेदनको छुट्टै पानामा प्रकाशित गर्नु हुन ।

भवदीय,
(राजेन्द्र रेग्मी)
सहायक निर्देशक

बोधार्थ
१. नेपाल राष्ट्र बैंक, बैंक तथा वित्तीय संस्था नियमन विभाग ।
२. बैंक सुपरिवेक्षण विभाग, प्रतिवेदन कार्यान्वयन इकाई, कुमारी बैंक लिमिटेड ।



कुमारी बैंक लिमिटेड
KUMARI BANK LIMITED
सबैका लागि, सधैंका लागि

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